Success factor innovation

SOLUTIONS BEYOND TOMORROW

KRONES

2025 highlights

- Revenue at Krones rose by 7.0% year on year to €5,663.8 million in 2025. The company thus continued on its profitable growth path despite challenging conditions.
- Krones' customers continue to show robust willingness to invest. At €5,564.7 million, order intake in 2025 exceeded the already high prior-year figure by 1.9%. Krones had orders on hand totalling €4,190.4 million at the end of 2025 (previous year: €4,289.5 million).
- Krones significantly strengthened profitability in 2025. EBITDA grew faster than revenue, rising 12.2% to €602.3 million. As a result, the EBITDA margin improved from 10.1% in the previous year to 10.6%.
- Krones generated a high free cash flow before acquisitions of €282.9 million in 2025. ROCE increased significantly to 19.1% (previous year: 18.2%).
- Krones plans to pay a dividend of €2.80 per share in 2025, an increase of €0.20.
- The Executive Board is realistically optimistic for the 2026 financial year and forecasts 3% to 5% growth in revenue adjusted for currency translation effects. The EBITDA margin is expected to improve further to between 10.7% and 11.1%. For the third financial performance target, ROCE, Krones expects between 19% and 20%.

		2025	2024	Change
Revenue	€ million	5,663.8	5,293.6	+7.0%
Order intake	€ million	5,564.7	5,460.7	+1.9%
Order backlog at 31 December	€ million	4,190.4	4,289.5	–2.3%
EBITDA	€ million	602.3	537.1	+12.2%
EBITDA margin	%	10.6	10.1	+0.5 PP*
EBIT	€ million	417.1	368.6	+13.1%
EBT	€ million	424.1	381.6	+11.1%
EBT margin	%	7.5	7.2	+0.3 PP*
Consolidated net income	€ million	299.2	277.2	+7.9%
Earnings per share	€	9.45	8.77	+7.8%
Dividend per share	€	2.80**	2.60	+7.7%
Capital expenditure for PP&E and intangible assets	€ million	185.1	181.1	+€4.0 million
Free cash flow	€ million	247.7	113.2	+€134.5 million
Free cash flow excluding acquisitions	€ million	282.9	292.5	–€9.6 million
Net cash at 31 December***	€ million	548.2	439.9	+€108.3 million
Working capital to revenue ****	%	17.3	17.0	+0.3 PP*
ROCE	%	19.1	18.2	+0.9 PP*
Employees at 31 December				
Worldwide		21,339	20,379	+960
Germany		11,735	11,312	+423
Outside Germany		9,604	9,067	+537

*Percentage points **As per proposal for the appropriation of earnings available for distribution
***Cash and cash equivalents less debt ****Average of last 4 quarters

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Success factor innovation

At drinktec 2025, Krones showcased its position as the innovative global market leader – in stable medium to long-term growth markets. The entire Krones team will leverage this strong starting position and work hard to ensure the company's ongoing success.

Krones' focus is on customer needs and requirements, which we meet in full at all times. The key to this is innovative products and services. With "Solutions beyond tomorrow", we help our customers implement their strategies. And in doing so, we shape Krones' successful long-term future.



“drinktec was a great success for the whole company”



Interview with Christoph Klenk

The highlight of 2025 for Krones was drinktec, the world’s leading trade fair for the industry, which only takes place every three to four years. How was drinktec for Krones?

CK: “drinktec was a great success for the whole company. We had numerous one-on-one conversations with customers, who gave very positive feedback on the innovations we had on show and how we are driving innovation. Listening attentively to customers is vital to us. It gives us a better understanding of their needs and requirements, which we can then translate into new, innovative products and services for the future – ideally as “Solutions beyond tomorrow”.

Did Krones have a special highlight for customers?

CK: “Yes: Ingeniq. Our new, technologically leading Ingeniq line concept with digital connectivity and an innovative service approach is a first in the industry (*see pages 17 to 19*). Ingeniq is an integrated concept combining machinery, digitalization and services. This transforms Krones from a plant and machinery manufacturer to an integrated partner for customers’ production performance.

But Ingeniq was just one of a whole range of innovations that we presented at drinktec across our three business segments (*see pages 13 to 16*).”

What other insights did you take away from drinktec?

CK: “The competition never sleeps, and the contest for orders stays challenging. Although the beverage and liquid food industry is still ready and willing to invest in principle, economic and political uncertainties are affecting customers’ investment decisions. Krones will respond to these challenges by quickly translating customer needs into sustainable innovations and by continuing to reliably deliver on its promises to customers. Furthermore, we are investing heavily in Germany, the USA, India and China to enhance the company’s flexibility and resilience.”

How would you sum up drinktec in a few words?

CK: “At drinktec, Krones demonstrated that it is not only an excellent plant and machinery manufacturer, but also a comprehensive technology and service provider for the beverage and food industry. The entire Krones team will build on the positive momentum from drinktec, and will continue to inspire customers with innovative, sustainable solutions, to the long-term benefit of both Krones and its customers.”

Success factor innovation

Markets, opportunities, challenges

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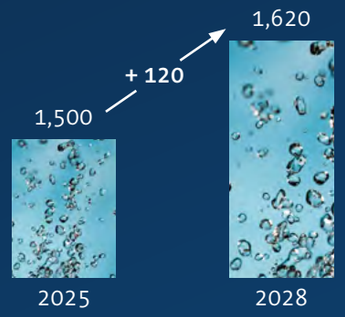
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Stable markets present good growth opportunities for Krones

Eating and drinking are basic human needs, and the global population will continue growing steadily in the coming decades. At the same time, with rising prosperity, particularly in emerging economies, and increasing urbanisation, more and more people around the world are turning to packaged beverages and foods. The global volume of packaged beverages is set to increase by around 120 billion litres to around 1,620 billion litres between 2025 and 2028 alone.

Global volume of packaged beverages (billion litres)



Source: GlobalData (as of 20 October 2025)

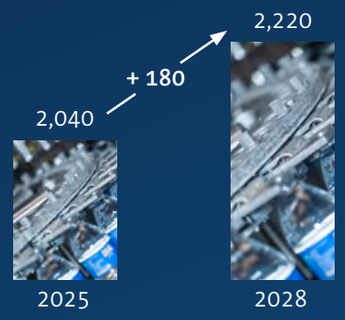


Growing demand served by Krones' unique full solution portfolio

Rising beverage consumption drives growing demand for innovative beverage production, filling and packaging equipment. The need for fully automated logistics solutions is also increasing in line with the number of packaged beverage units. From 2025 to 2028, this is expected to grow by 180 billion to 2,220 billion units.

Krones is the global market leader in filling and packaging technology and, as a full-service provider, also offers process technology and intralogistics solutions, recycling technologies and advanced moulding technologies. The company is thus ideally positioned to benefit from the stable demand growth in the medium to long term.

Number of beverage containers filled worldwide (billion)



Source: GlobalData (as of 20 October 2025)



Global challenges

Krones operates in stable growth markets that are relatively unaffected by economic cycles. However, the company cannot escape global developments entirely.

Trade conflicts

For companies to compete globally, they need fair terms of trade and largely unrestricted market access. Global trade policies triggered a major setback to free trade worldwide in 2025. Tariffs affect product prices and thus companies' competitiveness. Trade conflicts can also impact international supply chains.

Military conflicts

Military conflicts are having a negative impact on the global economy. Major repercussions of military conflicts include rising raw material prices and global supply chain disruptions that pose challenges for all companies.

Formation of trade blocs

Restrictions on free global trade can lead to individual countries establishing new common economic areas, making it harder for suppliers from other regions to access them. The formation of such trade blocs can endanger companies' ability to maintain trade relations and sales markets.



Our customers have challenging requirements

The general global challenges also influence the needs and requirements of Krones' customers. We aim to meet customers' needs in the best possible way by providing innovative solutions. These follow partly from very high standards in the production and processing of beverages and foods. Cost-efficiency and sustainability aspects are also important investment criteria for our customers. Key customer requirements and priorities include:

- Economic Sustainability
- Greenhouse gas emissions/net zero
- Product safety
- Quality
- Resource efficiency
- Circular economy
- Sustainable packaging
- Cost savings (TCO)
- Digitalisation
- Footprint
- High availability/reliable production
- Line efficiency
- Product diversity



Meeting customer needs with innovations

Innovation is an integral part of Krones' DNA. Krones presented numerous innovations and improvements at drinktec 2025. These included high-quality process technologies, energy and media-efficient filling and packaging solutions, and fully automated intralogistics concepts.

With its comprehensive solution portfolio, Krones impressively demonstrated how digitalisation, economic sustainability and efficiency combine for added value. The focus is no longer on machines, but on the perfect interoperation of all line components – smartly connected, versatile and with the clear aim of reducing operating costs, saving resources and making processes and production even more reliable.

The common goal of all Krones products and services is to reliably meet demanding customer requirements. In line with our vision of "Solutions beyond tomorrow", we aim to develop the innovations of the future for the food and beverage industry.



Filling and packaging technology

In filling and packaging technology, we presented numerous machines and features at drinktec that take our customers' production to a new level. All of these innovations contribute to the four major areas of lower operating costs, higher efficiency, economic sustainability and production reliability.

A small spatial footprint and thus a compact layout are also key selling points for many beverage producers. Other investment criteria include rapid cleaning, faster product changeovers and lower maintenance costs. The greatest potential savings on a PET line relate to energy and packaging materials.

Krones presented the **Lavasonic HI** new-generation bottle washer at drinktec 2025. Effective ultrasound cleaning and the new high-intensity module shorten the bottle treatment cycle and reduce the amount of thermal energy required. Lavasonic HI also uses less water and has a 35% smaller overall carbon footprint. Bottles are transported very gently through the machine – an important customer requirement, especially in the case of delicate light-weight glass bottles.



Another filling and packaging technology highlight presented by Krones at drinktec was the **Prefero injection moulder**. Developed by our 2024 acquisition Netstal in Switzerland, where it is marketed under the name PET-Line, the system produces PET preforms at very high speed. MHT provides the necessary tools. Together, the two Krones subsidiaries make up the Advanced Molding Technology unit. The latest Prefero generation has an output of some 108,000 ultra-light preforms per hour.

The Prefero injection moulder is the heart of the **Prefero system**. In this system, Krones has combined Netstal's injection moulding technology with moulds from subsidiary MHT and the Krones Contiform stretch blow moulding technology to create a unique solution for the production of PET bottles. The **Prenexo conveyor and buffer system** ensures smooth, efficient material flows between the injection moulder and the stretch blow moulder. This increases the degree of automation and efficiency of the system with reduced energy consumption.



Process Technology

Krones supports customers from the beverage and liquid food industry throughout the entire production process, from raw materials to the finished product. Accordingly, a major focus at drinktec 2025 was on production machines, lines and processes.

Together with subsidiaries Steinecker, Milkron, HST, Evoguard, Ampco Pumps, Perfinox and GHS, Krones presented an integrated and innovative process technology portfolio at the trade fair. This included energy-efficient solutions for beverage production, resource-efficient water treatment, technologies for the biotechnological production of plant proteins, and also high-quality individual components such as pumps and valves. In the Krones family, customers will always find the perfect solution for all types of beverage.

One example is **Ozonomic**. This compact unit is a safe and efficient solution for filling still water. Ozonomic generates ozone from oxygen to hygienically stabilise the drinking water. The top end of the bottle and the cap are also disinfected with ozone rising out of the water. The outcome is maximum product quality and safety at low operating costs.



Intralogistics

Krones subsidiary System Logistics exhibited at drinktec 2025 as the ideal provider for implementing complete intralogistics solutions in collaboration with customers. As we know, what customers depend on is absolute efficiency. They need short transportation distances, lean processes and agile material flows that flexibly adapt to production and shipping schedules.

System Logistics provides the planning and design of warehousing, order-picking and material flow systems together with the matching software solutions. The portfolio also includes automated guided vehicles, which were shown in service at drinktec. Our highly automated solutions enable customers to save energy, reduce the number of operating personnel and cut operating costs.

The **Automatic Pick-to-Pallet System (APPS)** is an ideal solution for automating order-picking processes in the food and beverage industry. This fully automated product from System Logistics both saves on operating personnel and quickly and reliably handles complex orders.

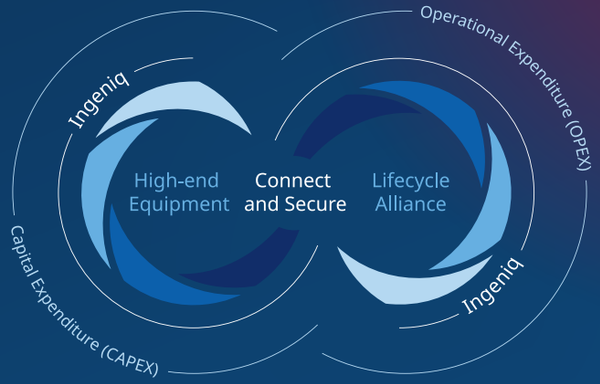


Ingeniq: the new line generation

Our customers have demanding goals. They want to produce as economically, sustainably and reliably as possible.

At drinktec in 2022, we worked together with customers to develop a vision for the line of the future. Just three years later, Krones presented he trailblazing new “Ingeniq” line generation at drinktec 2025. Customer feedback was very positive.

This is because Ingeniq provides the answer to the industry’s most pressing question: How to operate a line with top performance and minimum cost over the long term. But Ingeniq is more than just a line, it is an integrated overall concept consisting of three building blocks.



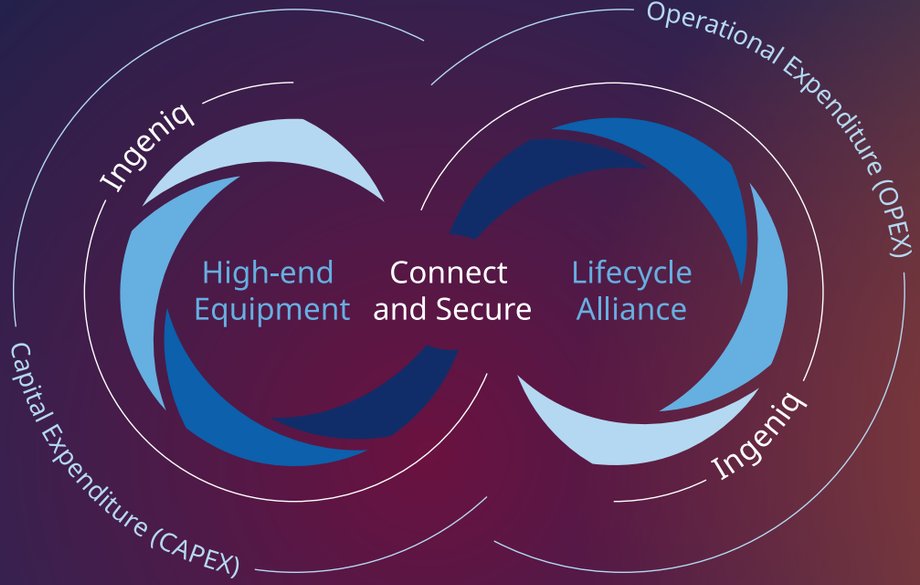


The three building blocks of Ingeniq

1. High-end Equipment: The technologically cutting-edge line is modular, digital, smart, energy-efficient and has a small carbon footprint. Ultra-efficient individual machines within the line are smartly connected, with the highest possible degree of automation. An important part of Ingeniq alongside our energy-saving, small carbon footprint enviro machines is autonomous and automated material handling throughout the production process.

2. Connect and Secure package: This connects to the digital Krones World. Thanks to the shared Krones.world platform, we and our customers have access to all relevant production data at all times. This enables Krones to manage the machines and lines remotely, perform software updates, ensure cyber security and provide digital services such as real-time data acquisition and predictive maintenance.

3. Lifecycle Alliance: This is a partnership with the customer with the aim of jointly ensuring the agreed line efficiency level. The Lifecycle Alliance package applies over the entire line lifecycle. This partnership is an absolute first in our industry and offers numerous benefits for our customers. The basis for Lifecycle Alliance is a modular and custom-tailored service contract.

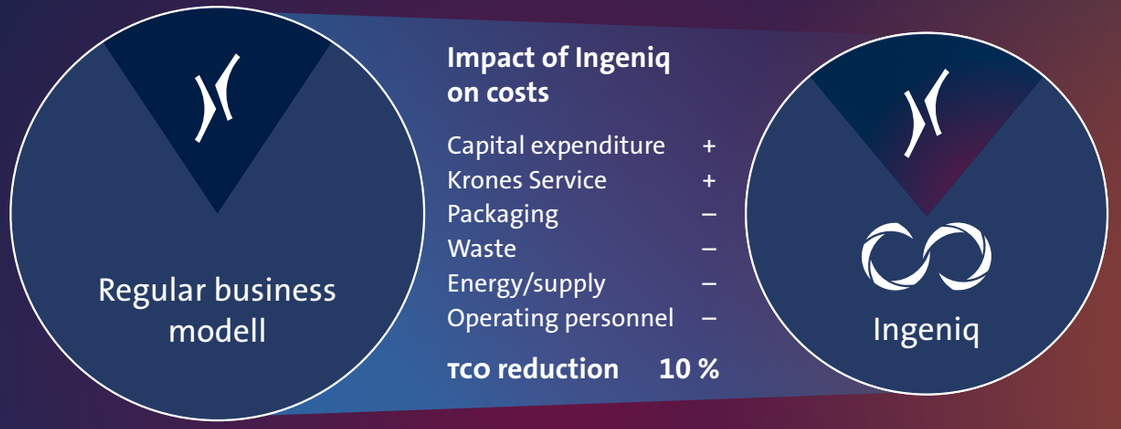


In Ingeniq, machinery, software and services combine to form a highly innovative integrated whole. Ingeniq transforms Krones from a plant and machinery manufacturer to an integrated partner for production performance.

Ingeniq – investment pays off for customers

A key customer requirement is low total cost of ownership (TCO). This includes the cost of purchase plus all other costs incurred for the line's operation. With Ingeniq, Krones has managed to reduce TCO by up to 10% over the entire lifecycle.

The higher purchase cost and Krones' performance-based service are more than offset by significantly greater savings in terms of packaging, energy, waste and personnel. Consequently, Ingeniq enables customers to considerably reduce operating costs and produce efficiently and reliably for the long term.



Ingeniq enables customers to reduce total cost of ownership **by up to 10%**!

Letter from the **Executive Board**



"The Krones team successfully navigated the challenging 2025 financial year. The company has grown profitably and impressively demonstrated its innovative strength at drinktec."

Christoph Klenk
CEO

Dear shareholders and friends of Krones,

2025 was a year of many challenges, which the Krones team once again successfully navigated. Krones continued on its profitable growth path and met the forecasts for all financial key performance indicators. In view of the many uncertainties, that cannot be taken for granted. Moreover, in September 2025, Krones showcased its role as a global market leader and innovator at drinktec, the world's leading trade fair for the beverage and liquid food industry.

The willingness of customers from the international food and beverage industry to invest remained robust at a high level, despite the critical general economic conditions. Demand was once again supported in the reporting period by the stable long-term growth of the beverage and liquid food market, which is little affected by economic cycles. As a global leader with a broad and innovative range of products and services, Krones benefits from the positive overall market development.

Krones continued its profitable growth in 2025 – revenue and profitability further improved as forecast

In a challenging economic environment, and with strict adherence to the pricing strategy, order intake, at €5.56 billion, once again reached a very good level in the past financial year (previous year: €5.46 billion). The order backlog decreased only slightly by 2.3% compared to the previous year's high figure and amounted to €4.19 billion at the end of 2025. We thus have a solid basis to ensure production capacity utilisation well into the third quarter of 2026.

Revenue also developed positively, increasing by 7.0% in the past financial year to €5.66 billion. The company thus achieved its growth target of 7% to 9% for the full year 2025. Stable material availability and the high degree of flexibility of our workforce enabled us to process and complete orders more quickly and further reduce delivery times.

EBITDA (earnings before interest, taxes, depreciation and amortisation) grew faster than revenue than revenue in the reporting year. Alongside higher efficiency in production, this was due to strategic measures to improve performance and cost structures. Krones improved profitability, measured by the EBITDA margin, to 10.6% in the reporting year (previous year: 10.1%), within the guidance range of 10.2% to 10.8%. Return on capital employed (ROCE) increased from 18.2% to 19.1% (guidance: 18% to 20%).

Shareholders to benefit from the company's success with dividend of €2.80 per share

Our shareholders are to benefit from the good business results. Krones will therefore increase the dividend in line with earnings. Shareholders are to receive a dividend of €2.80 per share for the 2025 financial year, up 7.7% from €2.60 per share in the previous year.

Economic and political risks continue in 2026

Despite the good business figures and the overall positive outlook for our markets, economic and political uncertainties are affecting customers' investment decisions in some cases. The risk factors include global tariff policies, which could lead to a decline in world trade. Geopolitical tensions could have a negative impact on supply chains, energy and commodity prices, and ultimately the global economy. Global uncertainties are also the reason why the experts at the International Monetary Fund (IMF) are forecasting global economic growth of only 3.3% for the current year. This is well below the long-term average growth of 3.7% for the global economy (2000–2019).

Executive Board expects continuation of profitable growth path in 2026 – clear focus on mid-term targets

Despite the continuing uncertainties, Krones looks ahead to 2026 with realistic optimism. We have a solid order backlog, and demand for our products and services remained robust going into the year. Based on the continuing positive market trend and Krones' strong market position, the Executive Board therefore expects consolidated revenue adjusted for currency translation effects to increase by between 3% and 5% in 2026.

Krones plans to further improve profitability this year compared to 2025. In addition to higher revenue, further efficiency improvements and the ongoing implementation of cost optimisation measures will strengthen profitability. We will also maintain our disciplined pricing strategy for our innovative and value-added products and services in 2026. At group level for the current financial year overall, we are forecasting an EBITDA margin of 10.7% to 11.1%. The forecast for the third financial target, ROCE, is 19% to 20%.

Based on the planning for 2026, the generally robust and less cyclical development of the food and beverage market and our good positioning, we believe Krones is well on track to achieve the mid-term financial targets by 2028. Provided that no unexpected negative events slow demand, the company plans to increase consolidated revenue to around €7 billion by 2028. The mid-term target for the EBITDA margin is between 11% and 13%. For ROCE, Krones is aiming for a figure of at least 20% by 2028.

Krones underscored its innovative strength at drinktec 2025

From 15 to 19 September, Krones showcased its innovative strength at drinktec. The highlight of the trade fair was our new, technologically advanced Ingeniq line concept (formerly "Line of the Future") with digital connectivity and a trailblazing service approach. Customers also gained an impressive insight into other innovations presented under the slogan "Solutions beyond tomorrow", including high-quality technologies and products for beverage production, energy and media-efficient filling and packaging systems, and fully automated intralogistics solutions (*see pages 13 to 16*).

Continued importance of sustainability for Krones and customers

Economic sustainability remains an important driver of innovation and growth in our industry. Cutting operating costs, reducing emissions and conserving resources are key customer requirements to be met by our products and services. With cost-saving, sustainable technologies and products, we create added value for customers and contribute to a world worth living in.

Krones is also committed to resource-efficiency in the company's own operations. This is why we have set ourselves the ambitious target of net zero emissions by 2040. On the way towards that target, we once again improved many of our sustainability metrics in the reporting year. Further details can be found in the non-financial statement on *pages 117 to 193*.

High capital expenditure improves efficiency and resilience

To continue growing profitably in the medium and long term, the company is investing in digitalisation, product innovation, streamlined internal processes and economic sustainability as a growth driver. By further expanding our global value chain, particularly in the USA, China and India, we are also improving our cost structures and increasing our flexibility and resilience. This helps us to respond quickly and flexibly to potential trade conflicts or other crises. Furthermore, the company will be investing heavily over the coming years in production and production logistics at its German sites. Germany remains a very important production and innovation location for Krones.

A strong Krones team: the basis for a successful future

The expertise and motivation of our employees are crucial to Krones' successful future. With their commitment, knowledge, and creativity, they help us to reliably support our customers in solving their problems and implementing their long-term strategies. On behalf of the entire Executive Board, I would like to take this opportunity to thank all Krones Group employees worldwide for their daily commitment.

Thanks to its expertise, flexibility and strong team spirit, the Krones team is well positioned to continue operating successfully and seize new opportunities in this rapidly changing environment. The entire Krones team will build on the positive momentum from drinktec, and will continue to inspire with "Solutions beyond tomorrow" to the benefit of both Krones and our customers.



Christoph Klenk
CEO

The **Executive Board**



Thomas Ricker
CSO

Uta Anders
CFO

Markus Tischer
International Operations and Services

Christoph Klenk
CEO

Ralf Goldbrunner
Operations

Report of the **Supervisory Board**



Volker Kronseder
Chairman of the Supervisory Board

Ladies and Gentlemen,

2025 was a further successful year for Krones. The company met its financial targets and made major progress in implementing its strategy, including the expansion of its global footprint. A particular highlight of the past financial year was drinktec. At our trade fair booth, numerous international customers and interested visitors were able to witness the company's innovative strength for themselves. The world's leading trade fair for the beverage and liquid food industry was a complete success for Krones.

The entire Krones team is motivated to continue providing customers with the best possible support through innovative products and services. Satisfied customers are the basis for Krones' long-term success. The Supervisory Board will also play its part in the company's successful future, continuing to work together with the Executive Board in a spirit of trust and providing advice and support, particularly on matters of strategy.

Advice and oversight

As prescribed by the German Stock Corporation Act and the company's articles of association, the Supervisory Board of Krones AG continuously oversaw and advised the Executive Board during the 2025 financial year and discharged its responsibilities with due care.

Provisions of the German Stock Corporation Act and the German Corporate Governance Code concerning the Executive Board's reporting obligations to the Supervisory Board were complied with at all times. The Executive Board regularly informed the Supervisory Board about the company's business and financial situation and risk management in written and oral reports both during and outside of Supervisory Board meetings. With regard to decisions of particular significance to Krones AG and the Krones Group, the Supervisory Board was informed and involved by the Executive Board at an early stage. The Chairman of the Supervisory Board and the Chief Executive Officer in particular maintained regular personal contact between meetings. In that connection, they jointly discussed matters of corporate strategy, current business performance, the risk situation, risk management and compliance.

In the 2025 financial year, the Supervisory Board focused on the challenges facing Krones as a result of global tariff policies and on strategic topics such as the expansion of the global footprint and M&A activities.

Krones supports Supervisory Board members in professional development

There were no changes in the membership of the Supervisory Board of Krones AG in the 2025 financial year. The members of the Supervisory Board engaged in professional development on their own initiative in 2025. Individual Supervisory Board members thus took part in external and internal training on topics including financial reporting and financial ratio analysis, the EU Corporate Sustainability Due Diligence Directive, the German Supply Chain Due Diligence Act, sustainability reporting, artificial intelligence in IT strategies and cybersecurity. Krones accordingly provided them with support in this regard.

No conflicts of interest

According to recommendation E.1 of the German Corporate Governance Code, each member of the Supervisory Board is required to disclose conflicts of interest to the Chairman of the Supervisory Board without delay. No conflicts of interest were disclosed in the reporting period.

Attendance at Supervisory Board meetings

Six Supervisory Board meetings were held in 2025. In some cases, members of the Executive Board attended meetings as guests. As a rule, however, the Supervisory Board met without the Executive Board. All Supervisory Board meetings in the 2025 financial year were held in person. However, it was possible for individual Supervisory Board members to take part by video conference or telephone if required.

In accordance with Recommendation D.7 of the German Corporate Governance Code, we provide the following information on meeting attendance by individual members of the Supervisory Board:

Supervisory Board member	Number of meetings	Meetings attended
Volker Kronseder	6	6
Josef Weitzer	6	6
Norbert Broger	6	6
Nora Diepold	6	6
Robert Friedmann	6	4
Oliver Grober	6	6
Thomas Hiltl	6	6
Markus Hüttner	6	6
Prof. Dr. jur. Susanne Nonnast	6	6
Dr. phil. Verena Di Pasquale	6	6
Beate Eva Maria Pöpperl	6	6
Stefan Raith	6	6
Olga Redda	6	6
Petra Schadeberg-Herrmann	6	5
Stephan Seifert	6	4
Matthias Winkler	6	6

Supervisory Board meeting reports

The first meeting of the Supervisory Board in the 2025 financial year took place on 19 March 2025. This meeting focused on the annual financial statements of Krones AG and the Krones Group for 2024. A representative of Krones' auditors attended for a portion of the meeting as a guest. CFO Uta Anders provided the Supervisory Board with a presentation of how the key financial performance indicators developed in the 2024 financial year. Following that, the representative of Krones' financial statements auditor gave the Supervisory Board an explanation of the audit engagement together with the focal points of the review of the annual financial statements and details of the audit. The Supervisory Board's Audit and Risk Management Committee commented on the results of the audit. Finally, the Supervisory Board approved the annual financial statements and management report of Krones AG for 2024 together with the 2024 consolidated financial statements and group management report. This also included the ratification of the Krones AG annual financial statements. The Supervisory Board also approved the non-financial statement for 2024.

Also at this first meeting in 2025, the Supervisory Board reviewed the appropriateness of Executive Board remuneration. Furthermore, the Supervisory Board's resolved to extend the contract of Executive Board member Uta Anders until 31 December 2030. Another topic discussed at the meeting comprised the results of the self-assessment of the effectiveness of the Supervisory Board's work. The Supervisory Board also endorsed the remuneration report of the Executive Board and Supervisory Board for approval at the annual general meeting.

At the same meeting, the Supervisory Board dealt with the agenda for the 2025 Annual General Meeting and adopted the necessary resolutions. One resolution related to an amendment to the articles of association to continue to allow for the holding of virtual annual general meetings Also at this meeting, the Super-

visory Board resolved that a dividend of €2.60 per share for the 2024 financial year was to be proposed to the annual general meeting. The Executive Board's economic report was another topic at the first Supervisory Board meeting in 2025. The Executive Board provided the Supervisory Board with an explanation of the current business situation and economic conditions.

On 27 May, following the Annual General Meeting, the Supervisory Board convened for its second meeting in 2025. A key topic was the Executive Board's report. The Executive Board informed the Supervisory Board about the development of the financial key performance indicators in the first quarter of 2025 and about the current market and business situation, and provided an outlook for the full year 2025.

The third meeting of the Supervisory Board in 2025 took place on 16 July. The Executive Board informed the Supervisory Board about the plans for drinktec 2025 in September, setting out how Krones' trade fair program was strongly geared towards customer requirements. In addition, the Executive Board presented the layout of the Krones trade fair booth. A further topic of the meeting was the Executive Board's economic report. This provided the Supervisory Board with detailed information on Krones' current business situation and on the market and competitive situation. The Executive Board also explained Krones' current M&A activities to the Supervisory Board.

At the fourth Supervisory Board meeting on 23 October, the main topic was corporate strategy. The Executive Board informed the Supervisory Board in detail about the growth strategy, the expansion of the company's global footprint and the implementation of the sustainability strategy in Krones' individual segments and business units. Moreover, the Executive Board explained to the Supervisory Board the challenges faced by Krones on the US market as a result of tariff policy and also presented competitive analyses.

On 24 October, the Supervisory Board held its fifth meeting of 2025. At this meeting, the Supervisory Board discussed the company's cloud solutions and the latest developments in cybersecurity at Krones. The Supervisory Board was also informed in detail about the Cyber Resilience Act. This is an EU regulation that specifies a minimum level of cybersecurity for all connected products available on the EU market. In the economic report, the Executive Board reported to the Supervisory Board on the current business situation and the outlook for the full year 2025.

The sixth meeting of the Supervisory Board in 2025 took place on 2 December at the Krones production site in Nittenau. Here, the Supervisory Board dealt with current developments in the USA and their impact on Krones. A major focus at the meeting was the report of the Audit and Risk Management Committee addressing the topics of risk management, internal auditing, compliance and the internal control systems. Committee chairman Matthias Winkler explained to the Supervisory Board the subject matter of the committee meeting of 25 November 2025 and the determinations on the risk management system and its effectiveness. He gave the Supervisory Board a detailed presentation on the strategic risks and explained that, in the opinion of the Audit and Risk Management Committee, Krones' risk management system adequately reflects the risks.

Likewise at its sixth meeting, the Supervisory Board passed resolutions on issuing the declaration of compliance pursuant to Section 161 of the German Stock Corporation Act (AktG) and confirmed the Supervisory Board's profile of skills and expertise. The shareholder representatives on the Supervisory Board also adopted a resolution confirming that Supervisory Board member Norbert Broger is independent in accordance with the German Corporate Governance Code. Budget planning was also on the agenda of the sixth Supervisory Board meeting. The Executive Board presented the annual and capital expenditure budget for 2026 for the Supervisory Board. The Supervisory Board then approved the budgets presented by the Executive Board.

The work of the Audit and Risk Management Committee

The Audit and Risk Management Committee comprises Volker Kronseder, Josef Weitzer, Norbert Broger, Markus Hüttner, Olga Redda and Matthias Winkler. Matthias Winkler chairs the committee. As tax adviser and partner in a tax consulting firm, he has the necessary expertise in accounting and auditing required by law, as does Norbert Broger (former Chief Finance Officer of Krones AG).

The Audit and Risk Management Committee oversees the company's accounting and financial reporting, the audit of the financial statements and other reporting, and prepares related proposals for Supervisory Board resolutions. The Committee also prepares the Supervisory Board's review of the annual financial statements, the management report and the auditor's report for the separate and consolidated financial statements and makes recommendations. Furthermore, the Audit and Risk Management Committee monitors the quality of the financial statements and the effectiveness of the internal control, risk management and compliance system.

Two meetings of the Audit and Risk Management Committee were held in 2025. These were each held in person. However, it was possible for individual committee members to take part by video conference or telephone if required. In accordance with Recommendation D.7 of the German Corporate Governance Code, we provide the following information on meeting attendance by individual members of the Audit and Risk Management Committee:

Committee member	Number of meetings	Meetings attended
Matthias Winkler	2	2
Josef Weitzer	2	2
Norbert Broger	2	2
Markus Hüttner	2	2
Volker Kronseder	2	2
Olga Redda	2	2

At its first meeting of the year on 13 March 2025, the Audit and Risk Management Committee dealt mainly with the reporting on the annual financial statements and consolidated financial statements of Krones AG as of 31 December 2024, the auditor's report on the audit of the annual financial statements and consolidated financial statements of Krones AG as of 31 December 2024, and the non-financial statement for 2024. The Audit and Risk Management Committee prepared recommendations on these matters for resolutions of the Supervisory Board at its meeting on 19 March 2025. The committee also prepared the Supervisory Board's resolution on the appointment at the 2025 annual general meeting of the auditor for Krones AG and the Krones Group for 2025 and the auditor for the 2025 sustainability report.

The second meeting of the Audit and Risk Management Committee took place on 25 November 2025. At this meeting, the committee addressed the effectiveness of Krones' risk management system. To this end, the heads of function informed the committee in detail about internal auditing, corporate governance and compliance, and about Krones's current risk situation and risk management. The current status of cybersecurity at Krones was also explained in detail to the committee. Furthermore, the committee was provided with information on the non-financial statement and the associated legal framework.

The work of the Standing Committee

The Standing Committee consists of Volker Kronseder, Josef Weitzer, Markus Hüttner and Prof. Dr. jur. Susanne Nonnast. The Standing Committee is chaired by Volker Kronseder. The committee generally deals with all other topics that are outside the remit of the Audit and Risk Management Committee. These include, for example, human resources strategy and Executive Board and Supervisory Board remuneration.

Two meetings were held in 2025, both as an in-person meeting. However, it was possible for individual committee members to take part by video conference or telephone if required. In accordance with Recommendation D.7 of the German Corporate Governance Code, we provide the following information on meeting attendance by individual committee members:

Committee member	Number of meetings	Meetings attended
Volker Kronseder	2	2
Josef Weitzer	2	2
Markus Hüttner	2	2
Prof. Dr. jur. Susanne Nonnast	2	2

At its first meeting of 2025, held on 6 February, the Standing Committee addressed general Executive Board matters.

The Standing Committee's second meeting took place on 13 March 2025. At this meeting, the Standing Committee primarily prepared recommendations for the Supervisory Board. The Standing Committee thus resolved to propose to the Supervisory Board that the contract of Executive Board member Uta Anders be extended until 31 December 2030. In addition, the Standing Committee passed resolutions on recommendations to the Supervisory Board regarding the review of the appropriateness of Executive Board remuneration and the targets for the long-term variable remuneration (long-term incentive) for members of the Executive Board.

Supervisory Board concurs with audit results

The annual financial statements of Krones Aktiengesellschaft prepared by the Executive Board, the consolidated financial statements and the combined management report for Krones AG and the Krones Group for the period ended 31 December 2025 were examined by the auditors elected by the annual general meeting, EY GmbH & Co. KG Wirtschaftsprüfungsgesellschaft, and each issued with an unqualified audit report. The audited annual financial statements, the consolidated financial statements and the combined management report for Krones AG and the Krones Group for the period ended 31 December 2025 were duly submitted to all members of the Supervisory Board for review. The audited financial statements and combined management report were the subject of the Supervisory Board meeting held to ratify the financial statements on 19 March 2026. The auditor also attended for part of that meeting and informed the Supervisory Board of the focal points of the audit and the audit results.

The Supervisory Board noted and approved the audit results. No objections were raised following the final review by the Supervisory Board, which covered in particular the matters described in the auditor's audit report, including the audit procedures. The Supervisory Board has approved the annual financial statements of Krones AG and the consolidated financial statements as well as the Executive Board's proposal for the appropriation of earnings available for distribution. The 2025 annual financial statements for Krones AG are thus ratified.

The auditors included in their audit the Executive Board's report, in accordance with section 312 of the German Stock Corporation Act, on Krones AG's relations to affiliated companies and submitted their audit report to the Supervisory Board. The audit by the auditors did not give rise to any objections. The auditor issued the following unqualified audit opinion on the dependency report:
"Based on our due audit and assessment, we confirm that

1. the statements as to fact made in the report are accurate,
2. the consideration given by the company in respect of the legal transactions referred to in the report was not unreasonably high."

The Supervisory Board's review of the report, in accordance with section 312 of the German Stock Corporation Act, on Krones AG's relations to affiliated companies did not give rise to any objections. The Supervisory Board therefore concurred with the results of the audit by the auditors. Following the final outcome of its own review, the Supervisory Board did not raise any objections to the Executive Board's concluding declaration on relations with affiliated companies.

In addition to the statutory audit, EY GmbH & Co. KG Wirtschaftsprüfungsgesellschaft also performed a limited assurance review of the combined non-financial statement of Krones AG and the Krones Group for the period from 1 January to 31 December 2025, which is part of the combined management report for Krones AG and the Krones Group. On the basis of that review, the auditor did not raise any objections to the non-financial statement and the fulfilment of the statutory requirements in relation to it.

Thanks to the Executive Board and the global workforce

Despite many challenges, Krones continued on its profitable growth path in 2025. This is primarily due to the extraordinary commitment of the entire Krones team. The members of the Supervisory Board would like to thank the Executive Board and Krones' employees worldwide for their contribution to the very successful 2025 financial year.

Neutraubling, March 2026
The Supervisory Board



Volker Kronseder
Chairman of the Supervisory Board

The **Supervisory Board**



Volker Kronseder
Chairman of the Supervisory Board

* University Hospital Regensburg
* Economic Advisory Board, Bayerische Landesbank



Josef Weitzer**
Deputy Chairman of the Supervisory Board
Chairman of Group Works Council
Chairman of the Central Works Council
Chairman of the Works Council Neutraubling



Norbert Broger
Diplom-Kaufmann



Nora Diepold
Chief Executive Officer
NK Immobilienverwaltungs GmbH, Regensburg



Robert Friedmann
Chairman of the Central managing board of the Würth Group

* ZF Friedrichshafen



Oliver Grober**
Chairman of the Works Council, Rosenheim



Thomas Hiltl**
Chairman of the Works Council, Nittenau



Markus Hüttner **
Deputy Chairman of the Group Works Council
Deputy Chairman of the Central Works Council
Deputy Chairman of the Works Council Neutraubling

* Other Supervisory Board seats held, pursuant to Section 125 (1) sentence 5 of the German Stock Corporation Act ** Elected by the employees



Prof. Dr. jur. Susanne Nonnast
Professor at Ostbayerische Technische Hochschule (OTH) Regensburg



Dr. phil. Verena Di Pasquale**
Head of Department, DGB Bayern (the German Trade Union Confederation in Bavaria)



Beate Eva Maria Pöpperl **
Works Council representative
(released from all other responsibilities)



Stefan Raith**
Head of Business Line, Line Solutions

* re-sult AG, Regensburg



Olga Redda **
Second authorised representative and managing director, IG Metall Regensburg

* OSRAM Licht AG
* OSRAM GmbH
* ams OSRAM International GmbH
* Maschinenfabrik Reinhausen GmbH



Petra Schadeberg-Herrmann
Managing partner Krombacher Brauerei Bernhard Schadeberg GmbH & Co. KG,
Krombacher Finance GmbH,
Schawei GmbH,
Diversum Holding GmbH & Co. KG



Stephan Seifert
Chairman of the Executive Board of Körber AG, Hamburg

* Board of trustees of the Körber Foundation



Matthias Winkler
Partner at Baker Tilly Germany

* SPIN AG

* Other Supervisory Board seats held, pursuant to Section 125 (1) sentence 5 of the German Stock Corporation Act ** Elected by the employees

The Krones **share**



"Amid many uncertainties, equity markets were very volatile in 2025. However, Krones shares ultimately continued their upward trend and rose for the fifth year in a row, gaining 13.2%."

Olaf Scholz
Head of Investor Relations

- Equity prices rise in 2025 despite difficult market environment
- Krones share price up for the fifth year in a row with 13.2% gain
- Dividend for 2025 increase from €2.60 in the previous year to €2.80 per share

DAX with strong gains in 2025 despite uncertainties

The main international equity markets rose in 2025 despite geopolitical uncertainties, volatile US tariff policy and an ongoing subdued economic outlook. Share prices were supported by expansive central bank interest rate policies. Through the year, the European Central Bank (ECB) continued the interest rate cuts begun in 2024. In the US, the Federal Reserve announced the start of an interest rate turnaround in September 2025. The ECB's many interest rate cuts are one reason why European equities outperformed US equities on average in 2025. The German DAX index additionally benefited from investment packages agreed in March 2025 and from the growing interest of international investors in German equities.

The upward movement of Germany's benchmark index was accompanied by sharp price fluctuations. This was mainly due to the US administration's tariff policies. The DAX thus dropped sharply after "Liberation Day" on 2 April, when the US president announced wide-ranging tariffs. After losing around 13% in just a few days, the index reached its intraday low point for the year at 18,490 points on 7 April. Stock markets rebounded strongly after the US administration initially suspended tariffs for most countries and subsequently went on to enter into numerous major trade agreements. The third quarter saw the index move sideways overall. The DAX started the fourth quarter with strong gains and reached its annual and all-time high of 24,771 points on 9 October. In mid-November, it fell to around 23,000 points due to turbulence on the US stock markets. The last few weeks of 2025 saw share prices back on a rising trajectory. At the end of December, the DAX stood at 24,490 points, 23.0% higher than at the beginning of the year.

Krones share price continues upward trend, gaining 13.2% in 2025

After four years of rising share prices, Krones shares continued their upward trend for the fifth consecutive year. Our share price fluctuated significantly over the course of 2025, however, partly due to external influences – primarily US tariff policies. Krones shares started 2025 at €120.00. By the early March, our share price approached the €140 mark. Concerns about high US tariffs subsequently weighed down the market as a whole.

Krones shares likewise reacted to the US tariff announcement at the beginning of April with a significant price decline. On 7 April, they marked their lowest closing price for 2025 at €107.20. The suspension of US tariffs resulted in a substantial recovery. As of 23 April, our share price had already made up the lost ground and stood at €126.00. Following publication of the figures for the first quarter of 2025, the Krones share price rose further to mark an annual and all-time high of €144.80 on 14 May. At the end of first half-year, the Krones share price stood at €140.00.

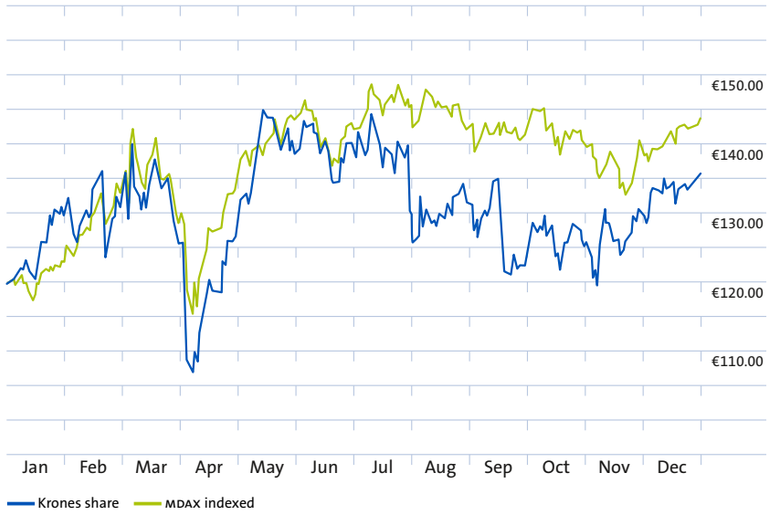
With some fluctuations, Krones' share price rose by 13.2% in 2025. Following the significant outperformance in the previous year, our shares did not rise quite as strongly as the MDAX.

At the beginning of the third quarter of 2025, Krones shares continued to rise and returned close to their all-time high, reaching €144.20 on 10 July. The share price lost some ground following publication of the half-year figures for 2025 on 30 July. However, it recovered again in the following weeks to reach around €135 in mid-September. After the Capital Market Day, the share price temporarily came under pressure and fell to around €121. On 30 September, the Krones share price stood at €124.00.

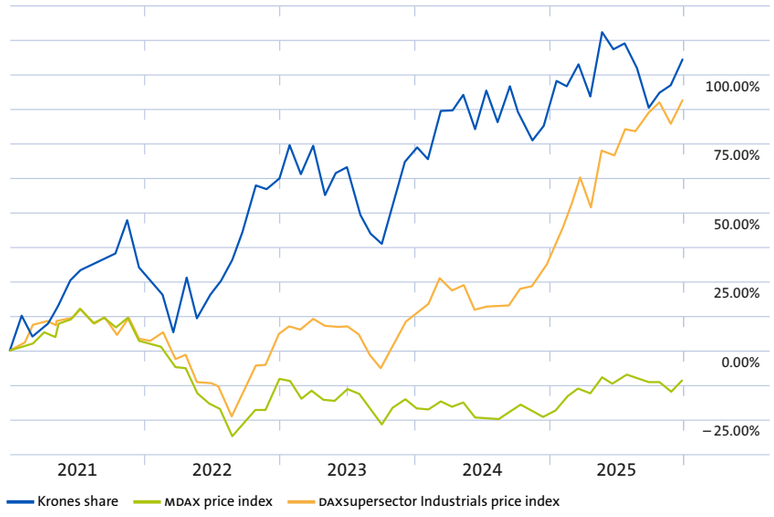
Our share price rose significantly in the fourth quarter. The figures for the third quarter of 2025, which Krones published on 7 November, contributed here. Our share price subsequently rose from just under €120 to around €130. This was followed by a downward movement, and then a strong rally at the end of the year. At the end of December, Krones shares traded at €135.80. This equates to a share price gain of 13.2% in 2025. Including the dividend of €2.60 per share, the performance was 15.3%. The MDAX, which Krones shares outperformed significantly in 2024, rose by 19.7% in 2025.

Over the past five years, our shares have significantly outperformed the MDAX and also outperformed the DAXsupersector Industrials sector index.

Price development of Krones shares compared with the MDAX, 2025



Performance of Krones shares compared to the DAXsupersector Industrials and MDAX

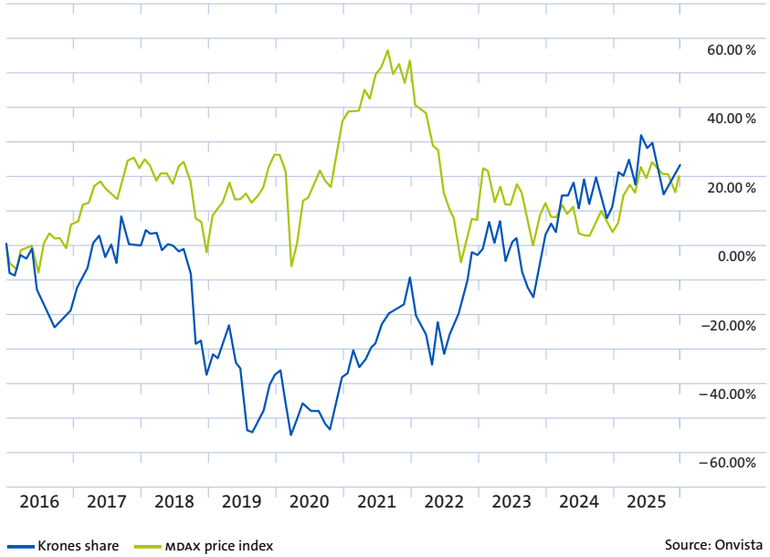


Krones shares provide positive 10-year performance

Over the long term, Krones shares have outperformed the MDAX. The price of our shares has risen by an average of 2.1% per year over the last ten years. The MDAX share price index rose by 1.8%.

The Krones share price rose by a total of 23.1% between 2016 and 2025. This corresponds to an average annual price gain of 2.1% over the ten-year period. The MDAX Price Index – the MDAX excluding dividends – gained an average of 1.8% per year over the same period. Krones shares are thus a slight outperformer over the long term. Including dividends, and assuming these are reinvested in Krones shares after payout, the average annual return on our shares since 2016 comes to 3.7%. Due to high dividend payments by index members, the comparable MDAX Performance Index rose by an average of 4.0% a year in the last ten years.

Performance of Krones shares compared to the MDAX price index, 2016 – 2025



Source: Onvista

Key figures for Krones shares

At 31 December		2025	2024	2023
Earnings per share	€	9.45	8.77	7.11
Equity per share	€	67.38	60.82	54.30
Free cash flow per share	€	7.84	3.58	–3.21
Price-earnings (P/E) ratio based on closing price for the year		14.4	13.7	15.7
Dividend per share	€	2.80*	2.60	2.20
High	€	144.80	131.80	120.30
Low	€	107.20	108.30	89.25
Year's closing price	€	135.80	120.00	111.80

*As per proposal for the appropriation of earnings available for distribution; share price data source: Xetra (closing price)

Around 50 analysts and investors joined Capital Market Day at drinktec

Krones held a Capital Market Day for analysts and institutional investors at the drinktec trade fair in Munich on 17 September 2025. In addition to around 25 guests attending in person, a similar number of capital market specialists joined on Teams for the entire duration of the event. Executive Board members Christoph Klenk, Uta Anders, Thomas Ricker and Markus Tischer provided analysts and investors with an in-depth insight into Krones' strategy and innovations and explained how the company will achieve its ambitious mid-term targets. Following the theoretical part, CSO Thomas Ricker showed the audience around the Krones booth and provided them with detailed information about key Krones innovations.

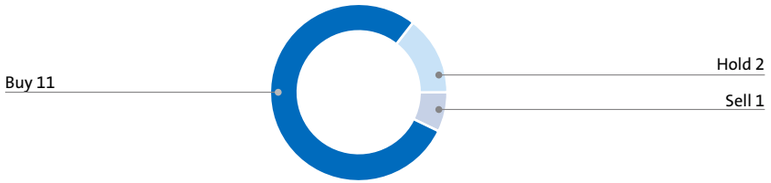
Krones awarded for compelling financial market communication, winner in MDAX

The “Investors’ Darling” competition for financial communication was held for the twelfth time in 2025. For this purpose, on behalf of Manager magazine, Prof. Dr. Henning Zülch and his team at HHL Leipzig Graduate School of Management conducted a comprehensive analysis of the capital market communications of companies listed on the DAX, MDAX and SDAX indices.

Krones took first place among the 50 companies in the MDAX in “Investors’ Darling” 2025 (2024: second place). Out of all 160 companies in the DAX family included in the analysis, Krones took a very good fourth place. The company also received a special award for the best reporting in the MDAX.

Many positive analyst recommendations for the Krones share

Analyst recommendations (as of 31 December 2025)



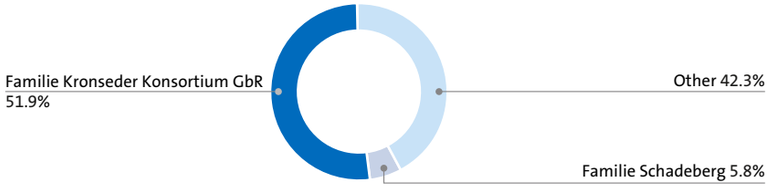
Basis: 14 Recommendations

International investors and analysts show very strong interest in our company. The attractiveness of Krones shares is reflected not only in numerous global investor roadshows and conferences, but also in the extensive research conducted on the company. Krones shares are analysed by 14 major national and international banks. At the end of December 2025, eleven banks issued a buy recommendation. Two analysts rated Krones shares as a hold, while one recommended selling the shares.

Shareholder structure

Krones’ shareholder structure remained virtually unchanged in the reporting period. At 31 December 2025, Familie Kronseder Konsortium GbR held the majority of Krones AG’s shares, with 51.9%. The Kronseder family intends to remain a stable majority shareholder of Krones AG. 5.8% of the shares were held by the Schadeberg family as of the reporting date.

Shareholder structure as of 31 December 2025

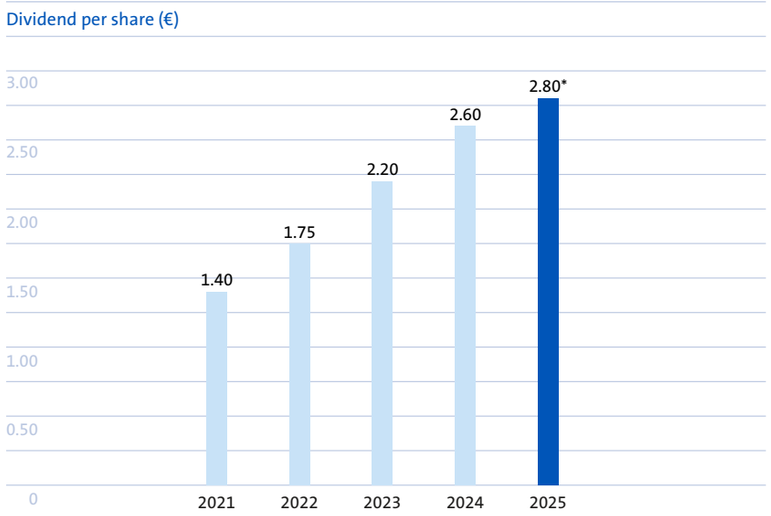


Key data for the Krones share

Number of shares	31,593,072
German securities identification number	633500
ISIN	DE 0006335003
XETRA ticker symbol	KRN

Krones to distribute a dividend of €2.80 per share to shareholders for 2025

Shareholders are also to benefit from the positive business results and the further improvement in earnings in the reporting year. For the 2025 financial year, Krones plans to increase the dividend by 7.7% to €2.80 per share (previous year: €2.60). This corresponds to 29.6% of consolidated net income. Krones' long-term dividend policy is to pay out 25% to 30% of consolidated net income to shareholders.



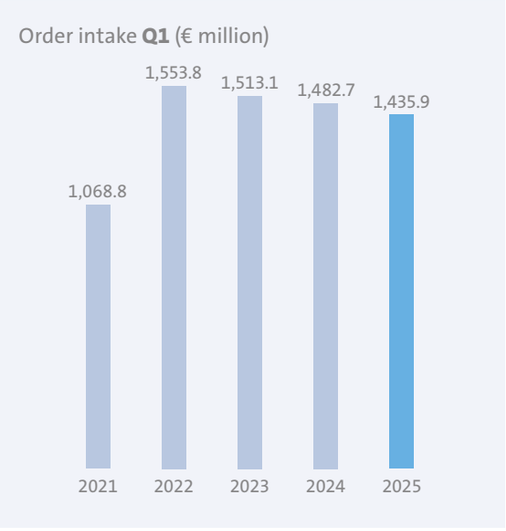
* As per proposal for the appropriation of earnings available for distribution

First quarter 2025

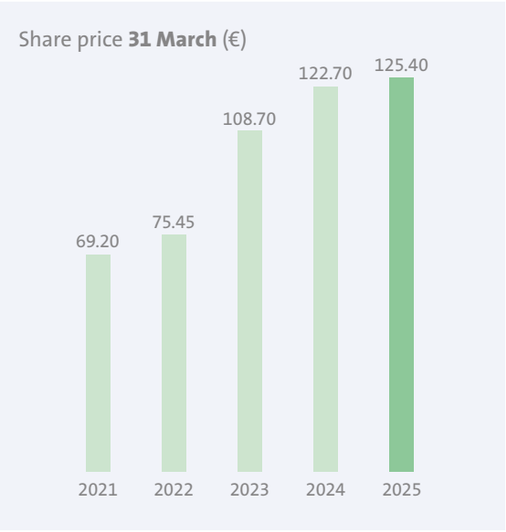
Krones made a good start to the 2025 financial year. First-quarter revenue climbed 13.1% year on year to €1,410.0 million. Customer demand remained at a high level with an order intake of €1,435.9 million. Krones' earnings improved significantly. Between January and March, earnings before interest, taxes, depreciation and amortisation (EBITDA) rose by 19.1% year on year to €149.3 million. The EBITDA margin consequently rose from 10.1% to 10.6%.

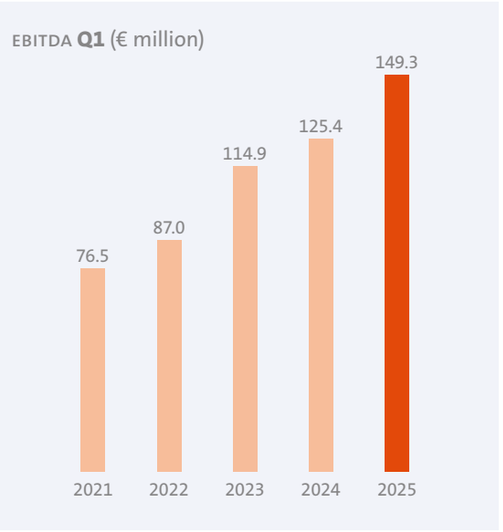
Krones published its Annual Report for 2024, including the sustainability statement, on 20 March. The sustainability reporting was prepared for the first time in accordance with the European Sustainability Reporting Standards (ESRS). Krones' sustainability reporting became more transparent than ever with twice as many metrics reported in the non-financial statement as in the previous year.

Following on from the share price gains in 2024, Krones shares continued their upward trend in the first quarter of 2025. At its peak, the share price climbed by around 15% compared to the beginning of the year, to an interim all-time-high of €138.80. Early in March, the entire market was hit by concerns about US tariff policy. Fears of trade conflicts flared up again at the end of the first quarter. Against this backdrop, Krones shares fell slightly from their record high. On 31 March, the share price stood at €125.40, up 4.5% on the beginning of the year.







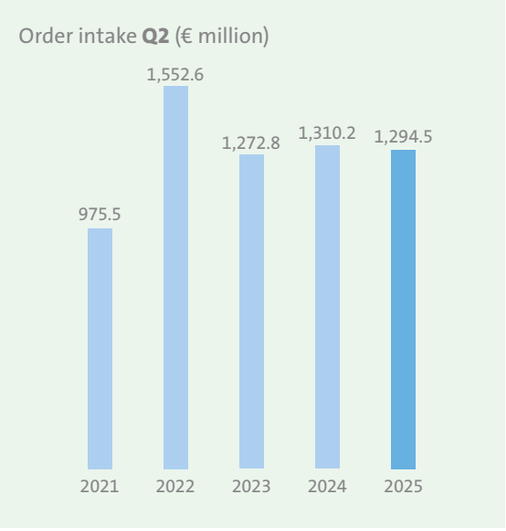


Second quarter 2025

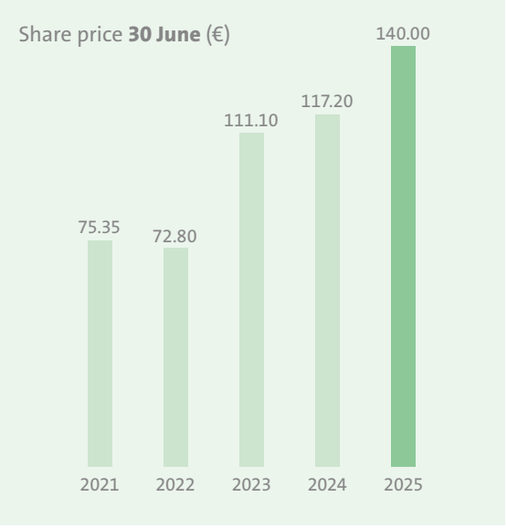
On 27 May, the 45th Annual General Meeting (AGM) of Krones AG was held as an in-person event at marina-forum in Regensburg. Attendance – the proportion of the company's share capital represented at the meeting – was some 81%. All agenda items submitted for voting were approved by a large majority of shareholders. Krones paid out a dividend of €2.60 per share for the 2024 financial year (previous year: €2.20).

Due to calendar effects, the pace of growth at Krones slowed from April to June. Revenue increased by 0.6% year on year to €1,316.5 million. Order intake remained stable at €1,294.5 million (previous year: €1,310.2 million). Profitability improved significantly despite only a minor rise in revenue. EBITDA increased by 6.4% to €139.2 million. The EBITDA margin consequently rose from 10.0% in the previous year to 10.6%.

The stock markets performed positively in the second quarter, although with sharp fluctuations. This was mainly due to the US tariff policies. The tariff announcements at the beginning of April triggered a sharp drop in share prices, which also affected Krones shares. Our share price marked a low at around €107. The stock markets recovered following positive news on the US tariffs. On 14 May, our share price reached a new all-time high of €144.80. At the end of June, the Krones share price stood at €140.00. Including the dividend, our share price rose by 13.7% in the second quarter of 2025.









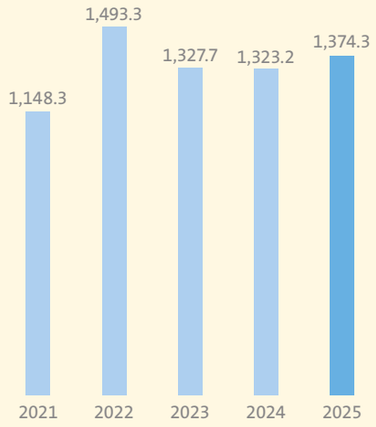
Third quarter 2025

The highlight of the year was drinktec, the world's leading trade fair for the beverage and liquid food industry, which took place in Munich from 15 to 19 September. Krones showcased its role as a global market leader and innovator. The company presented a wide variety of high-quality technologies and products. The highlight of the trade fair was the new Ingeniq line concept.

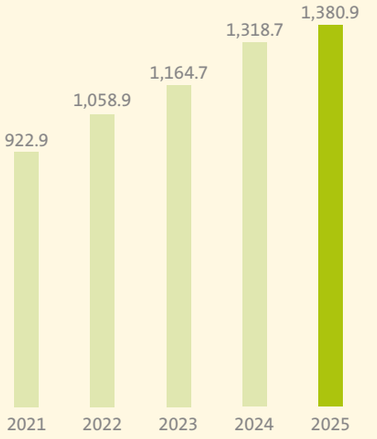
Compared to the preceding quarter, third-quarter order intake rose by 6.2%. Revenue growth also accelerated. Between July and September, revenue increased by 4.7% year on year to €1,380.9 million. Despite the expenditure for drinktec, EBITDA outpaced revenue, rising by 5.4% to €142.2 million. The EBITDA margin thus improved to 10.3% (previous year: 10.2%). Excluding the drinktec effect, the margin was at the upper end of the guidance range of 10.2% to 10.8% for the full year. Krones took first place among the 50 MDAX stocks in "Investors' Darling 2025" financial communication awards. Out of all 160 DAX family companies analysed, Krones took fourth place. The company also received a special award for the best reporting in the MDAX.

At the beginning of the third quarter, our share price continued to rise and came close to the all-time high. Following publication of the half-year figures for 2025 at the end of July, the share price corrected to around €126. It then recovered to around €135 in mid-September. Our share price came under renewed pressure following Capital Market Day, which Krones held at drinktec. At the end of the third quarter, the share price stood at €124.00.

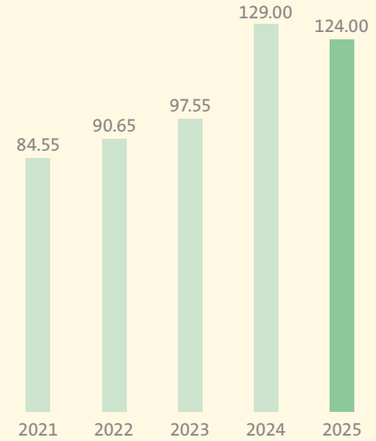
Order intake **Q3** (€ million)



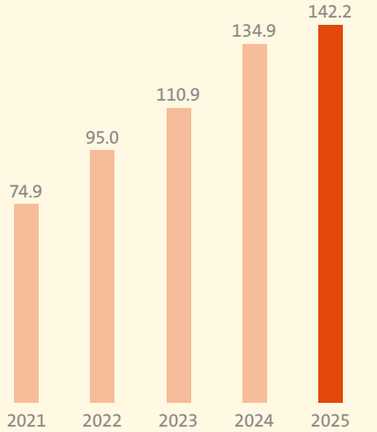
Revenue **Q3** (€ million)



Share price **30 September** (€)



EBITDA **Q3** (€ million)

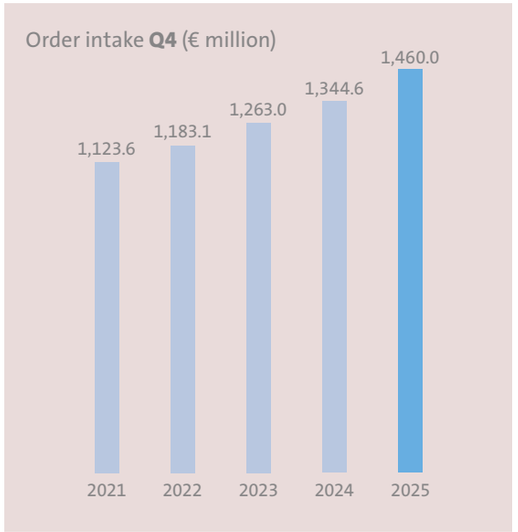


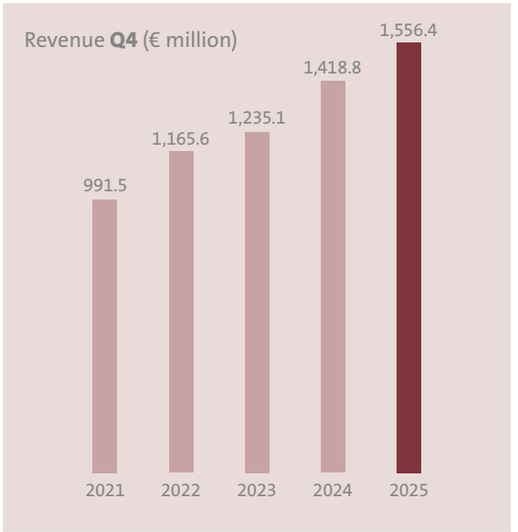
Fourth quarter 2025

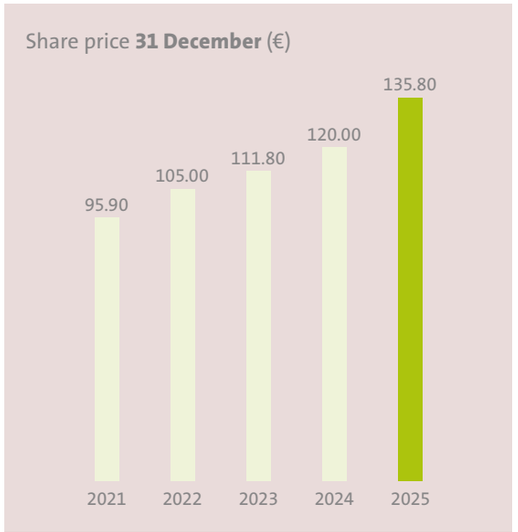
Krones' business developed very well in the fourth quarter. Revenue rose by 9.7% compared to the same quarter of the previous year, while order intake increased by 8.6%. From October to December, Krones generated EBITDA of €171.6 million, 17.5% higher than in the previous year. This corresponds to an EBITDA margin of 11.0% (previous year: 10.3%).

On 5 December, Krones was conferred the German Sustainability Award in the Mechanical Engineering category. The jury praised the fact that Krones has focused its entire corporate strategy on sustainability in order to make a significant contribution to the three global challenges of avoiding plastic waste, feeding the world and mitigating climate change.

The Krones share price rose significantly in the fourth quarter. The figures for the third quarter of 2025, which the company published on 7 November, also contributed here. Our share price subsequently rose from just under €120 to around €130. This was followed by a brief downward movement, and then a strong rally at the end of the year. At the end of December, Krones shares traded at €135.80. This equates to a share price gain of 13.2% in 2025. Including the dividend of €2.60 per share, the performance was 15.3%.









Systems and lifecycle service: **high-performance, safe, sustainable and cost-effective production**

Krones supplies the beverage and liquid food industry with all machines and lines needed for producing, filling and packaging beverages. Furthermore, we provide complete logistics systems and custom IT and digitalisation solutions that manage and optimise all production processes. We use our knowhow and our line expertise to reduce customers' total cost of ownership (TCO). As a reliable partner, we also ensure that our customers can produce safely, at high quality and efficiently.

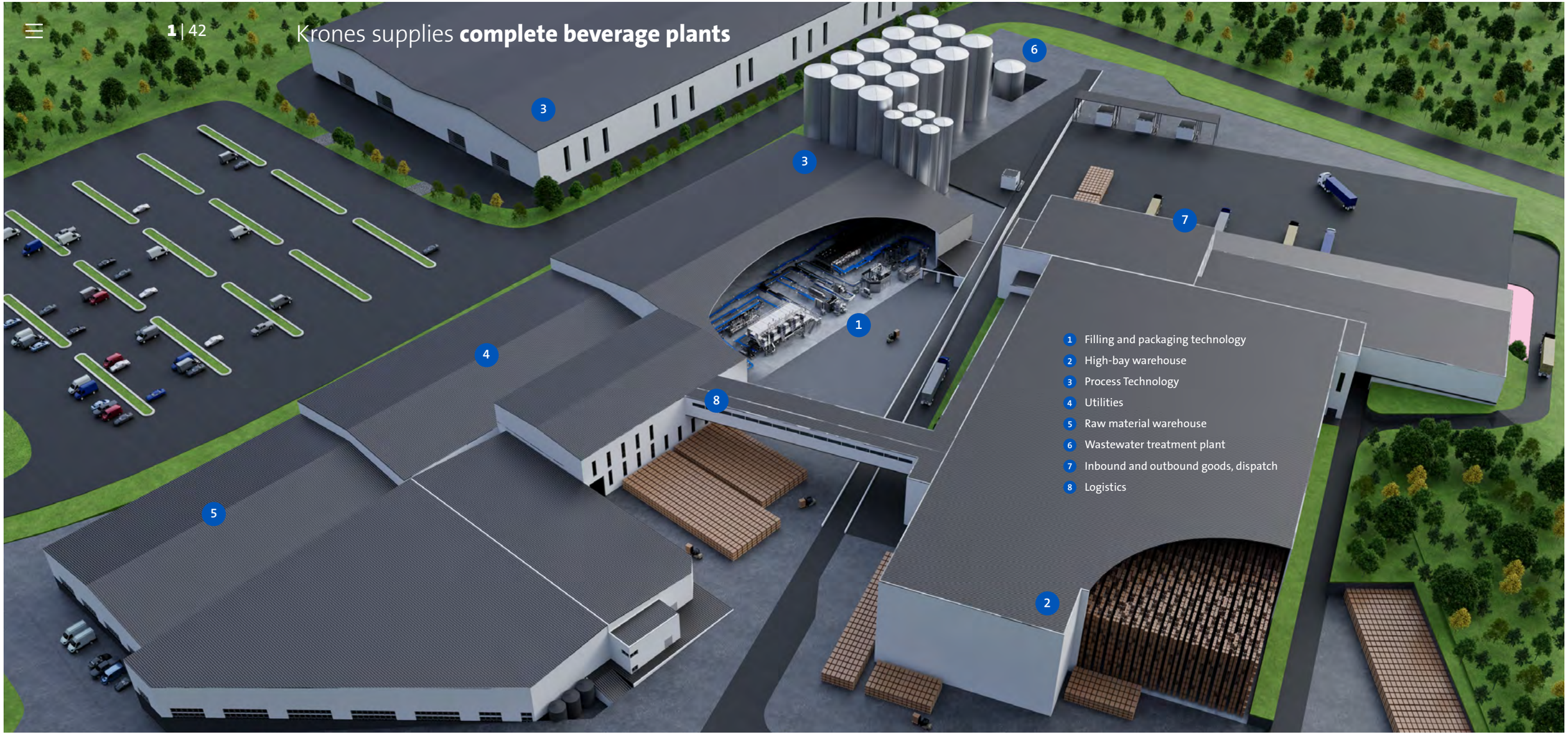
Our lifecycle service (LCS) experts additionally support customers with excellent, 24/7 after-sales service and advice – including for maintenance and retrofitting. The Krones LCS teams work together with customers to find solutions for efficient, secure, cost-effective and sustainable production at the maximum possible performance level.

LCS
Partner for Performance

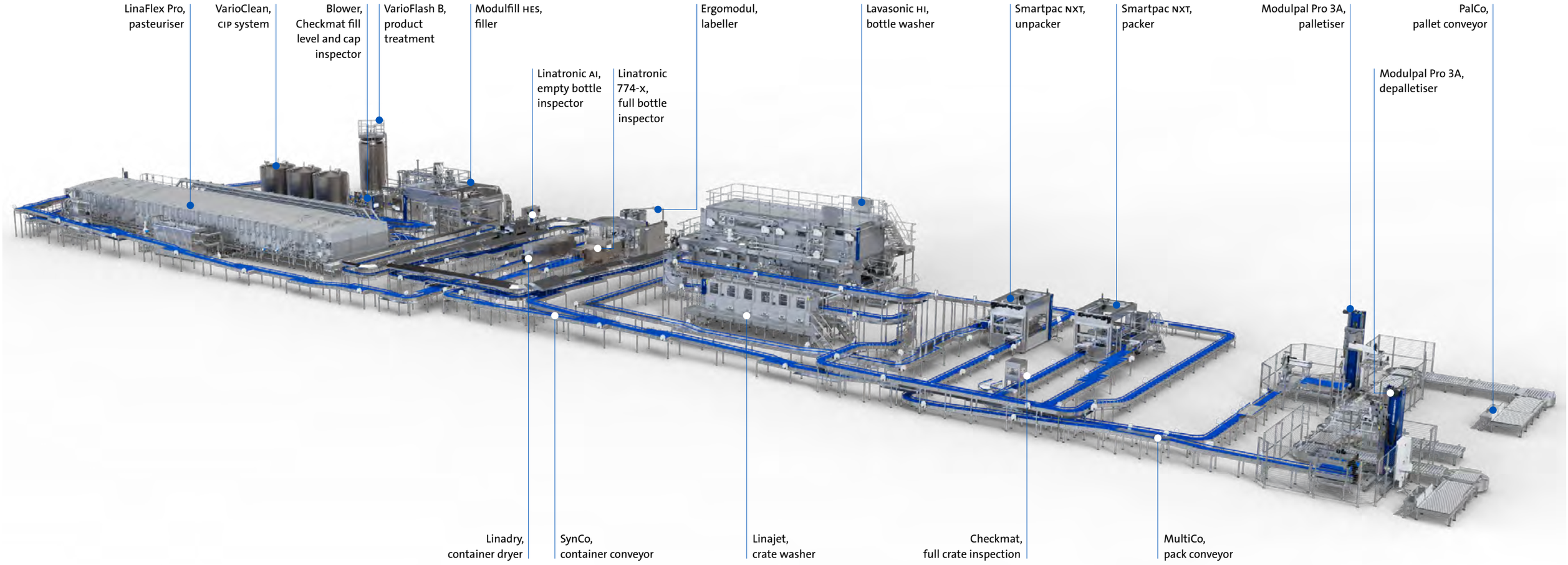
A key role in overall line efficiency is played by connectivity – the continuous flow of data between machines and lines that forms the basis of Krones' digital services. The service team analyse production data and work with customers to develop solutions that lastingly improve production performance. To this end, Krones offers modular service packages that are optimally tailored to customer lines and requirements. In the "Lifecycle Alliance" package – a key component of the new Ingeniq line concept – Krones works even more closely together with customers and assumes responsibility for agreed performance over the entire lifecycle of a line.

The two illustrations of a beverage plant and a returnable glass beer bottle filling and packaging line provide a brief overview of our portfolio.

Krones supplies **complete beverage plants**



Filling and packaging line for returnable glass beer bottles



2 COMBINED MANAGEMENT REPORT

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Notes on this report

This combined management report comprises the management reports of the Krones Group and Krones AG. The information on the Group also applies to Krones AG.

As the parent company, Krones AG performs the management function within the Group. In addition, Krones AG has extensive business operations and serves essentially the same markets as the Krones Group. Krones AG faces the same general economic and industry-specific conditions as the Krones Group.

As with the course of business, Krones AG's future opportunities and risks also correlate strongly with those of the Group. The management report of Krones AG is therefore combined with that of the Krones Group in accordance with Section 315 (5) of the German Commercial Code (HGB) and the provisions of German Accounting Standard DRS 20.22.

Information pertaining exclusively to the parent company can be found in the section on Krones AG,

pages 115 to 116.

Krones **at a glance**

Business model, business areas and organisational structure

Krones (Krones AG together with its subsidiaries) provides machinery and systems for filling and packaging and for beverage production. Process technology, recycling technologies, advanced moulding technologies and innovative digitalisation and intralogistics solutions round out our portfolio. Krones' capabilities include the design, manufacture, assembly, commissioning and testing of machines and lines.

Important components of our value chain include the procurement of high-quality materials and components, as well as close collaboration with suppliers and logistics partners. In sales, we work closely with our customers to offer tailored solutions that meet their specific requirements.

Krones' customers include beverage producers and companies from the food, chemical, pharmaceutical and cosmetic industries. Services are a major part of Krones' business model. Krones has service centres and offices around the world.

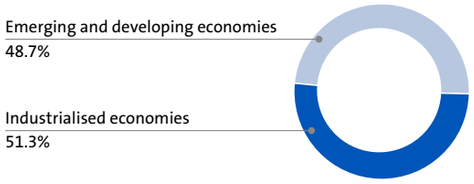
Krones reports on three segments: **Filling and Packaging Technology, Process Technology** and **Intralogistics**.[1]

Major markets and competitive position

Customers in the beverage industry account for most of Krones' revenue. Most of the remainder is accounted for by the food, chemical, pharmaceutical and cosmetics sectors.

The group is heavily export-oriented, generating around 90% of consolidated revenue outside Germany. The regional revenue split is well balanced overall. In the reporting period, Krones generated 51.3% of its revenue in industrialised countries and 48.7% in the rapidly growing emerging markets.

Krones Group revenue split 2025



Apart from a few large companies that are part of a corporate group, such as KHS (Salzgitter AG) in Germany and Sidel (Tetra Laval Group) in France, Krones competes with various companies that do not offer the entire filling and packaging technology product range. Most of our main competitors are based in the euro area. Krones competes for orders with Chinese providers primarily in their home market. In the two smaller segments, Process Technology and Intralogistics, the company is in competition worldwide with major suppliers such as GEA and Kion and with smaller regional companies.

Supported by our global service portfolio, which enables us to provide fast on-site service to customers throughout the group, Krones is well positioned in the competitive arena as a full-service, full-range provider.[2]

[1] ESRS 2 SBM-1 40a i-ii, 42, 42a-c
[2] ESRS 2 SBM-1 40a ii, 42, 42c



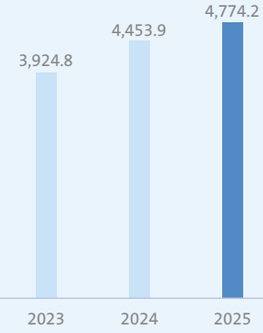
Filling and Packaging Technology segment

This is Krones' largest segment by far. Krones offers machines, systems and entire lines with which customers fill, label, pack and transport their products, primarily in PET bottles, glass bottles and cans. The lines provided by the segment additionally include machines and systems for producing PET bottles (using injection moulding and stretch blow moulding). Also in this segment, Krones offers recycling systems for converting used plastic bottles into food-grade recycled material (PET recycling). An important part of the segment is the service business.

- PET preform and container production
- Product treatment technology
- Labelling technology
- Inspection technology
- Filling technology
- Cleaning technology
- Plastics technology
- Packing and palletising technology
- Conveyor technology
- Plastics recycling

See also Segment report, pages 106 and 240.

Revenue (€ million)



	2023	2024	2025
EBITDA (€ million)	402.3	464.4	517.8
EBITDA margin (%)	10.3	10.4	10.8



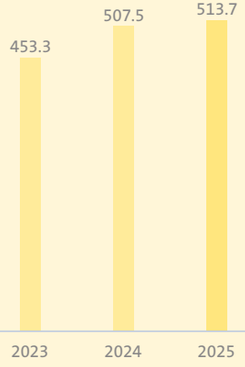
Process Technology segment

This Krones segment supplies customers with machines and lines for producing and processing soft drinks, fruit juices, milk, dairy drinks, beer, alternative proteins and dairy alternatives. The Process Technology segment also includes water treatment systems and components (valves, pumps) under the Evoguard and Ampco Pumps brands, together with the service business.

- Components (valves, pumps, etc.)
- Water treatment
- Alternative proteins
- Mixers and conditioning tanks
- Brewhouse and filtration technology

See also Segment report, pages 107 and 240.

Revenue (€ million)



	2023	2024	2025
EBITDA (€ million)	34.7	49.5	52.9
EBITDA margin (%)	7.7	9.7	10.3



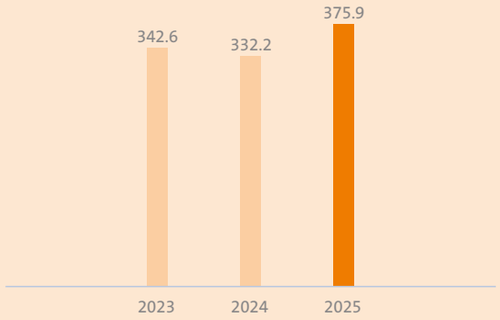
Intralogistics segment

In this segment, through the System Logistics subgroup, Krones provides the planning and design of fully automated warehousing, order-picking and material flow systems, with automated guided vehicle systems and matching software tools. Software and other services are an additional part of the Intralogistics segment.

- Warehouse and material flow technology
- Automated guided vehicles
- Automated order picking systems
- System and software solutions

See also Segment report, pages 108 and 240.

Revenue (€ million)



	2023	2024	2025
EBITDA (€ million)	20.3	23.2	31.6
EBITDA margin (%)	5.9	7.0	8.4

Krones' strategy



"In our steadily growing markets, Krones is strengthening its market position and resilience by expanding its global footprint and innovative capacity."

Christoph Klenk
CEO

2025 has demonstrated once again that Krones is very well positioned in stable markets. Despite many unexpected geopolitical and trade policy challenges, primarily triggered by global tariff policies, the company has maintained its profitable growth path. The beverage and liquid food industry's willingness to invest remained robust despite the overall economic uncertainties. This past financial year has also shown that in such volatile times, the strategic expansion of Krones' global footprint is essential to our ongoing business success. The same applies to the steadily growing Krones team. Thanks to their motivation and flexibility, our employees enabled us to further shorten delivery lead times in 2025 and to provide an impressive demonstration of our innovation leadership at drinktec 2025.

Megatrends ensure stable medium to long-term demand growth

We are planning for the future with realistic optimism. The steadily growing and cyclically resilient food and beverage market benefits from megatrends. Global population growth, the rise of the middle classes in emerging markets and the continuing increase in urban populations, particularly in emerging and developing countries, are all driving demand for packaged beverages. Sustainability is another factor that supports demand for Krones products on a long-term basis, because customers have to achieve their ambitious climate targets and in particular save costs. As one of the internationally leading providers of resource-efficient beverage filling and packaging technology, and as a process technology and intralogistics solution provider with a comprehensive product and service portfolio and global service network, Krones is ideally placed to capitalise on the opportunities in this attractive market.

Irrespective of the positive overall outlook for our markets, assessing and evaluating various risks is an essential part of our corporate strategy. The ongoing geopolitical and economic uncertainties influence our customers' willingness to invest. Escalating conflicts can have a negative impact on supply chains and on energy and commodity prices – and ultimately on the global economy. Potential trade conflicts between the major economic blocs comprising the US, China and Europe would severely impact global trade and weaken global economic growth. A further risk in the long term is the limited availability of natural resources for our customers. The resulting focus on economic sustainability presents opportunities for Krones.

To achieve the profitable growth essential to Krones' future success, we are implementing a series of strategic measures consistently and sustainably in all three segments.

Expanding the global footprint strengthens resilience

By expanding its global value chain, Krones is improving its cost structures. Diversifying production and supply chains also enhances resilience to economic and political risks such as trade barriers, regional supply chain problems and production stoppages. Additionally regionalising value creation enables us to provide our customers with a rapid, cost-effective and low-emission supply of products adapted to each market.

We generate around 20% of our global revenue in the USA. Because of local production, only about half of that – around 10% of revenue – is affected by the US tariffs. With some €50 million in investment in our sites there, we will significantly increase production in the USA, above all in the core segment, in part so that US import tariffs have less of an impact on the company.



Expansion of production at the existing Franklin, Wisconsin campus



Intralogistics Systems expansion at Arden, North Carolina

After successfully establishing a production site and the associated supply chains in Hungary, the company has now significantly expanded the Taicang site in China. From the second half of 2026, the production of various core-segment products (including conveyor belts, aseptic systems and labellers) will be expanded in order to serve the Chinese market quickly and cost-effectively. The workforce in Taicang of around 900 employees in the reporting period is set to increase further in the medium term.

For the fast-growing Indian market, Krones is building a new production site that is scheduled to go into operation in the second half of 2026. The plant is being built in several phases. When completed, it will house the assembly of, for example, the ErgoBloc L series, Compact Class products and dry-section machines, plus spare parts manufacture. Young employees will also be able to complete their apprenticeships at the new plant. Our existing Indian site in Hyderabad is undergoing substantial capacity expansion for solutions from the Process Technology segment.

The continued high level of investment in German locations is primarily being channelled into the automation of production and production logistics. In this way, we are increasing efficiency and securing the competitiveness of our domestic sites. Overall, in the coming years, we intend to progressively increase the proportion of value added generated internationally by the Krones Group.

Disciplined price strategy the foundation for profitable growth

Alongside the development of costs, another key profitability factor for Krones is selling prices. With the aid of our innovative, value-added solutions, our dense global service network and reliable completion of projects for our international customers, we are able to obtain adjusted prices despite the cost trend. Despite the ongoing intense competition for orders, we are sticking to our disciplined price strategy.

Innovation: the basis for sustained business success

Innovativeness is a core element of the Krones strategy. New and improved products and services are crucial to Krones' long-term success. High-quality, technologically leading products and services are key to maintaining high levels of price realisation. For many years, Krones has therefore invested large sums amounting to between 4% and 5% of revenue in research and development (R&D).

Krones' focus in innovation is on the thematic areas of digitalisation, system solutions and economic sustainability. Working in dialogue with customers and on the basis of their needs and requirements, we quickly develop solutions that deliver measurable added value and support them in achieving their goals. All innovations contribute to major priorities for customers, such as lower operating costs, higher efficiency, lower media and energy consumption, and production reliability.

The new, highly innovative Ingeniq line concept is a prime example (*see pages 17 to 19*). Ingeniq was predominately developed on the basis of detailed customer feedback from drinktec 2022 and already went into service with a customer in early 2025. This also marks a milestone in terms of innovating speed.

We present our R&D strategy and a selection of our innovations from the reporting period on *pages 71 to 77*.

Flexibilisation and optimisation of cost and organisational structures

One of our core strategic priorities is to further improve Krones' cost base and organisational structure and to reduce fixed costs as a percentage of total costs. We address dynamic and unforeseen challenges with flexibility and agility. Being able to respond swiftly to changing economic conditions strengthens our resilience.

To this end, Krones is accelerating, digitalising and automating internal processes and workflows. Closer collaboration and shorter decision lines also help to reduce order throughput time – the total time from quotation to delivery. Krones is also implementing cost and efficiency improvement programs in almost all areas.

Solutions beyond tomorrow: taking sustainable responsibility

With its corporate vision of "Solutions beyond tomorrow", Krones contributes to three key challenges confronting humanity: slowing climate change, feeding the world, and ensuring responsible use of packaging materials. We also focus on our customers' challenges and support them in solving them. This gives rise to the company's strategic orientation around the three core areas of digitalisation, service quality and economic sustainability. These areas also determine the strategic orientation of our three segments.

Solutions beyond tomorrow – our strategic focus



Digitalisation increases beverage plant efficiency and is the basis for future service business

To remain competitive, beverage and food manufacturers must produce as efficiently and flexibly as possible. Digitalising production helps them identify and leverage numerous opportunities for improvement, save resources and prevent disruptions and stoppages. Another advantage for customers is that as digitalisation increases, the need for production labour decreases. This helps to alleviate the skills shortage and save costs.

When it comes to the digitalisation of beverage plants, Krones benefits from its line and factory expertise – knowledge of how to perfect the interoperation of numerous individual machines and lines. All new Krones lines are fully digital-ready (Connected Line). More than 500 lines are already connected to the Krones digital platform and the company offers a wide range of related digital products and services. These create added value for customers through enhanced product safety, more reliable production, lower resource consumption and, overall, reduced total cost of ownership (TCO).

Our digital services support customers in key areas



Digital, expert support – for the entire line lifecycle

Krones' goal is to provide digital support throughout the entire lifecycle of a machine or line and focus the business model more closely on services. An important building block in this regard consists of our individually selectable and coordinated service packages known as Modular Service Agreements (MSAs). With over 1,200 MSAs now in place, the Krones service team support plant operators in measurably improving production efficiency and achieving clearly defined targets. Krones analyses and interprets the data collected by the digital tools and shows line operators possible measures for improving line performance. Customers additionally benefit with fixed and predictable costs.

The most important component of the new Ingeniq line generation (*see page 58*) is Lifecycle Alliance – a service partnership with customers across the entire lifecycle. In the Lifecycle Alliance package, Krones assumes responsibility for agreed performance, efficiency and lifecycle costs.

MSAs, which also include the globally available lifecycle service (LCS) products, enable Krones to increase customer loyalty and generate a stable long-term revenue stream.

In total, approximately 1,600 people work on digitalisation initiatives across the Krones Group. Of these, around 700 software and IT engineers are now employed at the Krones.digital unit on the development of digital products and services. Additionally, some 100 service professionals provide customers with support at seven digital service centres around the world.

Krones also reaps the benefits of digitalisation within the business. Numerous work operations and processes are accelerated and automated using digital tools like artificial intelligence (AI). This shortens internal and external turnaround times while also improving customer satisfaction.

Expanding the global service network: customer proximity a key investment criterion

Looking after the delivery of digital and other services is the job of our approximately 3,000 local service technicians in over 70 countries around the world. It is they who respond quickly and directly to customer needs – a key factor in long-term customer satisfaction. Our strategically well-located LCS centres enable us to quickly supply plant operators with spare parts and thus reduce downtimes.



- Service staff worldwide on site
- On-demand global spare parts supply
- Digitalisation for superior service level

Further strengthening after-sales business

A medium and long-term growth driver for the attractive LCS business is the continuously growing installed base of Krones machines, systems and lines. Krones also intends to further increase the proportion of Krones-supplied supported lines to drive long-term growth in the after-sales business.

In order to meet the growing demand for high-quality service, Krones will continue to invest heavily in the expansion of service structures. The focus is on markets with above-average growth in the Asia/Pacific and Middle East/Africa regions. Krones will expand its already strong footprint there in the medium and long term.

We will further strengthen our already comprehensive, pan-regional after-sales support for our customers. For this purpose, Krones primarily deploys local staff, who can be on site faster and speak the local language, both of which are key advantages for customers. We have consequently launched activities and projects to find, train and retain suitable service technicians worldwide. In Kenya, for example, Krones is one of the most important corporate providers of apprenticeship training. Our goal is to grow the international service team by around 100 employees each year in order to meet our customers' growing service needs.

In the reporting period, the company once again increased the size of its workforce in the regions shown below by 6.4% to 7,572 employees.

Development of employee numbers 2021–2025

Year	South America	North America	Africa	Asia/ Pacific	Eastern Europe	China	**Total**
2021	803	1,046	633	959	1,006	732	**5,179**
2022	871	1,206	671	1,023	1,092	802	**5,665**
2023	943	1,430	681	1,143	1,345	915	**6,457**
2024	1,006	1,593	753	1,237	1,528	998	**7,115**
2025	1,159	1,642	809	1,322	1,600	1,040	**7,572**

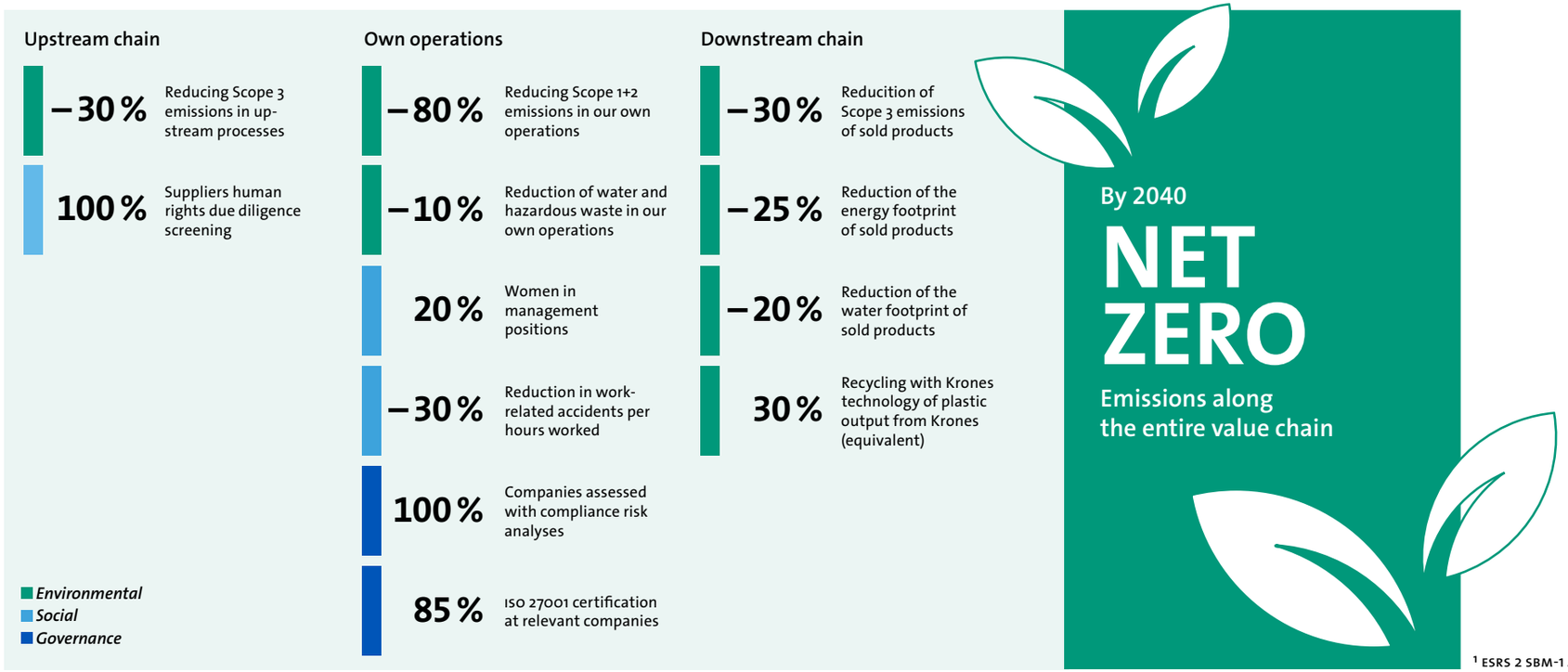
Sustainability: key pillar of corporate strategy

For Krones, sustainability, together with related goals, remains a key anchor of our corporate strategy – regardless of any external influences or developments. We firmly believe that a consistent approach to sustainability will help us leverage future new opportunities for growth. Accordingly, we use resource-efficient production processes, develop energy-efficient machinery and are working on circular economy solutions. In line with the "Solutions beyond tomorrow" vision, Krones aims to contribute significantly to combating climate change and conserving resources.

Krones sets net zero emissions target for 2040

The Group has adopted the strategic goal of reducing its greenhouse gas emissions along the entire value chain to net zero by 2040. This places Krones Group's net zero strategy in line with the 1.5-degree Celsius target in the Paris Climate Agreement.

For the implementation of its climate strategy, the company has also set milestones through to 2030. The company aims for an 80% reduction in operational greenhouse gas emissions (Scope 1 and Scope 2) and a 30% reduction in Krones' upstream and downstream value chain emissions (Scope 3) by 2030 relative to 2019. At the end of the 2025 financial year, we stand at a 52.0% reduction in Scope 1 and Scope 2 and 7.5% in Scope 3.[1]

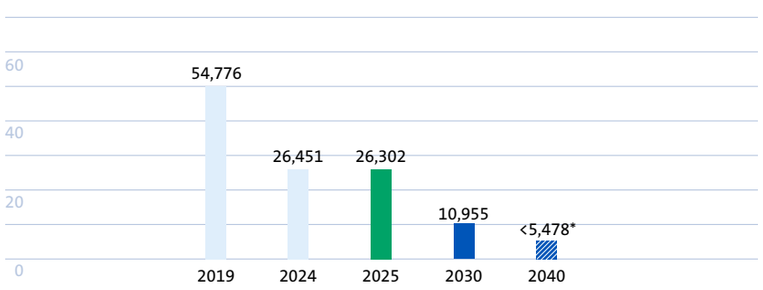


[1] ESRS 2 SBM-1 40g, 42b

Development of **Scope 1 and 2** (own operational carbon emissions) ...

Status quo (relative to 2019 base year): **–52.0%**
Interim target (2030 target relative to 2019): **–80%**
Net zero (2040 target relative to 2019): **at least –90%**

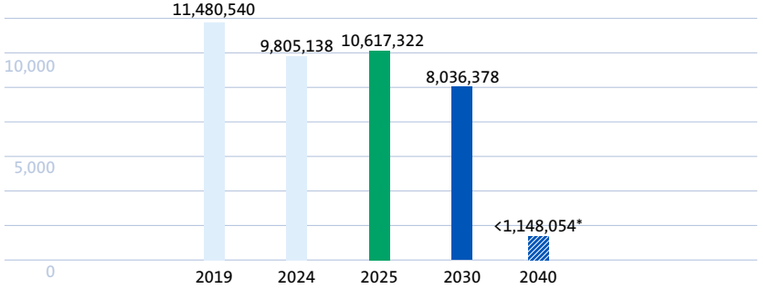
Carbon emissions in tonnes



... and **Scope 3** (upstream and downstream value chain carbon emissions)

Status quo (relative to 2019 base year): **–7.5%**
Interim target (2030 target relative to 2019): **–30%**
Net zero (2040 target relative to 2019): **at least –90%**

Carbon emissions in tonnes



* Remainder (at most 10%) to be neutralised in line with SBTi Corporate Net-Zero Standard criteria.

Krones supports customers with their climate targets: sustainability remains important innovation and growth driver

Our major customers have ambitious climate targets as part of their strategy. They need resource-efficient machines and lines to reduce their carbon footprint, meet their climate targets and lower costs.

With our TÜV-certified energy and media-efficient product range, customers save valuable resources and hence costs in the operation of their lines. Krones expects that the proportion of energy and media-efficient products sold will continue growing in the coming years.

In order to actively manage our contribution, we have set specific product-related sustainability targets. These relate to the energy and media-efficient operation of our products and technologies and contribute to the transition to a circular economy.

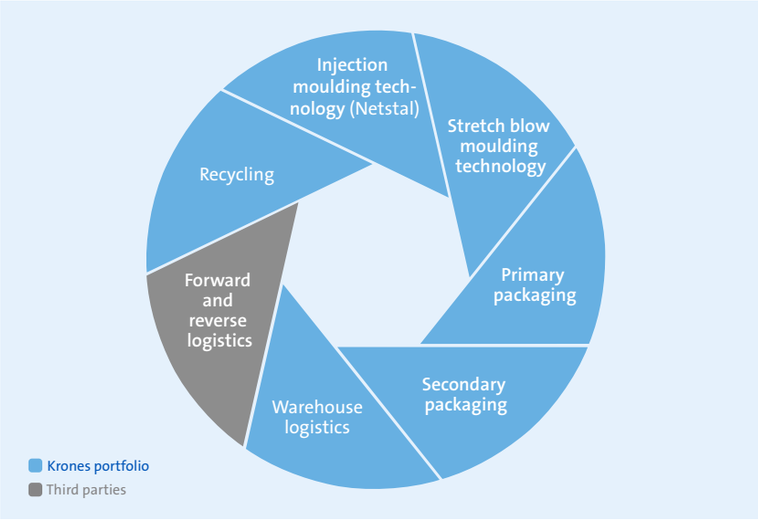
In addition, our energy and sustainability consultants support and advise customers around the world in their sustainability transition. They help customers reduce their ecological footprint and operating costs, both for existing systems and for new lines. [1]

[1] ESRS 2 SBM-1 40 a i-ii, 40f, 40g, 42b

Plastics recycling: a key unique selling point (USP)

Plastic is a valuable resource that should not end up as waste in the oceans or on land. If we are to solve the global problem of plastic waste, high-quality plastics need to be recycled wherever possible. This reduces emissions from the production of plastic packaging, makes us less dependent on fossil resources and avoids waste.

Over the next few years, many beverage producers will significantly increase the amount of recycled PET (rPET) in their packaging in order to reduce plastic consumption. Krones can and will provide customers with optimum support for environmentally friendly and sustainable circular solutions. Acquiring injection moulding machine manufacturer Netstal (in 2024) enabled us to complete the recycling loop, and we now have all of the main products and technologies needed to produce new PET bottles from used PET bottles in what is called bottle-to-bottle recycling – a key unique selling point (USP).





High growth potential in plastics recycling

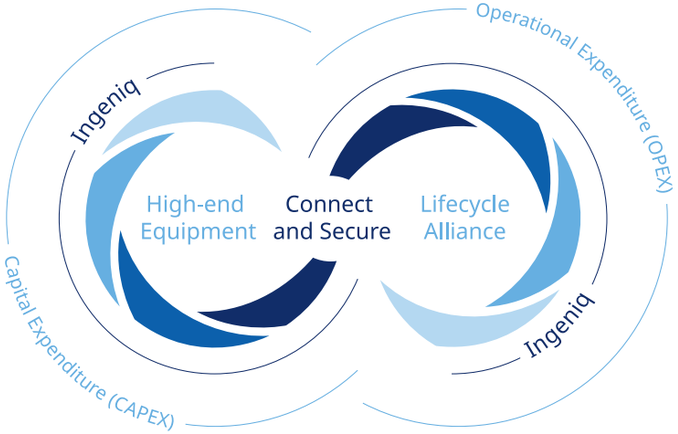
An important part of the closed PET recycling process is the recovery of used plastic bottles. As well as for PET (bottle-to-bottle recycling), the technologies implemented by Krones Recycling – a standalone unit since 2024 – can also be used to recycle other high-quality packaging plastics such as polyolefins (HDPE, LDPE, PP, PE) and thus further reduce the volume of plastic waste. With Krones Recycling and its innovative systems, Krones is very well positioned in this growing market and will continue to expand this business in the coming years.

Strategic focus in the segments

Filling and Packaging Technology

Ingeniq: the trailblazing Krones line concept

Krones presented the highly innovative new Ingeniq line generation at drinktec 2025. This aligns very closely with the Krones strategy, combining digitalisation, efficiency and economic sustainability in an integrated approach with three building blocks.



1. The line itself (high-end equipment): The technologically cutting-edge line is modular, digital, smart, energy-efficient and boasts a small carbon footprint.

2. Connect and Secure package: This connects to the digital Krones World. This means that the line is always connected to the digital Krones world via the Krones.digital platform, where it is fully visible, connected and accessible for remote maintenance.

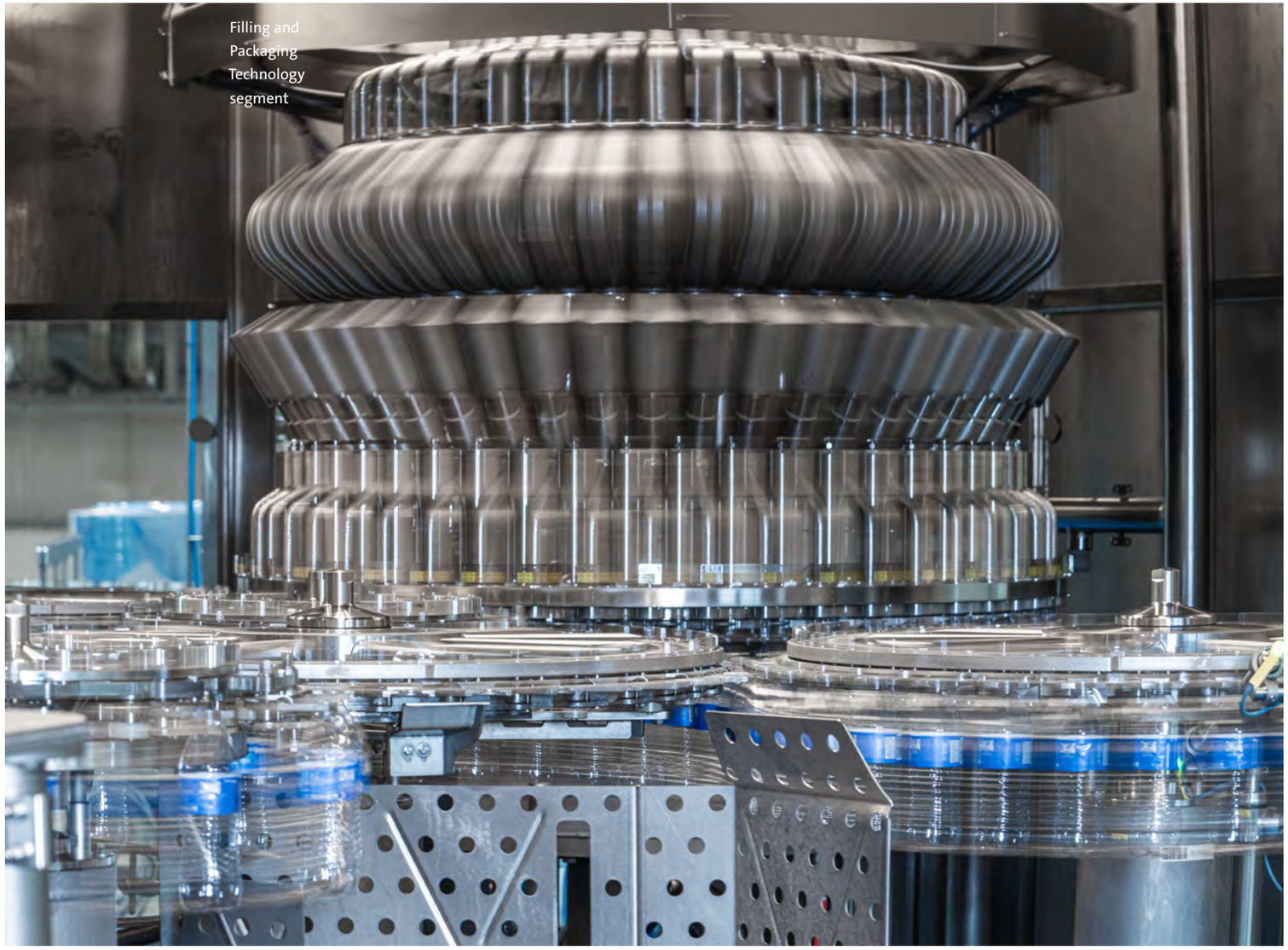
3. Lifecycle Alliance: In this service partnership with the customer over the entire line lifecycle, Krones takes responsibility for agreed performance, efficiency and lifecycle costs.

In Ingeniq, machinery, software and services combine to form a new integrated whole. Ingeniq transforms Krones from a plant manufacturer to an integrated partner for production performance while at the same time meeting the key customer need for low total cost of ownership (TCO). With Ingeniq, Krones has managed to reduce TCO by a total of 10% over the entire line lifecycle. Our first line in operational service shows that Ingeniq delivers what it promises. The line has been running at a customer's plant since early 2025.

As a first step, Krones has developed Ingeniq for filling still water in PET bottles. The subsequent stages will quickly follow as we roll out the concept in the coming years to the filling of carbonated soft drinks (CSDs) in PET bottles and then to cans, glass bottles and aseptic PET bottle filling.

Benefits of Ingeniq at a glance

- \+ Higher output
- \+ Autonomous material supply and disposal significantly reduces the number of operating personnel
- \+ Clear focus on sustainability with fully enviro-certified line
- \+ Full digital visibility, control and remote maintenance with Connect and Secure
- \+ Lowest operating costs under performance-based service agreement (Lifecycle Alliance)
- = 10% lower total cost of ownership



Filling and Packaging Technology segment

Above-average growth of demand for PET beverage containers continues

When developing Ingeniq, we initially focused on PET bottles. This is because PET continues to be very popular with end consumers as a packaging material for beverages and is growing faster than other forms of packaging. PET bottles are light, stable, inexpensive, and have a small carbon footprint. Our PET lines thus make an important contribution to providing the world with a sustainable and affordable supply of beverages. With Ingeniq, we will consolidate and extend our lead in PET filling and packaging lines.

Aseptic lines, cans and LCS business contribute to Krones' growth

Within the PET segment of major importance to Krones, the technologically demanding market for aseptic filling in PET containers also presents good growth opportunities. Despite trade barriers, demand in the USA will remain strong as many US beverage producers are in the process of switching to technologically advanced aseptic lines. By deploying Krones solutions, customers can reduce their energy, water and PET consumption, and also use recycled PET. This enables them to significantly reduce operating costs, their carbon footprint and the amount of plastic they use.

Cans continue to be very popular with end consumers, especially for beer and soft drinks. Fast-growing energy and sports drinks and ready-to-drink tea and coffee are also mainly bought in cans. Cans are handy, cool quickly and save resources as they are almost infinitely recyclable without any loss of quality. Krones therefore aims to further extend its market position here with resource-efficient, flexible and hygienic canning lines.



Filling and Packaging Technology segment

Continued expansion of LCS business

In our core Filling and Packaging Technology segment, we plan to continue expanding the lifecycle service (LCS) business. With our LCS products, customers significantly reduce operating costs and achieve lasting increases in production efficiency. We build customer loyalty through our individually configurable Modular Service Agreements (MSAs), the Lifecycle Alliance package, and personal support provided by our LCS experts. Overall, the LCS business is expected to grow faster than the installed machine base in coming years so that, in the medium to long term, three out of every four new machines and lines will be supported by our own service team. To this end, the company will continue to invest in the service network and the quality of the services provided.

Faster commissioning of our systems at customers' sites will not only increase customer satisfaction, but will also enable us to deploy our field assembly staff more efficiently and flexibly.

Repositioning in low-to-medium output range

The planned repositioning of the two group companies Kosme and Gernep will enable us to lastingly strengthen our competitiveness in the low-to-medium performance range (Compact Class) within the core segment.


Process Technology segment

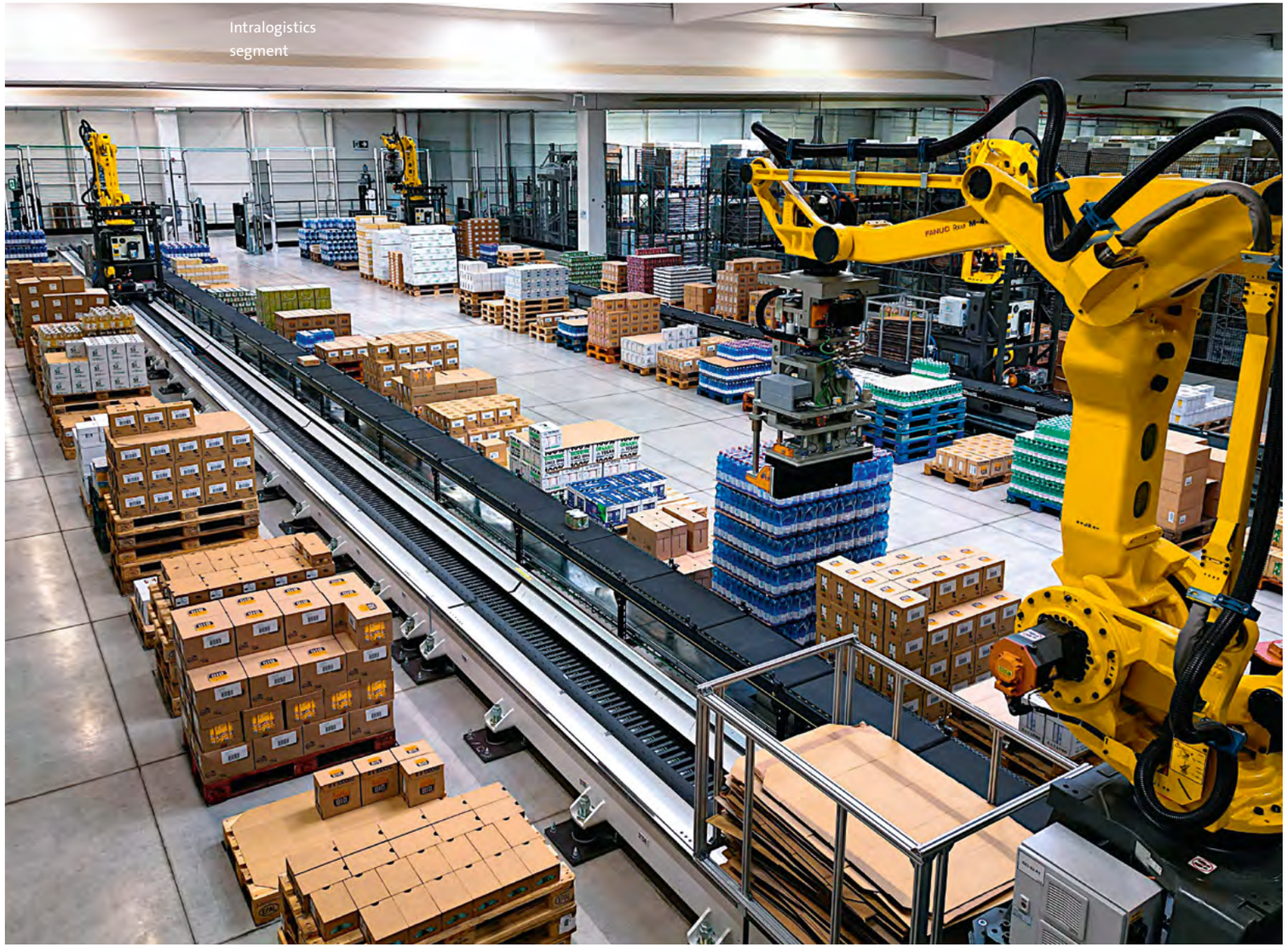
Process Technology

Continuation of successful strategy: diversification increases profitability and resilience

The Process Technology segment has developed very positively in recent years and will continue to pursue its established strategy. Energy-efficient solutions for beverage production, resource-efficient water treatment and technologies for the biotechnological production of plant proteins all benefit from the global megatrends of reducing carbon emissions and water scarcity. Krones will continue to drive forward its diversification into these markets, which are expected to show above-average growth in the medium and long term.

A major contribution to profitable growth in Process Technology will stem from the expansion of the LCS and components business. The latter benefits from the broad product range provided by Ampco Pumps – a US manufacturer acquired in 2023 – and by Evoguard (valves and pumps), and also from the considerable synergies between these two Krones subsidiaries. With the acquisition of GHS Separationstechnik in the reporting period, we have added a solid-liquid separation technology that can be used to process viscous fluids such as vegetable oils, juices and plant-based foods.

The Process Technology segment will also further optimise its cost structure by continuously expanding its global footprint and the associated supply chains, particularly in India and the US. More efficient structures and processes will also contribute here. Krones also intends to exploit emerging opportunities in the fast-growing North American and Asia/Pacific markets.



Intralogistics segment

Intralogistics

Market with above-average growth potential

Despite the current difficult economic conditions, the market for automated warehouse logistics will grow faster than the global economy in the medium and long term. The main driver of this growth is the increasing demand for fast and efficient order processing. Our Intralogistics segment, with subsidiary System Logistics, benefits from the dynamic market with innovative and sustainable solutions. As well as saving energy and lowering operating costs, our automated products increase efficiency and reduce the number of operating personnel required, thus countering the skills shortage.

System Logistics will drive profitable growth primarily with automated order picking systems and expansion of the service and software business. Krones also plans to expand its global footprint in the Intralogistics segment and focus more on sectors beyond beverages and liquid foods, such as food wholesaling.

The regional focus is on non-European markets. Expansion of the sites in India and the US and new subsidiaries in China and Canada will contribute to growth and diversification.

Strong cash position enhances resilience and enables future investment from own resources

Thanks to the positive business performance and a free cash flow (before M&A activities) of €282.9 million in the reporting period, Krones has further strengthened its capital and financial resources. At the end of 2025, Krones had an equity ratio of 42.2% and a net cash position of €548.2 million. In addition, the company has €888.0 million in undrawn credit lines. This strong financial and capital structure lends the company the necessary stability and resilience in these politically and economically volatile times. Its comfortable equity and liquidity base also enables Krones to make strategic investments in growth and for the future out of internal resources and thus further strengthen its competitiveness.

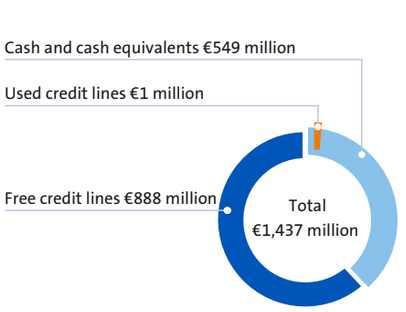
Krones will continue to spend some 4% to 5% of revenue on research and development. In addition, the company plans capital expenditure of around 4% of revenue in the coming years (2025: 3.3%). This spending will go into replacement investment, projects to improve efficiency within the company, expansion of the global footprint, growth initiatives and intangible assets such as software. Internal sustainability projects (Scopes 1 and 2) continue to account for a proportion of capital expenditure.

Acquisitions remain part of Krones' strategy, with the short-term emphasis on the rapid and successful integration of recent acquisitions. When identifying potential future acquisitions, we focus on medium-sized, profitable companies that complement the existing portfolio technologically and regionally or provide access to markets beyond the beverage and liquid food industry.

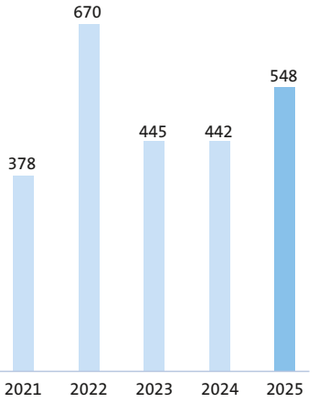
Following the acquisition of Ampco Pumps in 2023 and Swiss injection moulding manufacturer Netstal in 2024, we continued to implement our acquisition strategy with smaller acquisitions in the reporting period. By acquiring a 60% stake in GHS Separationstechnik GmbH, Landshut, Germany, Krones has strengthened its product portfolio in process technology with decanter centrifuges, an important product for the separation of solids and liquids. These are used in applications such as processing vegetable oils, juices, alternative foods and PET recycling. With the acquisition of 100% of Can Systems Worldwide, B.V., Deventer, the Netherlands (CWS), Krones has supplemented its capabilities in canning. CSW manufactures specialised machinery and equipment for handling can ends and supplies international customers from the beer, beverage and food industries.

Krones remains committed to sharing its success with shareholders through dividends. The company's dividend strategy is to pay out 25% to 30% of consolidated net income to the shareholders of Krones AG. Over the past several years, the company has aimed for the upper end of this range.

Liquidity reserves at 31 Dec 2025



Net cash (€ million) at 31 Dec

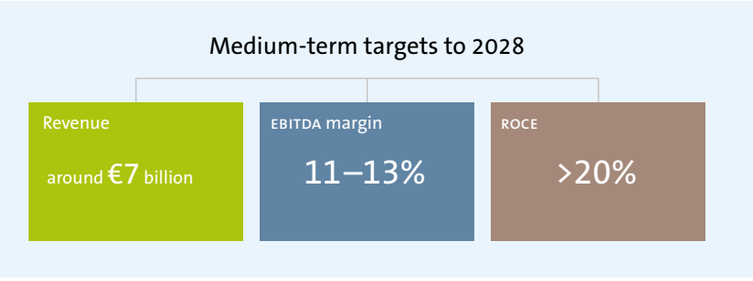


Continuously improving free cash flow and ROCE, maintaining stable working capital to revenue ratio

With regard to key financial performance indicators, alongside revenue growth, the EBITDA margin (earnings before interest (financial income/expense), taxes, depreciation and amortisation) and return on capital employed (ROCE), Krones places a strong focus on free cash flow. To achieve the ROCE target of over 20% by 2028 (2025: 19.1%), we will further increase EBIT through our profitable growth strategy. Capital expenditure and working capital are expected to increase roughly in step with revenue over the years ahead, thus keeping a stable working capital to revenue ratio.

Capital expenditure and working capital also significantly influence the development of free cash flow, which is a further important parameter. The basis for a medium-term improvement in free cash flow is our profitable growth strategy, which will be reflected in rising operating cash flow.

Krones adopts medium-term targets to 2028



The stable market environment and the continued robust demand for our products and services make us confident that Krones will continue on its profitable growth path in the years ahead. On this basis, in July 2024, the company adopted ambitious financial targets for the period up to 2028.

The company plans to increase consolidated revenue to around €7 billion by 2028 (2025: €5.7 billion). Profitability is also set to improve. The mid-term target for the EBITDA margin is between 11% and 13% (2025: 10.6%). For the third financial target, return on capital employed (ROCE), Krones is aiming for more than 20% by 2028 (2025: 19.1%).

Alongside the financial targets, Krones also pursues other strategic group targets. These are summarised in the following table:

Group strategic targets at a glance

Strategic target	Target for 2030	At year-end 2025
Reduction in Scope 1 and 2*	–80%	–52.0%
Reduction in Scope 3*	–30%	–7.5%
Increase in percentage of women in management positions	20%	16.7%
* Base year 2019		
Strategic target	**Target for 2028**	**At year-end 2025**
Profitable growth	Revenue: around €7 billion EBITDA margin: 11–13%	Revenue: €5.7 billion EBITDA margin: 10.6%
Increase in international share of total value added (incl. outsourcing)	40%	33%



The Krones team: the most important success factor for sustained positive business performance

Krones' employees are and will always be the basis of our future success. The steadily growing Krones team have demonstrated over the past few years that they can adapt quickly and flexibly to changing conditions. Our employees strive to fulfil our customers' diverse wishes and needs in the best way possible. The team spirit, expertise, creativity and commitment of the Krones workforce make the company resilient and successful.

In "Solutions beyond tomorrow", we have developed an ambitious vision that extends far into the future. In order to make this a reality, we need a clear strategy and also a strong team. To continue attracting motivated and well-qualified employees for Krones, we have enhanced our employer brand to highlight what makes Krones special. Our employer brand, which we have aligned with our vision of "Solutions beyond tomorrow", is designed to attract new talent and strengthen the loyalty and motivation of the existing workforce. The high level of qualification of our employees and managers is a key factor in Krones' success.

In the coming years, Krones will add to its workforce, particularly in IT, software and service, and also in emerging markets.

Krones' **management system**

Financial performance indicators

Krones' management primarily uses the following most significant financial performance indicators to steer the group and its three segments:

- Revenue growth (from 2026, revenue growth adjusted for currency translation effects)
- EBITDA margin
- ROCE – return on capital employed – the ratio of EBIT to average net capital employed in the past four quarters. Net capital employed is defined as non-current assets (excluding goodwill and financial assets) plus working capital.

In order to strengthen our market position and utilise economies of scale, we aim in the medium term to achieve profitable **revenue growth** (from 2026, **revenue growth adjusted for currency translation effects**) in all three segments.

From the 2026 financial year, our first financial performance indicator is revenue growth adjusted for currency translation effects. Until the 2025 financial year, our first financial performance indicator was revenue growth. The reason for the change is the increased volatility of exchange rates, which makes it very difficult to produce reliable forecasts for exchange rate developments and impacts revenue forecasting. Krones calculates revenue growth adjusted for currency translation effects by translating the revenue of foreign group companies that prepare their financial statements in foreign currencies into the reporting currency (the euro) using the previous year's average exchange rates instead of those for the current year. The resulting revenue in euros for the reporting period is compared with the reported revenue (not adjusted for currency translation effects) for the previous year.

Earnings before interest, taxes, depreciation and amortisation (**EBITDA**) is a key earnings performance indicator. Profitability, measured as the **EBITDA margin** (EBITDA as a percentage of revenue) is among our key targets and parameters. The EBITDA margin indicates the company's profitability in relation to revenue, irrespective of the tax rate, financial income/expense and depreciation and amortisation.

Development of the key performance indicators in the last five years

	2021	2022	2023	2024	2025
Year-on-year revenue growth	9.4%	15.8%	12.2%	12.1%	7.0%
EBITDA margin	8.6%	8.9%	9.7%	10.1%	10.6%
ROCE (from 2022)	10.0%	14.1%	16.3%	18.2%	19.1%
Working capital to revenue (up to and including 2021)	24.8%	19.0%	17.8%	17.0%	17.3%

Since the 2022 financial year, our third performance indicator has been **ROCE** (return on capital employed), calculated at Group level. This is the ratio of EBIT (earnings before interest and taxes) to average net capital employed in the past four quarters. ROCE is a very important profitability indicator for the capital markets. Return on capital employed shows investors how efficiently the company makes use of capital. Until the 2021 financial year, our third key performance indicator was working capital as a percentage of revenue.

Other financial key performance figures

In addition to the above, further important performance indicators for Krones are **free cash flow** (cash flow from operating activities less cash flow from investing activities) and the **working capital** to revenue ratio. We also take guidance from the development of **EBT** (earnings before taxes) and the **EBT margin** (EBT as a percentage of revenue).

Non-financial performance indicators

In addition to financial performance indicators, non-financial targets are also firmly embedded in Krones' corporate strategy. These are set out in detail in the non-financial statement (*pages 117 to 193*). Sustainability is an area of major importance and is also the focus of the Krones corporate vision.

Key non-financial performance indicators:

- Percentage of women in management positions
- Greenhouse gas emissions (Scope 1, Scope 2 and Scope 3)
- Water consumption
- Hazardous waste
- Work-related accidents

As part of the Krones Group's sustainability targets, which the Executive Board officially adopted in the 2020 financial year, the company has set ambitious emission reduction targets along the entire value chain.

- We aim for an 80% reduction in our own carbon footprint (Scope 1 and Scope 2) by 2030, relative to the 2019 baseline.
- For Scope 3 emissions – which are significantly higher and are mainly generated by the operation of our machines and lines at customer sites – we are targeting a reduction of 30% over the same period, again with 2019 as the baseline.

Additional **sustainability goals** are as follows:

- The company aims to increase the percentage of women in management positions to 20% by 2030.
- The Krones Group is committed to a 10% reduction in hazardous waste and water consumption by 2030, with 2020 as the baseline.
- Reduction in the number of work-related accidents per one million hours worked within the Krones Group by 30% by 2030 (compared with the base year 2020).

Research and **development** (R&D)

- Krones invests 4.2% of revenue in R&D
- Strong patent portfolio secures leadership in technology
- New Ingeniq line generation successfully presented at drinktec
- Close collaboration with R&D partners and networks enhances innovative capacity

Innovations secure our company's future. Trailblazing products and services are essential to the implementation of Krones' vision, "Solutions beyond tomorrow". Responsibility for this lies with Research & Development (R&D). This has always been a major strategic priority at Krones and is the foundation for our technology leadership and sustained business success.

Krones invested 4.2% of revenue in the reporting period in R&D

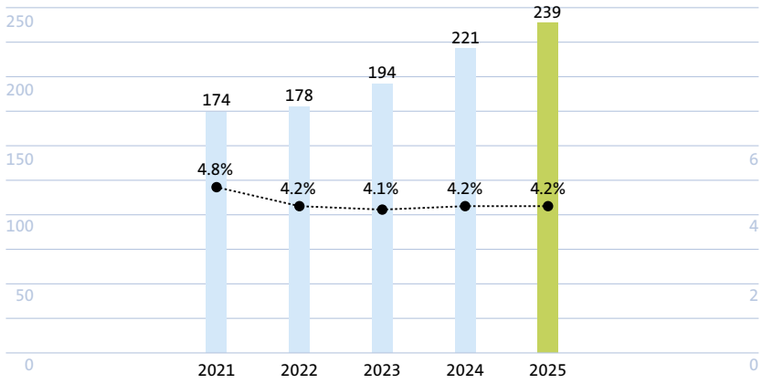
Krones commits high levels of investment to research and development. Large numbers of patents underscore the success of this investment.

Highly qualified, motivated and creative Krones employees worldwide work on developing and improving machines, systems, lines and services. To maintain the rapid pace of innovation, the company invests a considerable proportion of revenue in R&D. In 2025, €239 million (previous year: €221 million) or 4.2% (previous year: 4.2%) of consolidated revenue went into R&D. €37.0 million of this was capitalised as development costs in the reporting period (previous year: €32.3 million).

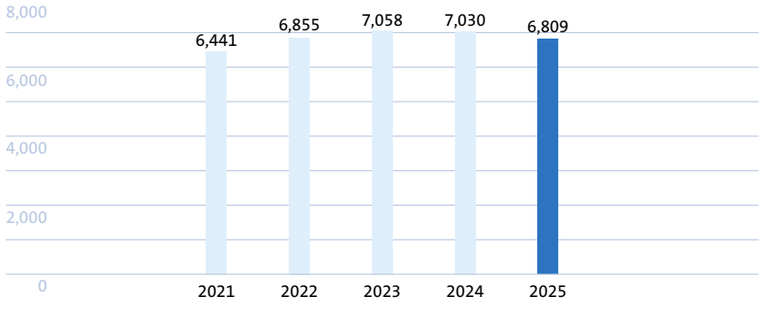
Innovative R&D feeds a strong patent portfolio and safeguards Krones' technological lead

The innovative strength of the Krones R&D team is also reflected in the substantial number of registered patents and utility models. This stood at 6,809 at the end of 2025 (previous year: 7,030). The number of patents and utility models was slightly down in the last two years due to the entry into force of the European unitary patent system in 2024. Additionally, the number of national patents that have expired in Europe exceeds the number of new EU unitary patents that have been registered. This led to a dip in the number of patents as the European unitary patent applies in 18 EU member states. By pursuing an active patenting strategy, Krones ensures that all important new developments and improvements have strong legal protection to safeguard its technological lead.

Krones Group R&D expenditure (€ million and as % of revenue)



Registered patents and utility models – Krones Group



The Krones R&D strategy

Krones' R&D strategy is closely aligned with our corporate vision based on the slogan "Solutions beyond tomorrow". We aim to develop solutions for our customers that go beyond what is expected and create demonstrable added value. All R&D activities therefore focus on customer benefit. From direct and intensive exchange with our customers, we know their needs and visions.

Krones focuses in its R&D strategy on **three focal areas**:

Sustainability	System solutions	Digitalisation

Sustainability remains a key innovation driver. Reducing emissions, conserving resources, improving line efficiency and lowering total cost of ownership (TCO) remain key priorities for our customers.

The starting point for all new developments and product improvements at Krones is the entire beverage plant as a system solution. Based on improvements targeted for the entire production line, we then infer requirements for individual line components in the areas of beverage production, advanced moulding technology, filling and packaging, and intralogistics.

We place strong focus in R&D activities on digitalisation. This is the basis for new business models and improves service quality.

The four value drivers in our R&D strategy

Customer satisfaction is an essential success factor in Krones' strategy. From many discussions and decades of industry experience, we understand what customers value and know their visions for the future. We regard our customers as partners and involve them in development projects. Based on customer needs and requirements, we have identified the four value drivers in our R&D strategy.

Product and production safety	Sustainability	Cost efficiency	Flexibility
Product safety	Sustainable packaging	Maximum overall system efficiency	Maximum number of product variants
Product quality	Zero-waste production	Smart systems	Future adaptability of equipment
Production safety	Low energy and media consumption	Robustness	Inventory-optimised production

Our R&D strategy programmes

The R&D strategy and value drivers define Krones' R&D programmes. These have the goal of translating our vision embodied in "Solutions beyond tomorrow" as fast as possible into market-ready solutions for our customers.

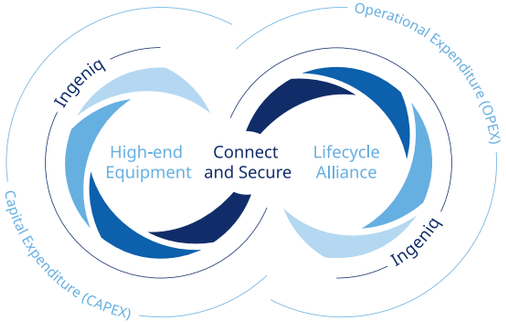
With the highly innovative Ingeniq filling and packaging line, Krones has set a milestone in innovation quality and speed. At drinktec in 2022, we worked with customers to develop a vision for the shape of the new line generation. In only three years, the Krones team have implemented an entirely new, highly integrated and technologically leading line concept – not just on the drawing board, but already in service with customers.

Ingeniq is a fully integrated concept with three building blocks:

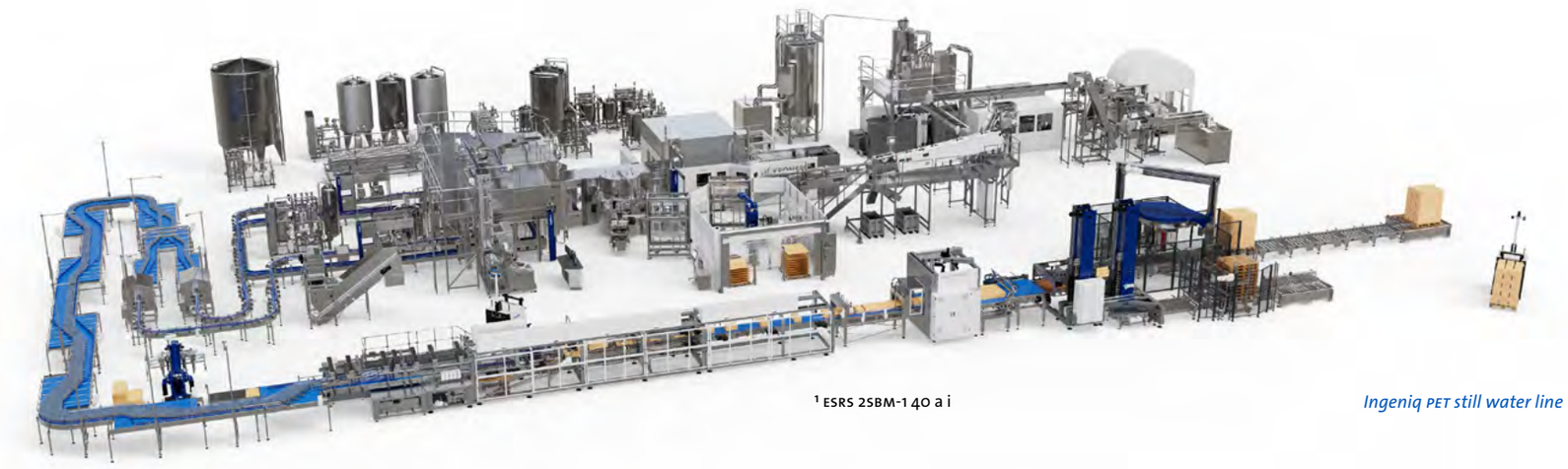
1. High-end equipment (the line itself): The technologically cutting-edge line is modular, digital, smart, energy-efficient and has a small carbon footprint.

2. Connect and Secure package: This securely connects the line to the digital Krones World.

3. Lifecycle Alliance: In this partnership with customers, Krones takes responsibility for agreed performance, efficiency and lifecycle costs over the entire line lifecycle.



Ingeniq launched with PET still water lines in 2025. Our R&D programmes are geared to extending the innovative Ingeniq line concept in the coming years to other product categories (PET CSDs, aseptic PET) and container types (cans, glass). As the next step, we will extend the Ingeniq concept to carbonated soft drinks (CSDs) in PET bottles.[1]



[1] ESRS 2SBM-1 40 a i

Ingeniq PET still water line

Krones innovations: the outcome of a structured approach and interdisciplinary collaboration

Krones manages the entire development portfolio for all segments and businesses through a clearly defined and focused innovation process. Employees from various organisational units collaborate on each development project. Some 50 development teams worked on a wide variety of innovations in the reporting period. Progress is regularly analysed and evaluated by a committee comprising the Executive Board and executives from various technical units.

We have pooled our digitalisation and automation activities in a dedicated unit, Krones.digital. This unit's approximately 700 employees from various sites and Krones companies work in a highly coordinated manner and collaborate closely with the R&D team who develop machines and lines.

Our Innovation Lab, which is housed in the TechBase innovation and start-up centre in Regensburg, likewise focuses on digitalisation and sustainability. Its interdisciplinary teams develop new projects at a very early stage of the innovation process and conduct preliminary studies on technical and economic feasibility. Since 2024, the Innovation Lab has included the Krones Design Lab. This mainly focuses on human-centred design. Its aim is to make Krones machines and lines as self-explanatory, intuitive and ergonomic as possible for operating personnel. The Design Lab is also involved in various robotics research projects with external scientific institutions.

Further expansion of international R&D locations

Krones further strengthened its international R&D locations in the reporting year. In Bengaluru, India, we expanded the capacity of Krones Digital Solutions India (KDSI). KDSI's approximately 170 IT experts (previous year: around 150) are part of the international Krones.digital unit and develop digital solutions on site for our customers.

Krones has also expanded the workforce at its engineering services provider subsidiary Konplan in Plzeň and the IT site in Prague (both Czech Republic). Also during the reporting period, Krones opened an engineering centre in Plzeň for various product testing activities.

At the innovation hub in northern Italy, Krones collaborates with prestigious universities on analysing and quantifying the environmental impact of different packaging types and products over their entire lifecycle. The innovation hub also works on other areas, such as metal 3D printing.

Close collaboration with partners and research networks

As well as leveraging in-house expertise for innovation, Krones also makes use of external partnerships. The company collaborates nationally and internationally with customers, other companies' R&D departments, universities and scientific institutions. Collaborating with external partners enables us to supplement our own thinking with ideas and insights from elsewhere.



Krones is actively involved in various research and innovation networks, such as the Open Innovation Forum at the University of Cambridge. This platform brings together some 20 global companies from the food and beverage industry, together with producers of consumer essentials. Our collaboration with UnternehmerTUM in Munich, Europe's largest hub for start-ups and innovation, provides us with deep visibility into the technology and start-up landscape. One focus of the collaboration is the development of alternative and sustainable types of beverage container. In the reporting period, the company additionally joined BayWater, the Bavarian research network for industrial water reuse. This pursues the shared research goal of sustainable, on-site water management through to the point of a closed water cycle.

Solving the major environmental and societal problems of our time calls for international, cross-sectoral collaboration between companies and their stakeholders. To this end, Krones is an active member of a large number of associations and initiatives promoting sustainability. For example, Krones has joined the econsense sustainability network. Krones is also a member of the European Circular Economy Stakeholder Platform and the Business Ambition for 1.5 °C campaign.

econsense

European Circular Economy Stakeholder Platform

BUSINESS AMBITION FOR 1.5°C

BayWater

Innovative new and improved solutions: the products of successful R&D

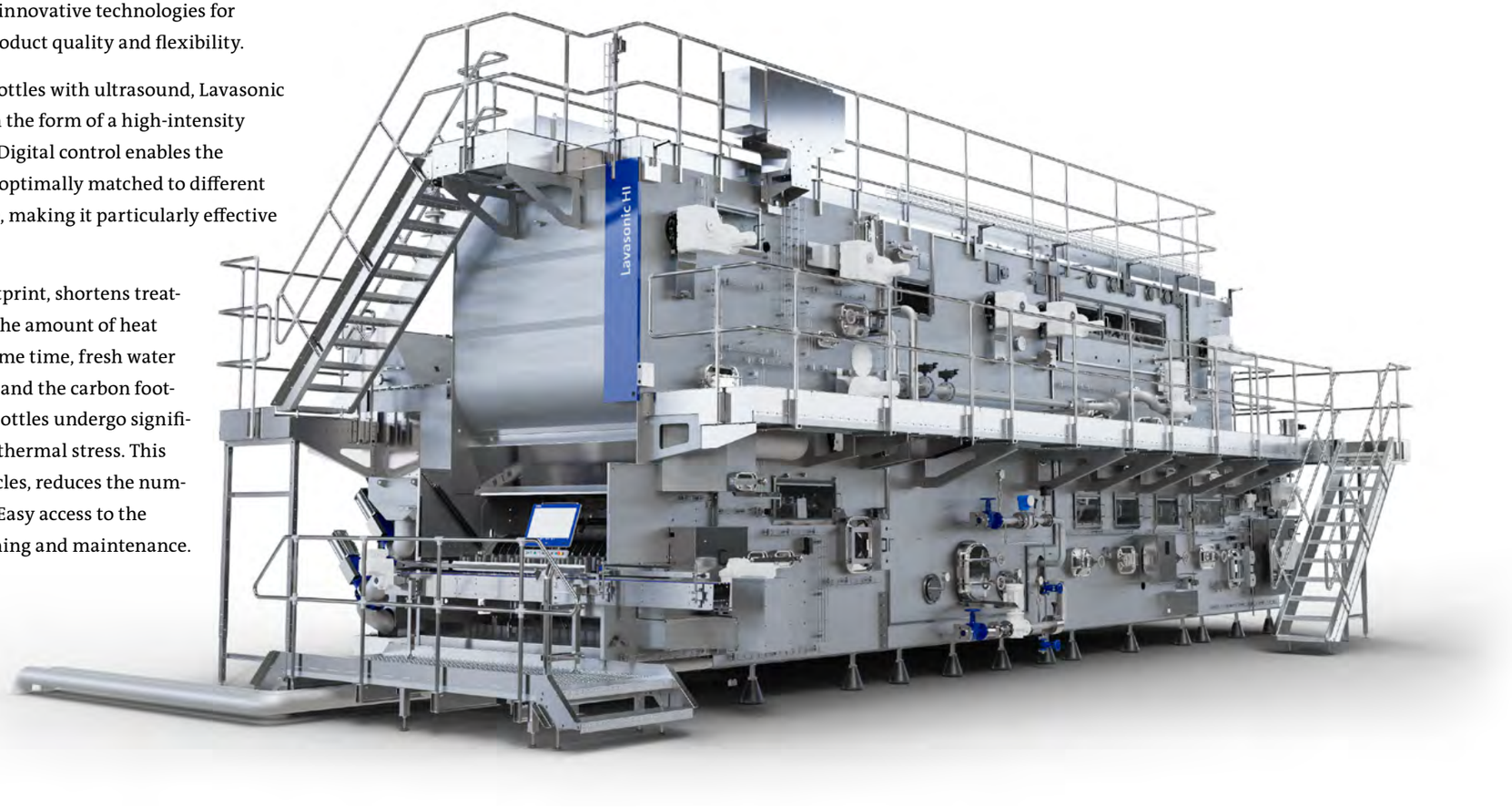
In the following, we present a selection of Krones innovations from the 2025 reporting period.

Lavasonic HI: faster and more sustainable bottle cleaning

In Lavasonic HI, the new generation of bottle washing machines, Krones has combined proven principles with innovative technologies for enhanced efficiency, sustainability, product quality and flexibility.

Following pretreatment of returned bottles with ultrasound, Lavasonic HI has an additional treatment unit in the form of a high-intensity module with variable spray pressure. Digital control enables the module's cleaning performance to be optimally matched to different input materials and degrees of soiling, making it particularly effective at removing residues.

Lavasonic HI has a smaller spatial footprint, shortens treatment time by up to 40% and reduces the amount of heat energy needed by up to 30%. At the same time, fresh water consumption is reduced by up to 20% and the carbon footprint by up to 35%. Furthermore, the bottles undergo significantly less mechanical, chemical and thermal stress. This increases the number of bottle use cycles, reduces the number of breakages and saves resources. Easy access to the main components enables quick cleaning and maintenance.



Smartpac NXT: efficient and gentle packing and unpacking

The task of Smartpac NXT is to efficiently and gently pack and unpack a range of container formats in a variety of types of secondary packaging. With its modular design and a wide range of gripping elements, the successor to the tried-and-tested Smartpac can pack and unpack a range of different container types (cylindrical or specially shaped containers made of glass or plastic) in various forms of secondary packaging (including crates, trays and cartons).

A further benefit of the Smartpac NXT packer is innovative kinematics (spatially optimised container travel paths). This ensures reduced cycle times, high positioning accuracy and less moving mass, which has a positive effect on wear and maintenance costs. Precisely coordinated movement sequences guarantee gentle product handling.

Short changeover times make the packer ideal for frequent product changeovers. Thanks to its compact design and good accessibility, the system allows faults to be rectified quickly and easily. A further advantage is the integral machine cover for particularly quiet operation.



Modulseam 18: high-performance seamer perfectly tailored to the Krones can filler

The Krones Modulseam 18 can seamer sets new standards in the high-speed class. With 18 seaming heads, it serves an output range of up to 135,000 cans per hour. Modulseam is additionally part of the Modulfill Bloc FS-C filler-capper block, which Krones is therefore also able to supply to customers for high-performance applications. This marks a further addition to Krones' can filling capabilities and product portfolio.

Modulseam's servo drive concept – the most advanced on the market – allows precise control of all movement axes. This increases process reliability while significantly reducing maintenance expenditure.

Numerous features and systems ensure that format or material changeovers can be carried out quickly and with little effort. To meet elevated hygiene requirements, the entire capper section on Modulseam is fully compartmentalised from the drive machinery.

Its open design makes the capper easily accessible for format changes and maintenance. Can sizes can be quickly and easily changed over thanks to an automatic height adjustment system.



Flectra: fully versatile labeller

The Flectra labeller – a joint project of Krones subsidiaries Kosme and Gernep – meets the wide-ranging requirements of the beverage, liquid food, personal care and pharmaceutical industries. It was specially developed for the low-to-medium output range.

Flectra is extremely versatile and adapts to different requirements. This is made possible by the machine's modular design. For example the fully modular version allows labelling stations to be easily swapped out by trolley.

Thanks to Flectra's great versatility, customers can process a wide variety of containers with different diameters and different products on a single machine. This reduces customers' investment expenditure. It also boosts productivity, because easy format and product changeovers cut idle times and increase machine availability. It has a compact design and is quick to clean.



DecoBeam: saving resources with lasers

DecoBeam is an innovative PET labelling solution All design elements and all relevant information about the beverage they contain are applied directly to PET bottles by laser. This removes the need for conventional plastic labels, hot melt glue and the associated handling. Customers save on material costs and reduce operating expenses and waste. What's more, laser-labelled PET bottles are fully recyclable. DecoBeam is also ideal for labelling bottles made of 100% recycled PET (rPET). The resource-saving technology reduces the overall carbon footprint of beverage packaging.

DecoBeam supports various laser systems. Carbon dioxide lasers are used to apply white lettering to PET bottles. Fibre lasers, on the other hand, are ideal for black lettering. The safety of the operating personnel is guaranteed, with the laser safely enclosed for protection.



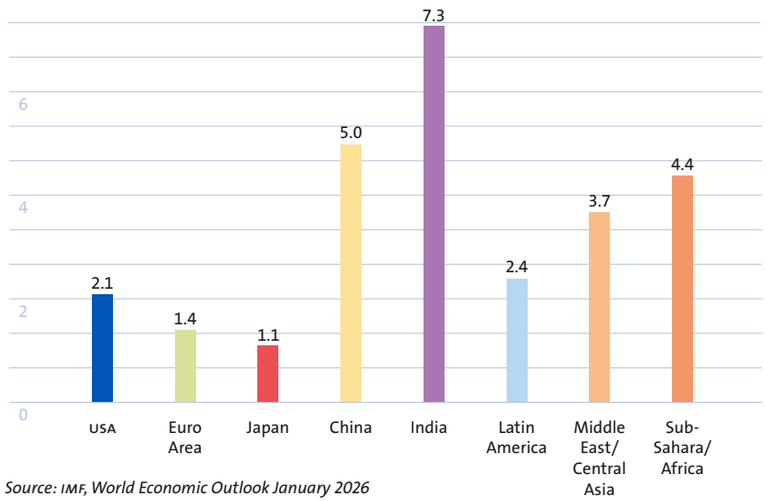
Economic environment

- Global economy grew by 3.3% in 2025
- German machinery and mechanical engineering output down
- Continued stable growth in consumption of packaged beverages

Global economy grew by 3.3% in 2025

According to figures published by the International Monetary Fund (IMF) in January 2026, global economic output improved by 3.3% in 2025. The pace of growth thus remained unchanged compared to 2024 (+3.3%), despite the volatile tariff policies. Global economic growth in 2025 was supported by rising capital markets, large investment programmes in major economic blocs and a sharp rise in investment in the IT sector, especially in the field of artificial intelligence (AI).

GDP growth rate 2025 by region (%)



Source: IMF, World Economic Outlook January 2026

Emerging and developing economies showed faster growth than the global economy. According to the IMF, their economic output was 4.4% higher in 2025 than in the previous year (2024: +4.3%). India saw the strongest growth in gross domestic product (GDP), at 7.3% in 2025 (2024: +6.5%). This reflected the good performance of the economy in the third and fourth quarters of 2025, mainly driven by the strong service sector. As in the previous year, Chinese GDP rose by 5.0% in the reporting period. The pace of growth in the Middle East and Central Asia region picked up slightly in 2025. GDP there rose by 3.7% compared to the previous year (2024: +2.7%). In Latin America, economic output increased by 2.4% in 2025, as in the previous year. Economic growth was stronger in the Sub-Sahara/Africa region, where GDP increased by 4.4% in 2025 (2024: +4.1%).

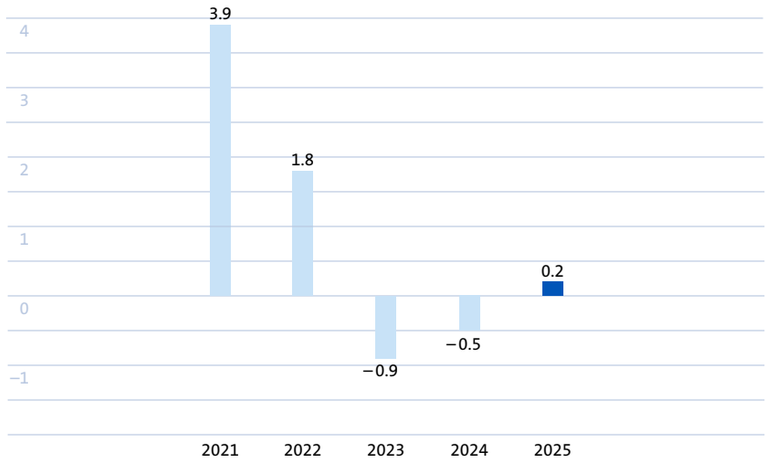
GDP in **industrialised countries** grew by 1.7% overall in 2025 and thus less strongly than in 2024 (+1.8%). The world's largest economy, the USA, contributed to this slowdown. US economic output grew by 2.1% in the reporting year, which was weaker than the previous year's growth of 2.8%. GDP growth in the euro area, on the other hand, improved to 1.4% (2024: 0.9%). This growth was supported by low inflation and unemployment. In Japan, after a 0.2% decline in 2024, economic output increased by 1.1% in 2025.

German economy shows slight growth

According to preliminary figures from the Federal Statistical Office, Germany's gross domestic product (GDP) increased slightly by 0.2% in 2025 relative to 2024. Economic output thus rose again after two consecutive years of recession. However, German GDP growth in 2025 will once again have been at the bottom of the international league table.

The slight growth was primarily due to households being more willing to spend in 2025, as well as the government increasing its consumer spending. This contrasted with a further decline in exports. The export industry was hit hard by higher US tariffs, a stronger euro and increased competition from China. Investment also remained weak. Investment in both equipment (such as machinery) and buildings was lower than in the previous year.

Growth in the gross domestic product (GDP) in Germany (%)



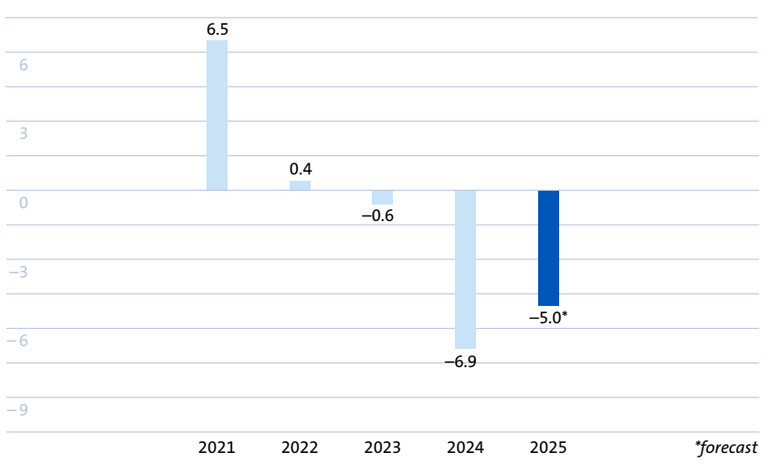
Source: Germany's Federal Statistical Office, press release from 15 January 2026

German machinery and mechanical engineering production down 5%

German machinery and mechanical engineering production was weaker than expected in 2025. At the beginning of 2025, the VDMA (the German Mechanical Engineering Industry Association) predicted a 2% decline in production compared to 2024. In September 2025, the association revised its forecast to a 5% fall in production. As reasons, the VDMA cited trade conflicts, bureaucracy and rising costs that continue to impact companies' propensity to invest. According to preliminary figures from the VDMA, production in 2025 fell by 5% compared to the previous year, as last forecast.

As an international company with an export ratio of around 90%, Krones is little affected by the weak domestic economy. The export market for filling and packaging technology also shows more stable growth than the mechanical engineering sector as a whole.

Mechanical engineering production: real year-on-year change (%)



Sources: Statistisches Bundesamt, VDMA. "Lage und Ausblick im Maschinen- und Anlagenbau", VDMA December 2025.

Krones' markets benefit from megatrends


Increasing world population


Urbanisation

A number of megatrends are contributing to the rise in packaged food and drink consumption around the world. This will also increase demand for Krones' products and services in the medium and long term. At the same time, customers' investment decisions are increasingly influenced by sustainability criteria.


Growing middle class


Sustainability

More and more people on our planet

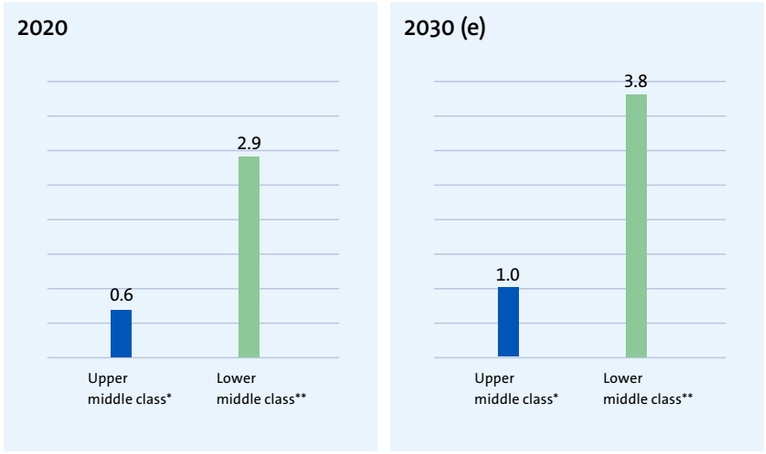
The one overarching megatrend is global population growth. At the end of 2025, over 8.2 billion people inhabited the earth. The United Nations (UN) estimates that the population will go on growing for decades to come, especially in the Africa/Middle East and Asia/Pacific regions. Krones is very well positioned in both growth regions. According to the UN, the world's population will reach 8.5 billion by 2030, an increase of around 300 million on the end of 2025. All these people need to eat and drink. At the same time, the number of people consuming packaged beverages is expected to increase at a faster pace than the population as a whole. This is supported by two other megatrends, which are the growing middle class and increasing urbanisation.

Growing middle class increases consumer spending overall

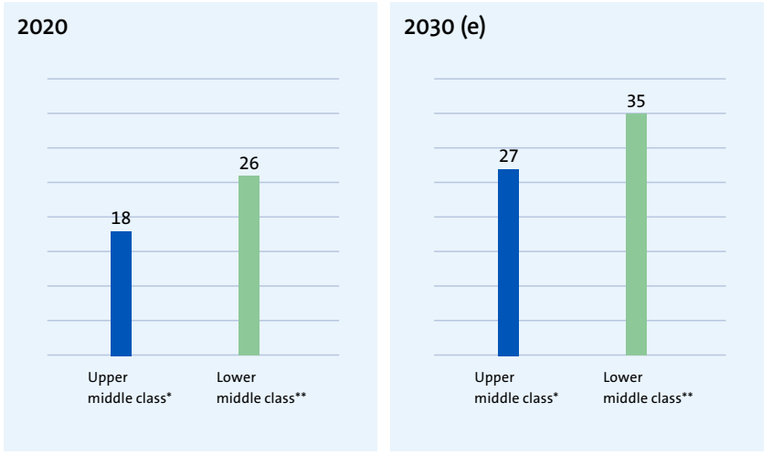
According to a study by the Brookings Institution, a US think tank, 3.5 billion people worldwide belonged to the middle class in 2020. This figure is expected to grow to a total of 4.8 billion by 2030. As incomes rise, so too does consumption overall – and that includes packaged beverages and foods. According to the Brookings Institution, global consumer spending by the middle class as a whole will increase from US$44 trillion in 2020 to US$62 trillion by 2030.

Many people in Asia especially are escaping poverty and rising into the middle class. Krones already has a good market position in this region and is further strengthening that position by investment in production and service.

Growth of the global middle class (billions of people)



Consumer spending by the middle class per year (US$ trillion)



*Earnings of US$51 to 110 per day **Earnings of US$ 11 to 50 per day

Source:BrookingsInstitution(May2021)

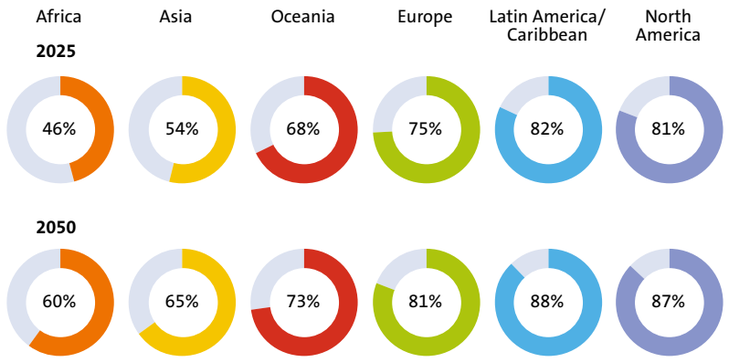
Urbanisation leads to more demand for packaged beverages and foods

The number of people living in cities is set to increase in the medium and long term.

City dwellers consume more packaged products on average than people who live in the countryside. Increasing urbanisation – the migration of people from rural areas to cities – consequently drives demand for packaged food and beverages.

According to the United Nations (UN), 58% of the world's population lived in cities in 2025. By 2050, the urban share of the population is expected to grow to 67%. The strongest influx of people into cities is in the developing and emerging economies of Africa and Asia. These are already important markets for Krones. In 2025, the company generated a total of around 24% of consolidated revenue in the Middle East/Africa and Asia/Pacific sales regions.

Urban population in 2025 and 2050 (% of total population)



Source: United Nations (World Urbanization Prospects 2025)

Sustainability established as a megatrend

Krones' customers need resource and cost-efficient machines and lines.

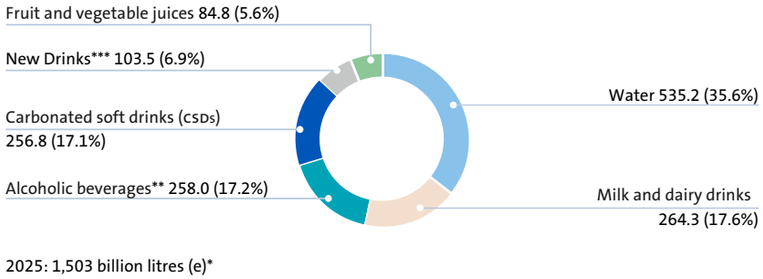
Sustainability is a megatrend that is also a major focus for Krones' customers. External circumstances and developments have done little to change this. Many international food and beverage companies continue to pursue ambitious climate targets. They therefore place increased emphasis on conserving resources in production. This reduces their carbon footprint and in particular operating costs, while boosting their competitiveness. Our customers' sustainability targets drive demand for resource-efficient beverage filling and packaging machinery.

Sustainability has been a focal point of Krones' R&D strategy and thus a major innovation driver for many years. As a pioneer in the industry, Krones benefits from the sustainability trend.

Global consumption of packaged beverages steadily increasing

Krones is one of the world's leading providers of beverage filling and packaging technology and generates a large proportion of its consolidated revenue with customers in the international beverage industry. Investment activity among these customers is strongly influenced by consumer demand for packaged beverages. This makes the development of global beverage consumption highly important to Krones.

Worldwide consumption of packaged beverages (billion litres), 2025*



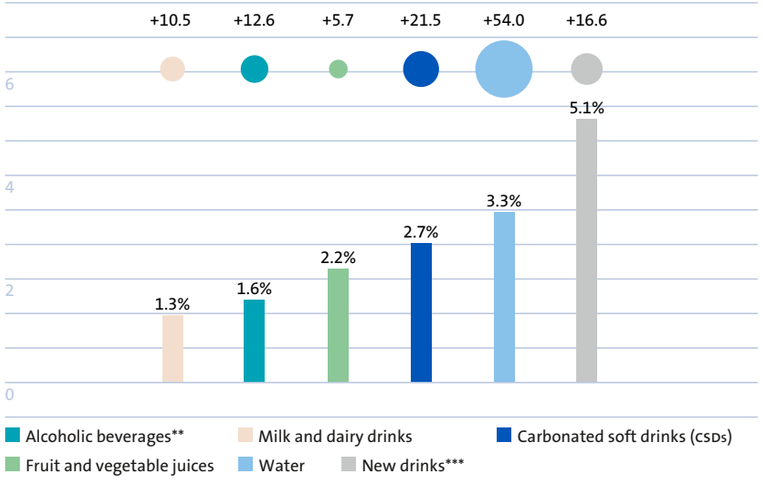
* expected ** Beer, wine, spirits, cider, flavored alcoholic beverages
*** Energy and sports drinks, ready-made tea and coffee *Sources: GlobalData (as of 20 October 2025)*

Demand for packaged beverages benefits from the global megatrends of population growth, the growing middle classes and urbanisation. Cyclical fluctuations in the economy hardly affect people's consumption patterns because eating and drinking are basic human needs. This is reflected in the positive and stable trend in demand for packaged beverages in recent years. The only fall in global consumption was seen in 2020, when bars and restaurants were temporarily closed due to the Covid-19 pandemic. Global beverage consumption otherwise remains on a stable long-term growth trend. According to estimates from GlobalData – an international data and analysis company – global consumption of packaged beverages, at a total of 1,503 billion litres, was 2.9% higher in 2025 than in the previous year (1,461 billion litres).

Megatrends drive rising demand for packaged beverages.

The upward trend in demand for packaged beverages is expected to continue in the coming years. According to GlobalData figures, consumption will grow between 2025 and 2028 at average annual rates of 2.6%.

Average annual growth of beverage types 2025 to 2028 in %,
and growth from 2025 to 2028 in billion litres*



* expected ** Beer, Wine, Spirituosen, cider and flavoured alcoholic beverages
*** Energy drinks, sports drinks, ready-to-drink tea and coffee *Sources: GlobalData (as of 20 Oct. 2025)*

Bottled water is likely to see above-average consumption growth. This is the largest market segment, with a 35.6% share of the global beverage market in 2025. A key growth driver is rising demand for clean, packaged drinking water in emerging and developing countries. Furthermore, demand for water is also benefiting from the trend towards healthy eating in industrialised countries. According to figures from GlobalData, bottled water consumption is expected to grow at an average annual rate of 3.3% from 2025 to 2028, corresponding to growth of 54 billion litres from 2025 to 2028.

Significantly lower growth is forecast for **milk and dairy drinks**, which accounted for 17.6% of the global beverage market in 2025. This mainly relates to "traditional" milk. Niche products include dairy alternatives such as soy or oat milk and yoghurt smoothies. In the entire milk and dairy drinks segment, demand is expected to grow on average by 1.3% a year from 2025 to 2028.

Global consumption of **alcoholic beverages** is likewise expected to grow less strongly than the overall market (17.2% share in 2025). One of the main reasons for this is the moderate overall growth in beer consumption, which constitutes by far the largest sub-segment of alcoholic beverages. For the segment as a whole, the average annual growth forecast for the period 2025 to 2028 is 1.6%.

Carbonated soft drinks (CSDs) comprise a further large segment, accounting for 17.1% of the global packaged beverages market. Although consumers in industrialized countries are consuming smaller quantities of sugary soft drinks than in the past, demand for CSDs is expected to grow slightly faster than the overall market in the coming years. According to figures from GlobalData, consumption of this beverage category is expected to increase by an average of 2.7% per year from 2025 to 2028.

The two smaller segments of the packaged beverages market are **new drinks** (6.9% share in 2025) and **fruit and vegetable juices** (5.6% share). Demand for new drinks (sports and energy drinks together with ready-to-drink coffee and tea) is rising rapidly and according to GlobalData is expected to increase by an average of 5.1% per year from 2025 to 2028. The consumption of packaged fruit and vegetable juices, on the other hand, is set to increase by just 2.2% annually over the same period.

Consumers in emerging and developing countries are driving global demand for packaged beverages

The megatrends of population growth, the growing middle class and urbanisation are mainly playing out in emerging and developing countries. As a result, demand for packaged beverages will grow significantly faster in those countries in the coming years than in the industrialised nations.

The strongest consumption growth between 2025 and 2028 is expected in the Asia/Pacific region. For this region, GlobalData states an average annual growth rate of 4.0%. Due to the size of the regional market, this corresponds to an enormous increase in beverage consumption in absolute terms over the three-year period (*see chart, p. 87*). Demand for packaged beverages is also expected to see above-average growth in the Eastern World region. According to figures from GlobalData, the average annual growth rate for the period 2025 to 2028 will be 3.5%. Demand in the Africa/Middle East region is expected to grow at almost the same pace. GlobalData forecasts an average annual growth rate in beverage consumption of 3.4% for this region over the three-year period. Consumption in South America is expected to increase by an average of 2.9% per year over the next three years. Demand in China is expected to grow less dynamically than the global market from 2025 to 2028. According to GlobalData figures, the average annual growth rate over the period will be 2.2%.

Worldwide consumption of packaged beverages by region*

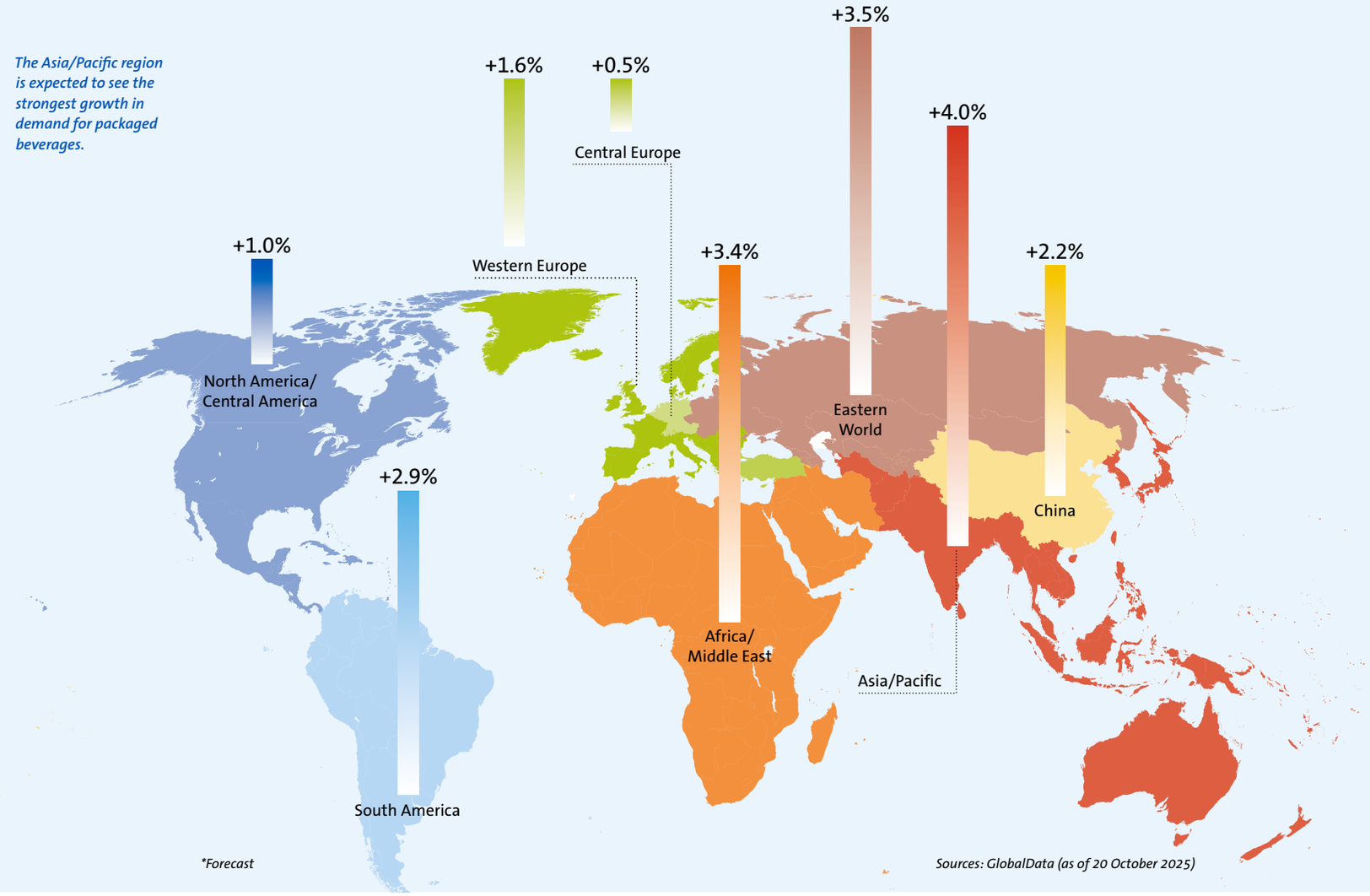
	2025 (e)		2028 (e)		Average annual growth (%)
	Billion litres	%**	Billion litres	%**	2025–2028 (e)
Asia/Pacific	330.3	22.0	371.3	22.9	4.0
China	277.4	18.5	296.0	18.2	2.2
North America/Central America	227.4	15.1	234.6	14.5	1.0
South America	202.4	13.5	220.3	13.6	2.9
Western Europe	158.4	10.5	166.3	10.2	1.6
Africa/Middle East	143.7	9.6	158.9	9.8	3.4
Eastern World	111.4	7.4	123.5	7.6	3.5
Central Europe	51.7	3.4	52.5	3.2	0.5
Worldwide	**1,503**	**100.0**	1,623	100.0	**2.6**

*Rounding differences possible **Share of global consumption | (e) = expected
Sources: GlobalData (as of 20 October 2025)

In industrialised countries, demand for packaged beverages is growing more slowly than global consumption. For Western Europe, an average growth rate of 1.6% is projected for the years 2025 to 2028. The figure for North and Central America is 1.0%. In the relatively small Central Europe sales region, demand for packaged beverages is set to increase at an average rate of 0.5% per year from 2025 to 2028. Despite the relatively slow overall growth in beverage consumption in the mature industrialised nations, Krones also sees opportunities for profitable growth there. This is because industrialised economies are seeing growth in the variety of beverages and in demand for sustainable, resource-efficient filling and packaging equipment.

Global consumption of packaged beverages by region: average annual growth 2025–2028*

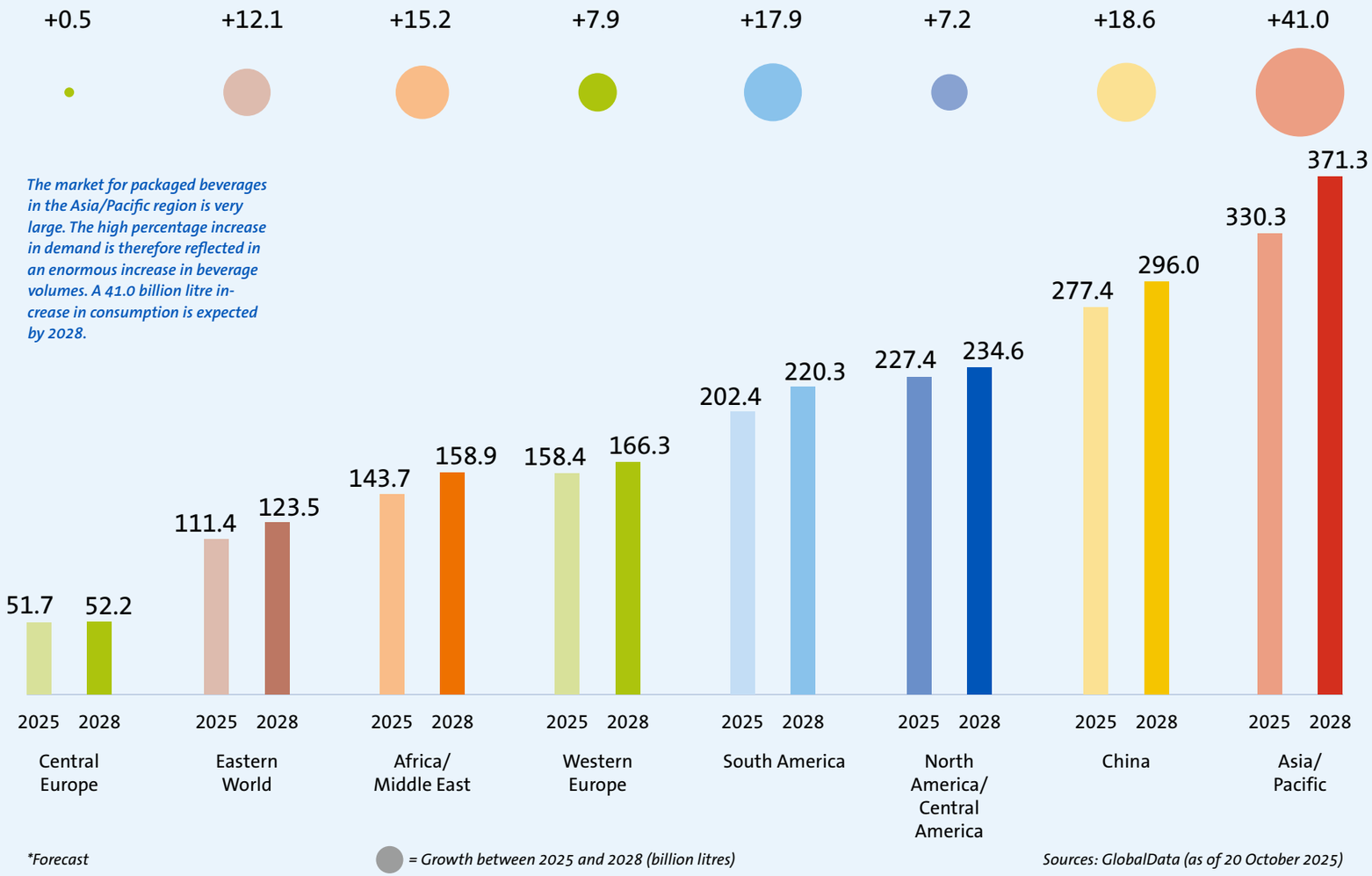
The Asia/Pacific region is expected to see the strongest growth in demand for packaged beverages.



*Forecast

Sources: GlobalData (as of 20 October 2025)

Global consumption of packaged beverages by region: billion litres*



*Forecast

= Growth between 2025 and 2028 (billion litres)

Sources: GlobalData (as of 20 October 2025)

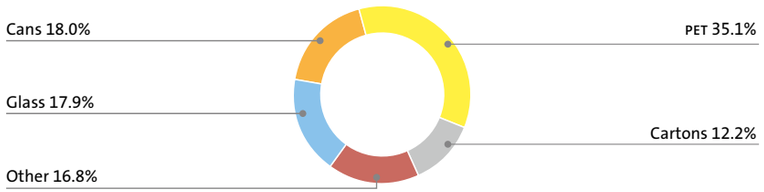
PET beverage containers continue to grow the fastest

Krones is the global market leader in machines and lines for filling and packaging beverages in PET, glass and cans.

Alongside global consumption of packaged beverages by volume, another important indicator for Krones is the number of units filled. The greater the number of units filled, the greater the need for filling and packaging technology.

Most beverage packaging is made of plastic, metal (cans), glass or cartons. According to GlobalData estimates, a total of 2,036 billion containers were filled with beverages worldwide in 2025. That was 2.5% more than in the previous year (1,986 billion). The number of units filled is expected to rise by an annual average of 2.9% to nearly 2,216 billion in 2028.

Global beverage market by packaging material in 2025* (based on units filled)



**expected*

Sources: GlobalData (as of 20 October 2025)

Bottles made of polyethylene terephthalate **(PET)** account for by far the largest share of the total number of beverage containers worldwide. According to figures from GlobalData, 716 billion PET containers were filled with beverages in 2025. This represents 35.1% of the units filled globally. This proportion is set to increase further in the coming years, as demand for PET containers is growing faster than the market as a whole. According to figures from GlobalData, the number of PET bottles filled is expected to rise rapidly between 2025 and 2028 by an average of 4.8% annually to a total of 823 billion. A key growth driver for PET as a packaging material is the above-average increase in global water consumption. For bottled water, the most frequently consumed package beverage in the world, the proportion of PET as a packaging material was no less than around 85% in 2025.

The second most commonly used material for beverage packaging is metal in the form of **cans**. These accounted for 18.0% of all containers filled worldwide in 2025. Cans are mainly used for beer, carbonated soft drinks (CSDs) and new drinks (sport and energy drinks together with ready-to-drink coffee and tea). From 2025 to 2028, according to GlobalData figures, the number of metal cans filled with beverages is expected to grow by an average of 2.6% per year.

A further important beverage packaging material is **glass**. This accounted for 17.9% of beverage containers globally in 2025. Glass bottles are mainly used for beer, carbonated soft drinks (CSDs), spirits and wine. With global demand for alcoholic beverages growing less rapidly than the overall market, the share of glass packaging in the beverage packaging market as a whole is likely to decline in the future. According to GlobalData, the number of glass containers will grow by an average of just 1.5% per year from 2025 to 2028 (total market: 2.9%).

The number of beverage packaging units made of **cardboard**, which accounted for a 12.2% share in 2025, will also grow less rapidly than the overall market. GlobalData forecasts an average annual growth rate of 1.8% for the period 2025 to 2028. One of the main reasons for the slower growth rate is that demand for beverages that are predominately packaged in cartons shows weaker growth than global beverage consumption. This mainly relates to milk and dairy drinks/dairy alternatives.

The **"other packaging"** share was 16.8% in 2025. Most of this consists of plastic and aluminium foil pouches. These are mainly used for milk and dairy drinks/dairy alternatives, fruit juices and water. The number of "other packaging" units is expected to increase by an average of 1.2% per year over the period 2025 to 2028.

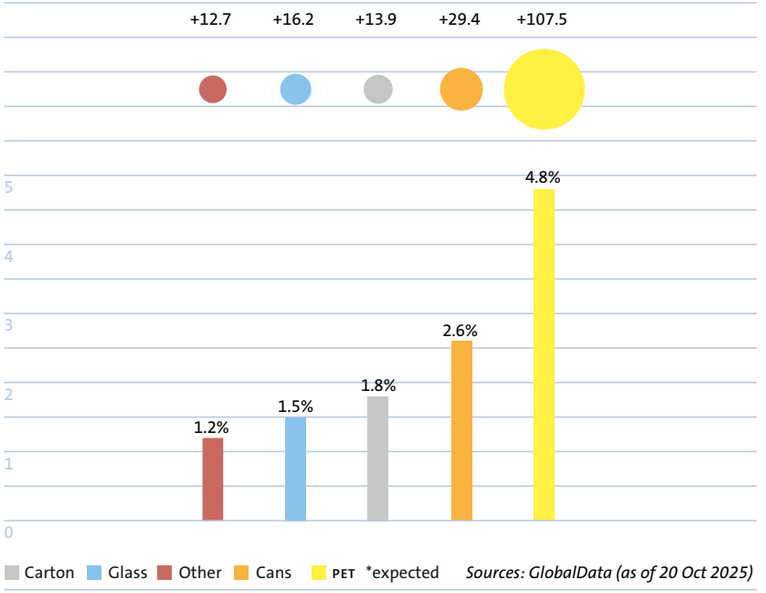
Krones benefits from strong growth in the leading beverage packaging categories

The three most commonly used categories of beverage packaging (PET, glass and cans) have a combined share of around 70% of the total market. They also occupy the top spots in terms of growth in the number of packaging units.

As one of the world's leading providers of machines and lines for the production, filling and packaging of PET containers, Krones benefits from the above-average growth in PET packaging. The company is also among the leading providers of lines for filling and packaging beverages in glass bottles and cans.

Krones has solutions for some of the packaging materials in the "other packaging" category. The company does not provide filling and packaging equipment for cardboard packaging.

Average annual growth by packaging category from 2025 to 2028 in %, and growth 2025 to 2028 in billion units*



Sources: GlobalData (as of 20 Oct 2025)

Krones **in figures**

- Krones continued its profitable growth path in 2025 and increased revenue by 7.0% to €5,663.8 million.
- The company's profitability improved significantly. The EBITDA margin rose to 10.6% (previous year: 10.1%).
- In accordance with the proposal for the appropriation of earnings available for distribution, Krones will pay a dividend of €2.80 per share for the 2025 financial year (previous year: €2.60).

	Guidance for 2025*	2025 actual
Revenue growth	7% – 9%	7.0%
EBITDA margin	10.2% – 10.8%	10.6%
ROCE	18% – 20%	19.1%

* From the report on expected developments in the 2024 management report

Revenue

Krones increased revenue by 7.0% in 2025 to €5,663.8 million.

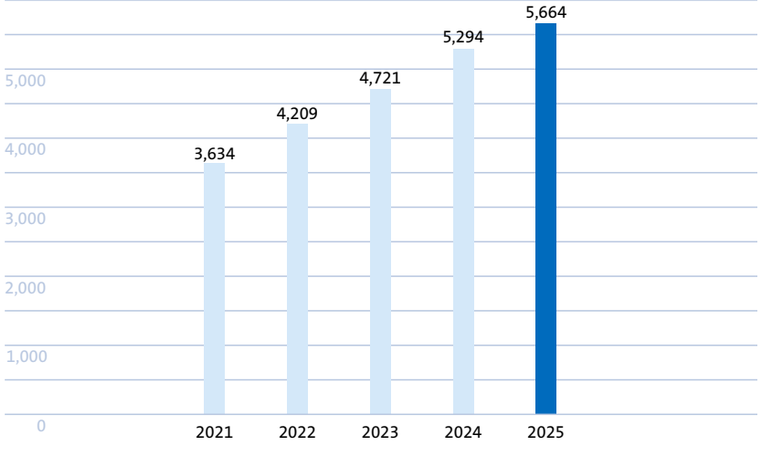
Krones achieved its growth target of 7% to 9% in 2025 despite negative currency translation effects. Revenue increased by 7.0% to €5.66 billion.

Despite challenging macroeconomic conditions, Krones continued its stable and profitable growth path in 2025. As one of the world's leading suppliers, the company benefited from the fact that the market for filling and packaging technology is less cyclical. Krones' extensive product and service portfolio, as well as its internationally diversified customer base, also supported its growth during the reporting period.

Revenue went up by 7.0% year on year, from €5,293.6 million to €5,663.8 million. Krones thus achieved the growth forecast of 7% to 9% for 2025, despite negative currency translation effects. A small part of the revenue growth in 2025 is due to Netstal Maschinen AG, which was acquired in 2024 and whose revenue Krones has consolidated since 28 March 2024. Krones' revenue was not affected by divestments in 2025.

The revenue growth in 2025 is mainly due to volume effects. Prices for Krones' products and services remained stable in 2025. The new machinery business in particular benefited from the improved efficiency in production and grew faster in 2025 than service revenue, although this was also up on the previous year.

Krones Group revenue (€ million)

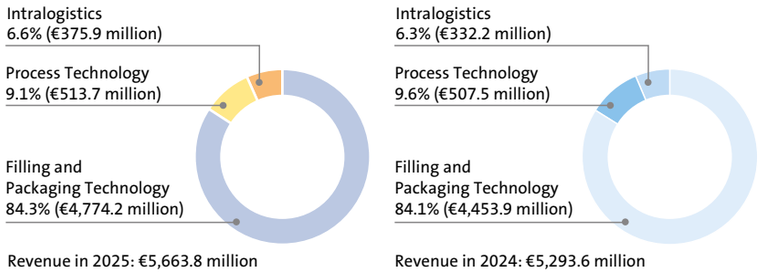


Revenue by segment

The core segment, Filling and Packaging Technology, grew by 7.2% in 2025.

In the core segment, Filling and Packaging Technology, revenue increased in 2025 by 7.2% year on year, from €4,453.9 million to €4,774.2 million. At 84.3%, the share of consolidated revenue generated by the segment remained virtually unchanged compared to the previous year (84.1%).

Share of Krones consolidated revenue



Revenue in the Process Technology segment increased by 1.2% in the reporting period, from €507.5 million in the previous year to €513.7 million. The segment's share of consolidated revenue decreased in 2025 to 9.1% (previous year: 9.6%).

Intralogistics, Krones' third segment, recorded the strongest revenue growth in the reporting period. Revenue there increased by 13.2% from €332.2 million in the previous year to €375.9 million. As a percentage of consolidated revenue, this represented an increase from 6.3% a year earlier to 6.6%.

Further information can be found under "Report from the segments" beginning on page 106 and under "Segment reporting" in the notes to the consolidated financial statements on page 240.

Revenue by region

In Europe, Krones' business developed very well overall in 2025 with revenue growth of 14.3%.

Despite the weak overall economic situation there, Krones' revenue rose in Germany by more than in the Group as a whole in 2025. At €526.2 million, revenue was 13.1% higher than the previous year's figure of €465.2 million. The home market share of consolidated revenue consequently increased to 9.3% (previous year: 8.8%).

Krones' business also developed positively in 2025 in the European sales markets (excluding Germany). In total, revenue rose by 14.7%, from €1,294.6 million in the previous year to €1,484.8 million. The share of consolidated revenue thus increased to 26.2% (previous year: 24.5%). Revenue in Central and Western Europe improved by 13.9% compared to the previous year, from €1,030.4 million to €1,174.1 million. In Eastern Europe, revenue rose even more strongly by 17.6% to €310.7 million (previous year: €264.2 million).

Revenue development by region	2025		2024		Change
	€ million	%*	€ million	%*	%
Germany	526.2	9.3	465.2	8.8	+13.1
Central and Western Europe	1,174.1	20.8	1,030.4	19.5	+13.9
Eastern Europe	310.7	5.5	264.2	5.0	+17.6
Central Asia	103.5	1.8	117.9	2.2	–12.2
Middle East/Africa	719.0	12.7	587.3	11.0	+22.4
Asia/Pacific	657.9	11.6	649.8	12.3	+1.2
China	358.1	6.3	409.6	7.7	–12.6
North and Central America	1,200.6	21.2	1,220.8	23.1	–1.7
South America/Mexico	613.7	10.8	548.4	10.4	+11.9
Total	**5,663.8**	**100.0**	**5,293.6**	**100.0**	**+7.0**

* Share of total revenue

Krones' broad global footprint is also visible from the revenue split. In 2025, the company generated 63% of consolidated revenue in non-European markets (excluding Central Asia).

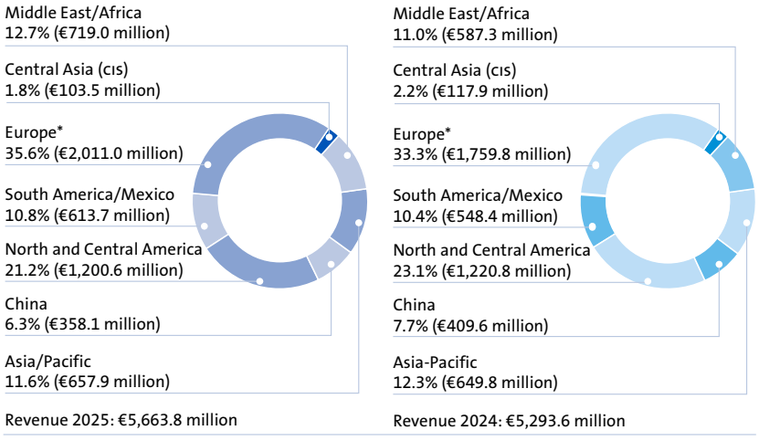
In the Central Asia region, which has only a very minor impact on Krones' business with 1.8% of consolidated revenue, revenue fell by 12.2% in 2025 to €103.5 million (previous year: €117.9 million).

In the remaining non-European markets, the rapid pace of growth continued in the Middle East/Africa region in 2025. Following 31.7% revenue growth in the previous year, revenue there rose by 22.4% in 2025 to €719.0 million (previous year: €587.3 million). The positive business trend in South America/Mexico also continued in the reporting period. Revenue there went up by 11.9% to €613.7 million (previous year: €548.4 million).

Krones' revenue in North and Central America remained stable at a high level in 2025. Despite negative currency translation effects, revenue there fell only slightly by 1.7% to €1,200.6 million (previous year: €1,220.8 million). In the Asia/Pacific region, revenue improved by 1.2% in the reporting period, from €649.8 million to €657.9 million. Following above-average growth (of 17.1%) in the previous year, revenue in China fell by 12.6% to €358.1 million in 2025 (previous year: €409.6 million).

Overall, revenue in the non-European markets (excluding Central Asia) increased by 3.9% to €3,549.3 million in 2025 (previous year: €3,415.9 million), which is less than the increase for the company as a whole. The share of consolidated revenue thus decreased to 62.6% (previous year: 64.5%).

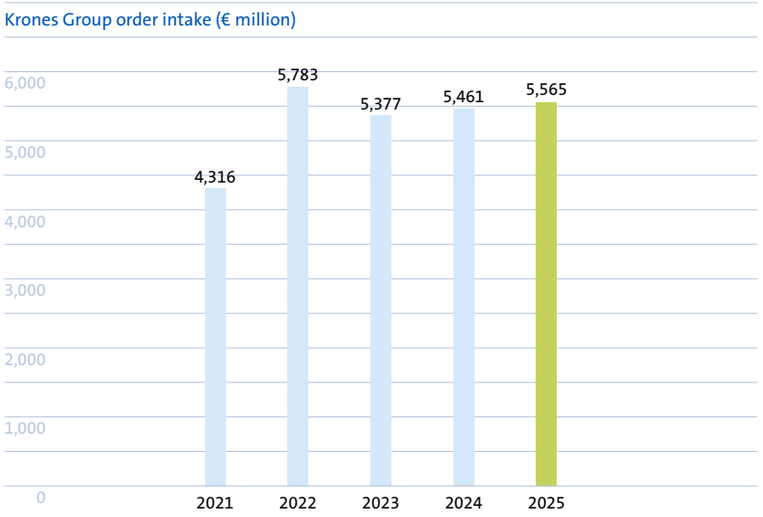
Share of consolidated revenue



** Including Germany*

Krones' internationally balanced customer and revenue split is one of its strategic strengths. In 2025, the company generated 48.7% (previous year: 48.6%) of Group revenue in emerging markets. The share of revenue generated in industrialised economies was 51.3% (previous year: 51.4%).

Order intake



At €5,564.7 million, order intake exceeded the previous year's high figure by 1.9%

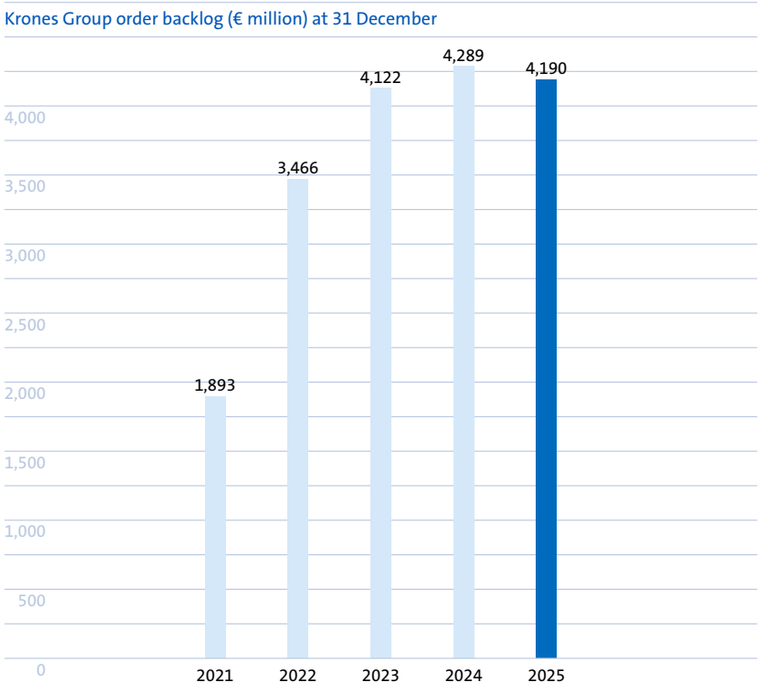
Krones' customers continue to show robust willingness to invest despite the general economic uncertainties. In 2025, order intake increased by 1.9% year on year to €5,564.7 million.

The many general economic uncertainties did not have a significant impact on Krones customers' fundamental willingness to invest in 2025. However, they did lead to customers postponing investment decisions. Thanks to its internationally balanced customer mix, Krones was largely able to compensate for temporary fluctuations in demand in individual regions with good business in other markets. Krones also benefited from its full range of products and services.

The stable condition of Krones' customer industries is reflected in order intake. At €5,564.7 million over the full year 2025, order intake exceeded the previous year's already high level (€5,460.7 million) by 1.9% – with continued adherence to the pricing strategy. Acquisitions and divestments did not have a material impact on order intake in 2025.

Regionally, order intake rose in 2025 – in some cases significantly – in the Middle East/Africa, China, Asia/Pacific and Central Asia regions. Order intake in Central and Western Europe developed similarly to the Group as a whole. The contract value of orders in North and South America and Eastern Europe was down on the previous year in 2025.

Order backlog



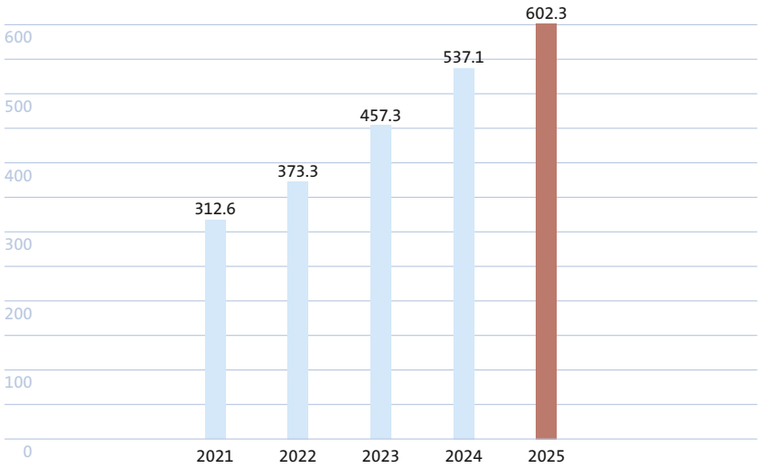
Krones has a solid order backlog of €4.19 billion

Thanks to the continued strong demand for our products and services, the order backlog showed little change in 2025 despite the higher revenue. As expected, the book-to-bill ratio – the ratio of order intake to revenue – was close to 1, at 0.98 in the full year. Krones had orders on hand totalling €4,190.4 million at the end of December. The order backlog was thus 2.3% down on the previous year (31 December 2024: €4,289.5 million).

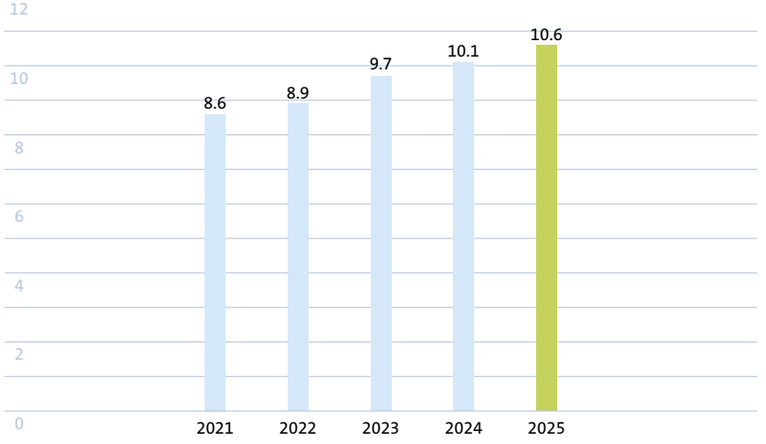
The solid order backlog supports Krones' planning certainty and ensures production capacity utilisation in the lines and project business well into the third quarter of 2026.

Krones Group earnings

Krones Group EBITDA (€ million)



Krones Group EBITDA margin (%)



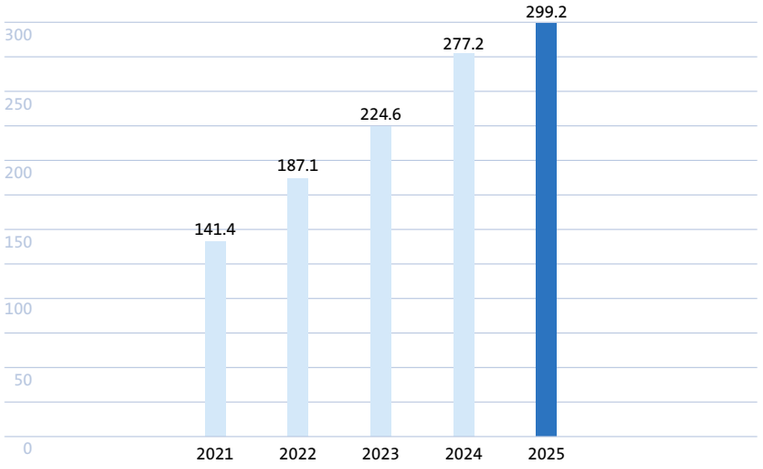
Krones significantly improves profitability – EBITDA margin increased from 10.1% to 10.6%

With an improvement in the EBITDA margin to 10.6% (previous year: 10.1%), Krones achieved its margin target of 10.2% to 10.8% for 2025.

Krones further strengthened profitability in 2025. This was mainly due to efficiency gains in production and implementation of strategic measures to improve performance and the company's cost structures. Prices for our machines and lines remained stable in the reporting period.

In the full year 2025, EBITDA rose by more than revenue, increasing 12.2% from €537.1 million to €602.3 million. The EBITDA margin improved significantly to 10.6% (previous year: 10.1%). Krones thus achieved its margin target of 10.2% to 10.8% for 2025. Netstal Maschinen AG, which Krones has consolidated since 28 March 2024, had a slightly dilutive impact on the Group's margin in 2025. Divestment and currency effects did not have a significant impact on the development of the margin.

Krones consolidated net income (€ million)

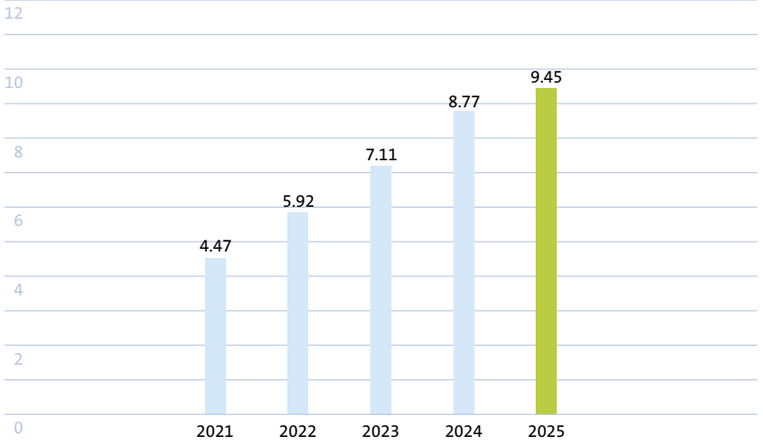


Earnings before taxes (EBT) increased by 11.1%, from €381.6 million in the previous year to €424.1 million. The EBT margin consequently rose from 7.2% to 7.5%. Due to the slightly higher tax expense ratio, consolidated net income did not increase as strongly as EBT, rising by 7.9% to €299.2 million (previous year: €277.2 million). Krones generated earnings per share of €9.45 in 2025 (previous year: €8.77).

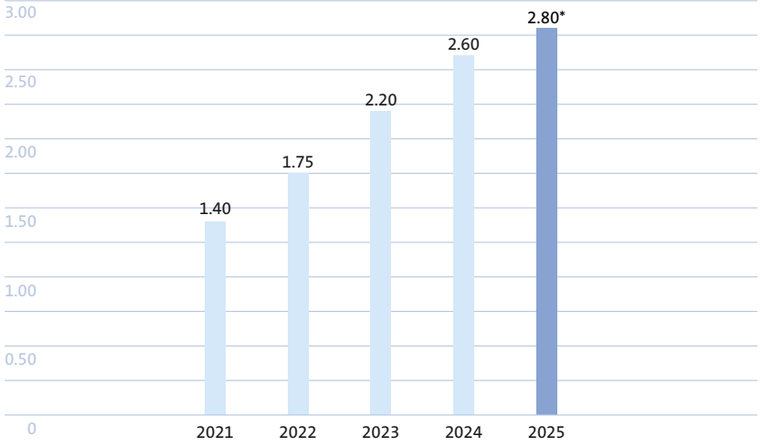
Krones increases the dividend per share to €2.80

At the Annual General Meeting on 9 June 2026, in line with the long-term dividend policy, the Executive Board and Supervisory Board will be proposing the distribution of a dividend of €2.80 per share for the 2025 financial year. Krones will thus increase its dividend by €0.20 compared to the previous year (€2.60), allowing the company's owners to share commensurately in the improvement in its positive performance.

Krones Group earnings per share (€)



Krones Group dividend per share (€)



*As per proposal for the appropriation of earnings available for distribution

Earnings structure

€ million	2025	2024	Change
Revenue	5,663.8	5,293.6	+7.0%
Changes in inventories of finished goods and work in progress	+12.0	+22.7	–
Total operating performance	5,675.7	5,316.3	+6.8%
Other own work capitalised	+60.8	+59.2	+2.7%
Other operating income	+188.0	+178.8	+5.1%
Goods and services purchased	–2,713.4	–2,602.8	+4.2%
Personnel expenses	–1,705.9	–1,580.9	+7.9%
Other operating expenses	–903.0	–833.6	+8.3%
EBITDA	602.3	537.1	+12.2%
Depreciation and amortisation on fixed assets	–185.3	–168.4	+10.0%
EBIT	417.1	368.6	+13.1%
Financial income/expense	+7.1	+13.0	–45.6%
EBT	424.1	381.6	+11.1%
Income tax	–125.0	–104.4	+19.7%
Consolidated net income	299.2	277.2	+7.9%

For further information, please see the full statement of profit and loss on p. 233.

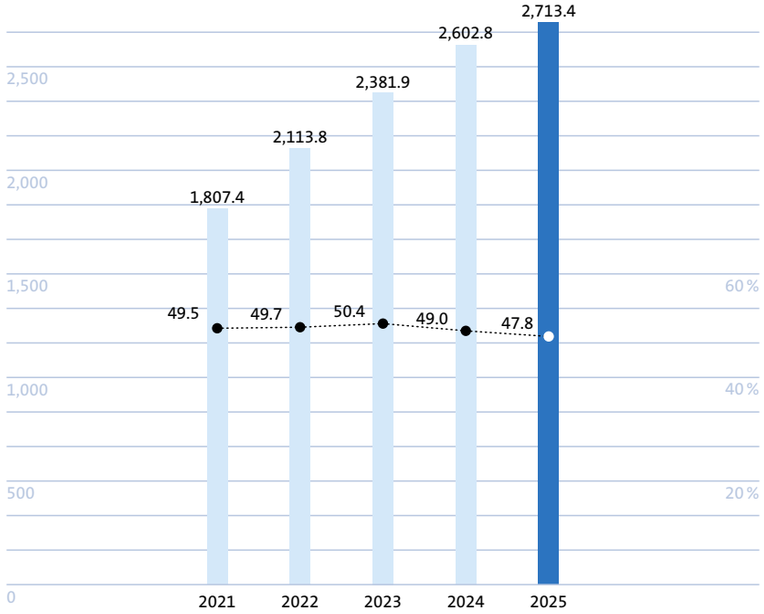
Krones increased both revenue and total operating performance in the 2025 financial year, despite the difficult overall economic conditions. Stable material availability had a positive impact on production efficiency. Partly because of this, the company improved revenue by 7.0% to €5,663.8 million. It should be noted here that revenue was influenced by negative currency translation effects. With an increase of 6.8% to €5,675.7 million, total operating performance grew at a similar rate to revenue. Inventories of finished goods and work in progress went up by €12.0 million in the reporting period (previous year: €22.7 million).

Despite higher costs, Krones significantly improved the EBITDA margin from 10.1% to 10.6% in the reporting period.

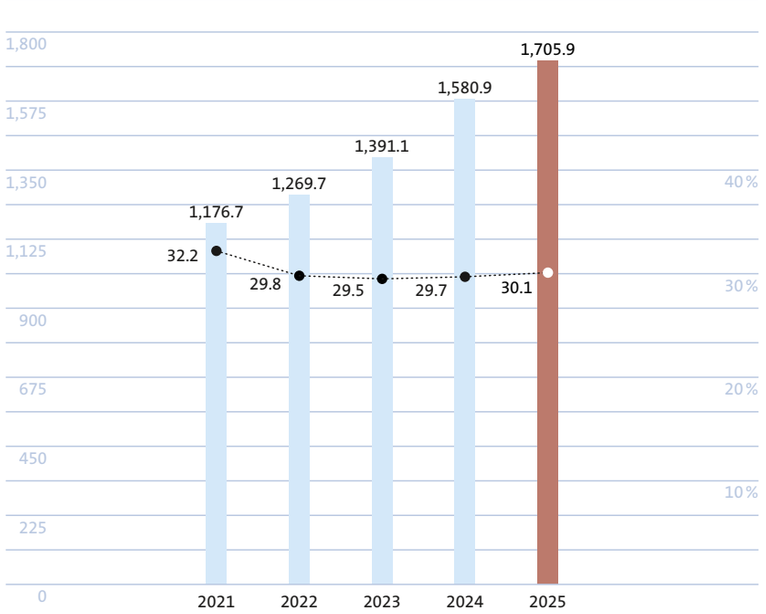
Krones once again improved profitability in the reporting year. The main contributing factors here were increased efficiency in production, the stable overall price level and consistent implementation of cost-cutting and efficiency improvement measures initiated in past years.

Krones' earnings were not materially affected by exchange rates, acquisitions or divestments in 2025.

Krones Group goods and services purchased (€ million) and material expense ratio (%)



Krones Group personnel expenses (€ million) and personnel expense ratio (%)



Cost of goods and services purchased increased by less than total operating performance in the 2025 financial year, rising by just 4.2% to €2,713.4 million. Krones was able to offset the high material costs thanks to sophisticated production and procurement management. The ratio of goods and services purchased to total operating performance went down in the reporting period from 49.0% in the previous year to 47.8%.

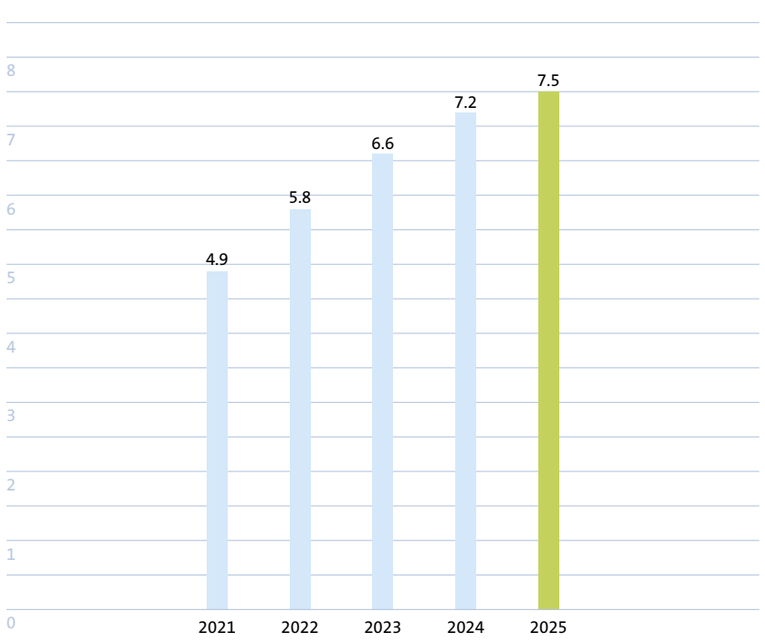
Personnel expenses rose slightly faster between January and December 2025 than total operating performance, increasing by 7.9% to €1,705.9 million. The personnel expense ratio – the ratio of personnel expenses to total operating performance – was 30.1% in the reporting period, slightly higher than the prior-year figure of 29.7%. This increased personnel expense ratio was mainly due to higher salaries compared to 2024 as a result of pay scale adjustments and to growth in the workforce.

At €903.0 million, other operating expenses in the reporting period were 8.3% up on the previous year's figure of €833.6 million, while other operating income went up by 5.1% to €188.0 million. Both other operating expenses and other operating income were influenced by currency and hedging effects in the reporting period, although these almost cancelled each other out. At €60.8 million, own work capitalised was €1.6 million higher than in the previous year. The net balance of other operating income and expenses and own work capitalised changed from minus €595.6 million in the prior-year period to minus €654.2 million from January to December 2025. As a percentage of total operating performance, this represented a slight increase to 11.5% (previous year: 11.2%).

Krones Group EBT (€ million)



Krones Group EBT margin (%)



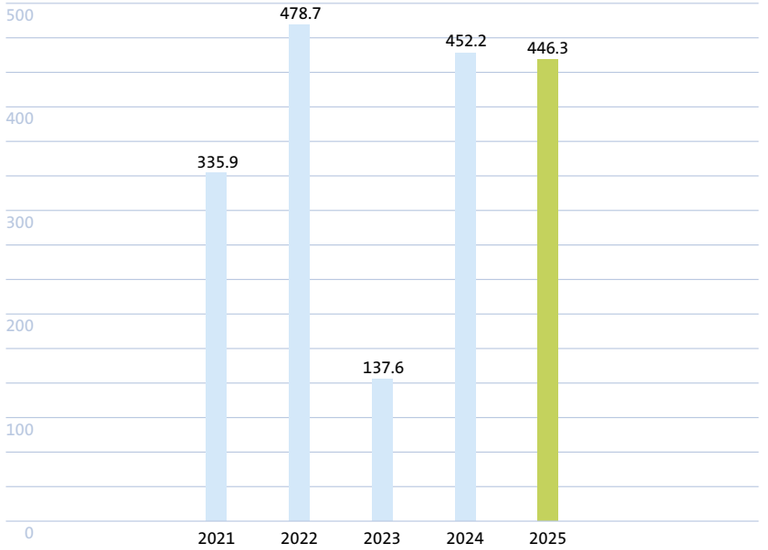
Krones improved EBITDA (earnings before interest, taxes, depreciation and amortisation) by 12.2% in the reporting period – more than the increase in revenue and total operating performance – from €537.1 million to €602.3 million. The EBITDA margin went up from 10.1% in the previous year to 10.6% in the 2025 financial year. After deducting depreciation and amortisation of fixed assets of €185.3 million (previous year: €168.4 million), earnings before interest and taxes (EBIT) increased by 13.1% to €417.1 million from January to December 2025 (previous year: €368.6 million). At +€7.1 million in 2025, financial income was down on the previous year (€13.0 million). This was due to adjustments for contingent purchase price payments and lower investment income of €3.2 million (previous year: €4.8 million). Earnings before taxes (EBT) rose by 11.1% in the reporting period to €424.1 million (previous year: €381.6 million). This results in an EBT margin of 7.5%, compared with 7.2% in the previous year. As the company's tax rate of 29.5% was higher in 2025 than in the same period of the previous year (27.4%), consolidated net income improved by less than EBT, increasing by 7.9% to €299.2 million (previous year: €277.2 million).

Statement of cash flows

€ million	2025	2024
Earnings before taxes	**424.1**	**381.6**
Non-cash changes	+257.3	+207.8
Changes in working capital	–80.0	–89.4
Changes in other assets and liabilities	–155.1	–47.8
Cash flow from operating activities	**446.3**	**452.2**
Capital expenditure for intangible assets and property, plant and equipment	–185.1	–181.1
Other	+21.7	+21.4
Free cash flow excluding M&A	**282.9**	**292.5**
M&A activities	–35.2	–179.3
Free cash flow (reported)	**247.7**	**113.2**
Cash flow from financing activities	–128.1	–115.0
Other	–12.6	–4.1
Net change in cash and cash equivalents	**107.0**	**–5.9**
Cash and cash equivalents at the end of the period	**549.5**	**442.5**

For further information, please see the full statement of cash flows on page 237.

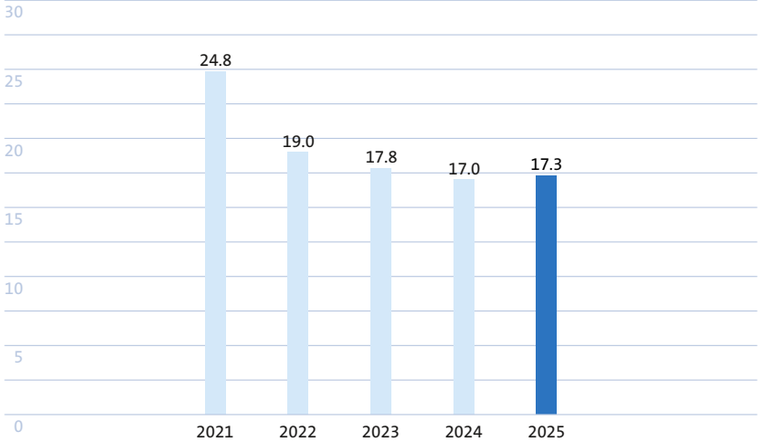
Krones Group cash flow from operating activities (€ million)



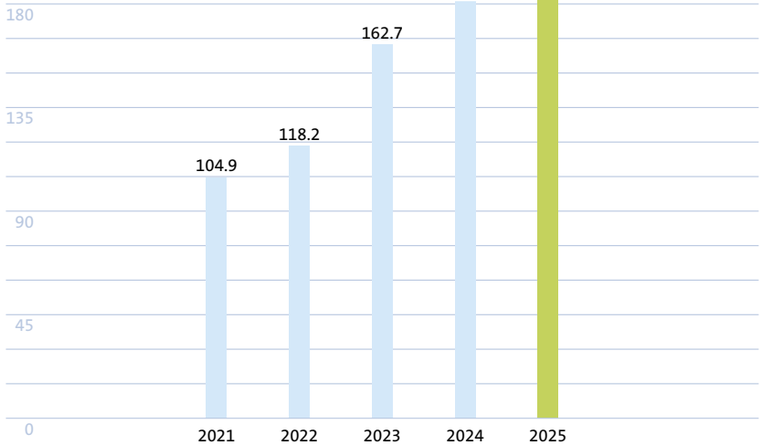
In the 2025 financial year, Krones generated a high operating cash flow of €446.3 million and a strong free cash flow (excluding M&A) of €282.9 million.

Krones' cash flow from operating activities from January to December 2025 was €446.3 million. This was just €5.9 million below the previous year's very high figure of €452.2 million. In addition to the €42.5 million increase in earnings before taxes, non-cash changes also made a positive contribution to cash flow from operating activities. At €257.3 million, this contribution was larger in the reporting period than the €207.8 million recorded in the previous year. This reflects increased depreciation and amortisation and increased provisions. Changes in other assets and liabilities, predominantly relating to tax payments, at minus €155.1 million (previous year: minus €47.8 million), contributed significantly to the slight decrease in operating cash flow. The slight increase in working capital also had a negative impact on cash flow from January to December, at minus €80.0 million (previous year: minus €89.4 million).

Krones Group working capital to revenue (%, average over four quarters)



Krones Group capital expenditure for PP&E and intagible assets (€ million)



Working capital as a percentage of revenue remained at a low level, at 17.3%

Average working capital over the past four quarters as a percentage of Krones' revenue remained almost stable in the reporting period, increasing slightly from 17.0% in the previous year to 17.3%.

Krones increased working capital by €80.0 million to €935.7 million as of the reporting date. While trade receivables increased, advance payments from customers (contract liabilities) decreased. Higher trade payables were unable to compensate for this effect.

The ratio of average working capital over the past four quarters to revenue remained almost stable at a low level, rising only slightly to 17.3% (previous year: 17.0%). The working capital to revenue ratio was 16.5% as of the 31 December reporting date (previous year: 16.2%).

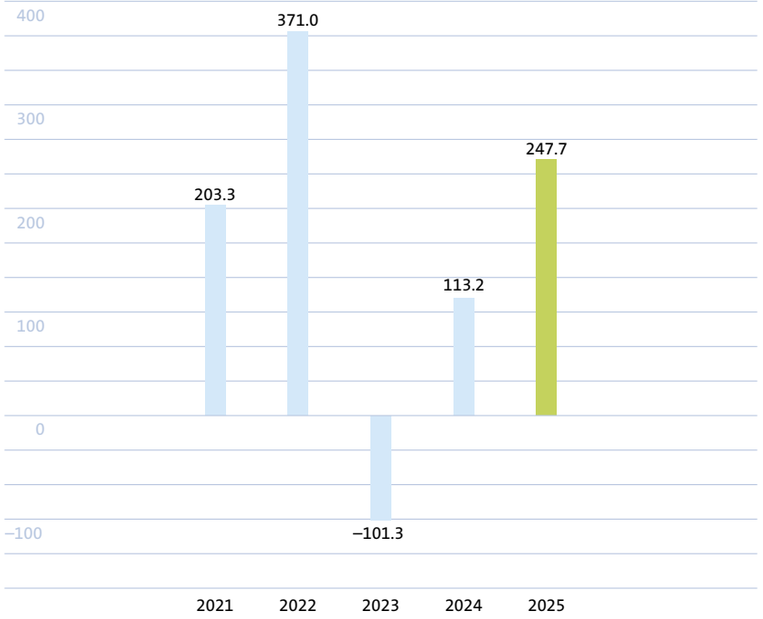
The supplier finance programme used by Krones is accounted for under trade payables as it does not significantly alter the contractual terms of the payables. Correspondingly, the cash outflow is included in cash flow from operating activities.

Krones generated a high free cash flow (before M&A) of €282.9 million

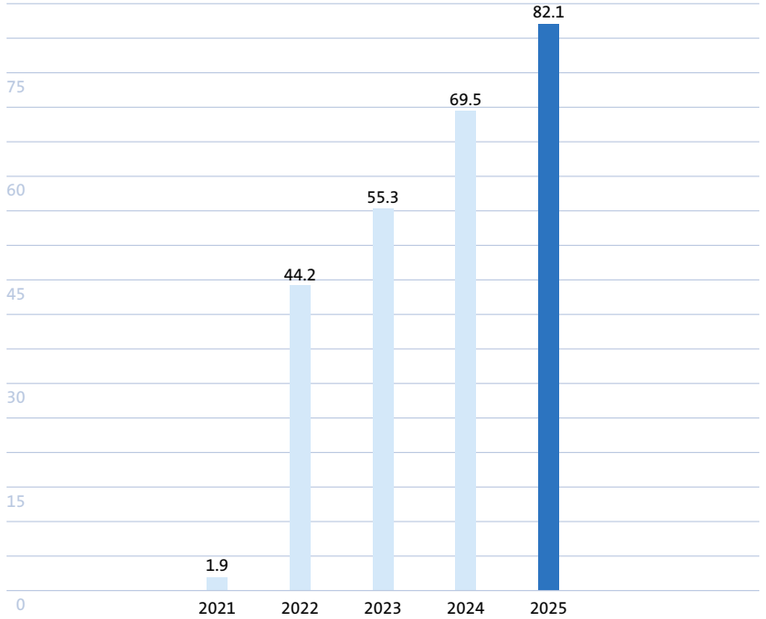
Krones invested €185.1 million in intangible assets and property, plant and equipment in the reporting period (previous year: €181.1 million). As a percentage of revenue, capital expenditure was 3.3% in 2025 (previous year: 3.4%) and thus in line with planning. The ratio of capital expenditure to depreciation and amortisation decreased from 1.08 in the previous year to 1.00.

The company spent €32.1 million in the reporting period on the acquisition of GHS Separationstechnik (60% shareholding) and Can Systems Worldwide (100% shareholding). In addition, Krones made a deferred purchase price payment of €3.2 million in the reporting period, mainly for Ampco Pumps (previous year: €12.8 million). In total, cash outflows from M&A activities amounted to €35.2 million in the reporting year (previous year: €179.3 million).

Krones Group free cash flow (€ million)



Krones Group dividend payout (€ million)



Krones increased free cash flow by €134.5 million to €247.7 million in the reporting year. Excluding M&A activities, the free cash flow of €282.9 million almost reached the previous year's high figure of €292.5 million.

Krones improved free cash flow from January to December 2025 by €134.5 million to €247.7 million (previous year: €113.2 million). It should be noted here that acquisitions had a negative impact of €179.3 million on free cash flow in the previous year. Excluding M&A activities, free cash flow in 2025 amounted to €282.9 million, almost matching the previous year's high level of €292.5 million.

The company had a total cash outflow from financing activities of €128.1 million between January and December 2025 (previous year: €115.0 million). In the reporting period, this item included the cash outflow from the dividend payout of €82.1 million (previous year: €69.5 million), the repayment of lease liabilities in the amount of €42.5 million (previous year: €44.2 million) and the repayment of bank debt in the amount of €3.5 million (previous year: €1.2 million). Changes in exchange rates and in the scope of consolidation reduced liquidity by €12.6 million, after a €4.1 million reduction in the previous year. As of 31 December 2025, Krones had cash and cash equivalents totalling €549.5 million (previous year: €442.5 million). Mainly due to the high free cash flow, net cash (cash and cash equivalents less bank debt) went up by €108.3 million year to €548.2 million.

Assets and capital structure

€ million at 31 December	2025	2024	2023
Non-current assets	1,637	1,551	1,327
of which fixed assets	1,544	1,462	1,241
Current assets	3,405	3,198	3,150
of which cash and equivalents	549	442	448
Equity	2,129	1,922	1,715
Total debt	2,913	2,828	2,762
Non-current liabilities	453	435	410
Current liabilities	2,460	2,393	2,352
Total	**5,042**	**4,750**	**4,477**

For further information, please see the full statement of financial position on page 234 and 235.

At 6.2%, the increase in Krones' total assets in the reporting period was smaller than the rise in total operating performance (+6.8%).

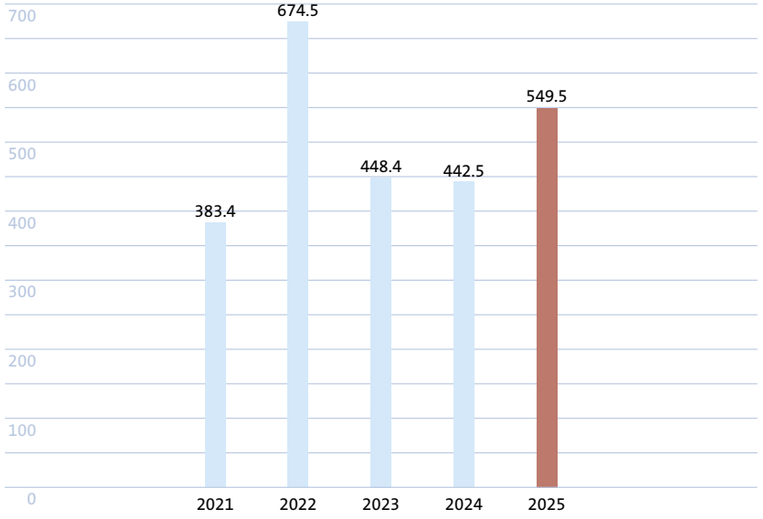
Krones' total assets increased by 6.2% in the reporting period and thus by slightly less than the 6.8% rise in total operating performance. Total assets came to €5,042.1 million as of 31 December 2025 (31 December 2024: €4,749.5 million). On the assets side, the increase was mainly due to higher trade receivables and higher cash and cash equivalents as a result of the positive free cash flow. On the equity and liabilities side, equity increased significantly as a result of the high consolidated net income.

There were no material exchange rate or divestment effects in the reporting period on any assets side or equity and liabilities side items of the statement of financial position. The acquisitions of GHS Separationstechnik and Can Systems Worldwide (CSW) mainly affected fixed assets and cash and cash equivalents.

Non-current assets went up by 5.5% to €1,637.0 million in the reporting period (31 December 2024: €1,551.0 million). This was due to fixed assets, which increased by €82.4 million or 5.6% to €1,544.2 million at the end of 2025 (31 December 2024: €1,461.8 million). The main contributing factor here was a €69.4 million increase in property, plant and equipment and right-of-use assets to €921.6 million. These increased primarily due to the company's investing activities. Furthermore, intangible assets increased by €13.5 million to €600.6 million due to the two acquisitions.

Krones' current assets rose by 6.5%, mainly due to the further growth in business volume. Current assets came to €3,405.1 million as of the reporting date, which is €206.6 million higher than the figure as of 31 December 2024. This was due to trade receivables, which increased by €90.7 million to €899.6 million. Inventories also increased by €12.6 million to €677.4 million and other assets by €11.2 million to €191.5 million. Conversely, there was a decrease in contract assets. These fell by €18.5 million to €1,076.0 million. Cash and cash equivalents increased significantly in 2025. The strong positive free cash flow (excluding M&A activities) meant that, despite the €35.2 million cash outflows for M&A activities and the dividend distribution of €82.1 million, cash and cash equivalents increased by €107.0 million to €549.5 million in the reporting period (31 December 2024: €442.5 million).

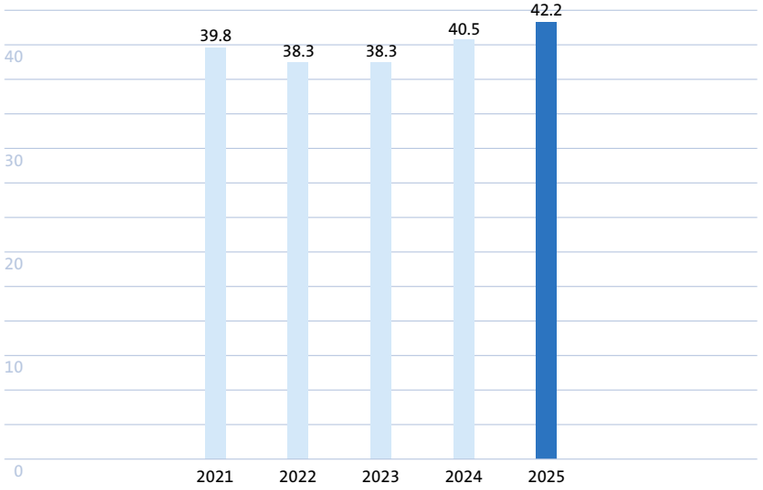
Krones Group cash and cash equivalents at 31 December (€ million)



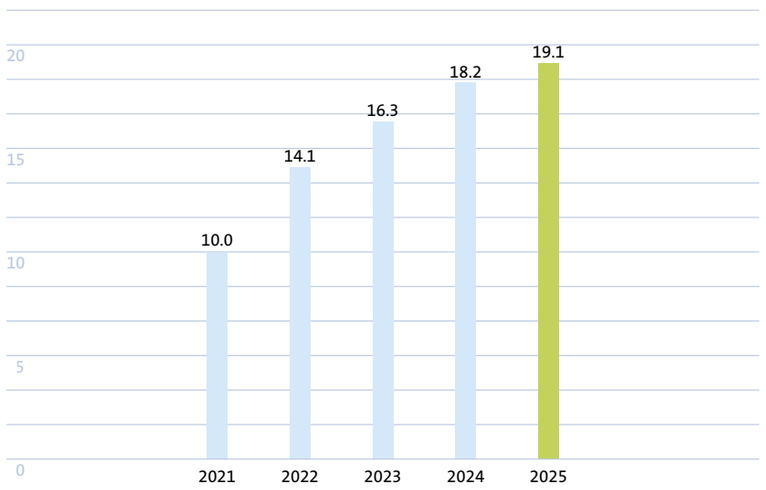
Current liabilities increased by 2.8% between January and December 2025. These went up by €67.5 million to €2,460.4 million. This was mostly due to a €66.1 million increase in trade payables to €868.3 million, which mainly related to the growth in business volume. Included in this are supplier finance liabilities of €136.0 million (previous year: €145.9 million). These outstanding liabilities are settled with suppliers by a bank before they are due. The original liabilities to the suppliers are unaffected in substance because the acknowledgement of the liability is unaltered, and therefore continue to be presented as liabilities in the statement of financial position. Other provisions also increased by €32.1 million to €223.6 million in the reporting period. Other liabilities and accruals increased only slightly in the reporting period by €1.9 million to €393.0 million. Contract liabilities decreased between January and December 2025 by €42.7 million to €884.1 million. The company had current bank debt of €1.3 million at the reporting date (previous year: €1.3 million).

Non-current liabilities increased by €18.0 million to €453.0 million as of 31 December 2025. The largest item, provisions for pensions, decreased by €13.1 million to €159.5 million (31 December 2024: €172.6 million) due to the increase in the discount rate in the reporting year. In contrast, deferred tax liabilities increased to €57.3 million in 2025 (31 December 2024: €28.4 million), other non-current provisions went up by €1.6 million to €97.6 million and other financial liabilities and lease liabilities rose by €1.4 million to €134.1 million. The Company had no non-current bank debt as of 31 December 2025 (31 December 2024: €1.3 million).

Krones Group equity ratio (%)



Krones Group ROCE (%)



Equity and ROCE significantly improved – net cash increased to €548 million

The positive net cash position of €548.2 million and the very solid 42.2% equity ratio give Krones the stability and flexibility needed in the current volatile and challenging environment.

Due to the positive consolidated net income, equity increased relative to the 2024 reporting date by €207.2 million or 10.8% to €2,128.7 million. As total assets increased by only 6.2%, the equity ratio improved to 42.2% as of 31 December 2025 (31 December 2024: 40.5%). With net cash (cash and cash equivalents less bank debt) of €548.2 million at the end of the reporting period (31 December 2024: €439.9 million), Krones continues to have a very stable and solid financial and capital structure. In addition, Krones had available €888.0 million in unused lines of credit as of 31 December 2025.

Krones has no fundamental plans to change its current financing policy and will continue to pay for capital expenditure primarily from own funds (internal financing).

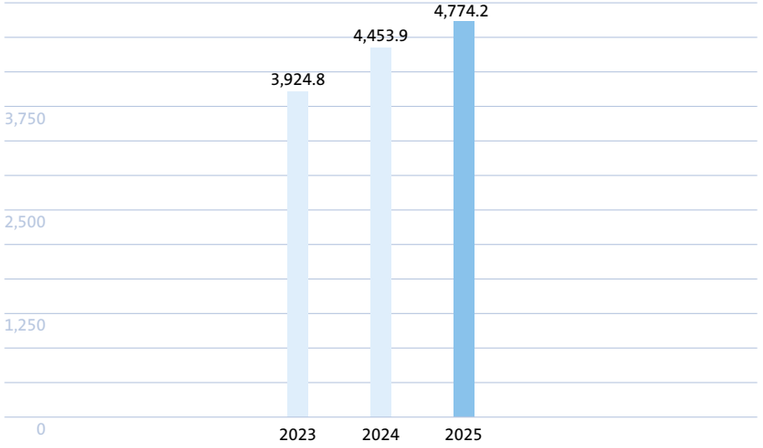
Krones improved return on capital employed (ROCE) – the ratio of EBIT to average net capital employed over the last four quarters – from 18.2% to 19.1% in the 2025 financial year, mainly as a result of the increase in EBIT.

Report from the **segments** Filling and Packaging Technology segment

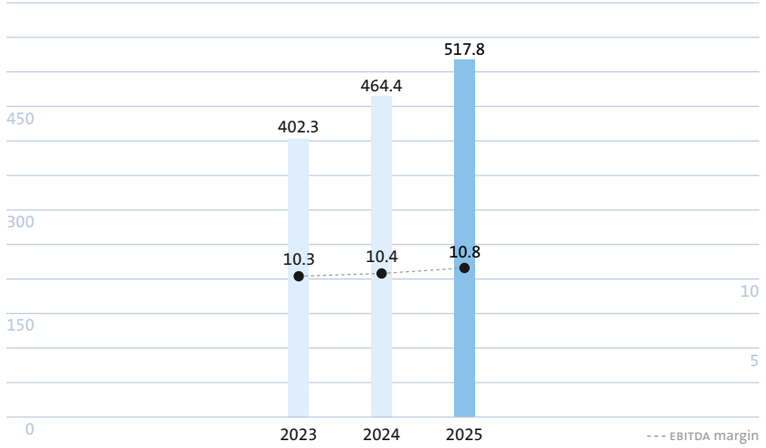


Filling and Packaging Technology segment

Segment revenue (€ million)



Segment EBITDA (€ million) and EBITDA margin (%)



Segment revenue

With a 7.2% increase in revenue to €4,774.2 million, the core segment met the forecast of 7% to 9% growth in the full year 2025.

Revenue in Krones' core Filling and Packaging Technology segment increased by 7.2% year on year from €4,453.9 million to €4,774.2 million in 2025. The company thus achieved the growth forecast of 7% to 9%, despite negative currency translation effects. This was particularly due to the strong new machinery business in the fourth quarter.

New machinery revenue likewise increased more strongly than service revenue in the full year 2025, although service revenue also exceeded the previous year's level. Revenue from sales of machines and lines benefited from increased efficiency in production. The above-average growth in new machinery business also reflects the high order intake in recent quarters. The core segment's share of consolidated revenue increased slightly to 84.3% in 2025 (previous year: 84.1%).

Segment earnings

Filling and Packaging Technology further increased profitability in 2025. To a large extent, this was due to efficiency gains in production and strategic measures to improve performance and cost structures. The stable price level also supported profitability.

In the core segment, the EBITDA margin improved from 10.4% in the previous year to 10.8% in 2025, at the upper end of the forecast range of 10.5% to 11.0%.

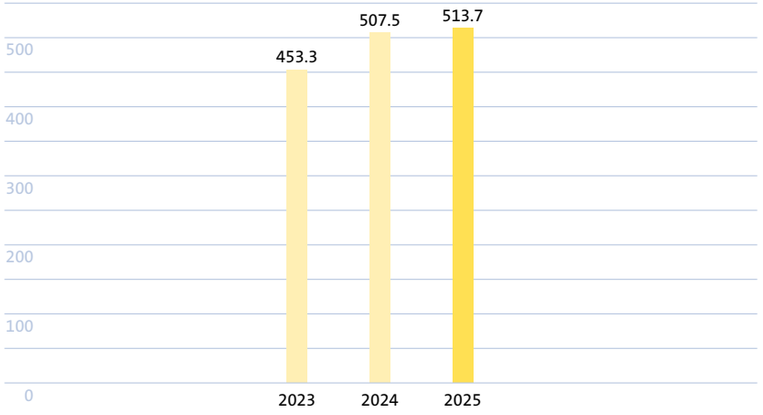
Earnings before interest, taxes, depreciation and amortisation (EBITDA) increased in the core segment by more than revenue, rising 11.5% from €464.4 million in the previous year to €517.8 million between January and December 2025. Despite the disproportionately strong growth in new machinery business, the EBITDA margin improved significantly to 10.8% (previous year: 10.4%). This was at the upper end of the guidance range of 10.5% to 11.0% for the EBITDA margin in the full year 2025. Netstal Maschinen AG, which Krones has consolidated in the core segment since 28 March 2024, had a slightly dilutive impact on the margin.

Process Technology segment

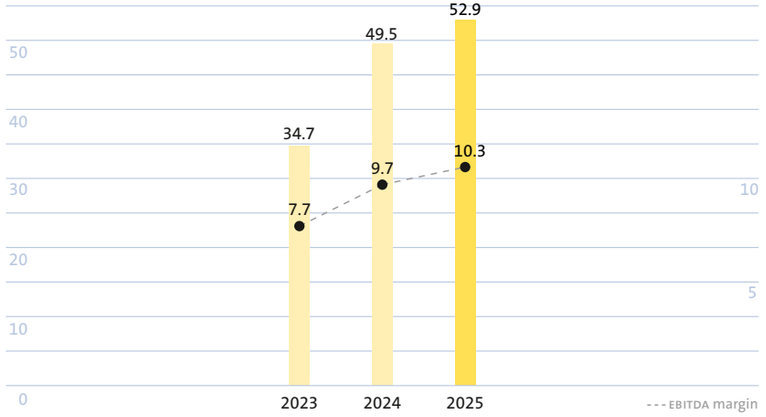


Process Technology segment

Segment revenue (€ million)



Segment EBITDA (€ million) and EBITDA margin (%)



Segment revenue

As expected, segment revenue increased only slightly by 1.2% in 2025. The forecast was for 0% to 5% growth.

As forecast, the business performance of the Process Technology segment was modest overall in 2025. While sales of units and components (such as pumps and valves) increased compared to the previous year, customers postponed investment decisions for major projects due to the overall economic uncertainties.

In total, segment revenue increased in 2025 by a slight 1.2% year on year, from €507.5 million to €513.7 million. The segment thus achieved the growth forecast of 0% to 5%. The Process Technology segment's share of consolidated revenue fell in the reporting period to 9.1% (previous year: 9.6%).

Segment earnings

Despite the modest revenue growth, the EBITDA margin in the Process Technology segment rose from 9.7% in the previous year to 10.3% in 2025.

Despite the only slight increase in revenue, profitability in the Process Technology segment improved significantly in the reporting period. This was mainly due to the favourable product mix. The share of segment revenue accounted for by components (such as pumps and valves) increased in 2025 relative to the previous year. Strategic measures to improve efficiency also had a positive impact on profitability in the Process Technology segment.

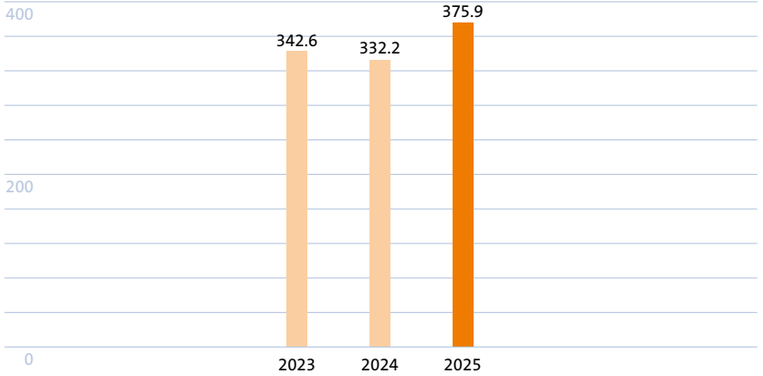
Earnings before interest, taxes, depreciation and amortisation (EBITDA) went up by 6.9%, from €49.5 million in the previous year to €52.9 million. The EBITDA margin improved to 10.3% (previous year: 9.7%). This means the segment slightly exceeded the margin target of 9% to 10% for 2025.

Intralogistics segment

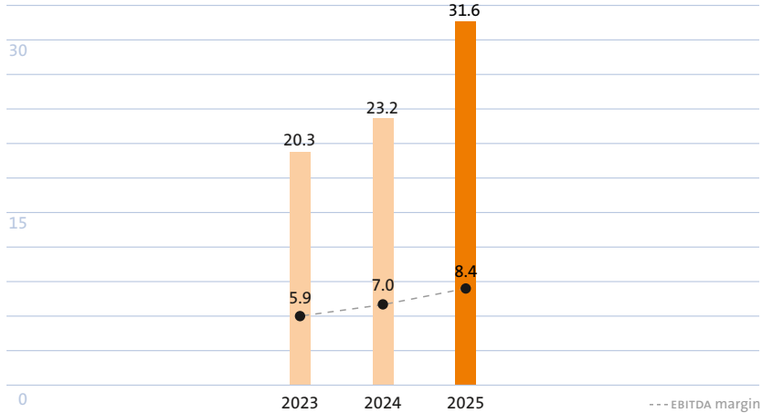


Intralogistics segment

Segment revenue (€ million)



Segment EBITDA (€ million) and EBITDA margin (%)



Segment revenue

Krones increased revenue in the Intralogistics segment by 13.2% to €375.9 million in 2025.

Overall, conditions on the international markets for intralogistics products continued to be challenging in the reporting period. Nevertheless, revenue in the Intralogistics segment outperformed the group. Revenue improved by 13.2% year on year, from €332.2 million to €375.9 million in 2025.

This increase was slightly below the full-year growth target of 15% to 20%. The main reason for this was that Krones focused more on smaller, high-margin projects in the reporting year. The Intralogistics segment's share of consolidated revenue increased in 2025 to 6.6% (previous year: 6.3%).

Segment earnings

The Intralogistics segment significantly improved its EBITDA margin in 2025 to 8.4% (previous year: 7.0%) and thus exceeded the margin target of 6.5% to 7.5%.

The increase in revenue and the focus on smaller projects with good margins are also reflected in the earnings performance of the Intralogistics segment in the reporting period. Profitability in the segment additionally benefited from a high level of flexibility and increasing efficiency. EBITDA (earnings before interest, taxes, depreciation and amortisation) consequently rose by 36.1% in the full year 2025 – significantly more than the increase in revenue – from €23.2 million in the previous year to €31.6 million.

The EBITDA margin improved significantly to 8.4% between January and December 2025 (previous year: 7.0%). This means the margin in the reporting period exceeded the guidance range of 6.5% to 7.5% for the full year 2025.

Overall assessment of **economic position**

Overall economic conditions were challenging in the 2025 financial year. According to figures from the International Monetary Fund (IMF), the global economy grew by 3.3% in the reporting period (2024: 3.3%). Growth was therefore below the long-term average of 3.7% (2000-2019).

Global demand for packaged beverages is rising steadily due to several megatrends. The market for filling and packaging technology is therefore generally less affected by economic cycles and Krones' customers continue to show robust willingness to invest. As one of the world's leading suppliers, Krones has been able to benefit from this and continue on its profitable growth path. Revenue and profitability increased further and Krones achieved all Group financial targets for the full year 2025.

Consolidated revenue went up by 7.0% year on year, from €5,293.6 million to €5,663.8 million. Krones has thus achieved the growth forecast of 7% to 9% for 2025. Group order intake also developed positively in the full year 2025 and, at €5,564.7 million, exceeded the previous year's already high figure (€5,460.7 million) by 1.9%. As expected, the book-to-bill ratio – the ratio of order intake to revenue – was close to 1, at 0.98 in 2025. Krones' order backlog at the end of December 2025 was €4,190.4 million (31 December 2024: €4,289.5 million) and will ensure production capacity utilisation well into the third quarter of 2026.

Krones further strengthened profitability in 2025. This was mainly due to efficiency gains in production and implementation of strategic measures to improve performance and cost structures. EBITDA increased by 12.2% in 2025 compared to the previous year, from €537.1 million to €602.3 million. Krones significantly improved the EBITDA margin from 10.1% to 10.6%. The company thus achieved its EBITDA margin target of 10.2% to 10.8% for 2025. The increase in consolidated net income to €299.2 million (previous year: €277.2 million) results in earnings per share of €9.45 for 2025 (previous year: €8.77).

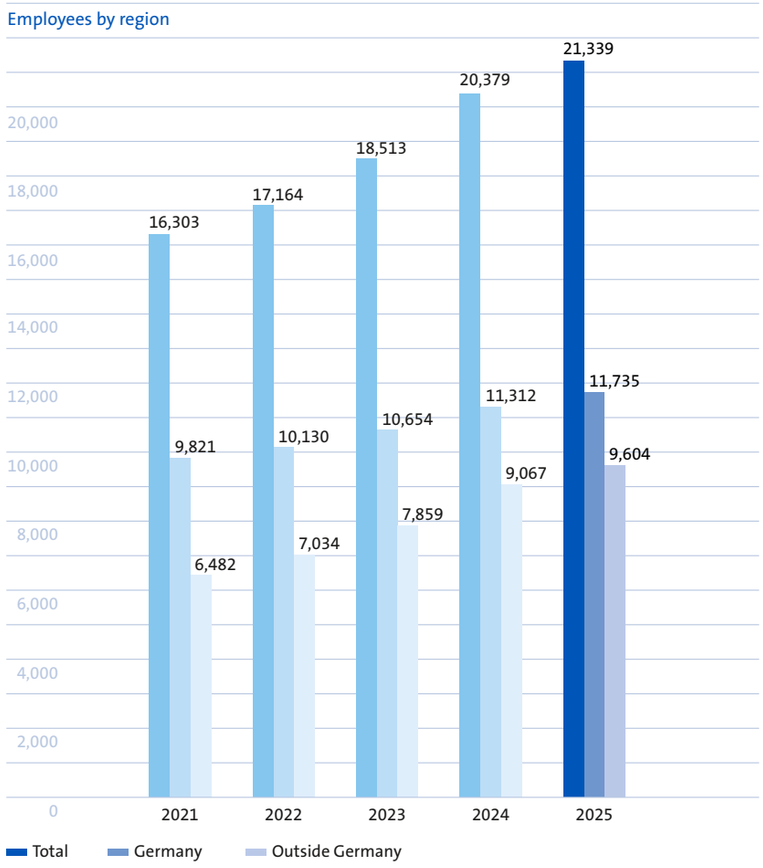
The company generated free cash flow of €247.7 million in 2025, €134.5 million higher than in the previous year (2024: €113.2 million). Free cash flow adjusted for M&A activities amounted to €282.9 million, nearly matching the previous year's very high level of €292.5 million. The ratio of average working capital for the past four quarters to revenue remained virtually stable at a low level in 2025, rising only slightly to 17.3% (previous year: 17.0%). Due to the higher earnings before interest and taxes, Krones improved ROCE – the third financial target alongside revenue growth and the EBITDA margin – from 18.2% in the previous year to 19.1% in 2025. It therefore met the ROCE target for 2025 of 18% to 20%.

The company's net cash (cash and cash equivalents less bank debt) amounted to €548.2 million at the end of 2025 (previous year: €439.9 million). The equity ratio improved to 42.2% (previous year: 40.5%) Overall, Krones continues to possess a very robust financial and capital structure.

Krones made a good start to the 2026 financial year. However, there are various unforeseeable factors that could have an impact on the company's business processes and production. These include geopolitical risks in Europe, the Middle East and other parts of the world. Uncertainty also surrounds global tariff policies, which could lead to a decline in world trade. Material shortages and problems in global supply chains remain a further source of uncertainty. The revenue forecast is also impacted by large exchange rate fluctuations.

Based on the prevailing macroeconomic outlook and the current expected development of the markets relevant to Krones, the company expects consolidated revenue growth, adjusted for currency translation effects, of 3% to 5% in 2026, with an EBITDA margin of 10.7% to 11.1%. For the third financial performance target, ROCE, Krones expects between 19% and 20% this year.

Krones **Employees**



Krones workforce increases to 21,339 worldwide

Due to the higher business volume, Krones increased the workforce in the reporting year by 960 employees or 4.7% to 21,339. Excluding around 70 employees added in acquisitions, the increase is 4.4%. The company thus increased revenue (up 7.0%) by more than the number of employees.

In the 2025 financial year, Krones increased the number of employees by 4.7% Due to the continued positive development of our international markets, the international workforce showed a disproportionately large increase to 45.0% of the total at the end of 2025 (previous year: 44.5%).

Outside Germany, the workforce grew by 537 or 5.9% to 9,604 employees. The reason for the disproportionately large increase is the ongoing positive development of our international markets and growth in the service business. The international share of the workforce rose to 45.0% at the end of the reporting period (previous year: 44.5%). Employee numbers in Germany grew by less than the workforce in the group as a whole, with an increase of 3.7% or 423 to 11,735. Here, too, the focus for new recruitment was on adding to service capacity.

Disproportionately large workforce growth in emerging markets

In 2025, Krones expanded its emerging markets workforce by 408 or 7.4% to 5,930 people – significantly more than the Group as a whole. This corresponds to 27.8% (previous year: 27.1%) of all employees.

The company plans to continue its above-average growth in emerging market regions, where Krones generates about 50% of consolidated revenue. This is an important pillar of Krones' strategy for achieving its mid-term growth and profitability targets. The company is laying the basis for this in the medium to long term by further increasing its workforce in such markets, primarily in the service business – despite the increasingly fierce competition for skilled labour. Proximity to customers has always been a key competitive advantage.

Much of the increase in the international workforce in 2025 was therefore in emerging markets. The number of employees in these regions grew in the reporting year by 408 or 7.4% to 5,930. Growth was strongest in South America (+153) and Asia/Pacific (+85). At the end of the reporting period, 27.8% of the Krones team was employed in emerging markets (previous year: 27.1%).

Development of the number of employees 2021–2025

Year	South America	Africa	Asia/Pacific	Eastern Europe	China	**Total**
2021	803	633	959	1,006	732	**4,133**
2022	871	671	1,023	1,092	802	**4,459**
2023	943	681	1,143	1,345	915	**5,027**
2024	1,006	753	1,237	1,528	998	**5,522**
2025	1,159	809	1,322	1,600	1,040	**5,930**

Another important and growing market for Krones is the USA, with significant local value generation. We further increased the number of employees here, to 1,596 in the reporting year.

All Krones employees of our company worldwide are a key factor in our company's long-term success. We have enhanced the employer brand derived from our vision "Solutions beyond tomorrow", highlighting what makes Krones special. This will enable us to attract new talent, strengthen the motivation and loyalty of the existing workforce, and thus counter the global skills shortage. Furthermore, Krones is maintaining high levels of investment in training and employee development so that the company can continue to rely on a highly qualified and motivated team.

Disclosures on **Krones AG (HGB-basis, i.e. German GAAP)**

Supplementary to the consolidated reporting, we present the performance of the parent company in the following.

In addition to its role as the largest operating company, Krones Aktiengesellschaft's business activities also include its role as the holding company of the Krones Group. The financial performance of Krones AG is significantly influenced by its direct and indirect subsidiaries. Krones AG also plays a central role in the group's financing.

The annual financial statements of Krones AG are prepared in accordance with the provisions of the Third Book of the German Commercial Code (Handelsgesetzbuch/HGB) and the supplementary provisions of the German Stock Corporation Act (Aktiengesetz/AktG). In accordance with Section 315(5) of the German Commercial Code (HGB), the management report of Krones AG has been combined with that of the group, reflecting the fact that, due to the common activities, the parent company's business performance, economic situation and future opportunities and risks are closely linked to those of the group.

Krones AG's earnings

€ million at 31 December	2025	2024	2023
Revenue	3,250.1	2,732.9	2,521.4
Total operating performance	3,332.9	3,186.5	2,970.8
EBITDA	76.0	73.9	121.2
EBIT	12.3	20.6	73.2
EBT	169.2	148.3	136.3
Net income for the year	158.7	137.5	125.0
Dividend per share	2.80*	2.60	2.20

* As per proposal for the appropriation of earnings available for distribution

Krones AG's revenue increased by 18.9% in 2025 compared to the previous year, from €2,732.9 million to €3,250.1 million. Revenue increased due to the higher volume of completed and invoiced customer projects. The Executive Board had forecast revenue growth in the high single-digit percentage range. Krones AG thus exceeded the target for the first of the key performance indicators (KPIs) in 2025.

Although total operating performance (revenue plus changes in inventories of finished goods and work in progress) rose by 4.6% in the reporting period, the cost of materials changed only slightly to €1,874.9 million (previous year: €1,865.7 million). One key reason for this is the positive impact of Krones AG's sophisticated production and procurement management. The material expense ratio (the ratio of goods and services purchased to total operating performance) improved to 56.3% (previous year: 58.6%).

Personnel expenses increased more rapidly than total operating performance, rising by 5.2% year on year from €886.7 million to €932.4 million in 2025. This mainly related to growth in the workforce and increased pay levels under collective agreements relative to the previous year. The number of employees at Krones AG increased in the reporting period by 3.6% or 344 people from 9,539 to 9,883. The personnel expense ratio (the ratio of personnel expenses to total operating performance) was 28.0% in the reporting period, compared to 27.8% in the previous year.

Other operating expenses increased in 2025 due to volume-related increases in warranty and other project-related provisions, rising transport costs and travel expenses, various IT and administrative services, and additional expenses in connection with trade fairs and exhibitions. In total, EBITDA (earnings before interest, taxes, depreciation and amortisation) rose by 2.8%, from €73.9 million in the previous year to €76.0 million.

At €63.7 million, depreciation and amortisation of fixed assets was €10.3 million higher than the prior-year figure. As a result, the second key performance indicator – EBIT (earnings before interest and taxes) – fell from €20.6 million to €12.3 million. Krones AG thus did not meet the forecast of positive EBIT in the mid double-digit million euro range.

In contrast, net financial and investment income rose from €127.7 million to €156.8 million due to higher dividend payments and lower interest expenses. After taxes, Krones AG's net income for the year rose by €21.2 million to €158.7 million (previous year: €137.5 million).

Assets and capital structure of Krones AG

€ million at 31 December	2025	2024	2023
Fixed assets	1,123.8	1,030.2	826.6
Current assets and prepaid expenses	1,507.1	1,541.3	1,588.1
of which cash and cash equivalents	192.8	181.3	166.2
Equity	1,001.6	925.0	857.0
Total debt	1,629.3	1,646.5	1,557.8
Provisions	499.2	478.4	494.9
Liabilities	1,130.1	1,168.1	1,062.7
Total	**2,630.9**	2,571.5	2,414.8

Fixed assets increased as of the 2025 reporting date, largely due to capital expenditure on site expansions and software. In financial assets, shares in affiliated companies increased by €32.6 million to €506.9 million, mainly due to the acquisition of Can Systems Worldwide.

Krones AG's current assets decreased by €37.1 million to €1,490.9 million in the reporting period (previous year: €1,528.0 million). While inventories decreased by €101.5 million from €911.7 million to €810.2 million, mainly due to higher payments received on account of orders, receivables and other assets increased by €52.8 million to €487.9 million (previous year: €435.1 million). €33.0 million of the increase is due to a rise in receivables from affiliated companies.

Cash and cash equivalents increased from €181.3 million to €192.8 million. As Krones AG has no bank debts at the reporting date, cash and cash equivalents at the end of 2025 also correspond to net cash. At 31 December 2025, Krones AG had available credit lines of €878.9 million.

Krones AG's total liabilities decreased from €1,168.1 million in the previous year to €1,130.1 million. Trade payables increased to €467.5 million (previous year: €445.8 million), while liabilities to affiliated companies decreased to €592.3 million (previous year: €644.0 million). Provisions at Krones AG rose to €499.2 million (previous year: €478.4 million), primarily due to increased warranty and other project-related provisions.

Equity rose to €1,001.6 million (previous year: €925.0 million) due to the net income for the year of €158.7 million and despite the dividend distribution of €82.1 million. The equity ratio improved from 36.0% in the previous year to 38.1%.

Krones AG increases dividend proposal for 2025 to €2.80 per share

Due to the positive development of net income, the Executive Board and Supervisory Board have decided to propose a dividend of €2.80 per share (previous year: €2.60 per share) for the 2025 financial year at the Annual General Meeting on 9 June 2026.

Report on expected developments for Krones AG

From the 2026 financial year onwards, Krones Aktiengesellschaft's business will be managed on the basis of the two key performance indicators total operating performance and net income for the year. Total operating performance replaces revenue, the key performance indicator used until 2025, as total operating performance is more meaningful for the mechanical engineering industry than revenue. Net income for the year replaces EBIT, the second key performance indicator until 2025, because net income for the year better reflects the holding and financing function of Krones AG than EBIT.

Based on the current general economic outlook, Krones AG expects similar figures for total operating performance and net income for the year in 2026 as in the 2025 financial year.

Non-financial statement



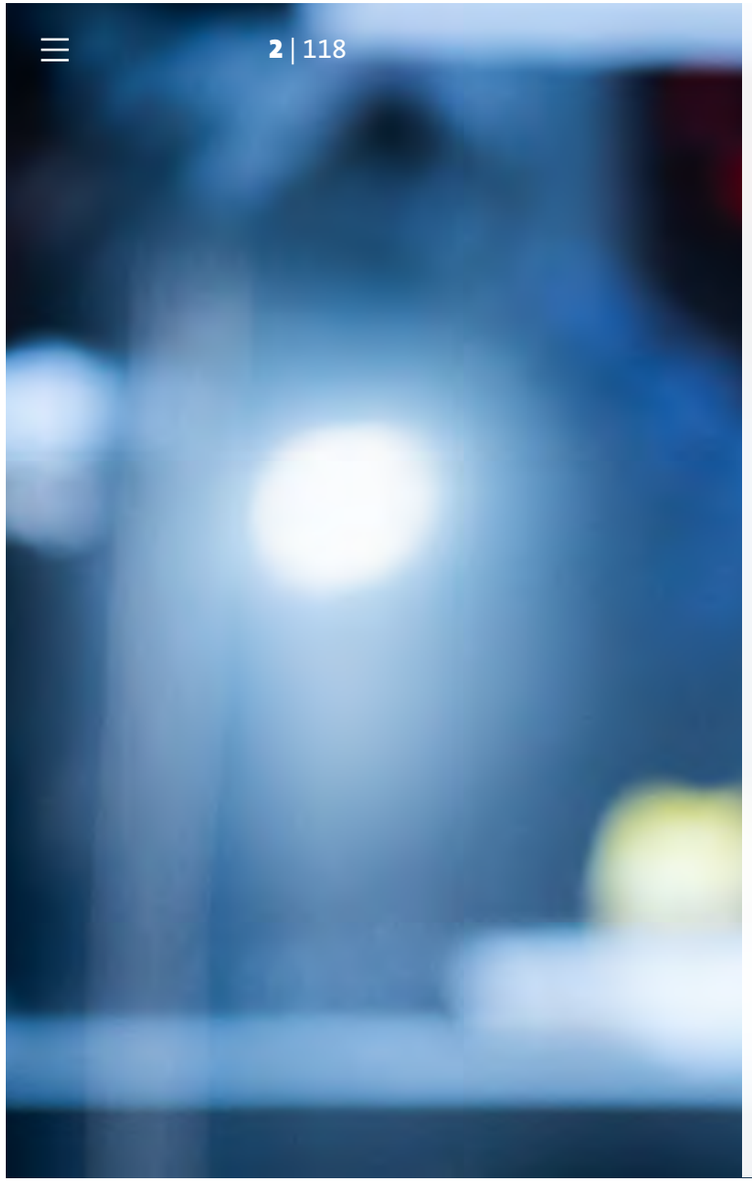


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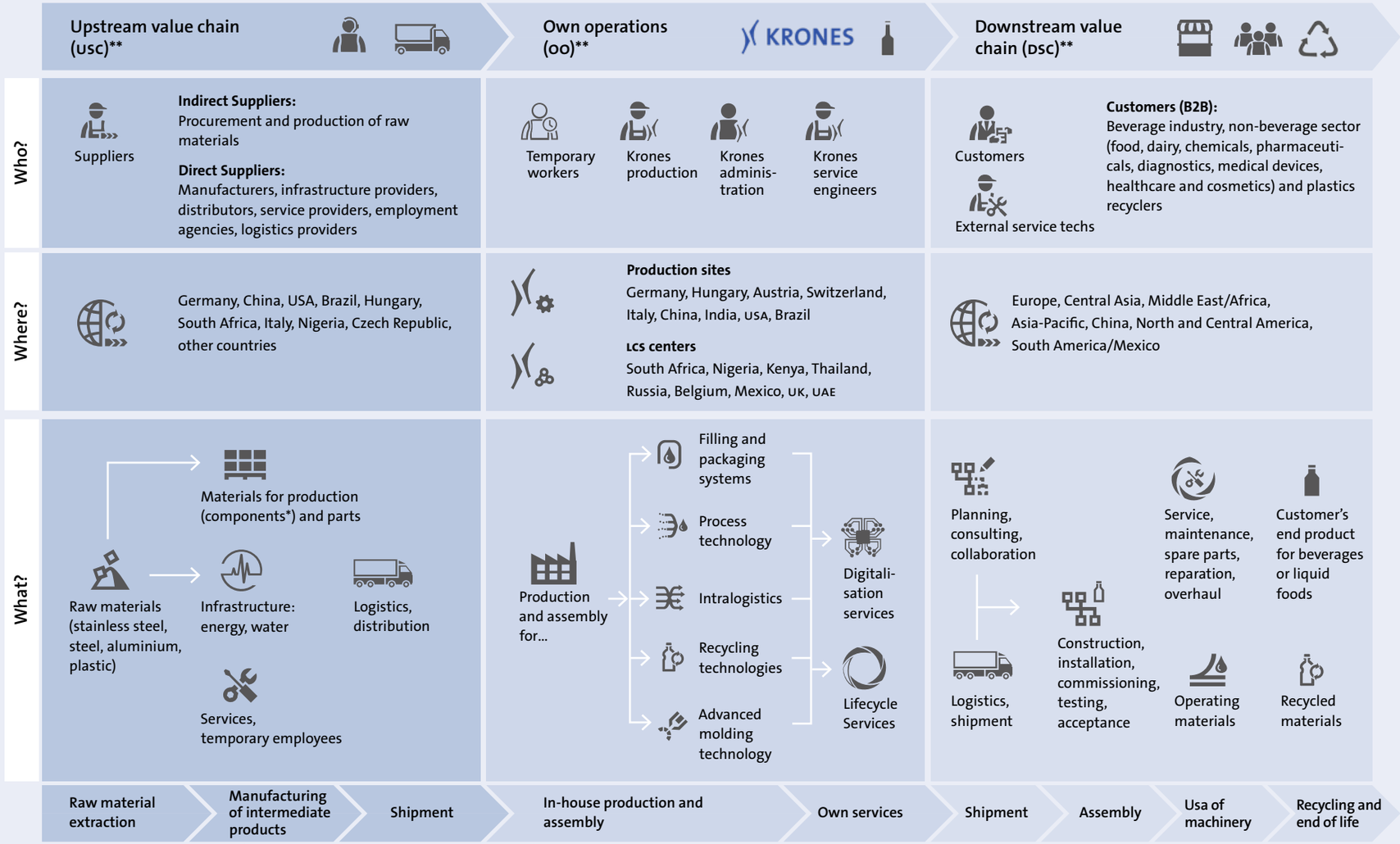
General disclosures (ESRS 2)

About the non-financial statement

The Krones Group's combined non-financial statement transparently reports on the company's sustainability performance at consolidated level in a single document. It explains the material impacts, risks and opportunities (IROs) related to sustainability topics, both within the company and along the entire value chain. The scope of consolidation for the combined non-financial statement of the Krones Group goes beyond the scope of consolidation for financial reporting and includes all entities for which material IROs have been identified. In accordance with Sections 289b et seq. and 315b et seq. of the German Commercial Code (HGB) and Article 8 of the EU Taxonomy Regulation 2020/852, this section of the management report is the combined non-financial statement for the 2025 financial year for Krones AG and the Krones Group. *Further information under "Notes" on page 193.* In order to prepare for future reporting requirements under the EU Corporate Sustainability Reporting Directive (CSRD), the current version of the European Sustainability Reporting Standards (ESRS) has been used in its entirety as a voluntary reporting framework. To ensure that all disclosures follow a uniform timeline, the time horizons used in the sustainability statement are consistent with the requirements of ESRS 1.6.4. The short-term horizon (S) corresponds to the reporting period of the consolidated financial statements and relates to up to one year. Prior-year figures are additionally included for comparison purposes and to bring out trends. The medium-term horizon (M) relates to a period of more than one year and up to five years. The long-term horizon (L) comprises periods of more than five years. Other parts of the management report are incorporated by reference. This is indicated where applicable. *Further information under "Index" on page 187.* Krones publishes all relevant information on intellectual property and innovations without any restrictions on disclosure. On behalf of the Supervisory Board, EY GmbH & Co. KG Wirtschaftsprüfungsgesellschaft conducted an independent limited assurance engagement on the sustainability statement in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised).



The Krones **value chain**



* Krones indirectly purchases chemicals (adhesives, lubricants, cleaning agents and disinfectants) for resale

** USC: upstream value chain; OO: own operations; DSC: downstream value chain

Further information under "Krones at a glance" on page 46.

Reporting standards

Group-wide Sustainability Accounting Guidelines provide the uniform basis for the definition, calculation and presentation of sustainability information. In the context of sustainability reporting, there is an inherent risk of providing inaccurate, incomplete or misleading information. Policies, work instructions and manuals are implemented to identify and reduce this risk. Control mechanisms in internal control systems serve to ensure the accuracy and completeness of the sustainability reporting and thus the disclosure of precise, complete and clear information. The processes are continuously monitored for effectiveness and adjusted as necessary. A process review identified potential sources of error and led to improvements that enhance data integrity. Employees involved in the processes are also provided with training to improve data collection and processing and ensure that estimates are reliable.

Sustainability-related quantitative metrics to be determined are collected by the operating departments and are generally based on process data systems, measurements, readings, calculations and procurement data. Financial information is taken from financial reporting, which is prepared in parallel. Any adjustments and changes to sustainability data – whether in terms of definition, calculation or presentation – are clearly identified and communicated. The complexity and heterogeneity of information items necessitates the use of estimates and assumptions. Where estimates and assumptions are necessary, steps are taken to ensure that they are based on sound empirical values and have been subjected to careful plausibility checking in accordance with the dual control principle. For smaller, non-production sites where data is incomplete, estimates have been made based on comparable sites. The main parameter for such estimates is the number of employees, which provides an appropriate and relevant basis for comparison to ensure consistent and proportional estimation of sustainability performance. To increase the transparency and understandability of the metrics, additional assumptions underlying each metric are explained in context. To ensure continuous improvement in the accuracy of estimated metrics along the value chain, data collection and calculation methodologies are reviewed and improved on an annual basis.

The material content and topics covered in the non-financial statement are the same as in the previous year. Adjustments due to methodological changes are explained where applicable. Datapoints that could not be reported in full in the previous year have been added and included for this reporting period.

Sustainability in the business model

The Krones Group is a globally leading provider of packaging and filling technologies for the food and beverage industry, whose business model and supply chain depend to a large extent on sustainability-related factors. The products of the Krones Group – from bottle washers, fillers, labellers, inspection equipment, complete packaging lines and recycling systems to process technology and intralogistics solutions – ensure the hygienic and high-quality production, filling and packaging of foods and beverages. At the same time, they have a significant ecological footprint in production and use. Workers in the value chain are the foundation of the business model, as they are crucial for development, production, service and operations. Sustainability-related economic risks and opportunities are based on customers' efforts to increase resource efficiency, consumers' increasingly sustainability-conscious purchasing decisions, and legal requirements.

Sustainability is a central pillar of the "Solutions beyond tomorrow" vision. Sustainability considerations therefore inform the group's strategic decisions and operational processes.

To reduce the negative impacts and advance the positive impacts of the Krones business model, Krones undertakes targeted capital expenditure, innovation projects and process optimisation. The business model is reviewed for adaptability and resilience in a changing market environment at regular strategy meetings, addressed in a targeted manner by strategic initiatives and promoted through employee training and development. In a structured internal analysis process as part of medium-term strategic planning, sustainability-related resilience is assessed over a period of three financial years. This is based on specialist input from relevant corporate units and on benchmark and market analyses, whose ESG-related implications are qualitatively assessed and taken into account in the further strategy process. Risk management and due diligence control processes aim to reliably assess the impact of business activities and transparently safeguard Krones' value chain inputs. *Further information under "Krones at a glance" on page 46.*

Materiality assessment

The double materiality assessment carried out for the first time in 2024 was updated in the reporting year. In order to apply an integrated approach to risk assessment, the materiality thresholds for impacts, risks and opportunities were raised and adjusted in the course of the updating process from "important" to "significant" (for impacts from 8 to 10 on a scale of 0–15 and for for risks and opportunities from 3 to 4 on a scale of 0–5). Under the double materiality principle, information must be provided on a topic if the assessment identifies a material impact on people or the environment or identifies a financial impact on Krones. The materiality assessment incorporated a range of methodologies and assumptions, including stakeholder analysis, stakeholder engagement, value chain analysis and engagement, and the application of specific assessment criteria and thresholds.



Stakeholder engagement and validation

Topic-related and in-house experts from various business units and corporate functions were involved in carrying out the double materiality assessment. In place of direct consultation and evaluation of material topics by external stakeholders, the actual and potential impacts, risks and opportunities were assessed by proxy by the company's direct contact persons for each stakeholder group. This proxy assessment is based on experience and regular dialogue with stakeholders. The results were plausibility-checked by the Sustainability Steering Board, validated by the Executive Board and approved by resolution. *Further information under "Interests and views of stakeholders" on page 129*. The Supervisory Board is also informed of the results via the Executive Board's regular reporting. The material topics and the associated impacts, risks and opportunities are included in the monitoring of the corporate strategy, in decision-making processes and in risk management. *Further information under "Risk and opportunity report" on page 194*.

Methodology and assessment criteria

The materiality assessment process began with the compilation of a longlist of potentially material topics, taking into account both ESRS requirements and entity-specific characteristics in relation to Krones. The resulting topic list provided the basis for the systematic analysis of the positive and negative impacts, risks and opportunities along the Krones Group's value chain. The process takes into account the impacts in which Krones is involved through its own operations or business relationships and is designed to identify specific activities, business relationships, geographies or other factors that give rise to heightened risk of negative impacts. Materiality was measured using predefined assessment criteria and thresholds based on the recommendations of the European Financial Reporting Advisory Group (EFRAG).

A sustainability topic is classified as material if it is associated with either significant positive or negative impacts on people and the environment or with significant financial risks or opportunities for Krones. The impacts are assessed on the basis of severity – in terms of scale, scope and remediability – and the likelihood of impact in the case of potential impacts. Financial risks and opportunities were assessed in terms of their potential impact on cash flow, financial performance, financial position, cost of capital or access to finance, taking into account the relationships between business impacts and dependencies and the financial risks and opportunities that can be inferred from them. It is also taken into account that risks and opportunities do not necessarily have to be under Krones' direct control.

Assessment criterion	Description	Scale
Scale	How grave the impacts are	None to very high
Scope	How widespread the impacts are	None to global
Remediability	How readily the impacts can be remediated	Very easily remediable to irremediable
Likelihood of occurrence	The likelihood of occurrence of the impact	Very low to high
Magnitude of the financial impact	The size of the financial loss or gain	None to very high

The table shows the assessment criteria used in the materiality assessment.

Results

The material topics identified in this way inform the company's strategic management and comprise the basis for qualitative and quantitative reporting in accordance with ESRS. The related material information was determined from the assessment of topics on a datapoint-specific basis. Based on the IROs identified as material, it was determined which information was to be disclosed in order to enable an adequate understanding of the respective impacts, risks, and opportunities and to support informed decision-making by stakeholders.

Materiality matrix

Topical standard	Material sustainability topic	Financial impact of risks*	Financial impact of opportunities*	People and society**
Environmental topics				
E1	Climate change adaptation	●●●	●●○	⊗
	Climate change mitigation	●●●	●●●	⊗
	Energy	●○○	●●○	⊗
E3	Water	●●○	●●○	⊗
E5	Resource inflows	●●○	●○○	⊗
	Resource outflows	●○○	●●○	⊗
Social topics				
S1	Working conditions	●●○	●○○	⊗
	Equal treatment and opportunities for all	●●○	●○○	⊗
	Other work-related rights	●○○	●○○	⊗
S2	Working conditions	●●○	●○○	⊗
	Equal treatment and opportunities for all	●○○	●○○	⊗
	Other work-related rights	●●○	●○○	⊗
Governance topics				
G1	Business conduct	●●●	●○○	⊗
	Corruption and bribery	●●○	●○○	⊗
	Management of relationships with suppliers	●○○	●○○	⊗
	Digital responsibility***	●●●	●○○	⊗

* The financial assessment of risks and opportunities is based on the company's internal risk management categories. The main IROs are considered cumulatively by topic and presented in clusters with a low (●), medium (●●) and high (●●●) financial impact. For the underlying monetary estimates, please see the risk and opportunity report. *Further information under "Risk and opportunity report" on page 194.*

** ⊗ represents materiality due to impact on people and society

*** Krones-specific disclosure

The time horizons over which Krones' business activities are expected to have a significant impact on the environment and society vary, reflecting the complexity of the company's global operations. Group Risk Management includes sustainability-related risks in its twice-yearly risk inventory. Risks can be reported informally at any time by submitting an ad-hoc report. *Further information under "Risk and opportunity report" on page 194.*

As the outcome of the materiality assessment, six out of ten topics are material for Krones. The sustainability-related impacts, risks and opportunities associated with the material topics are presented in detail in the topic-specific sections.

Matters that are not currently classified as material in the materiality assessment will continue to be monitored and addressed through relevant management processes to ensure comprehensive management of sustainability performance. In the context of external corporate communications on all sustainability issues, stakeholders – and in particular affected communities – are involved regardless of materiality. With regard to environmental matters, this relates in particular to Pollution (E2) and Biodiversity and Ecosystems (E4), which were not assessed as material for reporting purposes. The pollution impact of the business activities was examined by looking at the topics of pollution, substances of concern and microplastics with the involvement of relevant stakeholders. No sites or activities were identified along the value chain where pollution poses a specific risk. In terms of biodiversity, the Krones sites were assessed as having limited influence as they are predominantly in long-established industrial and commercial zones. Krones does have sites close to biodiversity-sensitive areas, but the activities at those sites do not lead to a deterioration of natural habitats or disturbance of protected species.

The assessment takes into account the perspective of local communities, although no consultation took place on sustainability assessments with regard to shared biological resources and ecosystems. When developing new sites for use, preliminary assessments are carried out in consultation with the authorities. Sectoral and regional information in particular was incorporated into the identification and assessment of IROs for the entire value chain. Use is also made of recognised screening tools that cover physical, regulatory and reputation risks. Interactions with other environmental topics are included in this. As part of screening, established assessment tools were used to consider dependencies, physical risks and transition risks in connection with ecosystem services. Climate change not only poses a significant threat to ecosystems, but also directly impacts biodiversity. Changing climatic conditions endanger the habitats of numerous species and highlight the interdependencies between climate change mitigation and biodiversity. Krones' dependencies in relation to ecosystems, such as the availability of water and raw materials, were therefore also taken into account when identifying and assessing the IROs. The assessment shows no need for remedial action in relation to biodiversity. *Further information under "Interests and views of stakeholders" on page 129.*

Sustainability targets

Further information under "Krones' strategy" on page 55.

The Krones Group's sustainability goals were officially adopted by the Executive Board in 2020. In 2024, they were subjected to a review in which twelve environmental, social and governance (ESG) key performance indicators were selected to manage sustainability along the value chain through to 2030. The targets will be reviewed as needed in the future on the basis of new materiality assessments, legal and regulatory requirements and stakeholder interests.

Various departments were involved in specifying the sustainability targets in order to ensure a comprehensive and integrative target setting process. The base year for each target is the year in which the target was adopted. No further analysis was conducted to determine the representativeness of the base years. In defining the targets, Krones applied an integrated approach encompassing internal requirements, external stipulations and benchmarking. The process included workshops in which the relevant departments discussed the business processes and legal requirements in order to develop uniform targets. Involvement of the Works Council in the development process was ensured by its presence on the Supervisory Board. The targets were finally reviewed and adopted by the Executive Board. The sustainability targets and their development process were publicly communicated and were also presented at Capital Markets Day in order to ensure transparent communication with investors and analysts. No interim targets were specified in the course of target setting

Target levels have not so far been defined for specific material IROs, as circumstances and dynamic trends limit the ability to translate specific topics into set targets. However, continuous improvement of material IROs is aimed for even without formal target-setting. The focus in such cases is on flexible management based on measures for effective and appropriate implementation in the given context. Responsibility for planning and implementing measures of this kind lies with the relevant departments. For systematic assessment, a measure-testing process has been introduced that evaluates the effectiveness of the measures and contributes to continuous improvement. All identified impacts are incorporated into policies and monitored in defined processes that include both data analyses and audits. Progress is assessed qualitatively and is incorporated into the further development of sustainability activities.

Actions implemented for the purpose of target achievement are described in the relevant parts of the topic-specific sections under “Climate change”, “Water resources”, “Resource use and circular economy”, “Own workforce”, “Workers in the value chain” and “Business conduct”. The departments involved work continuously on implementation and adjust strategies to maximise the effectiveness of the actions. The categorisation of actions into short, medium and long-term describes their timeframe. Actions assigned to all three time horizons are implemented as a continuous and ongoing process.

An additional framework for the implementation of actions is provided by the management systems established at Krones. These are based on internationally recognised standards such as ISO 14001 (environmental management), ISO 45001 (occupational health and safety), ISO 50001 (energy management) and ISO 27001 (information security), and are certified accordingly.

Progress with the actions is monitored with the metrics listed in the respective sections. The process of quantitative data collection, verification and consolidation in the Krones Group is implemented in centralised software. To ensure the comparability and accuracy of the reported data, all metrics are converted into a standardised reference unit directly in the software. Uniform conversion factors are applied to enable consistent and efficient data processing. The Executive Board holds coordination meetings on sustainability topics at six-weekly intervals so as to bring the management of sustainability objectives into the top tier of company leadership. Progress in target achievement is monitored and assessed on a quarterly basis as part of reporting to the Executive Board. In this reporting, the twelve sustainability key performance indicators are tracked and strategic decision-making inputs formulated regarding the company’s sustainable development.

The reporting includes detailed information on how the targets are monitored, an assessment of whether progress is in line with the targets as originally planned and an analysis of trends or significant changes in performance. This structured approach makes it possible to accurately assess target achievement, respond quickly to any off-target performance and make any necessary adjustments. Any external validations of targets and key figures is noted.

To channel investment towards measures promoting target achievement, investment project applicants are required to assess their projects against a list of ESG criteria as part of the budgeting and investment process. After a review by Corporate Sustainability, relevant ESG-related investment is given a green flag for the subsequent investment application process. This highlights its contribution to Krones' sustainability targets.

Contribution to the Sustainable Development Goals

As it is embedded in global value chains, the Krones Group influences economic, environmental and social developments – in some cases directly and materially, and in others only indirectly and to a minor degree. In developing the corporate vision of "Solutions beyond tomorrow", Krones analysed which of the 17 Sustainable Development Goals defined by the United Nations (UN) in the UN Agenda 2030 have an impact on Krones' strategic goals.

Sustainability governance

Sustainability is embedded in the Krones Group's corporate vision as a strategic focus. The company's resulting sustainability transition is managed by the Executive Board, with the Chief Executive Officer (CEO) having overall responsibility for sustainability. Target achievement and the implementation of action is assigned to the departments responsible for the Environment, Social and Governance dimensions of sustainability. Corporate Sustainability, which reports directly to the CEO, serves as a catalyst for the sustainable transformation of Krones along the entire value chain.



Corporate Sustainability ensures data-based transparency, coordinates the sustainability targets, empowers employees and monitors performance and target achievement, which it regularly reports to the Executive Board. A group-wide network of sustainability coordinators supports the corporate unit and drives sustainability in the international subsidiaries. The material sustainability topics and the associated impacts, risks and opportunities are regularly discussed and prioritised at management level. Internal bodies such as the Sustainability Steering Board support coordination and the strategic orientation. Information on general corporate governance at Krones can be found in the Corporate Governance Statement or under *"Governance information" on page 178. Further information under "Materiality assessment" on page 122 and under "Corporate Governance Statement" on page 218.*

The role of the administrative, management and supervisory bodies

In the Corporate Governance Statement, the Executive Board and Supervisory Board report on the company's corporate governance. The responsibilities of the Krones Group Executive Board and Supervisory Board are governed by rules of procedure. As in the previous year, the Executive Board consists of five executive members, 20% of whom are women, while the Supervisory Board consists of 16 non-executive members, 37.5% of whom are women.

Further information under "Duties and activities of the Executive Board and the Supervisory Board" on page 230 and under "Sustainability targets" on page 125.

An overview of the composition and competencies of the Supervisory Board is presented in the profile of skills and expertise. All members have the necessary skills to fulfil their advisory and supervisory role for sustainability topics and the impact of these topics on the strategy and business model. The members of the Executive Board also each have the sustainability expertise and experience necessary for their areas of responsibility. This is continuously supplemented by regular reporting from Corporate Sustainability.

The Executive Board and Supervisory Board are able to assess industry-specific and entity-specific impacts, risks and opportunities on the basis of their many years of industry experience, subject-matter expertise and understanding of Krones› specific challenges and circumstances. *Further information under "Status of implementation of the profile of skills and expertise" on page 225*

Clear roles and responsibilities are defined for the monitoring of IRO management. The Executive Board sets the targets and monitors sustainability performance, whereas responsibility for carrying out the materiality assessment and IRO management is delegated to Corporate Sustainability. The Executive Board is provided with quarterly updates on progress towards the sustainability targets. In managing the IROs, necessary determinations were made regarding prioritisation and implementation timing. The Supervisory Board monitors implementation of the sustainable corporate strategy and compliance with regulatory requirements.

Percentage of independent board members in the administrative, management and supervisory bodies*	▪ Total percentage on the shareholders side who are independent: 62.5% ▪ Percentage on the shareholders side who are independent of the Executive Board and the company: 87.5% ▪ Percentage on the shareholders side who are independent of controlling shareholders: 75%

*No change compared to previous year

Methodology

Sustainability matters are included in the policies that govern Executive Board remuneration. From the 2024 financial year onwards, ESG targets account for 20% of the target amount of the long-term incentives (LTIs), and further ESG targets are to be added in turn. In addition to Scope 1 and Scope 2 greenhouse gas (GHG) emissions, the LTI has also been based since the 2023 financial year on the percentage of women in management (Krones AG and Krones Group). Emissions are weighted at 70%, the percentage of women in leadership in the Krones Group is weighted at 20% and the percentage of women in management within Krones AG is weighted at 10%. *Further information under "Disclosures pursuant to Section 289f (2) 1a of the German Commercial Code" on page 231.*

Interests and views of stakeholders

Krones incorporates ongoing stakeholder communication into its sustainability initiatives, project design and processes. This ensures that stakeholders can contribute their views. The management and supervisory bodies are briefed on stakeholder interests in reports and meetings to ensure that those interests inform strategic decisions. The insights from this dialogue are incorporated into the due diligence processes and the double materiality assessment.

Krones has collective bargaining and works agreements with IG Metall, the metal workers' trade union, that safeguard the human rights of employees and provide insights into their perspectives through regular dialogue. As a member of the UN Global Compact since 2012, Krones is committed to continuous improvement and assesses the effectiveness of stakeholder engagement through structured tracking and analysis of interactions.

Stakeholder group	Stakeholder interaction	Examples	Purpose
Employees	Regular interaction, unidirectional; information on relevant ESG topics	Employee reviews; Executive Board members in dialogue; survey on the corporate vision; employee magazine; regular communication between Works Council and Human Resources	Engagement with employee expectations and experiences; contribution to an attractive and sustainable working environment; obtaining feedback on sustainability targets and scope for improvement
Customers	Regular interaction; discussions and collaboration for a sustainable portfolio	Customer meetings; customer support; business partner due diligence; trade fairs and events	Promoting trust and collaboration; sale of sustainable solutions; supporting customers in achieving their goals
Suppliers	Regular interaction; discussions and collaboration on ESG topics within the supply chain	Supplier meetings; business partner due diligence Audit formats; sustainability assessments; supplier days	Compliance with the Supplier Code and protection of human rights; decarbonisation of our supply chain
Investors	As the need arises, unidirectional; publication of ESG information and rating results at events/communication	ESG ratings and rankings, investor calls, Capital Market Days, regular information for investors	Understanding expectations; increasing transparency on sustainability performance
Auditors	As the need arises, bidirectional; interviews to validate ESG reporting	Audit meetings	Review of ESG reporting
Management	Regular interaction; collaboration on the company's sustainable development	Quarterly reporting; topic-specific communication; Corporate Sustainability	Strategic decision and deciding action
Supervisory Board	As the need arises, unidirectional with questions; communication of ESG information and rating results at events/communication	Meetings of the Audit and Risk Management Committee	Strategic decision and deciding action
Applicants	Regular interaction; selective interviews (rarely on ESG)	Job interviews, social media communication	Enhancing Krones' attractiveness as an employer and employee recruitment
Competitors	Regular dialogue in industry associations; mostly unidirectional; research on competitors' sustainability performance	Research/benchmarking	Competitiveness
Public and media	Regular interaction, unidirectional; information on relevant ESG topics and projects	Press release; communication channels (such as Krones magazine and social media)	Enhancing Krones' attractiveness for new employees; competitiveness; supplier and customer communication

Continuation of table on page 130

Continuation of table from page 129

Stakeholder group	Stakeholder interaction	Examples	Purpose
Research	Regular interaction; discussions and collaboration on sustainable portfolio	Joint workshops and research and development projects with universities	Problem solving; development of new innovations
Works Council	Regular interaction, bidirectional; information on relevant ESG topics	Works meetings; communication between Works Council and Human Resources	Engagement with employee perspective
Local communities	As the need arises, bidirectional; interaction on employment and infrastructure topics (such as water and energy)	Interaction in connection with local topics and events	Feedback on questions and concerns; positioning as an attractive employer
NGOs/Civil society	As the need arises, bidirectional, communication	Interaction in connection with local topics and events	Feedback on questions and concerns; positioning as an attractive employer
Trade unions	As the need arises, unidirectional with questions; communication of ESG information and rating results at events/ communication	Collective bargaining	
Organisations and agencies	Regular interaction, unidirectional; information on relevant ESG topics and projects	Questionnaires	Improving sustainability performance; competitiveness; customer communication

Further information under "Statement on due diligence" on page 193.

Superordinate documents related to sustainability

Policies and policy documents are drawn up by the relevant departmental management and approved by the Executive Board. Compliance with and the effectiveness of policies are monitored by regular internal audits and independent external audits. In some cases, this is done using certified management systems. The interests of relevant stakeholders are taken into account in dialogue-oriented development processes. Communication takes place via the corporate website, internal platforms such as the intranet, and Executive Board communications. Employees have unrestricted access to all valid documents through a central policy management system.

In the interest of all stakeholders, violations are systematically investigated and dealt with. All workers along the entire value chain and external stakeholders of the Krones Group have various means to be heard in the event of a violation. Besides direct contact with the company, the main point of contact is the Krones Integrity whistleblower system. The type of violation can be clearly specified here at the beginning of the reporting process. *Further information under "Whistleblower system" on page 184 and under "Investigation process" on page 184.*

The fundamental codes – the Code of Conduct and the Supplier Code – are derived from the company's corporate vision. These documents apply without exception to all workers and service providers along the value chain. Their purpose is to ensure compliance with laws, standards and policies throughout the company in order to foster a respectful and fair working environment.

Policy documents	Subject matter and objectives			Scope	Third-party standards and initiatives
	E	S	G		
Code of Conduct	General standards under the corporate vision of "Solutions beyond tomorrow" as part of the sustainable corporate strategy			Own workforce, suppliers and customers No specific groups – entire workforce	▪ Sustainable Development Goals (SDGs) ▪ United Nations Global Compact (UNGC) principles ▪ Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises ▪ International Labour Organization (ILO) core labour standards ▪ Ethical Trading Initiative (ETI) Base Code ▪ German Supply Chain Due Diligence Act (LkSG) ▪ Guiding Principles on Business and Human Rights ▪ International Bill of Human Rights ▪ UK Modern Slavery Act
	Environmental protection and climate change mitigation	Respect for human rights including human trafficking, prohibition of forced labour and child labour, anti-discrimination, diversity and inclusion	Anti-corruption; fraud prevention; conflicts of interest; competition; confidentiality; data protection; dangers of digital media		
Supplier Code (Supplemented by the Supplier Manual, including ESG requirements)	General standards under the corporate vision of "Solutions beyond tomorrow" as part of the sustainable corporate strategy – expectations regarding the ethical, social and environmental responsibility of business partners			Suppliers	
	Environmental protection and climate change mitigation	Respect for human rights including human trafficking, prohibition of forced labour and child labour, anti-discrimination, diversity and inclusion	Anti-corruption; fraud prevention; conflicts of interest; competition; cybersecurity; data protection		

Human Rights Statement

Subject matter and objectives	Scope	Third-party standards and initiatives
Human rights strategy – Why human rights due diligence and Krones belong together Topics: ▪ Governance and players ▪ Due diligence obligations ▪ Risk management ▪ Preventive measures ▪ Grievance mechanism ▪ Reporting and effectiveness control	Own workforce, suppliers and customers No specific groups – entire workforce	▪ SDGs ▪ UNGC principles ▪ OECD Guidelines for Multinational Enterprises ▪ ILO core labour standards ▪ ETI Base Code ▪ German Supply Chain Due Diligence Act (LkSG) ▪ Guiding Principles on Business and Human Rights ▪ International Bill of Human Rights ▪ UK Modern Slavery Act

Climate Transition Plan

Subject matter and objectives	Scope	Third-party standards and initiatives
Presentation of group-wide targets and strategic actions to achieve the climate targets as part of the business strategy* ▪ Positive contribution to climate change mitigation ▪ Transition to a low-emission circular economy ▪ Significant reduction in GHG emissions Transparent reporting on progress through annual update *(see "Targets", page 139)*	Entire value chain	▪ Paris Climate Agreement ▪ Greenhouse Gas Protocol ▪ Science Based Targets initiative

* The Climate Transition Plan was updated in the 2025 financial year. It describes how Krones adapts its strategy and business model in line with the transition to a sustainable economy and such that the climate targets are consistent with limiting global warming to 1.5 °C in accordance with the Paris Agreement and with the net zero target. Under the provisions on the EU Paris-aligned benchmarks in Delegated Regulation (EU) 2020/1818, Krones is not excluded from the EU Paris-aligned benchmarks.

Environmental information

Introduction to the management of environmental topics

Krones' group-wide environmental and climate targets form a key component of the corporate strategy. The corporate vision, "Solutions beyond tomorrow", addresses the three global challenges of mitigating climate change, responsible use of packaging materials and feeding the world, all of which are facets with significant environmental implications and impacts. As a technology group, Krones is dependent on resources for many value creation processes and therefore has an influence on resource production, use and disposal. The policies, targets, actions and metrics presented in the following serve to reduce the ecological footprint, increase environmental and climate resilience and advance the resulting business opportunities.

The sections that follow describe how Krones addresses the management of environmental matters along the value chain that are material for the company, specifically on the basis of disclosures relating to:

Climate change
- Climate change adaptation
- Climate change mitigation
- Energy

Water resources
- Water

Circular economy
- Resources inflows, including resource use
- Resource outflows related to products and services
- Waste

For the entire value chain, uniform documents apply that clearly define our obligations and expectations in terms of environmental responsibility: The Code of Conduct and Supplier Code of Conduct set out the core principles to which all employees and business partners must adhere. Alongside these, the Climate Transition Plan charts the company's path to the net zero emission target, including the implications of this target for other environmental topics (*see "Superordinate documents related to sustainability", page 130*).

Policy related to the management of environmental topics

As part of our sustainable corporate strategy, the following group-wide policy applies to environmental topics:

Further information under "Superordinate documents related to sustainability" on page 130.

Policy	General objectives	Key contents	Reference to third-party standards or initiatives	Scope	IROs that the policy relates to
Climate and Environment policy	▪ Definition of group-wide minimum standards for environmental protection ▪ Embedding of climate and environmental protection in business processes and projects	Climate change: ▪ Reduction of GHG emissions and energy consumption ▪ Promotion of energy efficiency ▪ Focus on own production and use of renewable energy ▪ Climate change adaptation actions Water and marine resources*: ▪ Standards for water management, water resources and water treatment ▪ Standards for water consumption and withdrawal (water consumption/withdrawal reduced to the necessary minimum) ▪ Proper wastewater management management (wastewater only discharged to designated infrastructure and treated before discharge if contaminated/significantly heated; no direct discharge to natural waters) ▪ Avoidance of surface sealing Resource use and circular economy: ▪ Promotion of the circular economy including implementation of the waste hierarchy (prevention, reuse, recycling, recovery, disposal) ▪ Mindful use of resources (integration of EcoDesign) *Further information under "EcoDesign guide" on page 134* ▪ Waste management including proper disposal	▪ SDGs ▪ UNGC principles ▪ European Green Deal ▪ ISO 14001/ISO 50001	▪ Binding on all Krones Group employees worldwide ▪ Applies along the entire value chain	▪ Climate change adaptation ▪ Climate change mitigation ▪ Energy matters ▪ Water ▪ Resource inflows ▪ Resource outflows

* Although group-wide application of the policy and the water reduction target is ensured, the reduction of water consumption in areas at water risk is currently not explicitly addressed.

Cross-cutting actions and resources for environmental topics

Further information under "Climate Transition Plan" on page 131, "Sustainability targets" on page 125 and "EU Taxonomy" on page 156.

Krones uses a series of interlinked, cross-cutting actions to successfully achieve the environmental targets along the entire value chain.

Sustainability programme for products: enviro [DSC, S/M/L]

The enviro sustainability program for machines and lines has been a central element of product sustainability at Krones since 2008. It was developed in collaboration with TÜV SÜD and focuses on the energy and media consumption as well as the eco-friendliness of Krones machines, lines and solutions. The associated processes are established within the enviro management system. Underlying it all is the enviro manual, which defines the principles of the management system, presents the assessment criteria and thus acts as a company-wide set of requirements for energy and media-efficient product design and optimisation.

Targeted technical improvements significantly reduce products' use-phase energy consumption and thus positively impact their use-phase energy footprint and greenhouse gas emissions (Scope 3, Category 3.11). These impacts are assessed using lifecycle assessments (LCAs) in accordance with ISO 14067:2018. The technologies' greenhouse gas savings compared to market standards are quantified and presented transparently using a specialised calculation tool. As well as energy efficiency, the focus is also on reducing media, and in particular saving water. The product water footprint is assessed under the criteria of the enviro management system along the improve, reduce, reuse hierarchy. Water efficiency measures are an integral part of machinery product development and a requirement for award of the enviro label. Another key aim of the program is promoting the circular economy. As part of the enviro Design programme, packaging innovations are evaluated against environmental performance criteria.

Reduction of the energy and water footprint of sold products; reduction of Scope 3 emissions of sold products; use of Krones technology to recycle plastic output from Krones lines

EcoDesign guide [USC/OO/DSC, S/M/L]

The EcoDesign guide was developed to help make sustainable decisions in development and thus in product design. Its purpose is to minimise the environmental impact of products during their life cycle. It aims to promote the use of resource-saving materials and optimise production and distribution processes in order to support a circular economy. The guide focuses product development on reducing the use of primary raw materials. It promotes the use of secondary materials by examining material alternatives, and prioritises waste prevention measures. These range from material-efficient selection to low-waste production and repairable, reusable and upgradeable components. By developing machinery that uses less material, Krones helps reduce the emissions related to the machinery's manufacture. The enviro sustainability programme plays an active role in the product development process, purposefully integrating ecological design aspects. To ensure that development work is guided by the principles of environmental sustainability, ongoing development projects are evaluated on the basis of a checklist and managed by way of milestones that incorporate enviro requirements into the product development process.

Reduction of Scope 3 emissions in upstream processes; Scope 1 and 2 emissions in own operations; Scope 3 emissions of products sold; energy and water footprint of products sold; water and hazardous waste in own operations

Integrated energy and sustainability consulting [DSC, S/M/L]

Krones assists in the planning and optimisation of production facilities from a sustainability perspective. The range of services includes energy and sustainability studies, supply system audits, energy and media supply solutions and project support during planning and implementation. The aim is to improve energy efficiency, ensure compliance with legal requirements and reduce carbon emissions.

Reduction of the energy and water footprint of sold products; reduction of Scope 3 emissions of sold products

Lifecycle assessments for product packaging [DSC, S/M/L]

Accordingly, Krones offers customers science-based advice about the environmental pros and cons of each packaging variant for their use case. The toolset used includes a software-based solution that makes it possible to compare the environmental impacts and establish environmental performance reports for individual packaging solutions. Krones also offers customers comprehensive consultancy services on the topic of lightweighting bottles and of increasing the number of cycles on returnable bottle lines, using simulation to identify the right custom bottle shape and fill temperature.

Reduction of the energy and water footprint of sold products; reduction of Scope 3 emissions of sold products; use of Krones technology to recycle plastic output from Krones lines

Development of sustainable product solutions [DSC, S/M/L]

Developing and marketing products that are more energy-efficient than existing technologies helps reduce greenhouse gas emissions for end customers. As part of strategic portfolio planning, research and development and the various product lines drive the continuous development and improvement of products and system solutions. One example of this innovative approach is the new Ingeniq line concept, which is based on modular and standardised components and integrates the use of robotics and artificial intelligence. It has been initially implemented for the filling of still water in PET bottles, with other container types already planned. Ingeniq is supplemented with digital interfaces for remote support and a modular service agreement under which Krones assumes responsibility for performance and life cycle costs together with the customer. The Returnable Line of the Future, the Can Line of the Future and the Advanced Aseptic development programmes reflect the aim of providing sustainable and future-ready solutions for various packaging types and requirement profiles.

Reduction of the energy and water footprint of sold products; reduction of Scope 3 emissions of sold products; reduction of water in own operations; use of Krones technology to recycle plastic output from Krones lines

Circular economy and renewable raw materials projects [DSC, S/M/L]

In various development projects, Krones pursues approaches for material recovery and the use of renewable raw materials. Subsidiary Steinecker GmbH has developed Phoenix BMC, a system for making use of brewery residues. These are converted into protein hydrolysate and liquid mineral fertiliser, which can then be sold on. The residual solids are used to generate energy in a biogas plant, thus further increasing the efficiency of the biomass processing. The approach contributes to the reduction of organic waste and the retention of materials in the circular economy. Krones is also investigating the technical and environmental suitability of alternative packaging materials. The aim is to identify materials that are recyclable, reusable or bio-based and can be processed with existing and new machinery. The knowledge gained is incorporated into the further development of technology platforms and takes into account both environmental requirements and production-related conditions.

Reduction of Scope 3 emissions of sold products; use of Krones technology to recycle plastic output from Krones lines

Transparency and emission reduction in the value chain [USC/DSC, S/M/L]

Upstream

Krones actively collaborates with suppliers to reduce the carbon footprint of purchased products. Suppliers' greenhouse gas emissions are analysed and quantified. For better comparability and transparency, suppliers are asked to provide primary data in the form of cradle-to-gate product carbon footprints. Krones also expects strategically relevant suppliers who have a significant influence on upstream Scope 3 emissions to set ambitious climate targets that are validated by the Science Based Targets initiative (SBTi).

Downstream

The aim is to continuously improve data quality on machinery in order to support customers in the preparation of sustainability reports, TCO analyses and competitive comparisons. To this end, a central ticket system has been implemented for energy and media data. This system serves to enhance transparency, promote standardisation and enable the continuous improvement of data quality.

Reduction of Scope 3 emissions in upstream processes; reduction of Scope 3 emissions of sold products

Climate change (ESRS E1)

The production sites within the Krones Group consume energy for power, heat and transport. This can only be sustainable if the energy comes from renewable sources. The bulk of greenhouse gas emissions are generated indirectly in the upstream and downstream value chain. The products are mainly made of stainless steel, steel, aluminium and plastic materials whose extraction and processing consumes a lot of energy. Purchased components and services also contribute to emissions in the upstream supply chain. As a technology group, Krones supports its customers in reducing emissions through innovative solutions and technologies. By deploying technological expertise, customers can be supported in achieving their climate targets, which in turn helps reduce indirect emissions in the downstream value chain as part of Krones' carbon footprint.

Corporate Sustainability serves as the central coordinating, advisory and monitoring body for managing the climate change-related impacts, risks and opportunities. In this capacity, it reports directly to the CEO and provides the Executive Board with six-weekly reports on progress and target achievement. The climate targets set by the Executive Board apply throughout the group and have been validated by the SBTi. They are thus based on scientific criteria for limiting global warming to 1.5 degrees Celsius.

Impacts, risks and opportunities related to climate change

IRO cluster	Description	Type	Value chain: Upstream	Value chain: Own operations	Value chain: Downstream	Time horizon: Short-term (< 1 year)	Time horizon: Medium-term (1–5 years)	Time horizon: Long-term (> 5 years)
Negative impacts of insufficient action to adapt to climate change*	Insufficient action to adapt to climate change (such as little or no building refurbishment, failure to change supply sources or failure to adapt the portfolio) can negatively impact the company's financial stability, employee wellbeing, society and the environment.	Negative impact (potential)	●	●	●		●	
Reputational risks and costs due to (lack of) adaptation	Insufficient adaptation to physical climate change and associated transition processes can affect the confidence of financial market participants and negatively impact enterprise value*. Transition risks require investment to strengthen resilience to climate-related changes. At the same time, environmental disasters can cause severe disruption to operations, for example by preventing affected employees from working.	Risk	●	●	●		●	
Opportunities due to increased demand	Business opportunities may arise for Krones as the physical effects of climate change lead to increased demand for and consumption of packaged beverages and liquid foods.	Opportunity			●		●	
Contribution of emission-intensive value creation processes to climate change	Inadequate implementation of greenhouse gas (GHG) emission reduction measures would have a negative impact on global efforts to mitigate global warming, with the associated negative impacts on society and the planet. Examples of such negative impacts along the value chain include GHG emissions from raw material extraction, production of intermediate products, combustion processes, chemical reactions, energy procurement and use (upstream and operational), vehicle and transportation operations (including business travel), use of Krones components in machinery and equipment, waste and recycling, and livestock farming in relation to the use of Krones technologies for dairy products*.	Negative impact (actual)	●	●	●			●
Contribution to climate change mitigation from plant-based food technologies*	The provision of technologies for vegan and vegetarian food solutions can contribute to the reduction of GHG emissions from livestock farming, which can have a positive impact on mitigating global warming.	Positive impact (potential)			●		●	
Financial loss due to non-aligned investment activity in the course of the climate transition	Inadequate implementation of climate protection measures can lead to loss of value and revenue, for example due to changes in customer behaviour, higher capital market costs or comparison with competitors. Systematically reducing greenhouse gas emissions throughout the value chain requires significant investment in areas such as building upgrades, renewable energy, vehicle fleet electrification (Scope 1 and 2) and lower-emission materials, products and transportation solutions (Scope 3).	Risk	●	●	●		●	
Increased revenue from sustainable products	Effective implementation of climate change measures can have a positive financial impact on the value of the company, on attractiveness for customers and on revenue due to reduced GHG emissions and increased demand for low-emission machinery and equipment, alternative food technologies* and recycling solutions.	Opportunity		●	●		●	
Environmental impacts due to high or conventional energy consumption	Very high energy consumption, or the use of energy from conventional/fossil and non-renewable sources along the entire value chain, impacts the environment and natural resources.	Negative impact (actual)	●	●	●	●	●	

* These topics are not currently covered by a cross-cutting sustainability target but are addressed by actions and policies. *Further information under "Sustainability targets" on page 125.*

Climate risks and opportunities are continuously taken into account in line with the company's strategic orientation, which includes contributing to combating climate change. As part of the materiality assessment process, impacts, risks and opportunities resulting from climate change and physical conditions are analysed in light of political, technological, market and reputational developments. The assessment focuses on the climate-related future viability of the product portfolio and the process landscape, supplemented by scenario analyses as an aid to strategy adjustment. Sustainability transformation is one of four strategic transformation areas addressed across the group, in connection with which the business model, the value chain, the cost of capital, financing options, assets and the product and service portfolio are reviewed and adjusted as necessary. In 2023, physical climate scenario analysis was carried out for 25 production Krones sites, together with a climate transition risk assessment covering the entire value chain. The results of the analyses are incorporated into the group's risk inventory and updated if the risk assessment changes. Existing actions and resources were taken into account when validating the risks by considering their impact on the maximum loss and the likelihood of an event.

Transition risks

Transition risks were identified using Representative Concentration Pathways (RCP) 2.6 and 8.5 and the TCFD risk categories "Policy and Legal", "Technology", "Market" and "Reputation". The analysis carried out together with the specialist departments identifies material medium-term risks under RCP 2.6. The medium-term time horizon was identified as the most realistic assessment framework. The focus is on the availability of renewable energy (Technology) and regulatory developments with regard to single-use plastics (Current Regulation). The growing demand for green energy may lead to a supply-demand disequilibrium. In such a scenario, there is a risk of rising energy costs and energy supply shortages, which could have a negative impact on production processes and operating costs. A medium likelihood of an event is assumed for the Technology dimension. A significant proportion of revenue is based on solutions for filling and packaging beverages in PET bottles. Regulations on the use of single-use plastics, and especially potential bans or stipulations on material composition, pose a risk to the business model. In particular, a general ban on single-use plastics would have a significant impact on market position and product demand. With regard to Current Regulation risks, the likelihood of an event is assumed to be low.

Physical risks

The identification of physical climate-related hazards is based on the classification of climate hazards in Commission Delegated Regulation (EU) 2021/2139. Among other hazards, this includes extreme weather events, long-term climate changes and other relevant environmental changes caused by climate change. The current climate is compared with the expected future climate scenarios using the four RCP scenarios published by the Intergovernmental Panel on Climate Change (IPCC): RCP 2.6, RCP 4.5, RCP 6.0 and RCP 8.5 (in each case for the 20-year period from approximately 2020 to 2040). These scenarios were chosen because they cover a wide range of potential future developments and include both the 1.5 °C target scenario and scenarios with more climate change. The scenarios are taken from the IPCC's Sixth Assessment Report (2023) and represent the recognised state of scientific knowledge. They range from a scenario with strict climate change mitigation policies (RCP 2.6), which aims to limit global warming to below two degrees Celsius, to a scenario with no additional climate mitigation policies (RCP 8.5), which would lead to much greater warming. Using this wide range of scenarios makes it possible to adequately cover the risks and uncertainties potentially facing the company. The scenarios are based on a large

number of assumptions and parameters, including different emission pathways, technological developments and policy measures. These assumptions and limitations are necessary in order to understand the complexity of climate change and its potential impact on the business. The analysis results are validated and checked for plausibility, including with regard to sites associated with a high physical climate risk, with adaptation strategies developed as necessary. Risk clusters are formed on the basis of current climate data and forecasts. If today's climate figures are forecast to be exceeded with a likelihood of more than 95%, a location is classified as very high risk and marked with a red flag. Five group locations were identified as high-risk: Tampa (USA), Secunderabad (India), São Paulo (Brazil), Taicang (China) and Shanghai (China).

After validating the identified risks with the site experts, no significant medium-term physical risks were identified, as regulatory measures or internal adaptation measures are already being implemented. These risk mitigation measures are regularly reviewed to ensure that they are up to date and effective for the long term. Furthermore, no material assets or business activities have been identified that jeopardise the achievement of climate targets or are incompatible with a transition to a climate-neutral economy. To implement the climate targets, the decarbonisation strategy is managed using a roadmap that includes specific actions for emission reductions together with priorities and timelines.
Further information under "Actions and resources" on page 140.

Targets

Target	Scope	Target type	Unit	Base year	Base value	2024	2025	Progress relative to base year	Progress towards target	Target	Target year	SDGs	Scientific evidence
Emission reduction	The Krones Group is committed to reducing its absolute Scope 1 and Scope 2 GHG emissions in its own operations by 80% by 2030.												
	Scope 1 and 2 (market-based)	Absolute; voluntary	t CO_2e	2019	54,776	26,451	26,302	−52.0%	65.0%	−80%	2030		IPCC, GHG-Protocol, SBTi
	The Krones Group is committed to reducing its Scope 3 emissions in upstream processes by 30% by 2030.												
	Scope 3 upstream processes	Absolute; voluntary	t CO_2e	2019	1,143,312	1,342,896	1,195,137	4.5%	0.0%	−30%	2030		IPCC, GHG-Protocol, SBTi
	The Krones Group is committed to reducing its Scope 3 emissions related to sold products in the downstream value chain by 30% by 2030.												
	Scope 3 downstream processes	Absolute; voluntary	t CO_2e	2019	10,337,228	8,462,243	8,462,243	−8.9%	29.5%	−30%	2030		IPCC, GHG-Protocol, SBTi
	The Krones Group is committed to achieving net-zero GHG emissions along the entire value chain (Scope 1, Scope 2 and Scope 3) by 2040, corresponding to a 90% absolute reduction across all emissions. In accordance with the SBTi standard, the remaining 10% must be neutralised using technologies such as carbon removal and carbon capture.												
	Scope 1, 2 and 3	Absolute; voluntary	t CO_2e	2019	11,535,316	9,831,590	10,643,625	−7.7%	8.6%	−90%	2040		IPCC, GHG-Protocol, SBTi
Reduction of energy footprint	Krones AG is committed to reducing the electrical and thermal energy footprint of its products by 25% by 2030.												
	Scope 3 downstream processes	Relative; voluntary	kWh/1,000 bottles	2022	23.7	22.0	23.1	−2.7%	11.1%	−25%	2030; no interim targets		–

* Around 13% of the reduction target relates to Scope 1 emissions and 87% to Scope 2 emissions.

As part of the climate strategy, Krones' climate targets are set out in the Climate and Environment policy and address the climate change-related impacts, risks and opportunities along the value chain. *Further information under "Policies related to the management of environmental topics" on page 133.*

The targets are based on the SBTi and Greenhouse Gas Protocol (GHG Protocol) methodologies to ensure that they are science-based and consistent with the goals under the Paris Agreement, and in particular the goal of limiting global warming to 1.5 degrees Celsius. The emission accounting is based on an emission calculation methodology using recognised databases provided by the UK Department for Environment, Food & Rural Affairs (DEFRA), the International Energy Agency (IEA) and others. The unit used is tonnes of CO_2 equivalent (t CO_2e). The targets are also based on the robust findings of the latest reports of the IPCC to ensure that the strategies are in line with the latest science and global efforts to mitigate climate change. The Scope 2 target is market-based, with Scope 2 emissions reported in accordance with the GHG Protocol to avoid double counting. The combined reduction targets are not broken down into separate percentages for each scope as the scopes were not distinguished in target-setting. In connection with its climate strategy, Krones involved the SBTi in validating the selected emission targets. The SBTi has confirmed that both the short-term and long-term targets, including the net zero target, are consistent with scientific climate targets. *Further information under "Sustainability targets" on page 125.*

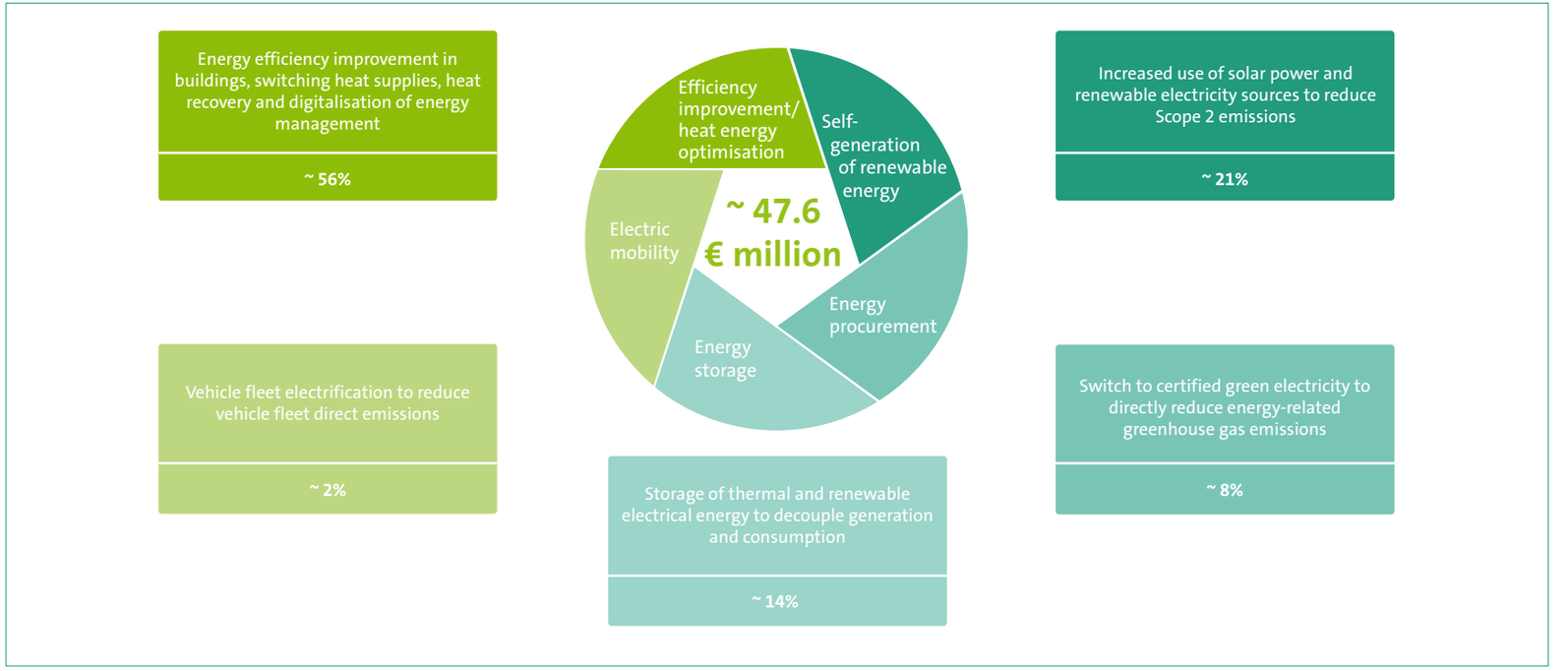
Scope 1 and Scope 2 greenhouse gas emissions remained flat compared to the previous year. Savings from electrified heat generation and the switch to electric company cars were offset by high global capacity utilisation and increased heating needs due to the winter temperatures in 2025, which were colder on average in Germany than in the previous year. Upstream emissions improved compared to 2024, but remain at a high level compared to the base year. So far, supply chain-related actions have had limited impact on the metric because there is still little primary data available. Downstream Scope 3 emissions went up as a result of the larger number of machines and systems put into operation. This is due to the significant growth in order intake in recent years, compounded by the increasing trend towards integrated solutions. Efficiency gains obtained at machine and system level are not enough to make up for this increase. The entity-specific energy footprint metric measures the electrical and thermal energy consumption of the filling and packaging technology portfolio products sold per 1,000 filled and packaged containers in production operations. The metric relates to Krones AG. Krones AG is responsible for the main consumption and therefore uses this metric as a management element. It is weighted by order intake in euros for complete and partial lines in each line cluster. The purpose of the metric is to monitor the performance of the product portfolio in terms of energy and media efficiency. Based on consumption data forecasts from the enterprise resource planning (ERP) system for all Krones AG lines sold during the year, the average energy consumption per 1,000 bottles and containers is calculated for each line cluster and then the total energy index across all line clusters, weighted by order intake. The energy footprint of sold products metric increased slightly compared to the previous year due to a change in portfolio composition and in the performance of lines during the period under review. Higher efficiency has a positive impact relative to the base-year level.

Actions and resources

Further information under "Climate Transition Plan" on page 131, "Sustainability targets" on page 125 and "EU Taxonomy" on page 156.

Based on the scenario analysis described above and the Scope 1, Scope 2 and Scope 3 climate targets derived from it, decarbonisation levers were identified for the achievement of the targeted greenhouse gas emission reductions. Krones has not currently implemented any nature-based solutions as part of its climate change mitigation activities.

In own operations, the actions focus on **five central action areas [OO, S/M/L]:**



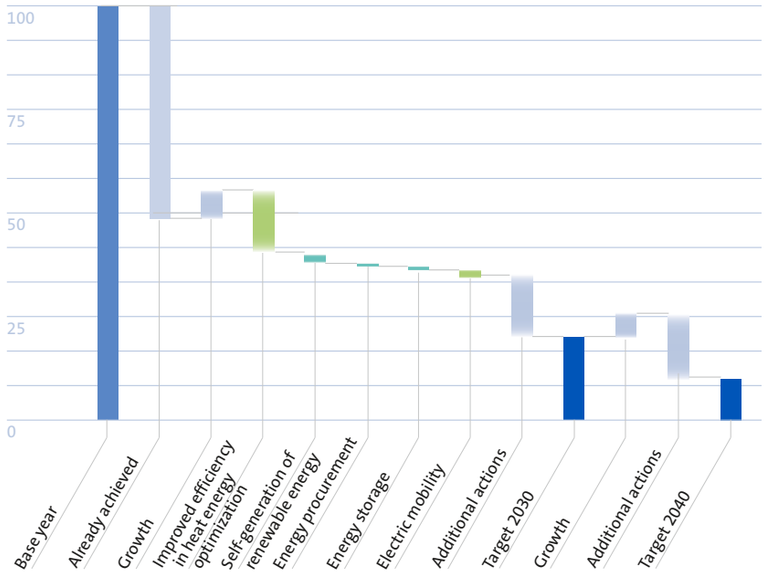
The expenditure can be clearly assigned to individual actions and decarbonisation levers. It is included in the amounts reported in the financial statements and in the performance indicators in accordance with Delegated Regulation (EU) 2021/2178. However, it is currently not possible to directly reconcile the expenditure amounts reported for the actions with the amounts in the financial statements or the performance indicators. Due to rounding, the reported percentages add up to more than 100.

The focus in Scope 3 is on continuous product development, decarbonising the supply chain and working closely with customers and suppliers to reduce upstream and downstream emissions. *Further information under "Cross-cutting actions and resources for environmental topics" on page 133.*

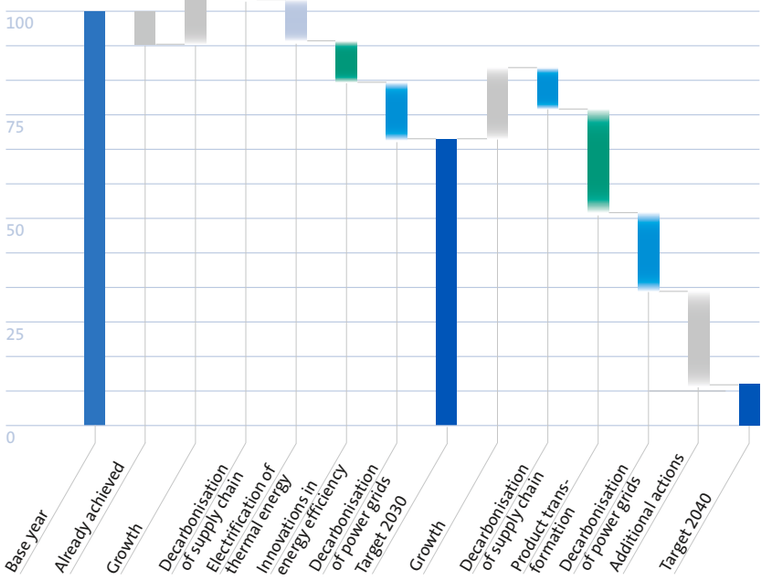
When planning and making investments, particular importance is attached to measures that contribute to the implementation of the climate transition plan and thus to achieving the climate targets. Part of the investment budget is allocated in the annual budgeting process for projects and initiatives with a positive climate impact.

The aim here is to provide sufficient financial resources to implement all planned activities and to ensure a positive impact towards the climate targets. A structured, criteria-based evaluation process is designed to ensure the effectiveness of the measures and the efficient use of resources. Implementing the targets also requires continuous collaboration with partners throughout the value chain.

Decarbonisation lever – Scope 1 and 2 (%)



Decarbonisation levers – Scope 3 (%)



Internal carbon pricing

Krones has introduced an internal carbon pricing system in the form of a shadow price applied to Scope 1 and 2 emissions. The aim is to systematically incorporate climate-related considerations into investment decisions while incentivising emission reductions in order to achieve climate targets. The shadow price applied for 2025 is €177/t CO_2e. This figure was determined on the basis of an annual assessment of the costs of implemented reduction measures in relation to the CO_2e reduction achieved.

The price calculation takes several factors into account, including alignment with international standards such as the SBTi targets, scientific recommendations on carbon pricing, comparative values from the EU emissions trading scheme, benchmarking against competitors, and the actual cost of the actions to achieve the targets. The shadow price is taken into account group-wide for infrastructure projects exceeding €250,000 and for planned capital expenditure at production sites with more than 500 employees. The carbon price serves as a management tool for achieving Krones' SBTi-compliant climate targets. In 2025, the internal carbon pricing system covered 74.7% of Scope 1 emissions (15,595 t CO_2e) and 34.6% of Scope 2 emissions (1,874 t CO_2e). The system does not yet extend to Scope 3 emissions. The carbon prices used are consistent with the assumptions in the financial processes, particularly for investment decisions and project valuations.

Metrics

Further information on Scope 1 and Scope 2 emissions

Where possible, the Krones Group is switching to green electricity in order to reduce Scope 2 emissions. Official certificates of origin verify the source. These are guarantees of origin in the European Union (EU), renewable energy certificates (RECs) in the United States and green electricity certificates (GECs) in China. In accordance with the GHG Protocol, all relevant greenhouse gases are taken into account for gross Scope 2 emissions. The available emission factors are mainly based on CO_2, as the quantities of other greenhouse gases (CH_4, N_2O, HFC, PFC, SF_6, NF_3) in the underlying data are very small and are therefore considered immaterial for the calculations.

Further information on Scope 3 emissions

Categories included		Categories excluded
Upstream	Calculation methodology	Upstream
3.1 Purchased goods and services	Hybrid	3.8 Upstream leased assets
3.2 Capital goods	Hybrid	
3.3 Fuel and energy-related activities	As for Scopes 1 and 2	
3.4 Upstream transportation and distribution	Spend-based	
3.5 Waste generated in operations	Spend-based	
3.6 Business travel	Hybrid	
3.7 Employee commuting	Average data-based	
Downstream		Downstream
3.9 Downstream transportation	Spend-based	3.10 Processing of sold products
3.11 Use of sold products	Hybrid (primary consumption data for products sold)	3.13 Downstream leased assets
3.12 End-of-life treatment of sold products	Based on products sold	3.14 Franchises
		3.15 Investments

In accordance with SBTi, Scope 3 category 3.8, 3.10, 3.13, 3.14 and 3.15 emissions have been excluded from the emission inventory because they are either not relevant to Krones or do not generate significant emissions. This is based on the reporting in accordance with the GHG Protocol, an analysis of the product portfolio, and the fact that Krones does not lease out any machinery, does not use franchises and could not identify any significant investments.

Upstream Scope 3 emissions

Limited primary data is available on Scope 3 emissions. The calculation of upstream Scope 3 emissions (3.1, 3.2 and 3.5) is based on a hybrid methodology that includes both primary data and standardised emission factors. Wherever possible, use is made of cradle-to-gate product carbon footprints provided by suppliers. For materials where such specific data is not available, Krones applies an activity-based approach. For cases where precise weight information is not available and for purchased services, a spend-based calculation methodology is used. The calculation methodology for emissions in the upstream value chain has been externally validated by a university. Scope 3 emissions in category 3.4 “upstream transportation” are calculated using a spend-based methodology, as in the previous year, although for the 2025 financial year transportation is now divided into upstream and downstream transportation (category 3.9). This is based on a newly introduced logistics tool that – with the aid of in-house logistics expertise – makes it possible to estimate the split between upstream and downstream transportation in terms of distance. For the calculation of category 3.6 GHG emissions, the data is collated by Krones in collaboration with a business travel service provider and extrapolated on the basis of full-time equivalents. For category 3.7, data is collected on the basis of on-premises days and home working days, with emissions based on data from the German Federal Environment Agency. For global commuting, the German emission figure is used and the calculation is based on on-premises work days.

Downstream Scope 3 emissions

Scope 3 in category 3.9 “downstream transportation” are calculated using a spend-based methodology, as described above for category 3.4. The calculation of Scope 3 emissions in category 3.11 “use of sold products” is based at Krones on product revenue data. Emissions in category 3.12 “end-of-life treatment of sold products” can be inferred from the product revenue data, in particular for sold machines and lines. The methodology for calculating consumption data in the enviro management system is also reviewed by TÜV SÜD. This review by an independent audit organisation is intended to provide additional assurance that the data and underlying processes meet the required quality standards and that any methodological limitations or assumptions are appropriately addressed.



		Retrospective			Targets		
	Unit	Base year 2019	2024	2025	2030	2040	Annual % target/Base year
Scope 1 GHG emissions							
Gross Scope 1 GHG emissions	t CO_2e	23,579	20,887	20,888			
Percentage of Scope 1 GHG emissions from regulated emission trading schemes	%	0.0	0.0	0.0			
Scope 2 GHG emissions							
Gross location-based Scope 2 GHG emissions	t CO_2e	30,673	32,160	30,173			
Gross market-based Scope 2 GHG emissions	t CO_2e	31,197	5,564	5,414			
Total Scope 1 and Scope 2 GHG emissions							
Scope 1 and gross location-based Scope 2 GHG emissions	t CO_2e	54,252	53,047	51,061			
Scope 1 and gross market-based Scope 2 GHG emissions	t CO_2e	54,776	26,451	26,302	–80%		7.3%
Significant Scope 3 THG emissions							
Total gross indirect (Scope 3) GHG emissions	t CO_2e	11,480,540	9,805,138	10,617,322			
1 Purchased goods and services	t CO_2e	1,020,031	1,209,234	1,078,095	–30%		2.7%
2 Capital goods	t CO_2e	5,340	5,634	9,028			
3 Fuel and energy-related activities	t CO_2e	11,458	6,856	6,822			
4 Upstream transportation and distribution	t CO_2e	51,329	68,633	47,615			
5 Waste generated in operations	t CO_2e	646	842	930			
6 Business travel	t CO_2e	39,485	38,769	38,950			
7 Employee commuting	t CO_2e	15,023	12,928	13,696			
9 Downstream transportation	t CO_2e	–	–	19,660			
11 Use of sold products	t CO_2e	10,322,523	8,449,927	9,394,548			
12 End-of-life treatment of sold products	t CO_2e	14,705	12,316	7,978			
Total GHG emissions (location-based)	**t CO_2e**	**11,534,792**	**9,858,185**	**10,668,383**			
Total GHG emissions (market-based)	**t CO_2e**	**11,535,316**	**9,831,590**	**10,643,625**		**Net Zero**	

All relevant entities with IROs were included in the reporting. As non-consolidated emissions are therefore zero, all reported emissions relate to the scope of consolidation.

Further information

	Unit	2024	2025
Scope 2 GHG emissions			
Share of contractual instruments in total Scope 2 GHG emissions	%	66.4	63.0
Percentage of contractual instruments used for sale and purchase of energy bundled with attributes about energy generation in relation to Scope 2 GHG emissions	%	5.0	5.0
Percentage of contractual instruments used for sale and purchase of unbundled energy attribute claims in relation to Scope 2 GHG emissions	%	61.3	58.0
Biogenic emissions of CO_2 from combustion or bio-degradation of biomass not included in Scope 2 GHG emissions	t CO_2e	Krones does not have any data on biogenic emissions from its own operations,	4
Scope 3 GHG emissions			
Percentage of GHG Scope 3 calculated using primary data	%	83.2	83.7
GHG intensity per net revenue			
Total GHG emissions (location-based) per net revenue	t CO_2e/ € million	1,862	1,884
Total GHG emissions (market-based) per net revenue	t CO_2e/ € million	1,857	1,879
Net revenue used to calculate GHG intensity			
Total net revenue (financial statements)*	€ million	5,293.6	5,663.8

* see *"Consolidated statement of profit and loss", page 233*

Energy consumption and mix

Energy consumption and mix	Unit	2024	2025
(1) Fuel consumption from coal and coal products	MWh	–	–
(2) Fuel consumption from crude oil and petroleum products	MWh	27,578	28,063
(3) Fuel consumption from natural gas	MWh	68,586	67,437
(4) Fuel consumption from other fossil sources	MWh	–	–
(5) Consumption of purchased or acquired electricity, heat, steam, and cooling from renewable sources	MWh	33,769	33,878
(6) Total fossil energy consumption	**MWh**	**129,933**	**129,378**

Continuation of table on page 147

Continuation of table from page 146

Energy consumption and mix	Unit	2024	2025
Percentage of fossil sources in total energy consumption	%	**64.3**	**62.2**
(7) Consumption from nuclear sources	MWh	**0**	**0**
Percentage of energy consumption from nuclear sources in total energy consumption*	%	**0.0**	**0.0**
(8) Fuel consumption for renewable sources, including biomass (also comprising industrial and municipal waste of biologic origin, biogas, renewable hydrogen, etc.)	MWh	0	383
(9) Consumption of purchased or acquired electricity, heat, steam, and cooling from renewable sources	MWh	67,568	70,813
(10) Consumption of self-generated non-fuel renewable energy	MWh	4.601	7.276
(11) Total renewable energy consumption	MWh	**72,169**	**78,471**
Share of renewable sources in total energy consumption	**%**	**35.7**	**37.8**
Total energy consumption	**MWh**	**202,102**	**207,849**

Energy consumption and mix	Unit	2024	2025
Non-renewable energy production	MWh	23,109	18,158
Renewable energy production	MWh	5,846	10,282

Energy intensity per net revenue	Unit	2025	2025
Total energy consumption from activities in high climate impact sectors per net revenue from activities in high climate impact sectors	MWh/ € million	38.2	36.7
Net revenue from activities in high climate impact sectors used to calculate energy intensity			
Total net revenue (in the financial statements)**	€ million	5,293.6	5,663.8

* No use is made of direct nuclear energy sources. The share of nuclear energy in the national electricity grids is included in the figures under "fossil energy".

** see *"Consolidated statement of profit and loss", page 233*

Following an analysis of the climate-intensive sectors, the Krones Group falls under Sector C Manufacturing, in the category Manufacture of machinery and equipment n.e.c. The Krones Group's revenue is therefore categorised as being associated with a high climate impact sector.

Water resources (ESRS E3)

Water is a key factor for all Krones Group customers – whether as a raw material, a processing aid, a utility or as a constituent of the final product. The beverage industry has a considerable influence on sustainability in relation to water. Almost all of the group's products impact customers' water consumption. The Krones Group therefore specifically promotes water-efficient production, filling and packaging technologies, as well as recycling systems. Drawing on many years of experience and technical expertise, levers for reducing water consumption can be identified, both for individual machines and for entire plants and factories. This expertise goes into developing and providing technologies and services that measurably reduce the water footprint of sold products. The Krones Group recognises the risks posed by climate change and growing water scarcity. Group-wide reduction of operational water consumption and reduction of the water footprint of sold products have been defined as strategic goals.

Operational water management is coordinated group-wide by Krones AG Environmental Management, with the Head of Environmental Management reporting directly to the Executive Board. Implementing water-saving measures is the responsibility of the individual offices and subsidiaries, which act independently in this regard worldwide due to the differing physical and legal circumstances. The effectiveness of the measures is monitored by Environmental Management as part of quarterly data review and consolidation.

Responsibility for water-related topics in relation to products and technologies lies with product line experts and Corporate Research and Development experts, with Product Sustainability acting as the central coordinating body for water efficiency in products – not least through the enviro sustainability programme.

Water-related impacts, risks and opportunities

IRO cluster	Description	Type	Value chain: Upstream	Value chain: Own operations	Value chain: Downstream	Time horizon: Short-term (<1 year)	Time horizon: Medium-term (1–5 years)	Time horizon: Long-term (>5 years)
Contribution to water scarcity through water use in production processes	Water use in production processes exacerbates existing water shortages, particularly in regions that already suffer from water scarcity.	Negative impact (actual)	●	●	●		●	
Contribution to water security through technology and consulting solutions for water management	Marketing and selling technologies, solutions and consulting services for water avoidance, water efficiency and water treatment in customers' production processes have a positive impact on the availability and security of local water resources and water infrastructure.	Positive impact (actual)			●		●	
Supply stoppages	Increasing shortages of resources due to high demand may result in limited availability combined with an increase in costs.	Risk	●				●	

IRO cluster	Description	Type	Value chain: Upstream	Value chain: Own operations	Value chain: Downstream	Time horizon: Short-term (<1 year)	Time horizon: Medium-term (1–5 years)	Time horizon: Long-term (>5 years)
Cost increases due to resource scarcity or rising resource prices	A lack of access to water resources for beverage producers can result in reduced demand for machinery and equipment used in the production, filling and packaging of beverages and liquid foods. This, in turn, can lead to a decline in revenue.	Risk			●		●	
Increased revenue through technology and consulting solutions for water management	The development and distribution of innovative technologies, solutions and consulting approaches for water avoidance, water efficiency and water treatment, combined with the associated increase in customer demand, can lead to increased revenue from water management products.	Opportunity			●		●	

Water risk analyses help in better understanding and managing activities and resource use in relation to areas at water risk. The assessment of water-related business activities takes into account the status of water bodies in accordance with the Water Framework Directive and aims to ensure – for example through the implementation of operational water management practices or by providing water-efficient technologies – that processes and technologies do not contribute to a deterioration in water quality. Water risks are assessed by systematically tracking operational water consumption and using recognised screening tools. A scenario analysis takes into account physical, regulatory and reputational risks. The aim is to gain a better understanding of water-related risks and systematically manage resource use in affected regions.

As of the 2025 financial year, several Krones sites were located in areas at enhanced water risk. However, only one production site in an area at high water risk was assessed as material. Despite its geographical location, the site has not yet been affected by water shortages, either quantitative or qualitative. Krones prioritises the economical use and legally compliant discharge of water. The situation is monitored continuously in order to respond proactively to any potential changes. This includes continuous exchange, in various dialogue formats, between group companies and surrounding communities. *Further information under "Stakeholder engagement and validation" on page 123.*

Targets

Target	Scope	Target type	Unit	Base year	Base value	2024	2025	Progress relative to base year	Progress towards target	Target	Target year	SDGs	Scientific evidence
Reduction in water consumption	The Krones Group is committed to reducing operational water consumption in its own operations by 10% by 2030.												
	Own operations	Absolute, voluntary	m³	2020	237.439	262,173	274,141	15.5%	0.0%	–10%	2030; no interim targets	6	–
Reduction of water footprint	Krones AG is committed to reducing the water footprint of its products by 20% by 2030. This target is measured in litres and is based on the 2022 base year.												
	Sold products	Absolute, voluntary	l/1 l of filled product	2022	1.4	1.2	1.2	–14.8%	74.1%	–20%	2030; no interim targets	6	–

The water-related targets are set out in the Climate and Environment policy and address the water-related impacts, risks and opportunities along the value chain. *Further information under "Policies related to the management of environmental topics" on page 133 and under "Sustainability targets on page 125.*

The entity-specific water footprint indicator comprises the water consumption of the filling and packaging technology portfolio in productive operation and thus relates to Krones AG, weighted by order intake for each line type. Krones AG is responsible for the main consumption and therefore uses this metric as a management element. It includes Krones PET, glass, can and aseptic lines. The aim of the KPI is to measure performance in relation both to sold products and to research and development activities. Based on consumption data forecasts from the ERP system on all Krones AG lines sold, the hourly water consumption on each line, the line capacity, the size of the containers filled and nominal output are used to calculate the quantity of filled product in litres per hour. The water consumption per litre of filled product is determined by dividing the line water consumption by the quantity of filled product and adding one litre for the water content of each container. The final water consumption index is weighted by order intake.

The water footprint of sold products has continued to improve, driven by increased water efficiency and a shift towards selling more PET and aseptic lines, which have a lower water intensity than glass and can lines. The increase in operational water consumption since the base year is mainly due to steadily rising production activity and the establishment and expansion of international capacities. The short-term increase is primarily the result of an unplanned interruption in technical building systems at the Chinese production plant.

Actions and resources

Process optimisation and water reuse [OO, S/M/L]
Test processes are harmonised and existing procedures continuously reviewed to conserve resources and improve efficiency. Reusing production water also reduces the negative impact on resource availability. Examples of this include cascade rinsing in electroplating processes and the use of ultrasonic cleaning baths at selected locations.

Efficiency improvements in cooling and treatment systems [OO, S/M/L]
Another focus is on reducing water consumption in technical supply systems. This includes switching to closed cooling circuits, optimising cooling tower processes and adjusting flush intervals to minimize water consumption. Evaporator and ultrafiltration systems are also used to treat water and return it to the production cycle. The sustainable use of water resources is also supported by optimising the use of water-based cooling lubricants by means such as minimum quantity lubrication. *Further information under "Cross-cutting actions and resources for environmental topics" on page 133.*

Metrics

Water consumption
91.5% (previous year: 93.3%) of total water consumption was determined by direct metering. A further 3.8% (previous year: 5.4%) is based on extrapolated data and 4.6% (previous year: 1.3%) was determined using well-founded estimates.

	Unit	2024	2025
Total water consumption	m³	262.173	274.141
Water consumption in areas at water risk	m³	14,863*	4,228
India	m³	7,163	4,228
Water recycled and reused	m³	827**	1,004
Water stored	m³	4,398	4,518
Changes in water storage compared to the previous year	m³	–	2.7
Net revenue used to calculate water intensity			
Total net revenue (in the financial statements)***	€ million	5,293.6	5,663.8
Water intensity: Total water consumption per € million net revenue***	m³/€ million	50	48
Water intensity: Water consumption per l filled product	l/1 l filled product	1.2	1.2

** Previous year includes Spain and Thailand.*

*** Due to a data entry error at an Indian site, the figure reported here for the previous year differs significantly from that reported in the 2024 non-financial statement (3,512 m³). The cause of the error has been identified and taken into account for future data collection as part of continuous improvement of the internal control system.*

**** Further information under "Consolidated statement of profit and loss" on page 233.*

Resource use and circular economy (ESRS E5)

The Krones Group's products and services enable beverages and foodstuffs to be filled in various types of packaging such as glass, plastic and metal. Technologies, business activities, research and partnerships contribute to the circular economy for materials such as PET, glass, tinplate and aluminium. Customers are provided with solutions for implementing sustainable resource use. The focus in the group's own production operations is on minimising resource outflows and effective waste management. Most waste is recycled, reducing environmental pollution and increasing resource efficiency. The focus is on prevention, safe handling and the development of environment-friendly alternatives for hazardous waste categories, in accordance with international standards. Integrating the circular economy into the corporate strategy enhances the sustainability of the business model and enables a proactive approach to future challenges.

Coordination of operational waste management across the group is the responsibility of Environmental Management at Krones AG. The Head of Environmental Management reports directly to the Executive Board of the Krones Group. Because requirements vary in terms of the physical environment and environmental laws at each site worldwide, the respective local offices and subsidiaries take the initiative on implementing waste-reduction efforts within their production processes. The effectiveness of actions is measured as part of the Krones AG Environmental Management team's internal quarterly data checking and consolidation process.

Product areas working on circular economy solutions generally operate independently of each other but do collaborate both on a regular basis and as the need arises.

Resource use and circular economy-related impacts, risks and opportunities

IRO cluster	Description	Type	Value chain: Upstream	Value chain: Own operations	Value chain: Downstream	Time horizon: Short-term (< 1 year)	Time horizon: Medium-term (1–5 years)	Time horizon: Long-term (> 5 years)
Resource consumption as a result of linear solutions and processes	Conventional linear solutions in product design (such as lack of recyclability), product use (such as limited reusability) and material procurement processes (such as the sourcing of non-renewable raw materials) lead to increased resource consumption and negative environmental impacts.	Negative impact (actual)	●	●		●		
Supply stoppages	Increasing shortages of resources due to high demand may result in limited availability combined with an increase in costs.	Risk	●					●
Pollution due to waste from the production and packaging of the group's own products	Insufficient action to reduce the quantity of waste generated in the manufacture and packaging of the group's own products, combined with inadequate waste management processes, results in a negative impact on the environment.	Negative impact (actual)	●	●	●	●		
Pollution from the use of plastics in the downstream value chain	Insufficient action to reduce and recycle plastics on the part of customers in the operation of Krones machines and lines and in customer waste management processes (such as in the production of plastic bottles), and also on the part of end-consumers after using the product, result in negative environmental impacts due to plastic pollution.	Negative impact (actual)			●	●		
Increased revenue from sale of recycling technologies	Political pressure and legislation for higher recycling rates, together with rising demand for recycled and recyclable consumer goods packaging, may lead to increased revenue from recycling technologies.	Opportunity		●	●		●	

The circular economy presents both risks and opportunities for the Krones Group. In particular, risks arise from the large proportion of revenue generated with equipment for single-use PET bottles, as legal restrictions could have an adverse effect on this business. At the same time, the circular economy harbours potential for conserving resources and promoting innovation. Under the heading of circular economy solutions, Krones focuses on plastic recycling systems, reusable glass and PET approaches, sustainable packaging solutions and eco-design. Options for the end of life of machines and systems – including resale, recycling and disposal – are set out in a Product End of Life manual. Krones Life-Cycle Service, ecomac GmbH and Netstal Maschinen AG also offer solutions for used machinery.

With the aid of in-house experts, Krones has assessed its assets and activities to identify material actual and potential sustainability-related impacts, risks and opportunities. The assessment covered both products and services and the waste generated by operations. *Further information under "Stakeholder engagement and validation" on page 123*

Targets

Target	Scope	Target type	Unit	Base year	Base value	2024	2025	Progress relative to base year	Progress towards target	Target	Target year	SDGs	Scientific evidence
Reduction of hazardous waste	The Krones Group is committed to reducing its hazardous waste generation by 10% by 2030.												
	Own operations	Absolute, voluntary	t	2020	1,580	2,073	1,917	21.3%	0.0%	–10%	2030; no interim targets		–
Increased recycling	By 2030, the Krones Group* aims for at least 30% of the plastic material used to produce bottles on our stretch blow moulding machines to be recycled via our washing modules.												
	Downstream, product-related	Absolute, voluntary	t of recycled plastic/t of plastic produced [%]	2022	13.4	7.6	13.3	0 pp	0.0 %	30%	2030; no interim targets		–

* Relates to Krones AG and Krones Recycling GmbH.

Further information under "Policies related to the management of environmental topics" on page 133.

Resource use and circular economy targets are set out in the Climate and Environment policy and address the resource-related impacts, risks and opportunities along the value chain. In accordance with the policy, the aim is to avoid or reduce waste as far as possible. Any remaining waste must be properly treated to support the preparation of materials for reuse and recycling. *Further information under "Metrics" on page 154.* The targets relate to the prevention and recycling stages of the waste hierarchy. Reducing hazardous waste serves to minimise environmental and health risks and ensure compliance with stricter environmental regulations, which can save costs in the long term.

The volume of hazardous waste fell compared to the previous year, mainly due to reductions at Krones AG, which generates the majority of such waste. The metric is still well above the 2030 target; this is due to the continuous increase in production output since the base year.

The recycling target addresses the risk of increased resource use and pollution from plastic waste by promoting material reuse and consequently reducing the demand for virgin raw materials. This approach presents an opportunity to reduce environmental impact while meeting demand for sustainable technologies, which can potentially lead to increased revenue. The products of the Krones Group are an essential part of the supply chain for packaged beverages and liquid foods. As part of the supply chain, the Krones Group shares responsibility for what happens to containers produced or filled on lines after use by the end-consumer. The calculation of the entity-specific recycling KPI is based on the data on sales of stretch blow-moulding machines for the production of PET bottles and the data on all sales of recycling systems. The total weight of plastic contained in the bottles produced by the stretch blow moulders sold in a given year is calculated by multiplying the weight of plastic produced per hour by the assumed number of operating hours per year. Similarly, the total weight of plastic recycled by the recycling systems sold in each year is calculated by multiplying the weight of plastic recycled per hour by the number of operating hours per

year. The KPI expresses the total weight of plastic recycled by Krones recycling systems as a percentage of the total weight of plastic processed by Krones stretch blow moulders. *Further information under "Sustainability targets" on page 125 and under "Cross-cutting actions and resources for environmental topics" on page 133.*

The metric for promotion of the circular economy rose as a result of higher sales of recycling systems despite a moderate increase in the volume of PET bottles produced on Krones blow moulding machines.

Actions and resources

Infrastructure and systems for waste separation and recycling [OO, S/M/L]

Under the waste concept, labelled bins are provided into which employees are required to properly separate waste fractions. In addition, the company has on-site collection stations that separate materials into fractions for disposal or re-use. The focus here is on hazardous waste such as oil-water mixes from cooling lubricants and rinsing fluids. The service life of cooling lubricants is intentionally extended in order to minimise resource consumption. This not only reduces the amount of hazardous waste, but also the quantity of water and chemicals needed. Another example is the cable shredder, which recovers the pure copper content from old cables. *Further information under "Cross-cutting actions and resources for environmental topics" on page 133.*

Metrics

Resource inflows

The resource inflows that Krones needs for this purpose can be categorised into four main material classes: stainless steel, steel, non-ferrous metals and plastics. These are identified by software analysis in Procurement. For entities where no total weight was reported for the invoice amounts, the total weight was extrapolated using a factor. Biological materials are included in addition by analysing an ERP query for all materials that will come under the EU Deforestation Regulation (EUDR) and the procurement groups in which biological materials are expected. With regard to sustainable procurement, reference is made to the Krones Supplier Handbook and its requirements. As documentation on sustainable procurement was not available for all materials used and for the corresponding suppliers in the current reporting period, the data includes only bio-based materials and suppliers with a sustainability certification scheme. Krones applies the cascading principle by recycling and reusing bio-based materials to maximise resource efficiency. This includes using materials in various stages before disposal or energy recovery.

	Unit	2024	2025
Overall total weight of products and technical and biological materials used during the reporting period	t	215,765	108,245
Percentage of sustainably sourced biological materials (and biofuels used for non-energy purposes)	%	1.1	1.2
Absolute weight of secondary reused or recycled components, secondary intermediary products and secondary materials used to manufacture the company's products and services (including packaging)	t	98,258	47,089
Percentage of secondary reused or recycled components, secondary intermediary products and secondary materials used to manufacture the company's products and services	%	45.5	43.5

The proportion of recycled materials used at Krones is estimated for the four most relevant material classes: stainless steel, steel, non-ferrous metals and plastics. As specific data is not available from suppliers at the present time, the percentage recycling content is taken from published statistics and applied to Krones materials. Cross-sectoral average recycling content figures are thus used.

This approach is judged to be appropriate given Krones' worldwide material sourcing. As a result of targeted efforts over the past few years, an increasing proportion not only of bio-based, but also of polymer-based packaging materials is now being recycled and reused. Double counting is avoided by not including reused materials in recycled content.

Resource outflows

The analysis of recyclable content in products was carried out on the basis of LCAs performed on selected Krones machines and shows an average non-recyclable content of 2.2% (previous year: 2.6%). As the assessed machines can be considered a cross-section of the entire product portfolio, the figure determined is applied as an estimate across the group as a whole. Packaging is mainly made of wood-based or polymer packaging materials. The calculation is based on an evaluation of the packaging materials used during the reporting period by a major packaging service provider for German sites and for Krones Inc. in the USA, and by intralogistics specialist System Logistics SpA. As packaging services and materials are comparable across the group, the percentage of recyclable product packaging calculated in this way is applied to the group as a whole. Under the Krones business model, all machines are designed to be repairable. Krones customers are offered regular service and maintenance in the form of Krones Life Cycle Service. Repairability is therefore a basic requirement for new machinery from the development and design stage.

	Units	2024	2025
Disclosure of the expected durability of the products placed on the market in relation to the industry average for each product group	Years	15	15
Rates of recyclable content in products	%	97.4	97.9
Rates of recyclable content in product packaging	%	99.0	99.1

Krones' waste can be categorised into four main types: metals, wood, plastics and cardboard/paper. These are reported using a central data collection tool. The waste streams are identified – such as production waste, packaging materials and hazardous waste – in order to ensure environmentally friendly waste management. Mapping of waste flows is done by way of examining the quantities disposed of per type of waste and, in the case of hazardous waste, the documentation procedures as required by law. *Further information under "Reporting standards" on page 121.*

	Unit	2024		2025	
		Hazardous waste	Non-hazardous waste	Hazardous waste	Non-hazardous waste
Diverted from disposal					
Preparation for reuse	t	0.4	0	0	35
Recycling	t	38	13,387	133	19,199
Other recovery operations	t	80	1,493	474	794
Total – Diverted from disposal	t	**119**	**14,880**	**607**	**20,028**
Directed to disposal					
Incineration	t	330	5,905	907	2,279
Landfill	t	18	316	213	421
Other disposal operations	t	1,577	837	181	190
Total – Directed to disposal	t	**1,925**	**7,057**	**1,300**	**2,890**
No data	t	29	338	9	97
Total	t	**2,073**	**22,275**	**1,917**	**23,015**

Total amount of radioactive waste	t	–	–
Total amount of non-recycled waste	t	8,895	3,338
Total amount of waste generated	t	**24,348**	**24,932**
Percentage of non-recycled waste	%	36.5	13.4

EU Taxonomy

Objective and overview of requirements

Through the EU Taxonomy Regulation (Regulation (EU) 2020/852) and the associated delegated acts, the EU seeks to promote the transition to a sustainable economy. In order to fulfil these new transparency requirements, the Krones Group has established processes that make it possible to determine the proportions of turnover (revenue), CapEx and OpEx (capital expenditure and operating expenditure) that relate to taxonomy-aligned and therefore environmentally sustainable economic activities under the EU Taxonomy. Analysis of the economic activities in this regard relates to all six environmental objectives of the climate and environmental delegated acts:

(1) Climate change mitigation;

(2) Climate change adaptation;

(3) Sustainable use and protection of water and marine resources;

(4) Transition to a circular economy;

(5) Pollution prevention and control;

(6) Protection and restoration of biodiversity and ecosystems.

Both the taxonomy eligibility and the taxonomy alignment of the Krones Group's economic activities are reported for the 2025 financial year. Taxonomy-eligible economic activities are those that fit an EU Taxonomy description. In order to be reported as taxonomy-aligned, the economic activities must additionally comply with the technical screening criteria and minimum safeguards. Only economic activities under the environmental objectives climate change mitigation and transition to a circular economy were able to be classified as taxonomy-eligible. Economic activities are analysed and documented in a defined process that includes identification, evaluation and verification in accordance with the requirements of the EU Taxonomy. This process includes the annual review of taxonomy eligibility and alignment, data collection and the preparation of reporting for the non-financial statement. For the 2025 financial year, the Krones Group has applied Delegated Regulation EU 2026/73 as regards the simplification of content and presentation.

Material economic activities for the environmental objective of climate change mitigation

Manufacture of other low carbon technologies – the enviro product portfolio

Part of the Krones Group's product portfolio falls within the definition of EU Taxonomy economic activity 3.6 "Manufacture of other low carbon technologies" under the environmental objective of climate change mitigation. Because of their high energy and media efficiency and environmental compatibility compared to the company's own standard product portfolio, predecessor technologies or the industry benchmark, the technologies in the enviro product portfolio enable the Krones Group's customers to reduce their GHG emissions and are therefore taxonomy-eligible. The enviro sustainability programme for machines and lines was developed in the Krones Group in collaboration with TÜV SÜD. By assessing its technologies against a benchmark defined by TÜV SÜD, the Krones Group identifies the most energy and media-efficient products in its portfolio. These represent the best available technology. The Krones Group has conducted LCAs for enviro machines since 2023. Conducting an LCA using ISO 14067:2018 and having the results verified by an independent third party is a technical screening criterion for reporting taxonomy alignment under economic activity 3.6. The Krones Group works with a third-party service provider that verifies the methodology used in calculating the lifecycle assessments. As a manufacturer of specialised machinery, the Krones Group cannot compare its technologies with other technologies available on the market. Because the Krones Group holds a market-leading position with the assessed product portfolio for filling and packaging technology, the non-enviro portfolio and the respective predecessor models are taken as the point of reference for the "best per-

forming alternative technology available on the market", thus meeting an additional technical screening criterion. Industry benchmarks can be used for Netstal AG's injection moulding machines. The results of the LCAs show that, because of their high energy and media efficiency, the machines in the enviro product portfolio demonstrate substantial lifecycle GHG emission savings compared to the standard portfolio and therefore contribute substantially to climate change mitigation. Following additional analysis against the "do no significant harm" (DNSH) criteria and the minimum safeguards, the revenue, CapEx and OpEx figures for the enviro product portfolio can be reported as taxonomy-aligned.

The solutions developed in the R&D projects for the enviro product portfolio (economic activity 3.6) – the underlying principles of which are to be further extended in the future – contribute to the reduction or avoidance of GHG emissions. Therefore, the Krones Group is able to report the expenditures associated with R&D projects relating to energy efficiency (within the context of economic activity 3.6) as taxonomy-aligned. *Further information under "Sustainability programme for products – enviro" on page 133.*

Individual actions

In addition to the Krones Group's revenue-generating economic activities, further economic activities were identified that can be classified as environmentally sustainable CapEx in the context of the environmental objective of climate change mitigation. These relate to the "construction and real estate activities" sector.

Following analysis of the technical screening criteria, DNSH criteria and minimum safeguards by the respective departments, the Krones Group is able to report its actions related to renewable energy as taxonomy-aligned. Taxonomy alignment cannot currently be verified for economic activity 7.7 as construction has not yet been completed and no relevant data is therefore available.

DNSH and minimum safeguards

Do no significant harm (DNSH)

An assessment was also made as to whether the attainment of any of the other environmental objectives would be significantly harmed by the material taxonomy-eligible economic activities. The Krones Group conducted a location-based analysis for the general criteria and a product-based analysis for specific criteria. The locations considered relevant for this purposes were those associated with taxonomy-eligible economic activities. The results of the production site and product analysis show that none of the Krones Group's taxonomy-eligible economic activities cause significant harm to attainment of the other environmental objectives.

Minimum safeguards

To meet the minimum safeguards, the Krones Group aligns all of its economic activities with internationally recognised agreements and objectives such as the ILO core labour standards and the OECD Guidelines. The Krones Group is committed to consistently upholding human rights and labour standards along its entire value chain. These serve as the normative foundation of the company's daily work and are therefore to be fully respected and upheld in all processes and projects worldwide. An analysis of the minimum safeguards requirements shows that the Krones Group meets the requirements.

Further disclosures on compliance with minimum safeguards and due diligence mechanisms implemented on the topics of respect for human rights, anti-corruption and bribery, taxation and free competition are contained in the "Social information" and "Governance information" sections.

Non-material economic activities

In accordance with Delegated Regulation 2026/73, revenue from the "information and communication" and "services" sectors is classified as non-material. These comprise the sale of software (CE 4.1), the repair and refurbishment of spare parts (CE 5.1), the sale of spare parts (CE 5.2) by subsidiary System Logistics Group and the sale of second-hand goods (CE 5.4) by subsidiaries ecomac Gebrauchtmaschinen GmbH and Netstal Maschinen AG. The same applies to CapEx and OpEx, particularly in the "manufacturing", "transport", "construction and real estate" and "information and communication" sectors.

Calculation and development of the KPIs

Calculating KPIs

The definition of the "turnover" key performance indicator used in the EU Taxonomy corresponds to the revenue reported in Krones' consolidated financial statements; the term "revenue" is therefore used here in place of "turnover". The associated information can be found in the consolidated statement of profit and loss in this Annual Report. CapEx includes additions to property, plant and equipment and intangible assets during the financial year under review. Information on the Krones Group's overall capital expenditure can be found in the following notes to the consolidated financial statements: "Intangible assets", "Research and development expenditure" and "Property, plant and equipment and right-of-use assets". The OpEx KPI includes uncapitalised direct costs of research and development, building modernisation measures, short-term leasing, maintenance and repair, and direct expenses related to day-to-day maintenance of property, plant and equipment. *Further information under "Consolidated statement of profit and loss" on page 233 and under "Notes to the consolidated financial statements" on page 247.*

The disclosures on revenue, CapEx and OpEx have been prepared in compliance with the delegated regulation on disclosure obligations and in accordance with the International Financial Reporting Standards (IFRS). Data collection with respect to the EU Taxonomy is done on the basis of revenue, CapEx and OpEx from the financial accounting system and, where applicable, of the economic activities listed as EU Taxonomy-relevant. Calculation of CapEx and OpEx is based in part on an allocation of revenue from taxonomy-eligible and taxonomy-aligned economic activities. The economic activities of the Krones Group have always been clearly classified under only one EU Taxonomy economic activity in order to avoid double counting of revenue, CapEx and OpEx.

KPI development

Taxonomy-eligible revenue increased from 18.2% in 2024 to 18.7%. The increase is mainly due to higher revenue from the enviro portfolio (economic activity 3.6). Taxonomy-aligned revenue amounts to 18.7% and relates to the enviro portfolio. Other economic activities, which together account for 1.0%, were not further assessed due to the fact that they are non-material.

Taxonomy-eligible CapEx increased from 34.7% in 2024 to 37.3%. That is primarily the result of increased capital expenditure related to the enviro portfolio and rising construction and renovation expenditure. Taxonomy-aligned CapEx comes to 20.4% and primarily includes investment in renewable energy and the enviro portfolio.

Taxonomy-eligible OpEx increased from 2.3% in 2024 to 2.7%. This figure consists of expenditure for research and development. Taxonomy-aligned OpEx comes to 2.7% and includes the above figures.

Summary KPIs

Financial year 2025 KPI	Total	Proportion of taxonomy-eligible activities	Taxonomy-aligned activities	Proportion of taxonomy-aligned activities	Breakdown by environmental objectives of taxonomy-aligned activities						Proportion of enabling activities	Proportion of transitional activities	Non-assessed activities, considered non-material	Taxonomy-aligned activities in previous financial year (2024)	Proportion of taxonomy-aligned activities in previous financial year (2024)
					Climate change mitigation	Climate change adaptation	Water	Circular economy	Pollution	Biodiversity					
	€ million	%	€ million	%	%	%	%	%	%	%	%	%	%	€ million	%
Revenue	5,663.8	18.7	1,060.4	18.7	18.7	–	–	–	–	–	18.7	0.0	1.0	931.6	17.6
CapEx	267.0	37.3	54.4	20.4	20.4	–	–	–	–	–	20.4	0.0	6.4	61.4	26.1
OpEx	165.0	2.7	4.5	2.7	2.7	–	–	–	–	–	2.7	0.0	9.0	2.5	1.8

Breakdown by economic activity

Revenue Economic activities	Code	Taxonomy-eligible revenue (proportion of taxonomy-eligible revenue)	Taxonomy-aligned revenue (monetary value of revenue)	Taxonomy-aligned revenue (proportion of taxonomy-aligned revenue)	Environmental objective of taxonomy-aligned activities						Enabling activity	Transitional activity	Taxonomy-aligned proportion of taxonomy-eligible activities
					Climate change mitigation	Climate change adaptation	Water	Circular economy	Pollution	Biodiversity			
		%	€ million	%	%	%	%	%	%	%	(E where applicable)	(T where applicable)	%
Manufacture of other low carbon technologies	CCM, CCA 3.6	18.7	1,060.4	18.7	18.7	–	–	–	–	–	E		100.0
Sum of alignment per objective					18.7	–	–	–	–	–			
Total revenue		18.7	1,060.4	18.7	18.7	–	–	–	–	–	18.7		100.0

CapEx Economic activities	Code	Taxonomy-eligible CapEx (proportion of CapEx)	Taxonomy-aligned CapEx (monetary value of CapEx)	Taxonomy-aligned CapEx (proportion of taxonomy-aligned CapEx)	Environmental objective of taxonomy-aligned activities: Climate change mitigation	Climate change adaptation	Water	Circular economy	Pollution	Biodiversity	Enabling activity	Transitional activity	Taxonomy-aligned proportion of taxonomy-eligible activities
		%	€ million	%	%	%	%	%	%	%	(E where applicable)	(T where applicable)	%
Manufacture of other low carbon technologies	CCM, CCA 3.6	17.3	46.1	17.3	17.3	–	–	–	–	–	E		100.0
Installation, maintenance and repair of renewable energy technologies on site	CCM, CCA 7.6	3.1	8.2	3.1	3.1	–	–	–	–	–	E		100.0
Acquisition and ownership of buildings	CCM, CCA 7.7	17.0	0.0	0.0	0.0	–	–	–	–	–			0.0
Sum of alignment per objective					20.4	–	–	–	–	–			
Total CapEx		37.3	54.4	20.4	20.4	–	–	–	–	–	20.4		54.5

OpEx Economic activities	Code	Taxonomy-eligible OpEx (proportion of OpEx)	Taxonomy-aligned OpEx (monetary value of OpEx)	Taxonomy-aligned OpEx (proportion of taxonomy-aligned OpEx)	Environmental objective of taxonomy-aligned activities: Climate change mitigation	Climate change adaptation	Water	Circular economy	Pollution	Biodiversity	Enabling activity	Transitional activity	Taxonomy-aligned proportion of taxonomy-eligible activities
		%	€ million	%	%	%	%	%	%	%	(E where applicable)	(T where applicable)	%
Manufacture of other low carbon technologies	CCM; CCA 3.6	2.7	4.5	2.7	2.7	–	–	–	–	–	E		100.0
Sum of alignment per objective					2.7	–	–	–	–	–			
Total OpEx		2.7	4.5	2.7	2.7	–	–	–	–	–	2.7		100.0

Social information

Introduction to the management of social topics

The Krones Group operates globally. Legal standards for labour, pay and workplace safety apply in the countries where the company operates and from which it sources products and services. In keeping with its position as an innovation-driven technology group in complex value chains, Krones sets itself high standards that go beyond the legal minimum. This applies to the satisfaction, motivation and physical and mental health of employees, both within the company and in the supply chain. The sections that follow address the activities that Krones has implemented in order to comply with its labour and human rights due diligence obligations along the entire value chain. Specifically, this consists of disclosures on:

- Working conditions
- Equal treatment and opportunities
- Other work-related rights



In its disclosures in accordance with ESRS 2, Krones includes all workers in the value chain who are likely to be materially impacted by its own operations and value chain.

Own workforce

- Own workforce:
  Full-time and part-time employees, apprentices and trainees.
- Non-employees:
  Temporary employees and employees of contractors and service providers

Workers in the value chain

- Workers in the upstream value chain
- Employees in the downstream value chain
- Workers who due to their situation are particularly susceptible to negative impacts, such as people from an ethnic minority background and fixed-term employees.

Monitoring and continuous improvement of working conditions along the value chain is an integral part of the corporate strategy, reflecting the dependencies and influences on workers in the value chain. Due to established human resources management processes and an established human rights management system, the likelihood of material negative impacts is considered low and no adjustments to strategy or the business model have been made as a result. Nevertheless, Krones is committed to minimising all risks and ensuring the wellbeing of all employees. Material negative impacts are neither widespread nor systemic. Any such impacts are limited to isolated incidents or specific business relationships, and targeted action is taken in response.

The Code of Conduct and Supplier Code set out the core principles to which all employees and business partners must adhere. No cases of non-compliance with relevant internationally recognised instruments were reported in relation to workers in the value chain. *Further information under "Superordinate documents related to sustainability" on page 130.*

Policies related to the management of social topics

As part of the sustainable corporate strategy, the following group-wide policies apply to social topics. All grounds of discrimination under national law are covered in this connection, thereby meeting the legal requirements for equal treatment and non-discrimination. *Further information under "Superordinate documents related to sustainability" on page 130.*

Policy	General objectives	Key contents	Reference to third-party standards or initiatives	Scope	IROs that the policy relates to
Human Rights and Social Topics policy	Definition of group-wide social standards	Topics ▪ Human trafficking ▪ Prohibition of forced labour ▪ Prohibition of child labour ▪ Anti-discrimination ▪ Humane working conditions ▪ Regulated working conditions ▪ Freedom of assembly and association ▪ Health and safety ▪ Diversity, equal opportunities and inclusion ▪ Privacy rights and data protection ▪ Environmental human rights ▪ Social sustainability targets	Basis in and consistency with internationally recognised agreements and goals: ▪ UNGC principles ▪ OECD Guidelines for Multinational Enterprises ▪ ILO core labour standards ▪ UN Guiding Principles on Business and Human Rights ▪ ETI Base Code principles ▪ UK Modern Slavery Act ▪ UN Standards of Conduct for Business Tackling Discrimination against LGBTIQ+ People	▪ Binding on all Krones Group employees worldwide ▪ All activities and interactions along the value chain	▪ Working conditions for own workforce ▪ Equal treatment for own workforce and equal opportunities for all ▪ Other work-related rights for own workforce ▪ Working conditions in the value chain ▪ Equal treatment and equal opportunities for all along the value chain ▪ Other work-related rights for workers along the value chain
Policy "Occupational Health and Safety in Customer Projects"	Definition of minimum standards for occupational safety and health in customer projects	▪ Basic organisational measures ▪ Customer project planning measures ▪ Customer project execution measures		▪ Binding on all Krones Group employees worldwide ▪ Focus on construction and assembly site workers in customer project execution	▪ Working conditions for own workforce
Purchasing policy	Definition of procurement structures and processes	▪ Supplier selection and assessment ▪ Supplier relationship monitoring and management ▪ Contract negotiation authority ▪ Cost reduction measures in procurement ▪ Operational procurement processes and responsibilities ▪ Rules on signing contracts ▪ Supply chain risk management strategies		▪ Binding on all Krones Group employees worldwide ▪ All activities and interactions related to procurement and to business relationships with suppliers	

Own workforce (ESRS S1)

As an international group, by providing employment through its business activities, Krones contributes to the economic and social stability and prosperity of the regions in which it operates. As an industrial enterprise with a significant share of physical labour, ensuring safe working conditions is essential. Many employees in production, assembly and service perform physically strenuous tasks that entail hazards. If Krones fails to adequately fulfil this responsibility along the value chain, there is a risk of financial loss, for example through liability, fines, legal proceedings, loss of reputation or loss of productivity. Respect for human rights and compliance with labour standards in the various countries where Krones operates are fundamental requirements. Krones implements measures with the aim of ensuring that material negative impacts on its own workforce are mitigated and that potential impacts do not materialise. *Further information under "Superordinate documents related to sustainability" on page 130, under "Policies related to the management of social topics" on page 163 and under "Actions and resources" on page 166.*

The primary responsibility for the working conditions of employees lies with the respective managers. The management of each entity is responsible for the general management of social matters.

Human Resources and Social Affairs – including its occupational safety and health specialists – sets the group-wide standards for compliance with labour-related and human-rights obligations in own operations. The experts from these departments ensure that labour standards and processes are followed in day-to-day operations. Responsibility for implementing the necessary measures lies with Human Resources in consultation with the Works Council. Employee safety and health matters are organised in a corporate unit under the Head of Human Resources. In addition to occupational safety and health and environmental protection, this also includes medical services and operational health management. Occupational safety and health representatives have direct access to the Executive Board at all times. Communication with all branches and subsidiaries takes place via the international human resources network. A dedicated Diversity Board serves to ensure equal opportunities and promote diversity in the workforce, and coordinates strategy in this regard. The Human Rights Officer appointed by the Executive Board has a supervisory role and monitors the implementation of human rights due diligence throughout the value chain on a regular and as-needed basis. Krones has implemented processes to prevent human rights violations and ensure appropriate working conditions.

Own workforce-related impacts, risks and opportunities

IRO cluster	Description	Type	Value chain: Upstream	Value chain: Own operations	Value chain: Downstream	Time horizon: Short-term (< 1 year)	Time horizon: Medium-term (1–5 years)	Time horizon: Long-term (> 5 years)
Health impacts of unfavourable working conditions	Persistently long working hours, poor work-life balance and a lack of or inadequate occupational safety and health provision have a negative impact on the mental and physical health of the workforce.	Negative impact (actual)		●		●		●
Violation of co-determination rights due to lack of representation	Lacking or limited employee representation, lack of social dialogue or restrictions on freedom of association can lead to violation of co-determination rights.	Negative impact (potential)		●		●		
Financial difficulties due to insufficient pay*	Insufficient pay or suppression of collective bargaining can have a negative impact on the living and financial conditions of workers in the company.	Negative impact (potential/ actual)		●		●		
Contribution to prosperity by creating employment worldwide*	By generating employment with its business activities, the company contributes to economic and social stability and to prosperity in the regions in which it operates.	Positive impact (actual)		●				●
Financial loss (liability, fines, legal proceedings, loss of reputation or loss of productivity) due to loss of employer attractiveness; human rights violations and adverse working conditions	Cases of discrimination, violence or harassment in the workplace can result in reputational damage and ensuing economic damage such as a reduction in the value of the company or lower investment. Adverse working conditions, including stress and long working hours, can impair workforce productivity and thus the company's performance.	Risk		●		●	●	
Negative consequences of a discriminatory working environment	Discrimination, unequal treatment or harassment in the workplace lead to reduced career opportunities, violations of workers' rights and, as a result, have a negative impact on the lifestyle, economic situation and mental and physical health of the company's own workforce.	Negative impact (actual)		●			●	
Violation of human rights due to neglect of due diligence obligations	Modern slavery (child and forced labour) can result in violations of human rights.	Negative impact (potential)		●		●		

* These topics are not currently covered by a cross-cutting sustainability target but are addressed by actions and policies. *Further information under "Sustainability targets" on page 125.*

Due to the global nature of the business, there is an inherent risk of child and forced labour in Krones' value chain – particularly in countries and sectors where child and forced labour is widespread. Human rights and environmental risk assessments are therefore carried out at least once annually as part of the human rights strategy.

The specific risk assessment shows that no Krones site has a significant risk of incidents of child or forced labour. No negative impact on the workforce was identified as a result of the climate-related transition plans.

Targets

Target	Scope	Target type	Unit	Base year	Base value	2024	2025	Progress relative to base year	Progress towards target	Target	Target year	SDGs	Scientific evidence
Number of women in leadership	The Krones Group aims to increase the percentage of women in leadership to 20% by 2030 compared to the 2020 base year.												
	Own operations	Absolute, voluntary	%	2020	11.3	16.5	17.1	5.8 pp	66.7%	20%	2030; no interim targets		Not relevant (target not related to environmental matters)
Reduction in work-related accidents	Krones aims to reduce the number of work-related accidents per million hours worked within the Krones Group by 30% by 2030 compared with the 2020 base year.*												
	Own operations	Relative , voluntary	Rate	2020	8.9	5.6	6.1	–31.0%	100.0%	–30%	2030; no interim targets		Not relevant (target not related to environmental matters)

*This excludes both commuting accidents and non-employees.

Further information under "Sustainability targets" on page 125 and under "Policies related to the management of social topics" on page 163.

The targets related to social sustainability in the company's own workforce are set out in the Human Rights and Social Topics policy and address the impacts, risks and opportunities related to diversity and occupational safety in the Krones Group. The percentage of women in leadership relates to the number of women in senior positions. The further year-on-year increase in the percentage of women in leadership positions reflects the effectiveness of ongoing projects and actions in the area of gender diversity, such as development programmes and targeted recruiting. Work-related accidents are defined as all accidents that occur in connection with work on Krones' or a subsidiary's premises or on business travel. This excludes commuting accidents. The indicator includes all accidents involving Krones Group employees, excluding non-employees. Despite a year-on-year increase in the number of work-related accidents and an associated deterioration in the accident rate, the occupational health and safety metric in the reporting year remains below the target for 2030.

Actions and Ressources

Further information under "Whistleblower system" on page 184 and under "Investigation process" on page 184.

Management of occupational health and safety and preventive healthcare [OO, S/M/L]

Krones provides employees in safety-relevant areas with protective equipment and preventive instructions. Preventive healthcare checkups and fitness-for-work examinations are carried out in the various countries in accordance with national law. Regular and risk-based training is provided, including for non-employees. In addition, Krones Health Management specifically promotes physical and mental health with measures based on analyses and surveys. Risk assessments with regard to physical and psychological risks in the workplace are used to set priorities. The range of services is supplemented by the occupational medicine service and social counselling.

Flexible working conditions [OO, S/M/L]
In the onward development of "new work" approaches, Krones is specifically redesigning workplaces to improve work-life balance. Shared desking and office space redesign promote new forms of collaboration, while mobile working gives employees greater flexibility.

Promoting diversity and inclusion [OO, S/M/L]
Krones signed the Diversity Charter in 2010, thus expressing the company's unequivocal commitment to promoting diversity within the group. Employees of different generations, gender identities, nationalities and disciplines are connected through international talent pools, themed communities and programmes promoting balanced age structures. Employees with disabilities receive targeted support, for example from representatives for persons with severe disabilities, who advocate for their integration and opportunities. In order to promote equal opportunities, Krones is constantly developing its programmes for identifying and fostering talent. The Diversity Board provides strategic support for the implementation of measures to promote an inclusive working environment. Regular communication at Executive Board level and targeted awareness campaigns help to promote non-discriminatory conduct. A grading system that assesses positions rather than people helps guarantee objectivity and equal treatment in terms of pay.

Other actions
Transparent communication and dialogue formats
Employees are regularly provided with information via the intranet, corporate website and employee magazine. The Executive Board and management also communicate using video messages, works meetings and management meetings. Formats such as "Executive Board in Dialogue" and in-house platforms enable direct exchange and active employee involvement.

Development, further training and feedback
The annual employee review serves as a structured dialogue on goals, expectations and feedback, and includes performance reviews for individual development. Further training programmes, a group-wide training portal and modern lifelong learning opportunities are also available. Feedback from employee reviews and various surveys confirms the effectiveness of the measures.

Training
Matters relating to human rights and labour topics are covered by internal training programmes and e-learning courses. The mandatory Human Rights at Krones training unit covers human rights due diligence for employees who regularly interact with third parties. In addition, key aspects of occupational safety are covered in both basic training and site-specific training courses.

Metrics

Country-specific factors are provided for by taking national legislation into account in data collection. No estimates are made for any of the data, which is taken directly from the system.

Characteristics of the company's own employees
At Krones worldwide, data on employees is recorded in the system when they join the company. The data is given as the headcount, with the headcount relating to the actual number of employees, irrespective of their working hours. Category assignment takes place on data entry in the system.

The total number of employees by headcount comprises all permanent employees. Krones defines a permanent employee as an individual who is employed and paid directly by Krones. This encompasses full-time and part-time employees, apprentices and trainees. Working students, interns and employees of contractors are not counted. Full-time employees are those with contractually agreed standard weekly working hours (planned working hours per week). Part-time employees are those whose contractually agreed working hours are less than the planned working hours. To calculate full-time equivalents (FTE) for reporting purposes, the total working hours of part-time workers are taken as a percentage of the agreed full-time working hours. In this way, the portion of working hours accounted for by part-time employees is converted into full-time equivalents and can be assessed relative to the entire workforce. Krones also employs temporary workers and employees of contractors and service providers. Temporary employees are individuals who are employed under contract with a third party and assigned to work for Krones on a temporary basis. The data for these metrics is collected and updated daily in group-wide data management systems. The systematic management of data on all permanent employees in data management systems is based on the employment contracts in force. All metrics are reported by headcount as of the year-end.

Number of employees by gender

Gender	Unit	2024	2025
Male	Headcount	16,629	17,391
Female	Headcount	3,704	3,910
Other	Headcount	0	1
Not disclosed	Headcount	46	37
Total number of employees	**Headcount**	**20,379**	**21,339**

Further information can be found under "Krones employees" on page 113 of the annual report.

	Unit	2024	2025
Total number of employees who left the company during the reporting period	Headcount	1,218	1,175
Employee turnover rate in the reporting period*	%	6.4	5.8

* Employees leaving voluntarily or due to dismissal, retirement, or death in service, based on average number of employees in the financial year in relation to the total number of employees

Headcount in countries where the company has at least 50 employees representing at least 10% of its total number of employees

Country	Unit	2024	2025
Germany	Headcount	11,312	11,735

Information on employees by contract type, broken down by gender

	Female	Male	Other	Not recorded	Total
	Number of employees (headcount)				
2024	3,704	16,629	0	46	**20,379**
2025	3,910	17,391	1	37	**21,339**
	Number of permanent employees (headcount)				
2024	3,605	16,137	0	46	**19,788**
2025	3,716	16,508	0	37	**20,261**
	Number of temporary employees (headcount)				
2024	99	492	0	0	**591**
2025	194	883	1	0	**1,078**
	Number of non-guaranteed hours employees (headcount)				
2024	0	0	0	0	**0**
2025	0	0	0	0	**0**

Information on employees by contract type, broken down by region

	Germany	Western Europe	Central and Eastern Europe, Central Asia	Middle East, Africa	North America	South America	Asia Pacific	China	Total
	Number of employees (headcount)								
2024	11,312	1,952	1,528	753	1,593	1,006	1,237	998	**20,379**
2025	11,735	2,032	1,600	809	1,642	1,159	1,322	1,040	**21,339**
	Number of permanent employees (headcount)								
2024	10,721	1,952	1,528	753	1,593	1,006	1,237	998	**19,788**
2025	11,056	2,029	1,595	807	1,642	1,159	1,321	652	**20,261**
	Number of temporary employees (headcount)								
2024	591	0	0	0	0	0	0	0	**591**
2025	679	3	5	2	0	0	1	388	**1,078**
	Number of non-guaranteed hours employees (headcount)								
2024	–	–	–	–	–	–	–	–	**–**
2025	0	0	0	0	0	0	0	0	**0**

Non-employees

	Unit	2024	2025
Employees of contractors or service providers	Headcount	1,295	1,345
Temporary employees	Headcount	1,593	1,724
Total number of non-employees	**Headcount**	**2,888**	**3,069**

The number of employees at the end of the reporting period provides information for that point in time, without capturing.

Collective bargaining coverage and social dialogue

Krones AG has adopted the collective agreement of the Bavarian metal and electrical industry on the basis of a recognition agreement, which contains a large number of stipulations with regard to working conditions and terms and conditions of employment. The number of employees covered by collective agreements is based on the employment contracts in force and relates to employees in Germany. Beyond this, Krones has not entered into any other collective agreement, which is why no employees outside of the European Economic Area (EEA) have coverage.

Krones employees are also actively represented in social dialogue. At Krones AG, this takes place in Germany through the works councils, although not at European level. Krones has no agreements on representation by a European works council. The metric is calculated as the ratio of employees at Krones AG to the total number of employees in the Krones Group.

	Collective bargaining coverage	Social dialogue
Coverage rate	Employees – EEA* (for countries with > 50 employees representing > 10% total employees)	Workplace representation (EEA only) (for countries with > 50 employees representing > 10% total employees)
0 – 19%		
20 – 39%	37.4 % (Germany)*	
40 – 59%		46.3 % (Germany)*
60 – 79%		
80 – 100%		

* Previous year: 37.9% und 46.8%

Diversity metrics

The gender distribution measures the percentages of women and men in management levels based on chief positions in the company. Chief positions at Krones are defined as the management level, are linked to the organisational chart, and indicate responsibility for an organisational unit. The metric is calculated by determining the percentage of female managers in relation to the total number of managers. The age distribution of employees analyses the age structure of the workforce. It is presented in age groups in order to provide a comprehensive picture of the demographic structure. Methodologically speaking, employees are divided into age groups (such as under 30, 30 to 50, and over 50) and the percentage is calculated for each age group. One potential limitation relates to legal restrictions on the collection of age and gender-related data.

	Unit	2024	2025
Management level total	**Headcount**	**1,662**	**1,745**
Female	Headcount (%)	275 (16.5)	299 (17.1)
Male	Headcount (%)	1,386 (83.4)	1,443 (82.7)
Not recorded	Headcount (%)	1 (0.1)	3 (0.2)
Total employees	**Headcount**	**20,379**	**21,339**
< 30 years	Headcount (%)	3,727 (18.3)	4,052 (19.0)
30–50 Years	Headcount (%)	10,827 (53.1)	11,703 (54.8)
> 50 years	Headcount (%)	5,081 (24.9)	5,309 (24.9)
Not disclosed	Headcount (%)	744 (3.8)	275 (1.3)

Adequate wage

The Human Rights and Social Topics policy lays down minimum standards with regard to pay. Average salaries are determined by HR managers in the various companies. The basis for internal comparison is the target remuneration for permanent full-time employees as of 31 December, comprising a base salary, fixed allowances and variable remuneration. The precise composition depends on the remuneration policy in each entity. Wages are considered adequate if the minimum wage paid in the entity exceeds the fair hourly wage, before deductions, in the country concerned. The fair hourly wage before deduction is a reference figure reflecting the local cost of living and economic conditions, ensuring income is sufficient to cover basic living expenses. The percentage shown is based on feedback from the various companies. Payment of the national and local minimum wage is ensured throughout the Krones Group. For companies that have not provided data, a qualitative assessment is made of the impact on the overall analysis. This is done on the basis of the number of employees and the home country of each entity. The qualitative assessment did not show the lack of returned data to have any impact on the overall analysis. The figures can therefore be assumed to apply globally.

	Unit	2024	2025
Percentage of employees paid below the applicable benchmarks for adequate wages	%	0.2*	0.5**

* Romania, United Emirates, Netherlands **USA

Social protection

The vast majority of employees in the Krones Group are covered by social protection in the form of state provision or company benefits. These employees have protection against loss of income due to unemployment, illness, work-related accidents, disability, parental leave or retirement. Protection against loss of income in retirement is provided, for example, through both public pension schemes and company pension plans. In order to ensure the social protection of employees, a carefully review is carried out of the national legal situation and internal company policies. Compliance with country and entity-specific standards is verified by each HR manager. For this purpose, the social protection provision is assessed and reviewed to determine whether it meets the requirements.

Countries with partial social protection		
Country	Employee group	No coverage
India	N/A	Unemployment
Indonesia	Interns	N/A
USA	Temporary workers, interns	▪ Unemployment ▪ Maternity leave ▪ Paid sick days

Persons with disabilities

The percentage of employees with disabilities is a key metric for assessing inclusion and support for people with disabilities in the company. This data is collected and analysed on the basis of legal requirements, which results in limitations as disclosing such information is not universally mandatory or permitted. The disclosure is based on the number of employees who provided data. All companies are included that are legally permitted to collect this data and have also returned the data. The percentage of employees with disabilities is calculated for all companies included. It therefore covers 92% of the Krones Group.

	Unit	2024	2025
Percentage of employees with disabilities	%	3.9	3.5

Training

A training-related metric is the average number of training hours per employee. This measures the average time that employees invest in training. It is calculated as the total number of training hours divided by the number of employees.

	Einheit	Year	Total	Female	Male	Other
Average number of training hours per employee	h/ employee	**2024**	–	15.6	19.7	–
		2025	21.5	16.3	22.6	76.9

Health and safety

Krones applies a uniform Group-wide definition for work-related accidents. These are all accidents that are work-related and result in at least one full lost day. They include accidents on company premises and during business travel. Certain events on company premises that are work-related are also included. Accidents outside company premises that are not work-related are not included. These metrics are tracked with the aid of a data collection tool. Where there are technical or practical obstacles, extrapolations are used.

		Unit	2024	2025
Percentage of people in the company's own workforce who are covered by the company's health and safety management system based on legal requirements and/or recognised standards or guidelines, based on headcount, not full-time equivalents		%	69.9	73.4
Number of fatalities as a result of work-related injuries and work-related ill health	Own workforce	Number	0	0
	Workers in the value chain		–	0
Number of reportable work-related accidents*		Number	196	222
Rate of reportable work-related accidents		Number/ million h	5.6	6.1
Number of cases of reportable work-related ill health among employees*		Number	1	6
With regard to the workforce, number of days lost to work-related injuries and fatalities from work-related accidents, work-related ill health and fatalities from ill health		Days	4,965	5,133

*Reportable according to KPI matrix

Work-Life-Balance

For each country, an assessment is made to determine whether all employees are entitled to special family-related leave under national legislation or in-house arrangements.

	Unit	2024	2025
Employees entitled to take family-related leave	%	–	99.2*

* Employees without automatic entitlement may receive such entitlement according to country-specific criteria, such as at least one year of employment in the country concerned, or full-time employment.

Remuneration

The basis for the assessment of remuneration is the target remuneration for employees as of the year-end. This comprises a base salary, fixed allowances and variable remuneration components, which are based on the remuneration policy in each entity. Only permanent employees are included in the calculation. Due to data protection regulations, some of these metrics can only be reported on the basis of estimates. All available and verifiable data is used for this purpose in order to extrapolate the missing data on an entity-specific basis. Assumptions about representativeness may conceal structural differences. The gender pay gap is calculated by comparing the average hourly wage, before deductions, of female employees with that of male employees. The total primary data coverage in this case is around 58%. The total annual compensation ratio is the ratio of the annual target remuneration of the highest-paid individual in a company to the median target remuneration of the that company's workforce. The total primary data coverage in this case is around 54%.

	Unit	2024*	2025
Gender pay gap, expressed as a percentage of the average income of male employees	%	–	7.2
Ratio of the annual total compensation for the highest-paid individual to the median annual total compensation for all employees (excluding the highest-paid individual)	%	–	21.6

* In the previous year, only the figures for Krones AG were taken into account, which were 6.4% and 25.6% respectively.

Incidents, complaints and severe human rights impacts

In line with the commitment to transparency and integrity, it is confirmed that, as in the previous year, there were no incidents or serious human rights violations involving forced labour, human trafficking or child labour in own operations during the reporting period that would require the disclosure of monetary amounts. Similarly, there were no violations involving work-related discrimination or harassment that resulted in fines, penalties or compensation. Accordingly, no cross-reference is provided to the financial statements. In the event that incidents of discrimination are reported or identified, a defined investigation process is followed for plausibility and validation in order to decide and take appropriate action. *Further information under "Investigation process" on page 184.*

	Unit	2024	2025
Total number of incidents of discrimination, including harassment, reported in the reporting period	Number	0	1
Number of complaints filed through channels for people in the company's own workforce to raise concerns and, where applicable, related to the matters defined in ESRS S1 paragraph 2, excluding discrimination and harassment	Number	0	3
Total amount of fines, penalties and compensation for damages as a result of the incidents and complaints disclosed under ESRS S1 paragraph 103 (a) and (b)	€	0	0
Number of severe human rights violations and incidents connected to the company's own workforce in the reporting period, including an indication of how many of these are cases of non-respect of the UN Guiding Principles on Business and Human Rights, ILO Declaration on Fundamental Principles and Rights at Work or OECD Guidelines for Multinational Enterprises	Number	0	0
Total amount of fines, penalties and compensation for damages for the incidents described under ESRS S1 paragraph 104 (a)	€	0	0

Workers in the value chain (ESRS S2)

Krones business partners are likewise primarily companies whose business involves a significant proportion of physical labour, both in the supply chain for the production and manufacture of the materials used by Krones and among customers who put Krones machines, lines and technologies into operation. Krones recognises that business relationships and the completion times specified for projects can have a negative impact on the health and working conditions of value chain workers. Poor product safety could lead to physical injury or health problems.

Failure to respect labour and human rights in the value chain, and the sale of defective products, can put the safety of workers at risk and lead to reputational damage, lost revenue and legal consequences. Respect for human rights is therefore of vital importance, not only in Krones' own operations, but throughout the value chain. It is the basis on which Krones operates as a global group. Krones works to improve working conditions in the value chain by demanding that its direct suppliers comply with defined standards and pass these standards down their supply chain. *Further information under "Superordinate documents related to sustainability" on page 130, under "Policies related to the management of social topics" on page 163 and under "Actions and resources" on page 176.*

Corporate Procurement reports directly to the Chief Operating Officer (COO) and coordinates procurement management. The Supply Chain Governance Board, consisting of representatives from Procurement, Supplier Quality Management, Corporate Governance and Corporate Sustainability, coordinates compliance with human rights due diligence requirements and decides on critical findings in the upstream supply chain. The Human Rights Officer appointed by the Executive Board has a supervisory role and monitors the implementation of human rights due diligence throughout the value chain on a regular and as-needed basis.

Impacts, risks and opportunities related to workers in Krones' value chain

IRO cluster	Description	Type	Value chain: Upstream	Value chain: Own operations	Value chain: Downstream	Time horizon: Short-term (< 1 year)	Time horizon: Medium-term (1–5 years)	Time horizon: Long-term (> 5 years)
Health impacts of unfavourable working conditions	Persistently long working hours, poor work-life balance and a lack of or inadequate occupational safety and health provision have a negative impact on the mental and physical health of workers in the entire value chain.	Negative impact (actual)	●		●	●	●	
Financial difficulties due to insufficient pay	Lacking or limited employee representation, lack of social dialogue, restrictions on freedom of association or suppression of collective bargaining can lead to violation of co-determination rights and have a negative impact on the living and financial conditions of workers along the value chain.	Negative impact (actual/potential)	●		●		●	
Heavy workloads due to high employee turnover*	Heavy workloads and job insecurity lead to situations of stress and pressure and an insecure employment situation for workers along the value chain.	Negative impact (actual)	●			●		
Loss of revenue due to inadequate product safety*	The manufacture, distribution and sale of dangerous or defective products and the related risks to workers in the upstream and downstream value chains can have a negative impact on reputation, customer satisfaction and revenue.	Risk	●		●	●		
Negative consequences of a discriminatory working environment	Discrimination, unequal treatment or harassment in the workplace lead to reduced career opportunities, violations of workers' rights and, as a result, have a negative impact on the lifestyle, economic situation and mental and physical health of value chain workers.	Negative impact (actual)	●		●	●		
Violation of human and fundamental rights due to neglect of due diligence obligations	Modern slavery (child and forced labour), substandard (unhygienic, cramped and/or insanitary) accommodation and loss of personal data or data breaches related to value chain workers can lead to violations of human rights, privacy rights and health hazards.	Negative impact (potential)	●		●	●		
Supply Chain Due Diligence Act (LkSG); human rights violations; supplier/reputational risks, fines and loss of revenue due to human rights violations	Violations of human rights along the value chain can result in reputational damage, loss of revenue and costs due to fines.	Risk	●	●		●		

* These topics are not currently covered by a cross-cutting sustainability target but are addressed by actions and policies. *Further information under "Sustainability targets" on page 125.*

In place of direct surveys, Krones uses tried-and-tested methods of regular interchange to gain insights into stakeholder perspectives, including supplier and customer meetings, sustainability assessments, supplier days, and various types of audit.

Audit and assessment frequencies are determined by risk assessment. Responsibility for implementing these measures is shared between Corporate Procurement, Corporate Sustainability and Supplier Quality Management. The measures are tracked and implemented with the aid of software. As part of audits, interviews are conducted with employees with different diversity characteristics to gain a comprehensive picture of the company concerned and take a range of perspectives on board. Among other things, the audits assess and ensure compliance with environmental standards and social criteria. These structured assessment processes identify risks, monitor supplier performance and pinpoint scope for improvement. Audits in particular permit deeper insights into working conditions along the supply chain and ensure that the rights and well-being of supply chain workers are duly respected and promoted.

In addition to this engagement with supply chain workers, Krones maintains close dialogue with its customers, both on construction sites and in the context of its service activities. On construction sites, Krones staff work closely with customers to ensure seamless system installation and commissioning. Regular meetings are held to track progress and address any challenges. In its service activities, Krones provides support in the form of maintenance and repair services. Direct contact with customers and their staff plays a crucial role here, providing the opportunity to identify specific needs and requirements and develop solutions. Krones also engages in dialogue with local employees in order to incorporate their feedback and suggestions in the continuous improvement of products and services. Furthermore, the Krones Academy provides training courses for customers' employees to ensure the safe and responsible use of machinery. The general approach to engagement includes regular supplier communication and supplier development to ensure continuous improvement and compliance with standards. In addition, every employee in the value chain has the option of directly reaching out to a contact person at Krones at any time, or of submitting information via the whistleblower system. In line with the commitment to transparency and integrity, it is confirmed that, as in the previous year, there were no incidents or serious human rights violations involving forced labour, human trafficking or child labour in the value chain during the reporting period that would require the disclosure of monetary amounts. *Further information under "Interests and views of stakeholders" on page 129, under "Whistleblower system" on page 184 and under "Metrics" on page 167.*

Target

Target	Scope	Target type	Unit	Base year	Base value	2024	2025	Progress relative to base year	Progress towards target	Target	Target year	SDGs	Scientific evidence
Human rights due diligence	The Krones Group has set itself the target of auditing all its suppliers with regard to human rights due diligence by 2030.												
	Upstream value chain	Absolute, voluntary	%	2022	0.0	11.6	42.7	42.7 pp	42.7%	100%	2030; no interim targets		Not relevant (target not related to environmental matters)

Further information under "Sustainability targets" on page 125, "Policies related to the management of social topics" on page 163 and "Impacts, risks and opportunities related to Krones workers in the value chain" on page 174.

The targets related to social sustainability in the value chain are set out in the Human Rights and Social Topics policy and address the impacts, risks and opportunities along the value chain.

During the reporting period, the methodology for reviewing human rights due diligence among suppliers was revised with the involvement of the Sustainability Steering Board to represent the stakeholders concerned. The purpose of the revision was to make the processes more systematic, standardised and risk-based. Suppliers meet the requirements if they sign the Supplier Code, undergo a risk analysis and, in the case of critical risks, undergo an in-depth assessment procedure. Depending on the outcomes, action plans or further checks such as audits may be required. The target setting process included discussion of the relevant business processes and legal requirements in order to develop a uniform target. In the process, internal data and external databases were used in order to incorporate information on supplier performance and compliance. The revision of the methodology underlying the target was approved by the Executive Board.

The improvement in the strategic indicator compared with the previous year relates to the ongoing integration of due diligence and audit processes in procurement management and to a revised risk assessment that gives greater consideration to supplier procurement volume and only requires background checks for high-risk profiles.

Actions and resources

Signing of the Supplier Code [USC, S/M/L]

The group-wide Supplier Code forms the basis for value-based working relationships in a spirit of partnership. Requirements and expectations of suppliers with regard to human rights due diligence are set out in a section headed "Respect for human rights". Alongside the specific obligations, the Code also governs sanctions, contractual penalties, audit rights and reporting channels in the event of violations. Active confirmation of the Code is mandatory for new business relationships; existing suppliers are being gradually onboarded.

Due diligence checks [USC/DSC, S/M/L]

The Compliance Team carries out regular due diligence checks to identify potential human rights violations in the supply chain. Tools are used for this purpose that draw on publicly available sources. In the event of relevant findings, such as labour law violations, legal proceedings or sanctions, the Supply Chain Governance Board decides on further steps on a case-by-case basis, up to and including delisting the supplier. These checks form an integral part of the procurement strategy, enabling proactive risk management.

Sustainability risk assessment [USC, S/M/L]

For enhanced transparency, a database-supported risk analysis is conducted to assess environmental, labour and human rights risks within the global supply chain. The analysis takes into account procurement volume, countries of origin and production, and the type of products or services provided. Due to the global nature of the business, the analysis indicates an inherent risk of child and forced labour in certain countries and sectors. The supplier risk profiles resulting from this abstract risk analysis are gradually added to in sustainability assessments and audits as part of the ongoing evaluation process.

Sustainability assessment [USC, S/M/L]

Suppliers with a high abstract risk undergo a specific sustainability assessment. The results are used to identify potential human rights risks, and form the basis for measures such as audits, corrections or supplier development discussions. In addition, human rights standards have been assessed for several years in – again, risk-based – human rights and environmental audits. In the event of any irregularities, measures are specified and solutions proposed. Depending on the severity of the findings, a supplier development process may be initiated or in extreme cases the supplier delisted. In addition, questions about human rights due diligence have been added to the traditional product, process and system audits.

Other actions

Training

The Krones Academy provides specific training for the Krones workforce and customer employees on the safe and responsible use of machinery. The training covers safety-related content, operation, set-up and maintenance processes and imparts a thorough understanding of the various machines and their requirements.

Documentation and safety policies

Operating instructions and policies ensure the proper handling of the machines. They specify on safe use and set-up and on carrying out maintenance, cleaning and lubrication tasks. This is supplemented with protection measures, requirements for trained staff and specific safety instructions. Standardised documents and checklists ensure that all relevant aspects are systematically taken into account on machine handover. For particularly safety-critical applications, subsidiary System Logistics SpA has also implemented an automated warehouse management system. This system helps to minimise risks in sensitive areas and further increases operational safety.



Governance information

Introduction to the management of governance topics

In accordance with its corporate vision and mission, Krones is committed to responsible and sustainable business conduct along the entire value chain. Corporate governance relates to corporate management and control, in fact and in law, with the aim of providing transparency, promoting ethical conduct and ensuring compliance with legal and company requirements. The policies, targets, actions and metrics presented in the following serve to promote a culture of openness in order to foster the trust of the company's stakeholders. *Further information under "Corporate Governance Statement" on page 218*

In contrast to the "Sustainability governance" section, which focuses on the organisation of sustainability management at Krones, the sections that follow address the principles and processes for ensuring responsible corporate governance and business conduct centred on integrity, specifically on the basis of disclosures relating to:

- Corporate culture
- Prevention and detection of corruption and bribery
- Management of relationships with suppliers, including payment practices
- Digital responsibility

Further information under "Sustainability governance" on page 127.



Policies related to with the management of governance topics

As part of our sustainable corporate strategy, the following group-wide policies apply to governance topics.

Further information under "Superordinate documents related to sustainability" on page 130.

Policy	General objectives	Key contents	Reference to third-party standards or initiatives	Scope	IROs that the policy relates to
Money laundering policy	▪ Minimisation of corruption risk ▪ Ensuring compliance	Anti-money laundering, including: ▪ Prevention strategies ▪ Due diligence process ▪ Due diligence obligations	German Money Laundering Act	▪ Binding on all Krones Group employees worldwide ▪ Applies along entire value chain	▪ Corporate culture ▪ Corruption and bribery
Gifts and gratuity policy	▪ Minimisation of corruption risk	▪ Handling of gifts and gratuities ▪ Conduct in corruption-risk situations			
Donations and sponsorship policy		▪ Rules on donations and sponsorship ▪ Responsibilities ▪ Permissible donations and sponsorships ▪ Reporting obligations to competent bodies		▪ Binding on all Krones Group employees worldwide ▪ Applies in own operations	
Policy on dealing with sales-related business partners		▪ Long-term commercial agency relationships ▪ Individual business procurement	▪ UN anti-corruption conventions		
Policy on dealing with competitors	▪ Minimisation of corruption risk ▪ Prevention of antitrust law violations	▪ Antitrust law ▪ Relationship with other parties	▪ Antitrust law		
Policy on handling situations with the risk of corruption	▪ Minimisation of corruption risk	▪ Corruption ▪ Bribery ▪ Money laundering ▪ Handling of gifts and gratuities ▪ Fair and proper competition ▪ Working with sales-related business partners	▪ UN anti-corruption conventions ▪ UK Bribery Act (UKBA) ▪ US Foreign Corrupt Practices Act (FCPA)	▪ Binding on all Krones Group employees worldwide ▪ Applies along entire value chain	

Continuation of table on page 180

Continuation of table from page 179

Policy	General objectives	Key contents	Reference to third-party standards or initiatives	Scope	IROs that the policy relates to
Policy on standards and documents at Krones	▪ Creating a basis for responsible and value-oriented business conduct	▪ Policy process and terminology		▪ Binding on all Krones Group employees worldwide ▪ Applies in own operations	▪ Corporate culture
Policy on authorization to represent and sign	▪ Ensuring legal certainty ▪ Prevention of abuse	▪ Basic principles of authorisation to represent the company			
Whistleblower policy	▪ Protection of whistleblowers	▪ Presentation of the whistleblowing process and system, including reporting channels and bodies		▪ Binding on all Krones Group employees worldwide ▪ Applies along entire value chain	
Policy on the secure operation of IT systems	▪ Secure operation of IT systems	▪ Principles and responsibilities in relation to IT systems		▪ Binding on all administrators and managers ▪ Applies in own operations	▪ Corporate culture ▪ Digital responsibility
Cybersecurity policy	▪ Achievement of cyber security objectives	▪ Key objectives and principles of cyber security ▪ Specification of the organisational framework and responsibilities	▪ EU General Data Protection Regulation (EU GDPR) ▪ NIS 2 ▪ EU Cyber Resilience Act	▪ Binding on all Krones Group employees worldwide ▪ Applies along entire value chain	
Data protection policy	▪ Ensuring compliance	▪ Content in accordance with the EU GDPR	▪ EU GDPR		

Business conduct (ESRS G1)

In strategic and operational terms, the topics reported on here under the heading of governance relate to various departments and corporate units:

Corporate Governance is responsible for the overall definition and control of the group's business principles, with the aim of fostering a corporate culture based on integrity and trust. This corporate unit with group-wide responsibility reports to the Chief Financial Officer (CFO) in disciplinary matters and to the full Executive Board in functional matters. It manages the group-wide policies, compliance management and the activities of the internal audit department. In its prevention work, it is supported by a Governance Committee comprising representatives of all Executive Board areas of responsibility and chaired by the Head of Corporate Governance. The various regions in which the Krones Group has offices and the Krones subsidiaries have governance officers of their own, who support the corporate unit and serve as direct points of contact for their local workforce. Furthermore, a quarterly written report provides the Executive Board with detailed information on training programmes, the current resource situation, the results of due diligence checks and a summary of significant compliance cases, including their status. Annual reporting is made to the Audit and Risk Committee.

Management of relationships with suppliers is the responsibility of Corporate Procurement. Its procurement staff and, in particular, designated category managers act as the central point of contact for suppliers and also determine related matters such as payment practices.

In parallel, group-wide responsibility for managing data protection and information security lies with Corporate Cyber Security, which reports directly to the CEO. The aim is to ensure digital responsibility along the value chain. In the regions where this is required by law, additional data protection officers have been appointed for the respective subsidiaries. These officers know the group's core data protection requirements as well as the laws and regulations of their respective regions. In addition, all departments within Krones AG that regularly handle personal data and all subsidiaries have their own data protection coordinators. A network of local cybersecurity coordinators in the individual regions and companies coordinates all information security matters.

Impacts, risks and opportunities related to business conduct

IRO cluster	Description	Type	Value chain: Upstream	Value chain: Own operations	Value chain: Downstream	Time horizon: Short-term (< 1 year)	Time horizon: Medium-term (1–5 years)	Time horizon: Long-term (> 5 years)
Employee stress due to poor corporate culture	The absence of a corporate culture based on shared values and trust (including the absence of a protected whistleblowing system) can lead to poor identification, disorientation and (psychological) stress among employees.	Negative impact (potential)	●	●	●	●		
Cost risks, reputational risks and loss of revenue due to poor corporate culture	A corporate culture that is susceptible to corruption can lead to reputational damage and loss of revenue due to a loss of confidence among business partners. Unethical behaviour towards employees and/or inadequate grievance mechanisms can lead to increased costs.	Risk	●	●	●		●	
Increased poverty and inequality due to corruption or tolerance of corruption	Tolerating or actively participating in corrupt practices in the value chain can give rise to local poverty and social inequality.	Negative impact (potential)	●	●	●		●	
General breaches of the law	Cases of corruption and bribery can result in costs due to fines and penalties.	Risk	●	●	●		●	
Unstable supply chain due to unreliable payment practices*	Late payment of supplier invoices beyond contractually agreed payment dates can have a negative impact on the financial situation of suppliers, including difficulties in paying their employees on time.	Negative impact (actual)	●				●	
Financial damage due to data protection and data security breaches**	Data protection and data security breaches along the value chain can result in reputational damage, loss of revenue and costs due to fines.	Risk	●	●	●	●	●	

* These topics are not currently covered by a cross-cutting sustainability target but are addressed by actions and policies. Further information under “Sustainability targets” on page 125.

** Krones-specific disclosure

Krones has identified the material business conduct-related impacts using a criteria set relating to Krones’ locations, activities, sector and structure. The location analysis covers geographical and local factors. With regard to the group’s activities, the assessment takes in the direct and indirect impacts of the production processes and services. In terms of the sector, account is taken of industry-specific challenges. The group’s structure is also examined in order to ensure that the form of organisation and business model support and promote compliance with governance standards.

Targets

Target	Scope	Target type	Unit	Base year	Base value	2024	2025	Progress relative to base year	Progress towards target	Target	Target year	SDGs	Scientific evidence
Compliance risk assessment	By 2030, compliance risk assessments are to be applied across 100% of the Krones Group based on the number of full-time employees.												
	Own operations	Absolute, voluntary	%	2022	91.4	94.8	96.2	4.8 pp	55.8%	100%	2030; no interim targets	16	Not relevant (target not related to environmental matters)
ISO 27001 certification	By 2030, 85% of all employees at significant companies in the Krones Group are to work under ISO 27001 certification.												
	Own operations	Absolute, voluntary	%	2022	65.0	67.0	73.4	8.4 pp	42.0%	85%	2030; no interim targets	16	Not relevant (target not related to environmental matters)

Further information under "Policies related to the management of governance topics" on page 179.

The compliance risk assessment target relates to all Krones Group companies. These risk assessments are rolled out to foster an understanding of compliance and build employee confidence in an open reporting system and in the company. This enables Krones to identify and eliminate potential risks and negative impacts at an early stage. Krones' compliance management system aims overall to foster a culture of integrity throughout the entire group and thus minimise compliance risks as much as possible.

ISO 27001 certification means that an organisation in the Krones Group is part of the information security management system (ISMS) to adequately manage the risks associated with data and information security, and that it complies with all the security measures and principles set out in the standard. The companies covered are those where a cybersecurity incident could have a significant negative impact on the operations of the Krones Group. The list of relevant companies is reviewed annually on the basis of risk factors.

The ongoing, scheduled rollout of compliance risk analyses and ISO 27001 certifications is improving both strategic metrics compared to the previous year and driving progress towards the target. The content of the compliance risk assessments and of the certification audits in accordance with ISO 27001 is designed to ensure that the standards addressed in the governance policies outlined above are adhered to and tracked.

Actions and resources

Prevention and detection of corruption and bribery

Krones fosters a corporate culture based on respect, integrity and appreciation in various ways, including regular training, development programmes and open communication policies.

Compliance risk assessment [OO, S/M/L]
Compliance risk assessment covers the following risk areas: Corporate governance risks; active and passive corruption; cartels; health, safety, security and environment; money laundering and fraud. Compliance risks are analysed and evaluated in the Krones Group using software. The managing directors of subsidiaries additionally carry out an annual self-assessment. The results are aggregated and visualised at business unit and regional level and are combined and incorporated in group-wide risk analysis.

Whistleblower system [USC/OO/DSC, S/M/L]

Any violations of the Krones Code of Conduct, the Supplier Code and applicable group-wide policies are systematically investigated. Various reporting channels are available to employees, including direct contact with regional contact persons and the digital Krones Integrity System. This is available round the clock, allows anonymous reporting and is also open to external stakeholders. It covers a broad spectrum of possible violations, including corruption, data protection violations, human rights violations and environmental offenses. In order to ensure the highest data protection and security standards, it is operated by an independent provider. Compliance training provides all employees with information on the whistleblower system and the designated contact persons. Regular internal communication and the whistleblower policy also ensure awareness of the system. The rules of procedure for the system are available to both internal and external stakeholders. The requirements of Directive (EU) 2019/1937 (the Whistleblower Directive) are thus met.

Investigation process [USC/OO/DSC, S/M/L]

All compliance-related matters and whistleblower submissions are centrally documented for further processing and evaluation. The Head of Corporate Governance is appointed by the Supervisory Board in his role as investigator and also has a direct reporting line to the Supervisory Board, thus ensuring independence from the management chain. When a whistleblower submits a report, receipt is confirmed and the information checked for plausibility and cogency. The Compliance Team then conducts an independent and objective investigation. In the processing of whistleblower reports, utmost discretion and the sensitive handling of the data are ensured, as are confidentiality and anonymity for whistleblowers themselves.

Protection of whistleblowers from reprisals is ensured. After investigating a matter, Corporate Governance takes appropriate follow-up action in accordance with the legislation implementing the Whistleblower Directive and provides feedback to the whistleblower within three months of confirming receipt of the report.

Training programmes [OO, S/M/L]

The Krones Group has established various compliance training programmes. All employees undergo centralised training based on the Code of Conduct every two years. Supplementary training cover topics such as competition law and anti-corruption. This is a mandatory requirement for employees who regularly interact with third parties, as they may be particularly susceptible to situations involving corruption. Anti-corruption training for the Executive Board and the Supervisory Board is provided by the Head of Corporate Governance, who communicates the content of the Code of Conduct.

Due diligence checks [USC/DSC, S/M/L]

In order to meet a number of national and international regulatory requirements, due diligence checks are conducted on customers, agents, suppliers and third-party payers. These provide the group with a tool for process-integrated monitoring of business partners in countries where the risk of non-compliance is high, provided that the necessary data is publicly accessible. Any findings trigger an in-depth due diligence check by Corporate Governance, in which additional sources of information are tapped in order to plausibility-check and assess the finding.

Spot checks [OO, S/M/L]
Besides regular standard audits, the Head of Corporate Governance initiates spot checks – particularly of processes with heightened compliance risk – to verify the effectiveness of the compliance culture. If a suspected or actual compliance incident is detected, case management and disciplinary action processes are set in motion. Lessons learned are taken on board by implementing new precautions where necessary and appropriate.

Digital responsibility

ISO 27001 certification [OO, S/M/L]
Krones' ISMS is ISO 27001-certified for all IT services that are provided centrally for the group. The certification and associated audits are being rolled out in stages. A timetable has been drawn up for the certification of each entity. As part of the ISO 27001-certified information security management system, processes have been defined for handling findings and breaches. Security incidents and weaknesses are investigated, processed and resolved by the Product Security Incident Response Team (PSIRT) or the Information Security Incident Response Team (ISIRT).

Security Operations Center (SOC) [OO, S/M/L]
An SOC serves as both an internal and external IT security service provider, detecting and analysing any anomalies and ensuring timely action on verified threats. With the 24/7 monitoring provided by the SOC, risks arising from data leaks or identity theft can be detected and eliminated at an early stage. As part of technical security audits, internet-facing systems and selected internal systems are subject to continuous penetration testing. An action plan is being developed to address the identified vulnerabilities. The measures are being coordinated and implemented with the relevant units.

Training [OO, S/M/L]
Employee awareness is a key element of the cybersecurity strategy. The cybersecurity policy prescribes annual training for all employees with respect to data protection and cybersecurity topics. Additional training is given to specific target groups.

Other actions
A collaborative and partnership-based business relationship with suppliers is essential. Business partners are expected to participate proactively in risk assessments, monitoring processes and reporting. The aim is to collaborate with business partners to continuously improve the sustainability performance of both Krones and its business ecosystem.

Preferred suppliers
Specific sustainability requirements have been defined for preferred suppliers and in some cases incorporated into clauses in global supply agreements.

Specified terms of payment
The payment terms for suppliers are predefined and stored in the internal ERP system, regardless of supplier size and procurement volume. As soon as an invoice is received, the payment terms are automatically retrieved and the ERP system monitors the process, including the specified payment deadlines. To avoid late payment, the system records receipt of the invoice and forwards it through a workflow to the worklist of the responsible employee. Posting runs are generally performed weekly to ensure timely processing and payment. A tool additionally supports the management of invoices in the worklist. The tool checks what invoices are in the system and whether the supplier is blocked. It automatically notifies the responsible employee of any discrepancies so that action can be taken. Payments are initiated automatically in accordance with

the payment terms. The average payment term is currently 75 days worldwide (previous year: 71 days). To prevent the negative impacts of uncertain payment practices, draft contracts generally stipulate payment terms of 30 days net. If there is a cash discount, the maximum period is 14 days. There are legal proceedings outstanding for late payment in two instances for the 2025 financial year (previous year: four). These relate to alleged late payment and substandard/non-performance.

The average payment period for the standard payment terms for all companies linked into the ERP system breaks down as follows in days and percentages:

- 26% < 30 days
- 18% ≥ 30 days/≤ 75 days
- 56% > 75 days

In the previous year, the breakdown was 29%, 61% and 10%.

These measures ensure efficient and timely payment processing, which can lead to improved liquidity planning and promotes trust with suppliers.

Supplier qualification and sustainability dialogues
When new suppliers are onboarded, they are vetted on the basis of standardised questionnaires for the respective product group, which they receive from Procurement. The master questionnaire, from which the specific versions for the different supplier groups are developed, contains questions specifically on human rights, environmental management and compliance. Furthermore, sustainability matters are a standard topic of supplier and customer meetings, quarterly business reviews with suppliers and supplier days.

Metrics

The data is tracked on the basis of definitions of cases of corruption and bribery.

	Unit	2024	2025
Number of convictions for violation of anti-corruption and anti-bribery laws	Number	0	0
Amount of fines for violation of anti-corruption and anti-bribery laws	€	0	0
Total number of confirmed incidents of corruption or bribery	Number	0	1

Anti-corruption and anti-bribery training

The metric is based on functions with regular third-party interaction, as these are defined as high-risk.

	Unit	2024	2025
Percentage of functions-at-risk covered by training programmes	%	100.0	100.0
Topics covered	–	Definition of corruption, strategies, dos and don'ts, consequences of violations, reporting channels	
Training method	–	E-learning	

Index of ESRS disclosure requirements and datapoints under other EU legal acts

The table below lists all datapoints deriving from other EU legislation listed in Appendix B of ESRS 2, indicating where the datapoints can be found in our report and which datapoints ae assessed as "not material" *(ESRS 2 Annex B)*.

Disclosure requirement		Reference to EU legislation [datapoint]	Section	Page [NFS]	Reference list Page [AR/NFS]
ESRS 2 General disclosures					
BP-1	General basis for preparation of sustainability statements		"About the non-financial statement"	P. 119	P. 192 (NFS)
BP-2	Disclosures in relation to specific circumstances		"About the non-financial statement"	P. 119	–
GOV-1	The role of the administrative, management and supervisory bodies	1,3 [21d, e]	"The role of the administrative, management and supervisory bodies"	P. 128	P. 225, P.230 (AR) P. 125 (NFS)
GOV-2	Information provided to and sustainability matters addressed by the undertaking's administrative, management and supervisory bodies		"Materiality assessment"	P. 122	P. 194, P. 218 (AR) P. 123, P. 178 (NFS)
GOV-3	Integration of sustainability-related performance in incentive schemes		"Integration of sustainability-related performance in incentive schemes"	P. 128	P. 231 (AR)
GOV-4	Statement on due diligence	1 [30]	"Statement on due diligence"	P. 193	–
GOV-5	Risk management and internal controls over sustainability reporting		"Materiality assessment"	P. 122	P. 194 (AR)
SBM-1	Strategy, business model and value chain	1,2,3 [40 d (i)] 1,3 [40 d (ii) (iii)] 3 [40 d (iv)]	"Sustainability in the business model"	P. 121	P. 46, P. 233 (AR)
SBM-2	Interests and views of stakeholders		"Interests and views of stakeholders"	P. 129	P. 193 (NFS)
SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model		"Materiality assessment"	P. 123	P. 194 (AR)
IRO-1	Description of the process to identify and assess material impacts, risks and opportunities		"Materiality assessment"	P. 122	P. 194 (AR), P. 129 (NFS)
IRO-2	Disclosure Requirements in ESRS covered by the undertaking's combined non-financial statement		"Index of ESRS disclosure requirements and datapoints under other EU legal acts"	P. 187	–
ESRS E1 Climate change					
ESRS 2 GOV-3	Integration of sustainability-related performance in incentive schemes		"Integration of sustainability-related performance in incentive schemes"	P. 128	P. 231 (AR)
E1-1	Transition plan for climate change mitigation	2,3 [16g] 4 [14]	"Actions and resources"	P. 140	P. 125, P. 131, P. 156 (NFS)
ESRS 2 SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model		"Impacts, risks and opportunities related to climate change"	P. 138	–
ESRS 2 IRO-1	Description of the processes to identify and assess material climate-related impacts, risks and opportunities		"Impacts, risks and opportunities related to climate change"	P. 137	P. 194 (AR) P. 140 (NFS)

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Disclosure requirement		Reference to EU legislation [datapoint]	Section	Page [NFS]	Reference list Page [AR/NFS]
ESRS E1 Klimawandel					
E1-2	Policies related to climate change mitigation and adaptation		"Policies related to the management of environmental topics"	P. 133	P. 130 (NFS)
E1-3	Actions and resources in relation to climate change policies		"Actions and resources"	P. 140	P. 125, P. 131, P. 133, P. 156 (NFS)
E1-4	Targets related to climate change	1,2,3 [34]	"Targets"	P. 139	P. 125, P. 133 (NFS)
E1-5	Energy consumption and mix	1 [37; 38; 40-43]	"Metrics"	P. 146	P. 233 (AR)
E1-6	Gross Scopes 1, 2, 3 and total GHG emissions	1,2,3 [44;53-55]	"Metrics"	P. 145	P. 233 (AR)
E1-7	GHG removals and GHG mitigation projects financed through carbon credits	4 [56]	–	–	–
E1-8	Internal carbon pricing		"Internal carbon pricing"	P. 142	–
E1-9	Anticipated financial effects from material physical and transition risks and potential climate-related opportunities	3 [66] 2 [66a, c] 2 [67c] 3 [69]	"Materiality matrix"	P. 124	–
ESRS E2 Pollution					
ESRS 2 IRO-1	Description of the processes to identify and assess material climate-related impacts, risks and opportunities		"Materiality assessment"	P. 125	–
ESRS E2-4	Amount of each pollutant listed in Annex II of the E-PRTR Regulation (European Pollutant Release and Transfer Register) emit-ted to air, water and soil	1 [28]	–	Not material	–
ESRS E3 Water and marine resources					
ESRS 2 IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities related to water and marine resources		"Water-related impacts, risks and opportunities"	P. 148	P. 123 (NFS)
E3-1	Policies related to water and marine resources	1 [9; 13; 14]	"Policies related to the management of environmental topics"	P. 133	P. 130 (NFS)
E3-2	Actions and resources related to water and marine resources		"Actions and resources"	P. 150	P. 125, P. 131, P. 133, P. 156 (NFS)
E3-3	Targets related to water and marine resources		"Targets"	P.149	P. 125, P. 133 (NFS)

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Disclosure requirement		Reference to EU legislation [datapoint]	Section	Page [NFS]	Reference list Page [AR/NFS]
ESRS E3 Water and marine resources					
E3-4	Water consumption	1 [28c; 29]	"Metrics"	P. 151	P. 255 (AR)
E3-5	Anticipated financial effects from material water and marine resources-related risks and opportunities		"Materiality matrix"	P. 124	P.128 (NFS)
ESRS E4 Biodiversity and ecosystems					
ESRS 2 IRO-1	Description of the processes to identify and assess biodiversity-related material impacts, risks and opportunities	1 [16a(i), b, c]	"Materiality assessment"	P. 125	P. 129 (NFS)
E4-2	Policies related to biodiversity and ecosystems	1 [24b-d]	–	Not material	–
ESRS E5 Resource use and circular economy					
ESRS 2 IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities related to circular economy		"Resource use and circular economy-related impacts, risks and opportunities"	P. 152	P. 123 (NFS)
E5-1	Policies related to resource use and circular economy		"Policies related to the management of environmental topics"	P. 133	P. 130, P. 134 (NFS)
E5-2	Actions and resources in relation to resource use and circular economy		"Actions and resources"	P. 154	P. 125, P. 131, P. 133, P. 156 (NFS)
E5-3	Targets related to resource use and circular economy		"Targets"	P. 153	P. 125, P. 133, P. 154 (NFS)
E5-4	Resource inflows		"Resource inflows"	P. 154	–
E5-5	Resource outflows	1 [37d; 39]	"Resource outflows"	P. 155	P. 121 (NFS)
E5-6	Anticipated financial effects from resource use and circular economy-related impacts, risks and opportunities		"Materiality matrix"	P. 124	–
ESRS S1 Own workforce					
ESRS 2 SBM-2	Interests and views of stakeholders		"Interests and views of stakeholders"	P. 129	–
ESRS 2 SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	1 [14f, g]	"Own workforce (ESRS S1)"	P. 164	P.130, P. 163, P. 166 (NFS)
S1-1	Policies related to own workforce	1 [20] 3 [21; 22; 23]	"Policies related to the management of social topics"	P. 163	P. 130 (NFS)
S1-2	Processes for engaging with own workforce and workers' representatives about impacts		"Actions and resources"	P. 166	–

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Disclosure requirement		Reference to EU legislation [datapoint]	Section	Page [NFS]	Reference list Page [AR/NFS]
ESRS S1 Own workforce					
S1-3	Processes to remediate negative impacts and channels for the company's own workforce to raise concerns	1 [32c]	"Superordinate documents related to sustainability"	P. 130	–
S1-4	Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions		"Actions and resources"	P. 166	P. 184 (NFS)
S1-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities		"Targets"	P. 166	P. 125, P. 163 (NFS)
S1-6	Characteristics of the undertaking's employees		"Metrics"	P. 167	P. 113 (AR)
S1-7	Characteristics of non-employees in the undertaking's own workforce		"Metrics"	P. 169	–
S1-8	Collective bargaining coverage and social dialogue		"Metrics"	P. 169	–
S1-9	Diversity metrics		"Metrics"	P. 170	–
S1-10	Adequate wage		"Metrics"	P. 170	–
S1-11	Social protection		"Metrics"	P. 170	–
S1-12	Persons with disabilities		"Metrics"	P. 171	–
S1-13	Training and skills development metrics		"Metrics"	P. 171	–
S1-14	Health and safety metrics	1, 2 [88 b, c] 1 [88e]	"Metrics"	P. 171	–
S1-15	Work-life balance metrics		"Metrics"	P. 172	–
S1-16	Remuneration metrics (pay gap and total remuneration)	1,3 [97a] 1 [97b]	"Metrics"	P. 172	–
S1-17	Incidents, complaints and severe human rights impacts	1 [103a] 1,3 [104a]	"Metrics"	P. 172	P. 184 (NFS)
ESRS S2 Workers in the value chain					
ESRS 2 SBM-2	Interests and views of stakeholders		"Interests and views of stakeholders"	P. 129	–
ESRS 2 SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	1 [11b]	"Workers in the value chain (ESRS S2)"	P. 173	P. 130, P.163, P. 176 (NFS)
S2-1	Policies related to value chain workers	1 [17,18,19]	"Policies related to the management of social topics"	P. 163	P. 130 (NFS)

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Disclosure requirement		Reference to EU legislation [datapoint]	Section	Page [NFS]	Reference list Page [AR/NFS]
ESRS S2 Workers in the value chain					
S2-2	Processes for engaging with value chain workers about impacts		Impacts, risks and opportunities related to Krones workers in the value chain	P. 174	P. 129, P. 167, P. 184 (NFS)
S2-3	Processes to remediate negative impacts and channels for value chain workers to raise concerns		"Corporate culture and prevention and detection of corruption and bribery"	P. 183	–
S2-4	Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions	1 [36]	"Actions and resources"	P. 183	–
S2-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities		"Targets"	P. 176	P. 125, P. 163, P. 174 (NFS)
ESRS S3 Affected Communities					
S3-1	Policies related to affected communities	1 [16] 1, 3 [17]	–	Not material	–
S3-4	Taking action on material impacts on affected communities, and approaches to managing material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions	1 [36]	–	Not material	–
ESRS S4 Consumers and end-users					
S4-1	Policies related to consumers and end-users	1 [16] 1, 3 [17]	–	Not material	–
S4-4	Taking action on material impacts on consumers and end-users, and approaches to managing material risks and pursuing material opportunities related to consumers and end-users, and effectiveness of those actions	1 [35]	–	Not material	–
ESRS G1 Business conduct					
ESRS 2 GOV-1	The role of the administrative, management and supervisory bodies		"The role of the administrative, management and supervisory bodies"	P. 128	P. 230 (AR) P. 125 (NFS)
ESRS 2 IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities		"Impacts, risks and opportunities related to business conduct"	P. 182	–
G1-1	Business conduct policies and corporate culture	1 [10b, d]	"Actions and resources"	P. 183	–
G1-2	Management of relationships with suppliers		"Actions and resources"	P. 185	–
G1-3	Prevention and detection of corruption and bribery		"Actions and resources"	P. 183	–
G1-4	Incidents of corruption or bribery	1, 3 [24a, b]	"Metrics"	P. 186	–
G1-6	Payment practices		"Actions and resources"	P. 185	–

Notes

List of abbreviations

AG	Aktiengesellschaft (German stock corporation)
B2B	Business-to-Business
CapEx	Capital expenditure
CCA	Climate change adaptation
CCM	Climate change mitigation
CE	Circular economy
CEO	Chief Executive Officer
CFO	Chief Financial Officer
COO	Chief Operating Officer
DEFRA	Department for Environment, Food and Rural Affairs
DNSH	Do no significant harm
DSC	Downstream value chain
EEA	European Economic Area
EFRAG	European Financial Reporting Advisory Group
EFSA	European Food Safety Authority
EPA	Environmental Protection Agency
ERP	Enterprise resource planning
ESG	Environmental, social and governance
ESRS	European Sustainability Reporting Standards
EU	European Union
EUDR	EU Deforestation Regulation
EU-GDPR	European General Data Protection Regulation
ETI	Ethical Trading Initiative
FDA	Food and Drug Administration
FTE	Full-time equivalent
GECS	Green electricity certificates
GHG	Greenhouse gas
GRI	Global Reporting Initiative
ICS	Internal control system
IEA	International Energy Agency
IFRS	International Financial Reporting Standards.
IG	Industriegewerkschaft (trade union)
ILO	International Labour Organization
IPCC	Intergovernmental Panel on Climate Change
IROS	Impacts, risks and opportunities
ISIRT	Information Security Incident Response Team
ISMS	Information Security Management System
ISO	International Organization for Standardization
IT	Information technology
KPI	Key performance indicator
KWH	Kilowatt-hour
L	Long-term horizon
LCA	Life-cycle assessment
LCS	Lifecycle service
LkSG	Lieferkettensorgfaltspflichtengesetz (German Supply Chain Due Diligence Act)
LTI	Long-term incentive
M	Medium-term horizon
MWH	Megawatt-hour
OECD	Organisation for Economic Co-operation and Development
OO	Own operations
OpEx	Operating expenditure
PET	Polyethylene terephthalate
PPC	Pollution prevention and control
PSIRT	Product Security Incident Response Team
RCP	Representative concentration pathways
R&D	Research and development
RECS	Renewable energy certificates
RMS	Risk management system
S	Short-term horizon
SBTI	Science Based Targets initiative
SDGS	Sustainable Development Goals
SOC	Security Operations Center
TOC	Total cost of ownership
TÜV	Technischer Überwachungsverein (testing and inspection organisation)
UN	United Nations
UNGC	United Nations Global Compact
USC	Upstream value chain
VO	Regulation
WTR	Water

Statement on due diligence

Core elements of due diligence	Paragraphs in the combined non-financial statement
a) Embedding due diligence in governance, strategy and business model	See reporting on ESRS GOV-2, GOV-3, SBM-3, topical ESRS: reflecting the different stages and purposes of stakeholder engagement throughout the due dili-gence process.
b) Engaging with affected stakeholders in all key steps of the due diligence	See reporting on ESRS 2 GOV-2, SBM-2, IRO-1, MRD-P
c) Identifying and assessing negative impacts on people and the environment	See reporting on ESRS 2 IRO-1 (including topical IRO-1 disclosures), SBM-3
d) Taking action to address negative impacts on people and the environment	See reporting on ESRS 2 MDR-A and topical ESRS: reflecting the range of actions, including transition plans, through which impacts are addressed
e) Tracking the effectiveness of these efforts and communicating	See reporting on ESRS 2 MDR-M and MDR-T and topical ESRS: in relation to metrics and targets

Key performance indicators for Krones AG

Additional disclosures are necessary regarding Krones AG's non-financial key performance indicators. Integrated presentation has been elected in the management report for the combined non-financial statement to be submitted for the reporting period in accordance with Sections 289b to e of the German Commercial Code (HGB) in compliance with the ESRS. All disclosures, provisions, described processes and metrics in the aforementioned information in the management report apply to the Krones Group, including Krones AG. The following table lists Krones AG's non-financial key performance indicators.

Kennzahl	Einheit	2024	2025
Scope 3 emissions in upstream processes	t CO_2e	584,893	541,226
Scope 1 and 2 emissions	t CO_2e	15,174	14,301
Scope 3 emissions in downstream processes	t CO_2e	6,257,829	6,862,940
Energy footprint of sold products	kWh/1,000 bottles	22.0	23.1
Water consumption in own operations	m^3	111,395	109,595
Water footprint of sold products	l/l filled product	1.2	1.2
Hazardous waste in own operations	t	1,532	1,399
Krones lines' plastics output recycled with Krones technology	t recycled plastic/ produced plastic (%)	7.6	13.3
Women in leadership*	%	14.1	15.1
Work-related accidents	Work-related accidents/ 1 million hours worked	9.4	9.8
Suppliers managed with regard to human rights	%	34.8	69.9
Compliance risk assessment	%	100.0	100.0
ISO 27001 certification	%	100.0	100.0

* Corresponding to the definition of the LTI of the Executive Board

Risk and opportunity report

- Risks identified on an ongoing basis
- Efficient control and management tools limit risks
- Assessment of material risks virtually unchanged

Krones' risk management system

Krones actively addresses potential risks. All key business processes are constantly subject to an internal control and management system.

Krones is exposed to a variety of risks that are inextricably linked with doing business globally. We continuously monitor all significant business processes to identify risks early and to actively manage and limit them. Within our corporate strategy, we also identify, analyse and unlock opportunities. However, unlike risks, business opportunities are not documented within our risk management system.

Krones has additionally integrated sustainability matters into its risk management system. As part of our sustainability management, we review and assess the impact of existing non-financial environmental, social and governance (ESG) risks on Krones' business and sustainability goals.

Risks are generally defined as potential negative deviations from our earnings forecast for the 2026 financial year. Opportunities are potential positive deviations from our earnings forecast for the 2026 financial year. Because they have comparable selling and procurement markets, all three of the Krones Group's segments are essentially subject to the same risks and opportunities.

Krones' risk management system consists of an internal control system with which we record, analyse and assess all relevant risks. In a detailed, ongoing process that includes planning, information and control, we monitor all material risks and any countermeasures already taken.

We assess risks on the basis of the likelihood of an event and its potential financial impact. Earnings before interest and taxes (EBIT) serve as the measure for potential financial impact. Starting with gross risk, we determine the net risk, which takes into account any mitigating actions taken.

Krones presents risks in a table on *page 198*. This contains the following information: The risk category, the maximum loss associated with a risk, the likelihood of an event and the financial impact. Each factor is categorised as either low, medium or high.

The categories are as follows:

Maximum loss		Likelihood of an event	
low	€1.0 million – €10.0 million	low	0–20%
medium	€10.1 million – €50.0 million	medium	21–49%
high	> €50.0 million	high	50–100%

The potential financial impact is the mathematical product of the maximum loss and the likelihood of an event. It is classified in the following categories:[1]

Potential financial impact*	
low	€1.0 million – €10.0 million
medium	€10.1 million – €50.0 million
high	> €50.0 million

* Based on EBIT

[1] ESRS 2 GOV-2 26b; GOV-5 36 a-b, d

Multi-stage risk management system

We are continually improving our risk management system on the basis of practical experience. The system consists of the following modules: risk analysis, risk monitoring, and risk planning and control.

Risk analysis

We continuously monitor all business activities in order to identify risks at an early stage. Material project-related risks are reduced or avoided before an order is accepted. We conduct a profitability analysis of all quotes prior to order acceptance. Orders that exceed a certain volume are also subject to a project status report. Apart from profitability, we also individually record and evaluate financing risks, technological risks, regional risks and tax risks as well as scheduling and other contractual risks before accepting an order.

To manage risks that arise from changes in the market and competitive situation, we create detailed market and competition analyses for all segments and business areas on a regular basis.

In addition, we conduct a comprehensive risk inventory twice annually for Krones AG and all significant group companies. The results of the risk inventory and mitigating actions are used in our annual planning and forecasting. The basic principles and the process are documented in a risk manual. The risk management system not only serves the purpose mandated by law – early detection of going concern risks – but also covers all risks that may have a significant negative impact on the company's financial position, financial performance and cash flows.

Risk monitoring

We use a variety of interlinked controlling processes to monitor risks within the Krones Group. Regular comprehensive reports from the individual business units keep the Executive Board and other decision-makers apprised in a timely manner of all possible risks and deviations from company planning and of the status of mitigating actions. In the case of high contract value projects, potential risks are examined and evaluated in regular meetings. Employees who identify risks pass their information on without delay through the company's internal reporting system.

Risk planning and control

We primarily use the following tools to plan our business activities and control risk within our internal control system:[1]

- Budget
- Mid-term planning
- Strategic planning
- Rolling forecasts
- Monthly and quarterly reports
- Capital expenditure planning
- Production planning
- Capacity planning
- Project controlling
- Accounts receivable management
- Exchange rate hedges
- Insurance policies

[1] ESRS 2 GOV-5 36 a,d,e

Risk management organisation

Krones' risk management system is continuously monitored and reviewed. This is governed by clear areas of responsibility and accountability.

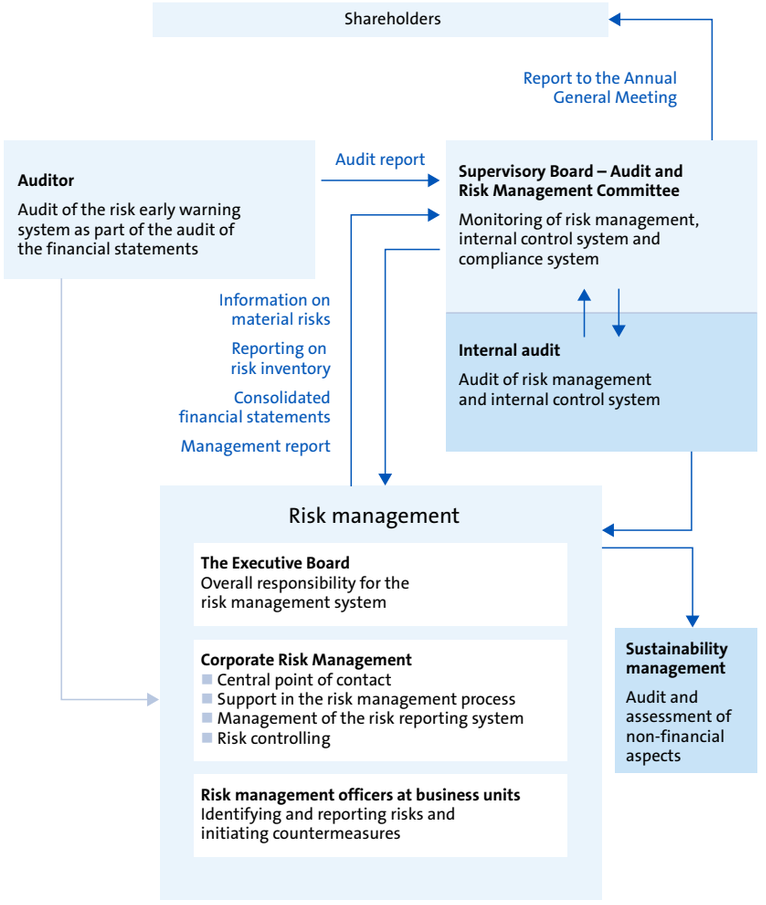
Risk management at Krones is part of Controlling. Responsibility for auditing the risk management system lies with Internal Audit.

In addition, in accordance with the Financial Market Integrity Strengthening Act (FISG), the Audit and Risk Management Committee of the Supervisory Board has the right to obtain information directly from the managers in charge of control and monitoring tasks.

All relevant information is collated in Controlling, where it is processed and made available in a management tool for the Executive Board. In addition, the various segments and business units also have risk management officers who are responsible for risk management. This includes identifying and reporting risks as well as introducing and implementing measures to actively control them.

Non-financial impacts of identified risks on the environmental, social and governance (ESG) dimensions are analysed and documented in cooperation with Group sustainability management.[1]

Organisation of risk management at Krones



[1] ESRS GOV-2 26b; GOV-5 36 a-b

Key features of the internal control system and the risk management system as relates to accounting and financial reporting

The aim of the internal control and risk management system is to ensure that all business transactions are correctly recorded, processed, recognised and included in financial reporting.

Krones has an internal control and risk management system for accounting and financial reporting processes to ensure that all business transactions are always correctly recorded, processed, recognised and included in financial reporting. Krones' internal control and risk management system comprises all principles, methods and measures to ensure that the company's accounting and financial reporting are proper and in compliance with all relevant regulations and standards.

The Krones Group has a clear management and corporate structure. Cross-cutting key functions are centrally managed.

- The duties of the units that are materially involved in accounting and financial reporting processes are explicitly segregated and responsibilities clearly assigned.
- Regular reviews and audits are conducted within the various units, primarily by Controlling.
- Commercial off-the-shelf software is used for accounting and financial reporting as far as possible.
- Special security precautions protect the software and IT systems used for accounting and financial reporting against unauthorised access.
- Sufficient binding policies (e.g. for payments and travel expenses) are in place and updated on an ongoing basis.
- All of the departments involved in the accounting and financial reporting process work constantly to assure the quality of their work.
- Regular spot checks are used to verify the completeness and accuracy of our accounting data.
- The software used in accounting performs programmed plausibility checks.
- We use dual verification for all accounting-related processes.

Appropriateness of the internal control and risk management system

The Audit and Risk Management Committee of Krones' Supervisory Board is involved in the accounting and financial reporting process. This Committee monitors the appropriateness and effectiveness of the risk management and internal control system as well as supervising Internal Audit, which regularly reviews the system. The Executive Board, which has overall responsibility for risk management, has no information or knowledge to suggest that the risk management and internal control system is not appropriate or effective.

Overview and description of material risks

Risk categories	Maximum loss	Likelihood of an event	Financial impact
General business environment and industry-specific risks			
General economic risks	high	low	high
Industry-specific risks	low	low	low
Financial risks			
Default risks	high	low	medium
Liquidity risk	low	low	low
Interest rate risk	low	low	low
Currency risk	high	medium	medium
Operational risks			
Price risk	medium	medium	low
Procurement risks	high	medium	medium
Cost risk	high	low	high
Personnel risk	low	low	low
Legal risks	high	low	medium
Environmental and safety risks	high	low	low
IT risks	high	medium	medium

Krones classifies the maximum loss, the likelihood of an event and the potential financial impact of material risks into the three risk categories low, medium and high. Definitions are provided on page 194.

General business environment and industry-specific risks

General economic risks

As a provider of filling and packaging equipment for the beverage and liquid food industry, Krones serves markets that show stable long-term growth. Demand for packaged beverages and foods is generally relatively independent of economic cycles. However, the company cannot escape the influence of the general economic situation entirely.

According to the International Monetary Fund (IMF) January 2026 forecast, the world economy is expected to grow by 3.3% in 2026. The IMF states that this growth forecast is subject to risk. There are macroeconomic uncertainties that could cause the global economy to perform worse than forecast in 2026.

Protectionist measures are one macroeconomic risk. For example, US tariffs make Krones' products more expensive for customers in the USA, as they have to pay the tariffs on new machinery. This could have a negative impact on demand and Krones' earnings situation. The risk is mitigated by Krones' good US market position for systems in the high output range and by the expansion of the company's existing local production operations in the USA, among other things with regard to spare parts.

Changes in tariff policies and other barriers to trade could fundamentally lead to international trade conflicts between the major economic regions comprising the US, China and Europe. Krones' earnings could also be adversely affected if the global economy develops more weakly than forecast as a result of trade conflicts. Moreover, protectionist measures could disrupt supply chains, which would affect the company's earnings.

Geopolitical tensions such as those in the Middle East and other regions are a further risk factor for the global economy. Military conflicts, for example, harbour the risk of rising commodity prices and disruptions in global supply chains. The consequences for the global economy of a military escalation between China and Taiwan would be incalculable. It is likely that the global economy would fare significantly worse than expected. This would also have a negative impact on Krones' earnings position.

The situation in the Russia-Ukraine conflict remains unpredictable. Any further escalation could impact global supply chains, energy prices and thus the global economy. Despite these geopolitical risks, the potential financial and operational impact is currently considered to be low due to Krones' business structure and limited direct dependence on the regions concerned.

Krones AG is the shareholder of Krones Ukraine LLC, Kyiv, and Krones o.o.o., Moscow. The combined balance sheet total of the two companies corresponds to only around 0.4% of Krones' consolidated balance sheet total. Krones therefore does not see this as a material risk.

Another macroeconomic risk is the situation of the Chinese economy. The IMF expects the pace of growth to slow in 2026. There is a risk that the Chinese economy will perform worse than forecast. This could also slow the global economy and have a negative impact on Krones' earnings. One risk factor for China's economy is the development of exports, which could be heavily influenced by tariffs and other trade barriers. The Chinese real estate market remains under strain. Further price erosion would raise the risk of significant payment and loan defaults for the lending and finance sector. In the worst case, a crisis in the Chinese financial system could spill over to the global financial markets. That would significantly impact overall economic development and therefore also have a negative impact on Krones' earnings situation.

Stock market developments also pose a risk to the global economy. The IMF warns that artificial intelligence (AI)-related tech stocks in particular are trading at very high levels and that a price correction is consequently possible at any time. Any major and prolonged downward movement on international stock markets could trigger global financial market instability. This would probably have negative impacts on the global economy and also for Krones' earnings.

Impact of general economic risks: We rate the maximum loss as high, the likelihood of an event as low and the financial impact as high.

Industry-specific risks

Krones is exposed to industry-specific risks primarily through the development of the global beverage packaging market and the actions of competitors. Demand for packaged beverages shows stable long-term growth and is robust to economic cycles. However, there is a risk that exogenous factors could temporarily impact the willingness of international beverage companies to invest. Such factors may include uncertainty due to tariff policies, rising borrowing costs or regional market regulation. A longer-lasting reluctance to invest on the part of beverage producers would also adversely affect demand for Krones' products and services.

The competitive environment could intensify if competitors of Krones attempt to win orders by offering lower prices. We address the resulting risk of loss of market share by further extending our technology leadership and offering customers products that generate added value for them. Krones' strong focus on service through global service centres and branches also sets the company apart from competitors.

There is a fundamental risk of primary and secondary plastic packaging material being negatively perceived by the public. Plastic and PET packaging has thus been a subject of increasing debate in recent years, primarily in Europe. Krones generates a large proportion of revenue with products and services connected with this type of packaging. The possibility of the PET debate intensifying again and spreading to other regions cannot be ruled out. This could reduce our customers' willingness to invest in plastics technology and thus have a negative impact on Krones' revenue and earnings. We are countering this risk by further extending our technological lead and offering alternative packaging solutions. We also offer systems for recycling PET and other plastics through our subsidiary Krones Recycling. In this way, we help to avoid plastic waste and save resources.

A further industry-specific risk for Krones is that other areas of our business could also become a focus of societal debate. In some regions, for example, there has been criticism of groundwater use by beverage companies. This criticism could additionally have an impact on our customers' investment confidence and hence to a loss of business for Krones. We counter this risk by, for example, providing solutions that reduce water consumption in beverage production.

Impact of industry-specific risks: We rate the maximum loss as low, the likelihood of an event as low and the financial impact as low.

Financial risks

The financial risks to which Krones is exposed are default risks, liquidity risks, interest rate risks and currency risks. Our description of these risks and suitable actions below is in keeping with the disclosure requirements under IFRS 7 on the reporting of risks relating to financial instruments. Because of regional and customer-related diversification, there is no material concentration of risk.

1. Default risks

Default risk is the maximum potential risk arising from each individual exposure at the reporting date. Any counter-exposures are not taken into account.

1.1 Trade receivables

Credit risk in trade receivables is the risk of economic loss arising from a customer's failure to fulfil contractual payment obligations. Krones manages credit risk on trade receivables on the basis of internal policies. Most trade receivables are backed by various, where applicable country-specific, forms of security. These include retentions of title, guarantees and documentary credits. In order to prevent credit risk, we also run external credit checks on customers. In addition, there are processes in place for continually monitoring receivables that may be at risk of default. Write-downs on bad debt (non-recoverable trade receivables) are taken on an individual basis. The low volume of actual defaults, as measured against the total volume of receivables, attests to the effectiveness of the measures taken.

The theoretical maximum credit risk from trade receivables corresponds to the carrying amount.

€ thousand	Carrying amount	Of which not overdue at the reporting date	Of which overdue by the following number of days at the reporting date			
			up to 90 days	between 90 and 180 days	between 180 and 360 days	more than 360 days
31 Dec 2025 Trade receivables and contract assets	1,993,937	1,832,230	111,041	21,413	13,868	15,385
31 Dec 2024 Trade receivables and contract assets	1,916,052	1,734,823	123,010	29,172	16,418	12,628

1.2 Derivative financial instruments

Krones uses derivative financial instruments on the basis of individual contracts solely for risk management purposes. Not using derivative financial instruments would expose the company to greater financial risks.

These instruments essentially cover the risks arising from changes in exchange rates between the euro and the US dollar, the Chinese renminbi and the pound sterling. The material contractual details (amount and term) of underlying and hedge transactions are largely identical. Default risk relating to derivative financial instruments in the event of counterparty default is limited to the balance of the positive fair values. More information on this topic is provided in the notes to the consolidated financial statements.

1.3 Other financial assets

The maximum credit risk position arising from other financial assets corresponds to the carrying amount of these instruments. Krones is not exposed to any material default risk arising from its other assets, all of which are current assets.

Impact of default risks: We rate the maximum loss as high, the likelihood of an event as low and the financial impact as medium.

2. Liquidity risk

Liquidity risk is the risk of a company being unable to sufficiently fulfil its financial obligations. Krones generates most of its cash through operating activities. These funds primarily serve to finance working capital and capital expenditures. Krones manages its liquidity by reserving sufficient cash and maintaining credit lines with banks in addition to the regular inflow of payments from operating activities. The company's liquidity management for operations consists of a cash management system that is based on rolling monthly liquidity planning with a planning horizon of one year. This enables Krones to be proactive about any possible liquidity shortfalls. Apart from cash on hand, Krones' cash and cash equivalents consist primarily of demand deposits. The following overview of maturities shows how the undiscounted cash flows relating to liabilities as of 31 December 2025 influence the company's liquidity situation.

Impact of liquidity risk: We rate the maximum loss as low, the likelihood of an event as low and the financial impact as low.

€ thousand	Carrying amount 31 Dec 2025	Cash flow for 2026		Cash flow for 2027–2030		Cash flow for beyond 2030	
		Interest	Repayment	Interest	Repayment	Interest	Repayment
Derivative financial instruments	2,243	0	2,243	0	0	0	0
Liabilities to banks	1,266	7	1,266	0	0	0	0
Trade payables	869,653	0	868,256	0	1,397	0	0
Liabilities from leases	147,578	1,972	43,896	6,364	75,893	1,169	27,789
Other financial liabilities	142,518	0	111,791	0	30,727	0	0
Total	**1,163,258**	**1,979**	**1,027,101**	**6,364**	**108,368**	**1,169**	**27,789**

€ thousand	Carrying amount 31 Dec 2024	Cash flow for 2025		Cash flow for 2026–2029		Cash flow for beyond 2029	
		Interest	Repayment	Interest	Repayment	Interest	Repayment
Derivative financial instruments	21,531	0	21,531	0	0	0	0
Liabilities to banks	2,619	18	1,280	7	1,339	0	0
Trade payables	802,194	0	802,194	0	0	0	0
Liabilities from leases	134,004	2,200	40,793	5,721	70,946	1,340	22,265
Other financial liabilities	137,840	0	98,348	0	39,492	0	0
Total	**1,098,188**	**2,218**	**964,146**	**5,728**	**111,777**	**1,340**	**22,265**

3. Interest rate risk

Krones is exposed to risk arising from possible fluctuations in market interest rates. As of the 2025 reporting date, Krones made comparatively minor use of bank borrowings relative to its business volume.

Impact of interest rate risk: We rate the maximum loss as low, the likelihood of an event as low and the financial impact as low.

4. Currency risk

Because exports to countries outside the eurozone make up a significant portion of total revenue, we are exposed in principle to currency risk. We use exchange rate hedges to counter such risk as far as possible. In addition, we make most purchasing and sales transactions in euros or the relevant functional currency.

Currency sensitivity analysis

A change in the reporting date closing rate by +10% in relation to the foreign currency against the euro (indirect quotation) would have the following effect on consolidated net income and other equity components:

31 Dec 2025 € thousand	Currency USD	Currency CAD	Currency CNY	Currency GBP
Consolidated statement of profit and loss	13,639	691	293	790
Consolidated equity	18,709	369	1,544	0

31 Dec 2024 € thousand	Currency USD	Currency CAD	Currency CNY	Currency GBP
Consolidated statement of profit and loss	6,059	334	–457	475
Consolidated equity	20,484	0	2,330	157

Impact of currency risk: We rate the maximum loss as high, the likelihood of an event as medium and the financial impact as medium.

Operational risks

1. **Price risk**

   Krones operates in a highly competitive market in which some orders are generated at below-cost prices. There is a risk that the overall price situation in our markets will deteriorate. Fixed-price contracts with customers also carry price risks.

   Krones must generally bear any additional costs that arise. In order to minimise this risk, Krones has introduced a project status report. Any enquiry or order upwards of a specific amount is assessed on the basis of financial, technical/technological, tax, legal and regional risks.

   The solid order backlog as of 31 December 2025 provides a good basis for Krones to maintain steady production capacity utilisation in 2026. The comfortable order cushion strengthens Krones' ability to continue implementing its pricing strategy and thus reduces price risk.

   Impact of price risk: We rate the maximum loss as medium, the likelihood of an event as medium and the financial impact as low.

2. **Procurement risks**

   Supplies of materials and supplier parts were stable in 2025. Provided there are no unforeseeable problems in the international supply chains, we expect no significant change in the supply situation in 2026.

   Prices for a number of materials rose further in 2025. Krones is generally exposed to market price risk relating to its procurement of parts and raw materials for operations. Geopolitical and macroeconomic developments are the primary factors influencing raw material prices. There is a risk that raw material prices will develop to our disadvantage. The company mitigates this risk through sophisticated procurement management and supply contracts that reduce the main commodity price risks.

   We have factored further price increases for selected product groups into our earnings forecast for 2026. If material procurement costs rise by more than expected, then earnings could be lower than forecast.

   We also face risks relating to products, deadlines and quality with regard to our suppliers. A specially designed process for supplier selection, monitoring and management helps minimise these risks. Should there nevertheless be temporary supply problems, there would be a risk of production stoppages, which could have a negative impact on Krones' revenue and earnings.

   Impact of procurement risks: We rate the maximum loss as high, the likelihood of an event as medium and the financial impact as medium.

3. **Cost risk**

   Krones is implementing programmes to improve costs in almost all areas of the business. Our earnings forecast is based on the assumption that we will achieve cost reductions in 2026 as a result of structural measures such as the expansion of our global footprint in production and procurement. Krones is exposed to the risk that these cost savings will be less than expected. We mitigate this risk by continually monitoring the projects underway across the company. In addition, potential risks to projects in progress due to internal or external factors are tracked during project execution and countermeasures taken without delay.

   Impact of cost risk: We rate the maximum loss as high, the likelihood of an event as low and the financial impact as high.

4. **Personnel risk**

As well as in its established businesses, Krones intends to grow more rapidly in particular on the services and digital side. For that purpose, we need highly qualified employees in Germany and abroad. There is a risk that the company will not find enough suitable employees. We address this risk in a variety of ways. Ongoing cooperation with higher education institutions ensures us early access to qualified employees. We regularly employ students pursuing their bachelor's and master's degrees. Krones itself trains young people in various occupations and has a consistently high post-training hire rate. We also counter personnel risk by taking on temporary employees. In addition, we continuously improve the qualification level of our workforce with extensive further training and professional development measures. We also use professional HR consultants.

Impact of personnel risk: We rate the maximum loss as low, the likelihood of an event as low, and the financial impact as low.

Legal risks

Krones is exposed to risks arising from operating activities in connection with possible legal disputes. Krones addresses legal risks with its rules of conduct, codes and an internal compliance structure. In addition, the company has taken out insurance policies that are customary for our sector.

Impact of legal risks: We rate the maximum loss as high, the likelihood of an event as low and the financial impact as medium.

Environmental and safety risks

As a manufacturing company, Krones is exposed to risks relating to the environment and safety that could lead to possible harm to individuals, property or the company's reputation. Any harm caused by technical or human error in production can have a direct impact on our financial position. Such an event and any resulting fines, damages claims or harm to our reputation can also have an indirect financial impact. Krones mitigates environmental and safety risks with high technical standards in production, training, rules of conduct, and insurance policies customary in our industry.

Impact of environmental and safety risks: We rate the maximum loss as high, the likelihood of an event as low, and the financial impact as low.

IT risks

All of Krones' material business processes are based on functioning IT systems. The risks here are failure or malfunction of or unauthorised access to critical systems. Such events could result in production stoppages and the loss or misuse of important confidential data.

As a general trend, more and more companies are becoming targets of computer crime, and there are serious cybersecurity risks. Computer crime is frequently based on professional international structures, which makes averting and combating it a major challenge. Krones uses internationally recognised IT security measures to protect against risks relating to cyber-crime and other IT risks. We have redundant IT systems in place for critical business processes. Krones also minimizes IT risks through industry-standard insurance policies.

Impact of IT risks: We rate the maximum loss as high, the likelihood of an event as medium and the financial impact as medium.

Overview and description of material opportunities

Material opportunities

Krones does not record business opportunities within the risk management system. For this reason, we do not report on the likelihood of an event or the possible financial impact in relation to opportunities. We describe opportunities in general below.

General economic opportunities

Macroeconomic opportunities will mainly present themselves for Krones if the world economy performs better than expected overall in 2026. The dismantling of trade barriers such as tariffs could thus accelerate the pace of global economic growth. An end of the Russia-Ukraine conflict or of other geopolitical tensions could possibly also have positive effects on the global economy. In general, stronger than forecast global economic growth could positively impact Krones' financial position, financial performance and cash flows.

Industry-specific opportunities

Despite political changes, sustainability continues to be a high-priority topic for food and beverage manufacturers. They place the focus on saving energy and other resource costs and keeping their carbon footprint as small as possible. In some cases, our customers have set themselves ambitious sustainability targets. There is a chance that customers may be more willing to accept higher prices for filling and packaging technology that helps them achieve those targets. Sustainability has been a focal point of Krones' R&D strategy and thus a major innovation driver for many years. As a pioneer in the industry, Krones benefits from the sustainability trend. This opens up additional revenue and earnings opportunities for Krones.

Digitalisation also presents considerable added business opportunities for Krones. Customers expect Krones' smart machines and lines to reduce their operating and labour costs. Krones already has many market-ready products and services in the "digital beverage plant" portfolio and intends to further extend its position in the growth field of digitalisation, including with new business models.

Opportunities arising from acquisitions

Acquisitions remain in our strategic focus. We are primarily interested in mid-sized companies that strengthen our existing portfolio technologically and/or regionally. The solid financial position and capital structure enable Krones to seize acquisition opportunities for external growth. Krones' earnings planning for 2026 does not include any future acquisitions. Acquisitions could open up additional revenue and earnings opportunities for Krones.

Operational opportunities

1. **Selling prices**
   Krones pursues a clear pricing strategy and ensures that prices are in line with cost trends. The large order backlog at the start of 2026 helps the company in implementing its pricing strategy. Our revenue and earnings guidance for 2026 does not include any significant price increases other than on a product-related basis. There is a chance that selling prices will develop better than planned in 2026. This would also have a positive impact on Krones' earnings position.

2. **Procurement prices**
   As part of the strategic expansion of its global footprint, Krones is increasingly establishing local supply chains. The company procures materials at

its international locations or in best-cost countries. In addition, we increasingly buy standardised parts and entire assemblies from suppliers. Intelligent procurement management results in lower procurement prices overall. The opportunity exists that Krones might save more in terms of material costs than forecast. Additional opportunities will also arise if raw material and other material prices develop more favourably than forecast.

3. **Costs**
   Krones has optimised its cost structure by adopting a range of strategic measures. We have factored in further cost savings in the earnings improvement that we forecast for 2026. Additional opportunities arise for Krones if cost savings are greater than planned.

Summary of risks and opportunities

From today's perspective, Krones is not exposed to any going concern risks.

The company had a large order backlog as of 31 December 2025. This increases planning certainty and has a positive overall effect on the risk situation.

Compared with the previous year, our assessment of the risks has essentially changed as follows in 2025: The maximum loss from environmental and security risks and the financial impact of cost risk have increased. As before, the main risks are concentrated in the general business environment and in industry-specific and operational risks.

Report on **expected developments**

- Moderate growth in global economy forecast for 2026
- Krones expects further revenue growth in the current year
- Group profitability once again to increase in 2026

Global economy expected to grow 3.3% in 2026

Economic and geopolitical uncertainties will continue to restrain global economic growth in 2026. While the IMF predicts 4.2% growth for emerging and developing economies, the euro area continues to lag behind with growth of 1.3%. Economic output in the USA is expected to improve by 2.4% in the current year.

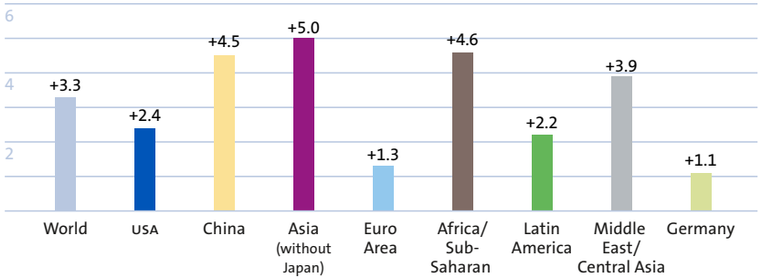
In January 2026, the International Monetary Fund (IMF) projected global economic growth of 3.3% for 2026. This is below the recent long-term average of 3.7% (2000–2019). Military and trade policy conflicts continue to be negative factors in the current year. A source of impetus according to the IMF is rising technology investment in artificial intelligence (AI), particularly in North America and Asia. Loose fiscal and interest rate policies are also supporting the economy in many regions.

The IMF economists see downside risks to the forecast among other things in a reassessment of expectations for productivity growth from AI. This could trigger a significant correction on financial markets, reducing the assets of private households. Furthermore, an escalation of trade and geopolitical conflicts would negatively impact the global economy by slowing investment, distorting trade flows and potentially disrupting supply chains. Conversely, the IMF experts believe that a sustained and significant easing of trade disputes could have a positive impact on the global economy.

According to IMF estimates, **emerging and developing economies** are once again set to grow at an above-average rate of 4.2% in 2026. This is due to the large Chinese and Indian economies. For China, the experts predict that gross domestic product (GDP) will grow by 4.5%, compared to 5.0% in the previous year. For India – now the world's fifth-largest economy after Germany – the IMF once again forecasts the highest expected growth rate among major economies at 6.4% for 2026. While Latin America is once again expected to see below-average growth compared to the global economy in the current year, with an increase of 2.2%, the IMF is forecasting growth of 3.9% for the Middle East/Central Asia region and 4.6% for Sub-Saharan Africa.

For **industrialised economies**, the IMF anticipates below-average GDP growth of 1.8% in 2026. The euro area economy continues to show little momentum, with forecast growth of 1.3%. Germany is slowly recovering from its weak performance in previous years, with an expected growth rate of 1.1%. The IMF forecasts that the US economy will grow by 2.4% in 2026, supported by expansionary fiscal policy. Growth in Japan is expected to slow to 0.7% (previous year: 1.1%).

Percentage GDP growth in 2026 (forecast)



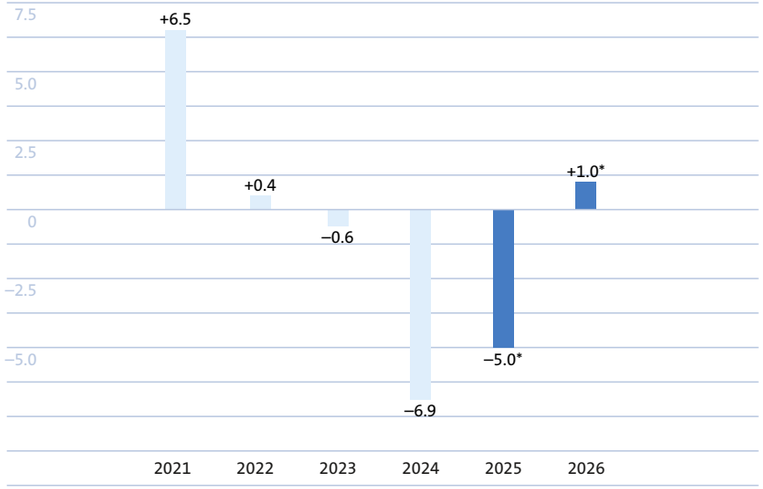
Sources: IMF, World Economic Outlook, January 2026

High volatility on the financial markets influencing exchange rates

According to experts at the European Central Bank, economic policy uncertainty is increasing volatility in financial markets. IMF experts say this could lead to sharp exchange rate movements. For example, the US dollar lost around 13% of its value against the euro in 2025. The increased volatility of exchange rates makes it very difficult to reliably forecast exchange rate trends in the current year.

Machinery and mechanical engineering sector set for a slight recovery at a very low level

Year-on-year change in German mechanical engineering output, in %



*Forecast

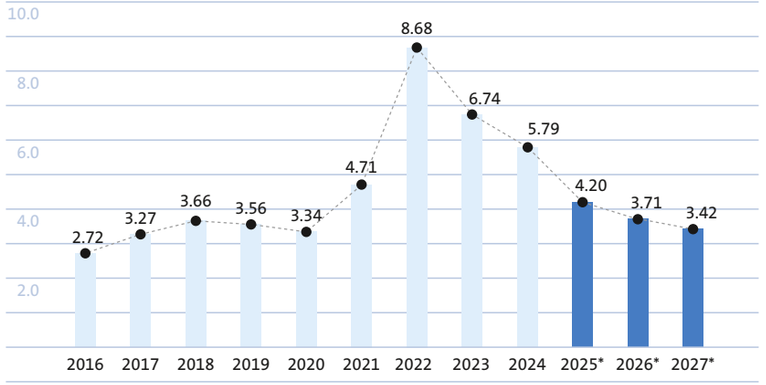
Source: Federal Statistical Office, VDMA. VDMA »Volkswirtschaft und Statistik«, December 2025

The German Mechanical Engineering Industry Association (VDMA) expects that the still relatively weak economy, difficult locational conditions in Germany and the trade policies of the USA and China as key sales regions will continue to weigh on the sector as a whole. VDMA's economists expect a slight, 1% increase in output in 2026, following a significant expected 5% contraction in 2025. However, after twelve consecutive quarters of decline, the VDMA believes growth would have to be significantly higher in order to speak of real growth momentum.

It should be noted in general here that the various subsectors of the industry are developing at very different rates and that Krones, with an export ratio of around 90%, has its focus on the development of international markets.

Krones' customers benefiting from rising beverage consumption

Inflation rate 2016 to 2024 and forecast to 2027, in %



* Forecast

Source: Statista 2025 (as of October 2025)

Demand for beverage filling and packaging machinery is dependent on consumer spending. Moderate inflation rates have a positive effect on consumer purchasing power. They support demand for packaged food and beverages and indirectly influence demand for our company's products and services.

With global inflation forecast to decline as a whole in 2026, we expect consumer demand to remain positive overall this year. Private consumption has also been a pillar of economic growth in many regions over recent years. According to GlobalData figures, global consumption of packaged beverages, which is important to our customers, is expected to grow by 2.7% year on year in 2026.

Krones expects positive business performance in 2026

Overall, despite the volatile global economic situation, Krones started the 2026 financial year with realistic optimism. The solid order backlog ensures production capacity utilisation well into the third quarter of 2026. This assessment is also supported by the robust demand for Krones' products and services.

At the same time, the business environment is very challenging for Krones. Global economic growth remains subdued and there are risks for the global economy and thus also for Krones' business performance. This includes global tariff policies, which could lead to a decline in world trade. Geopolitical tensions in Europe, the Middle East and other regions of the world could also have a negative impact on economic growth. Military action on key trade routes could lead to material shortages and problems in global supply chains.

Krones expects that the global market for filling and packaging technology will generally develop robustly in 2026 and that selling prices will remain at a relatively stable level. However, competitive and cost pressures in our markets will remain high during the current financial year.

The medium and long-term outlook for Krones remains positive. Consumer demand for packaged beverages and liquid foods is growing steadily, driven by megatrends such as the increasing world population and the growing middle class in emerging and developing markets. The focus on digitalisation and economic sustainability is likewise making for stable demand for innovative beverage filling and packaging machinery.

Because they share comparable sales and procurement markets, the economic, sectoral and company-specific outlooks and risks essentially apply to all three segments of the Krones Group.

Segment guidance for 2026

In order to generate profitable growth, Krones will continue to adhere strictly to its pricing strategy in all three segments in the current year and will keep sales prices in line with costs. By continue to expand its global value chain, Krones is improving its cost structures and strengthening its resilience to economic and political risks. The company also continues to implement cost optimisation programmes and increase efficiency by investing in the automation of its production facilities. In addition, Krones aims to exploit growth opportunities in our market throughout the group with innovative and trailblazing products and services. Our focus here is on digitalisation, system solutions and economic sustainability.

With regard to funding future growth, we will continue to rely on our very solid capital structure with a high equity ratio, low financial debt and comfortable net cash.

Filling and Packaging Technology segment

	Guidance for 2026	2025 actual	Guidance for 2025**
Revenue growth	2%–4%*	7.2%	7%–9%
EBITDA margin	11.0% – 11.5%	10.8%	10.5%–11.0%

* Adjusted for currency translation effects; ** From the report on expected developments in the 2024 management report

In the core segment, **Filling and Packaging Technology**, Krones will expand production capacity in the US, China and India in the second half of 2026 and support the markets with local products. In Germany, the company is investing heavily in the automation of its production sites and in production logistics in order to further increase efficiency.

We also plan to continue expanding the lifecycle service (LCS) business in the Filling and Packaging Technology segment. To this end, the company will continue to invest in the global service network and the quality of the services provided in order to further enhance customer loyalty and customer proximity. Krones will also take advantage of the opportunities presented by digital services and new business models.

With the new and highly innovative Ingeniq line generation, we have set new standards in terms of efficiency, digitalisation and economic sustainability while consolidating and extending our lead in PET filling and packaging lines.

For the core segment in 2026, Krones expects 2% to 4% revenue growth adjusted for currency translation effects, with an EBITDA margin of 11.0% to 11.5%.

Process Technology segment

	Guidance for 2026	2025 actual	Guidance for 2025**
Revenue growth	0%–5%*	1.2%	0%–5%
EBITDA margin	9.0%–10.0%	10.3%	9.0%–10.0%

* Adjusted for currency translation effects; ** From the report on expected developments in the 2024 management report

The **Process Technology** segment has developed positively in recent years. Krones will continue its established strategy and drive forward diversification into markets with above-average medium to long-term growth, including energy-efficient solutions for beverage production, resource-efficient water treatment and technologies for the biotechnological production of plant proteins.

The Process Technology segment will also further optimise its cost structure by expanding its global footprint and the associated supply chains, particularly in the US and India. The company will be able to leverage additional cost and efficiency potential through better networking among its global units. Krones intends to exploit the above-average growth opportunities available in the North American and Asia/Pacific markets. Expansion of the after-sales and components business is expected to make an additional contribution to revenue and earnings.

Krones forecasts revenue growth, adjusted for currency translation effects, of 0% to 5% for the Process Technology segment in 2026, with an EBITDA margin of 9.0% to 10.0%.

Intralogistics segment

	Guidance for 2026	2025 actual	Guidance for 2025**
Revenue growth	5%–10%*	13.2%	15%–20%
EBITDA margin	7.5%–8.5%	8.4%	6.5%–7.5%

* Adjusted for currency translation effects; ** From the report on expected developments in the 2024 management report

The **Intralogistics** segment, with subsidiary System Logistics, benefits from growing demand for fast and efficient order processing. System Logistics' automation solutions help customers reduce energy consumption and operating costs while decreasing the number of operating personnel required and increasing efficiency.

To capitalize on growth opportunities in a highly competitive environment, Krones is expanding its international presence in the Intralogistics segment. The focus is on non-European markets. Expansion of the sites in India and the US and new subsidiaries in China and Canada will thus contribute to growth and diversification. Krones will also focus more on sectors beyond beverages and the liquid foods market, such as food wholesaling. System Logistics is also driving profitable growth primarily with automated order picking systems and expansion of the service and software business.

Adjusted for currency translation effects, Krones expects revenue growth of 5% to 10% in the Intralogistics segment in 2026. The EBITDA margin is expected to be between 7.5% and 8.5%.

Krones forecasts profitable growth for the Group in 2026

Krones made a good start to the 2026 financial year. However, there are various unforeseeable factors that could have an impact on the company's business processes and production. These include geopolitical risks in Europe, the Middle East and other parts of the world. Uncertainty also surrounds global tariff policies, which could lead to a decline in world trade. Material shortages and problems in global supply chains remain a further source of uncertainty. The revenue forecast is also impacted by large exchange rate fluctuations.

Krones aims to further increase profitability in 2026.

Based on the prevailing macroeconomic outlook and the current expected development of the markets relevant to Krones, the company expects consolidated revenue growth, adjusted for currency translation effects, of 3% to 5% in 2026.

On the basis of increasing operating revenue, an ongoing disciplined price strategy and continued implementation of the cost optimisation measures, Krones aims to improve profitability again this year compared to 2025. At group level for 2026, the company forecasts an EBITDA margin of 10.7% to 11.1%.

For the third performance target, return on capital employed (ROCE), Krones expects 19% to 20% in the current year.

Krones Group

	Guidance for 2026	2025 actual	Guidance for 2025**
Revenue growth	3%–5%*	7.0%	7%–9%
EBITDA margin	10.7%–11.1%	10.6%	10.2%–10.8%
ROCE	19%–20%	19.1%	18%–20%

* Adjusted for currency translation effects; ** From the report on expected developments in the 2024 management report

Krones will continue to share the company's success with shareholders in the form of dividend payments. The company's dividend strategy is to distribute 25% to 30% of consolidated net income to shareholders, although in recent years it has aimed for the upper end of this range.

Takeover-related disclosures (report pursuant to Sections 315a and 289a of the German Commercial Code (HGB))

Pursuant to Section 4 (1) of the articles of association, the subscribed capital (share capital) of Krones Aktiengesellschaft as of 31 December 2025 amounted to €40,000,000.00 and was divided into 31,593,072 ordinary bearer shares each representing a notional €1.27 of share capital. With the exception of treasury shares, from which the Company has no rights, all shares carry the same rights and obligations. Krones AG held no treasury shares as of 31 December 2025. Shareholders' rights and obligations arising from shares follow from statutory provisions of the Stock Corporation Act (AktG), primarily Sections 12, 53a et seq., 118 et seq., 133 et seq. and 186 AktG.

Under Section 20 (1) of the articles of association, each share entitles its holder to one vote in the annual general meeting. The Company has no voting rights from treasury shares.

Pursuant to Section 18 (1) of the articles of association, only those shareholders who register with the company in text form in German or English and provide proof of their shareholding prior to the annual general meeting are entitled to participate and vote in the annual general meeting. Under Section 67c (3) AktG, proof of a shareholder's shareholding in text form provided by the last intermediary is sufficient as proof and may also be communicated to the company directly by the last intermediary. The proof of shareholding must relate to the close of business on the twenty-second day prior to the annual general meeting.

Restrictions on the voting rights attached to shares may also result from provisions of the Stock Corporation Act, such as under Section 136 AktG. Infringements of notification obligations within the meaning of Sections 33 (1), 38 (1) and 39 (1) of the German Securities Trading Act (WpHG) may lead to a situation where, under Section 44 WpHG, rights attached to shares, including voting rights, are at least temporarily suspended.

To the knowledge of the Executive Board, the following agreement exists, or existed in the 2025 financial year, that may be considered a restriction within the meaning of Section 289a sentence 1 no. 2 and Section 315a sentence 1 no. 2 of the German Commercial Code (HGB): Mr. Harald Kronseder, Mr. Gunther Kronseder, Harald Kronseder Holding GmbH, Neutraubling, Beteiligungsgesellschaft Kronseder mbH, Neutraubling, VMAX Familienstiftung, Neutraubling, Ms. Nora Diepold (née Kronseder) and Mr. Leopold Kronseder are parties to a pool agreement. The members of the pool have established a civil-law partnership ("Familie Kronseder Konsortium"), the purpose of which is to ensure, by means of uniform decision-making by the shareholders and uniform exercise of voting rights in general meetings of Krones Aktiengesellschaft and by restricting the ability for the shares in Krones Aktiengesellschaft bound in the pool agreement to be sold at will, (a) the influence of the shareholders (and in particular the influence of the Kronseder family) and their legal successors, (b) the continuation of Krones Aktiengesellschaft in a scope comparable to the overall business situation at the time of signing the pool agreement (comparable revenue, comparable order volume, comparable operating assets, comparable size of workforce) and (c) that the company retains the character of a family-owned company.

The Executive Board of the company is not aware of any other restrictions relating to voting rights or the transfer of shares.

The company is aware of the following direct and indirect shareholdings in the company's capital that exceed 10% of the voting rights: Leopold Kronseder, Germany (indirect), Nora Diepold (née Kronseder), Germany (indirect), Gunther Kronseder, Germany (indirect), VMAX Familienstiftung, Neutraubling, Germany (direct and indirect), Harald Kronseder, Switzerland (direct and indirect), Harald Kronseder Holding GmbH, Neutraubling, Germany (indirect), Beteiligungsgesell-

schaft Kronseder mbH, Neutraubling, Germany (direct and indirect), Volker Kronseder, Germany (indirect).

To the company's knowledge, the members of Familie Kronseder Konsortium jointly hold the following interest in the share capital:

	Total share of voting rights
Familie Kronseder Konsortium	51.9%

As of 31.12.2025

Changes to the shareholdings listed above that are not required to be reported to the company may have occurred since the last notification to the company by the party concerned. Because the company's shares are bearer shares, the company is generally only aware of changes in shareholdings if the changes are subject to reporting requirements.

The company has not issued any shares with special rights conferring powers of control. There is no employee share scheme where the control rights are not exercised directly by the employees.

The appointment and dismissal of Executive Board members is governed by Sections 84 and 85 AktG and by Section 31 of the Codetermination Act (MitbestG). Pursuant to Section 6 (1) of the articles of association, the Executive Board consists of at least two members. Pursuant to Section 6 (2) of the articles of association, determination of the number of Executive Board members, the appointment of regular and deputy members of the Executive Board, the execution of their employment contracts and revocation of appointments are the responsibility of the Supervisory Board.

Such amendments are to be adopted by resolution of the annual general meeting (Section 119 (1) No. 6 and Section 179 (1) AktG). Unless mandatory provisions of law stipulate otherwise, resolutions of the annual general meeting are made with a simple majority of votes cast or, in cases in which the law prescribes a majority of shares in addition to a majority of votes, with a simple majority of the share capital represented in the vote. Accordingly, in derogation from Section 179 (2) sentence 1 AktG, resolutions of the annual general meeting amending the articles of association also require, in addition to a simple majority of votes, a majority of the share capital represented in the vote, unless a larger majority is prescribed by law. The Supervisory Board is authorised to make amendments that affect only the wording of the articles of association (Section 179 (1) sentence 2 AktG in conjunction with Section 13 of the articles of association). In addition, the Supervisory Board is authorised by resolution of the annual general meeting of 17 May 2021 to amend the articles of association in accordance with any utilisation of Authorised Capital 2021 (as defined below) and upon expiry of the term of the authorisation for the utilisation of Authorised Capital 2021.

By resolution of the annual general meeting of 17 May 2021, the Executive Board is authorised to increase the company's share capital, with the approval of the Supervisory Board, by up to €10 million (Authorised Capital 2021) through the issuance on one or more occasions of new ordinary bearer shares against cash contributions up to and including 16 May 2026. Shareholders must normally be granted subscription rights to these shares. The Executive Board is authorised to exclude the subscription rights of shareholders, with the approval of the Supervisory Board, for any fractional amounts that may arise. Moreover, the Executive Board is authorised to determine the further details of the capital increase and its implementation, in both cases with the approval of the Supervisory Board.

The Executive Board is authorised to repurchase treasury shares and to sell repurchased shares in the cases stipulated on by law in Section 71 AktG. By resolution of the annual general meeting of 23 May 2023, the Executive Board is authorised, with the approval of the Supervisory Board, up to and including 22 May 2028, subject to compliance with the principle of equal treatment (Section 53a AktG), to buy treasury shares totalling up to 10% of the company's share capital at the time that the resolution was adopted or, if smaller, at the time that the authorisation is exercised.

The amount of shares purchased under this authorisation, together with other treasury shares that the company has already acquired or still holds or shares that are attributable to the company under Sections 71d and 71e AktG, may at no time exceed 10% of the company's share capital at the time. The authorisation may be exercised once or multiple times, either in whole or in part, in pursuit of one or multiple purposes, by the company, by Group companies or by a third party acting on the company's behalf or on behalf of Group companies. The authorisation may not be used for the purpose of trading in the company's shares.

The purchase of treasury shares may be carried out, at the discretion of the Executive Board, through a stock exchange or through a public tender offer addressed to all of the company's shareholders or through a public request to the shareholders to tender shares for sale.

By resolution of the annual general meeting of 23 May 2023, the Executive Board is authorised to use any treasury shares bought in accordance with Section 71 (1) No. 8 of the Stock Corporation Act for any permissible purpose, and in particular as follows:

1) The shares may be sold through a stock exchange or, with the approval of the Supervisory Board, by way of a public offer addressed to all shareholders in keeping with their investment share. In the latter case, subscription rights are excluded for fractional amounts.

2) The shares may, with the approval of the Supervisory Board, be offered and transferred to third parties in return for contributions in kind. The aforementioned shares may be used to end or settle valuation proceedings under company law (gesellschaftsrechtliche Spruchverfahren) relating to affiliated companies. In this case, shareholders' respective subscription rights will be excluded.

3) The shares may, with Supervisory Board approval, be sold to third parties against cash payment if the price at which the shares in the company are sold is not significantly lower than the stock exchange price of a company share at the time of sale (within the meaning of Section 186 (3) sentence 4 AktG). In this case, shareholders' respective subscription rights will be excluded.

4) The shares may be used to service obligations or rights to purchase shares in the company arising from and in connection with convertible bonds or bonds with warrants, or profit-sharing rights with conversion rights or warrants, issued by the company or any of its group companies. In this case, shareholders' respective subscription rights will be excluded.

5) The shares may be offered to all shareholders, who can then assign (in whole or in part) their claim to cash payout of the dividend arising from the annual general meeting's resolution on the appropriation of earnings available for distribution in exchange for treasury shares (share dividend).

6) The shares may be cancelled and the share capital reduced by the proportion of the share capital accounted for by the cancelled shares, without the cancellation or its execution requiring a further resolution by the annual general meeting.

7) The Executive Board can also cancel the shares by a simplified process without reducing the share capital so that the proportion of the other shares in relation to the share capital is increased through the cancellation.

The authorisations for the Executive Board to sell and otherwise use purchased shares may be exercised once or multiple times, individually or in combination, on the whole volume or on partial volumes of the acquired shares. The authorisations can also be exercised by dependent companies or companies that are majority-owned by the company or by third parties on behalf of the company or its dependent or majority-owned companies.

The shareholders' subscription rights on these treasury shares are excluded insofar as the shares are used as described under items 1) through to 4) above in accordance with the above authorisations. The Executive Board is authorised to exclude shareholders' subscription rights, with the approval of the Supervisory Board, if the treasury shares are used for the purpose laid out under item 5) above.

Further details can be found in the authorising resolution, the full wording of which is reproduced in agenda item 9 in the notice convening the annual general meeting of Krones Aktiengesellschaft on 23 May 2023 published in the Federal Gazette on 13 April 2023.

Krones Aktiengesellschaft has not made any material agreements containing special provisions relating to a change or acquisition of control following a takeover offer.

The company has not made any agreements with members of the Executive Board or company employees relating to compensation in the event of a takeover offer.

Dependecy report

Pursuant to section 17 of the German Stock Corporation Act (AktG), Familie Kronseder Konsortium GbR, Neutraubling, has a controlling influence over Krones AG. Thus, in keeping with section 312 AktG, the Executive Board has prepared a report which contains the following final declaration:

"After careful examination and to the best of its knowledge, the Executive Board confirms that in the 2025 financial year

- no legal transactions were carried out between Krones AG and Familie Kronseder Konsortium GbR, and
- no further legal transactions other than the legal transactions listed in Annex 2 were carried out between Krones AG and shareholders of Familie Kronseder Konsortium GbR or their affiliates.

Krones AG did not carry out any transactions with third parties at the instigation or in the interests of the shareholders of Familie Kronseder Konsortium GbR or their affiliates. Measures requiring reporting within the meaning of section 312 AktG were neither taken nor omitted.

Krones AG received appropriate consideration within the meaning of section 312 AktG for every transaction made between Krones AG and the shareholders of Familie Kronseder Konsortium GbR and their affiliates in the reporting period. This assessment is based on the circumstances known to us at the time of the reportable events."

The statement on corporate governance is also available online at https://www.krones.com/en/company/investor-relations/corporate-governance-statement.php

Neutraubling, 11 March 2026
Krones AG

The Executive Board



Christoph Klenk
CEO



Uta Anders
CFO



Thomas Ricker
CSO



Markus Tischer



Ralf Goldbrunner

3 CORPORATE GOVERNANCE STATEMENT

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Krones is committed to sustainable stewardship

Corporate governance relates to corporate management and control on the basis, in fact and in law, of responsibility and sustainability. Krones takes the principles and rules of corporate governance into account in all business activities. In the Corporate Governance Statement, the Krones Executive Board and Supervisory Board report on the company's corporate governance in accordance with Sections 289f and 315d of the German Commercial Code (HGB) and Principle 23 of the German Corporate Governance Code in the version dated 28 April 2022.

Declaration of the Executive Board and Supervisory Board of Krones Aktiengesellschaft on the German Corporate Governance Code pursuant to Section 161 of the German Stock Corporation Act (AktG)

The Executive Board and Supervisory Board of Krones Aktiengesellschaft declare pursuant to Section 161 AktG:

Since issuing the declaration of compliance of January 2025, Krones Aktiengesellschaft has complied with the recommendations of the Government Commission on the German Corporate Governance Code established by the German federal government regarding the management and supervision of German listed companies as amended on 28 April 2022 (entered into force on 27 June 2022), in accordance with the German Corporate Governance Code published on the Internet, with the following exceptions, and will continue to comply with the recommendations in the future with the following exceptions:

- Recommendation D.4 is not complied with. This calls for the formation of a Nomination Committee, composed exclusively of shareholder representatives, which names suitable candidates to the Supervisory Board for the latter's proposals to the general meeting.

  Committees are primarily useful for larger bodies if they make the body's work more efficient. There are eight shareholder representatives on the Supervisory Board of Krones Aktiengesellschaft, who suggest nominees for election to the Supervisory Board at the general meeting. Given the established, efficient work of the shareholder representatives on the Supervisory Board, we do not therefore consider it necessary to create a separate nomination committee.

- Recommendation G.10 is not complied with. This calls for Executive Board members' variable remuneration, taking their respective tax burden into consideration, to be predominantly invested in company shares or to be granted predominantly as share-based remuneration. Granted long-term variable remuneration components are to be accessible to Executive Board members only after a period of four years.

  The variable remuneration amounts granted to members of the Executive Board are not share-based and Executive Board members are not required to invest them predominantly in shares in Krones Aktiengesellschaft. The Supervisory Board considers that the share price alone is not sufficient as an indicator to reflect the Executive Board's performance in the interests of the company. Instead, suitable account should be given to the structure of the variable remuneration. Variable remuneration amounts are accessible to Executive Board members after three years.

- Recommendation G.17, under which appropriate account the larger time commitment of the chairs of Supervisory Board committees is to be taken into account in the remuneration of Supervisory Board members, is not fully complied with.

  The Supervisory Board is of the opinion that, given the size of the committees, the current additional remuneration paid to members of Supervisory Board committees is generally also appropriate for the committee chairs. Only the chair of the Audit and Risk Management Committee is provided with additional remuneration.

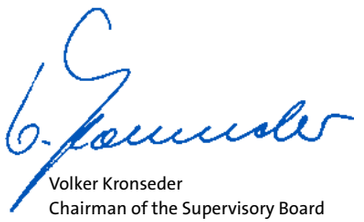
Neutraubling, January 2026

For the Executive Board:



Christoph Klenk
Chairman of the Executive Board

For the Supervisory Board:



Volker Kronseder
Chairman of the Supervisory Board

Objectives of the Supervisory Board

Pursuant to Recommendation C.1 of the German Corporate Governance Code (the Code), the Supervisory Board must specify concrete objectives relating to its composition and develop a profile of skills and expertise for the Supervisory Board as a whole. While doing so, the Supervisory Board must take the principle of diversity into account. The profile of skills and expertise for the Supervisory Board is also required to include expertise regarding sustainability issues relevant to the enterprise.

In keeping with Recommendation C.1 of the Code, the Supervisory Board of Krones has specified the following objectives for its composition:

The Supervisory Board of Krones AG shall be composed in such a way as to ensure that the Supervisory Board is able to professionally monitor and advise the Executive Board. A mutually complementary collaboration between members with different personal and professional backgrounds and diversity in terms of internationally, age and gender is considered beneficial to this end.

a) **Composition based on suitable knowledge, skills and experience (profile of skills and expertise)**

The candidates nominated for election to the Supervisory Board shall possess the knowledge, skills and professional experience required to properly perform the duties of a member of the Supervisory Board of an international corporation and to preserve Krones AG's public reputation. In particular, the members of the Supervisory Board shall possess the necessary knowledge, skills and professional experienced (professional suitability) in the following areas:

- Corporate control (includes key areas such as organisation, risk management and strategy)
- Accounting
- Auditing
- Human resources (includes key areas such as personnel management and personnel development)
- Legal and compliance
- Financing
- Sustainability
- Digitalisation
- International experience
- Sectoral expertise

On the basis of Section 100 (5) AktG, the members of the Supervisory Board as a whole shall be familiar with the sector in which Krones AG pursues its activities. At least one Supervisory Board member must possess expertise in the field of accounting and at least one other Supervisory Board member must possess expertise in the field of auditing.

The expertise in the field of accounting shall include specialist knowledge and experience in the application of accounting principles and internal control and risk management systems and the expertise in the field of auditing shall include specialist knowledge and experience in auditing. Accounting and auditing also include sustainability reporting and its auditing. The chairperson of the Audit and Risk Management Committee shall be an expert in at least one of the two fields.

b) Diversity

The Supervisory Board of Krones AG takes diversity into account in the selection of its members. Under Germany's Act on Equal Participation of Women and Men in Leadership Positions in the Private and Public Sectors, which entered into force on 1 May 2015, at least 30 percent of Supervisory Board seats at Krones must be held by women and men, respectively. Employee and shareholder representatives on the Supervisory Board of Krones AG have decided that each group will meet the gender quota separately. In accordance with the law and the articles of association, the Supervisory Board of Krones AG comprises eight shareholder representatives and eight employee representatives. Thus, the Supervisory Board should have at least two female employee representatives and at least two female shareholder representatives. There are three female shareholder representatives on the Supervisory Board: Nora Diepold, Petra Schadeberg-Herrmann and Prof. Dr. Susanne Nonnast. The Supervisory Board has also three female employee representatives: Dr. Verena Di Pasquale, Beate Eva Maria Pöpperl and Olga Redda. The statutory gender quota was thus met.

c) Independence of members

The independence of the members of the Supervisory Board shall be ensured in order to prevent conflicts of interest. Potential candidates shall not serve as advisors or board members to major competitors of Krones AG and shall not hold management positions at companies that are customers, suppliers or Krones AG group companies. The Supervisory Board shall contain no more than two former members of the Executive Board. In the person of Volker Kronseder and Norbert Broger, only two former members of the Executive Board of Krones AG are members of the Supervisory Board.

Each member of the Supervisory Board shall agree to submit a declaration to the Chairman of the Supervisory Board if there is any conflict of interest. If a conflict of interest persists over an extended period, or is material, the Supervisory Board member in question must resign.

In accordance with Recommendation C.6 of the Code, the Supervisory Board must include what the shareholder representatives side considers to be a suitable number of independent members. A Supervisory Board member is considered independent within the meaning of that recommendation if the member is independent of the company and its Executive Board and independent of any controlling shareholder.

In accordance with Recommendation C.7 of the Code, more than half of the shareholder representatives on the Supervisory Board are to be independent of the company and the Executive Board. In the reporting period, this was the case for Volker Kronseder, Norbert Broger, Nora Diepold, Robert Friedmann, Prof. Dr. Susanne Nonnast, Petra Schadeberg-Herrmann, Stephan Seifert and Matthias Winkler, and thus for all eight shareholder representatives on the Supervisory Board.

Norbert Broger was Chief Finance Officer of Krones AG until 31 December 2022 and moved to the company's Supervisory Board on 23 May 2023, before expiry of the two-year cooling-off period. He is nevertheless considered by the shareholder side of the Supervisory Board of Krones AG to be independent of the company and the Executive Board. Pursuant to Recommendation C.8 of the Code, the reasons for this are as follows:

The purpose of the cooling-off period is to reduce the risk of former Executive Board members being able to exert influence on the new Executive Board, for example to prevent the rectification of irregularities from their own time on the Executive Board.

From the perspective of the shareholder representatives on the Supervisory Board, this risk is likely to diminish as time passes since the termination of service on the Executive Board. What is decisive from the perspective of the shareholder representatives is therefore Norbert Broger's actual conduct in the course and context of his service on the Supervisory Board. Accordingly, Norbert Broger can be considered independent as, since the commencement of his service on the Supervisory Board, the shareholder representatives have had no indication of his having exerted any such influence on the Executive Board or of any other lack of distance from the work of the Executive Board. Furthermore, Mr Broger has no particular personal ties to current members of the Executive Board. Norbert Broger is financially independent of the company and has no other economic ties to it other than his Supervisory Board office.

Petra Schadeberg-Herrmann has been a member of the Supervisory Board of Krones AG for more than twelve years. She is nevertheless considered by the shareholder side of the Supervisory Board of Krones AG to be independent of the company and the Executive Board. Pursuant to Recommendation C.8 of the Code, the reasons for this are as follows:

Petra Schadeberg-Herrmann is not financially dependent on her service as a member of the Supervisory Board of Krones AG. Furthermore, there are no indications of any lack of critical distance. Petra Schadeberg-Herrmann knows Krones' business very well and contributes her extensive experience in a critical and constructive manner as a member of the Supervisory Board. In addition, Ms. Schadeberg-Herrmann's family has a substantial shareholding in Krones AG. This indicates that Petra Schadeberg-Herrmann has sufficient incentive to always exercise her office as a member of the Supervisory Board critically and impartially.

In accordance with Recommendation C.9 of the Code, if the company has a controlling shareholder, and the Supervisory Board comprises more than six members, at least two shareholder representatives are to be independent from the controlling shareholder. The controlling shareholder of Krones AG, as the majority shareholder of the company, is Familie Kronseder Konsortium GbR (shareholding as of 31 December 2025: 51.9%). In the reporting period, apart from Volker Kronseder and Nora Diepold, the other six shareholder representatives on the Supervisory Board were independent of the controlling shareholder.

In accordance with Recommendation C.10 of the Code, the Chair of the Supervisory Board, the Chair of the Audit Committee and the Chair of the committee that addresses Executive Board remuneration are to be independent of the company and of the Executive Board. The Chair of the Audit Committee is also required to be independent of the controlling shareholder. Krones Aktiengesellschaft fully complies with Recommendation C.10 of the Code.

d) Age limit

As a rule, members of the Supervisory Board of Krones AG may not remain in office beyond the end of the Annual General Meeting following their 70th birthday. By way of exception, a member of the Supervisory Board may be elected for a period not extending beyond the end of the fourth Annual General Meeting following the member's 70th birthday. The Supervisory Board has made use of this exception in the case of member and Chairman Volker Kronseder.

Status of implementation of the Supervisory Board's objectives

According to Recommendation C.1 of the German Corporate Governance Code, the status of implementation of the Supervisory Board's objectives is to be disclosed in the form of a qualification matrix.

The qualification matrix adopted by the Supervisory Board provides information on which Supervisory Board members have the professional qualifications in each area of the profile of skills and expertise. Professional suitability is assessed in relation to the areas specified by the Supervisory Board: corporate control, accounting, auditing, human resources, legal and compliance, financing, sustainability, digitalisation, international experience and sectoral expertise. The qualification matrix also shows the duration of membership of the Supervisory Board. For each member on the shareholder side, it states whether the member is independent of the company and of its Executive Board and independent of the controlling shareholder (Familie Kronseder Konsortium GbR). The members for whom this is the case notably include the Chairman of the Audit and Risk Management Committee, Matthias Winkler. All 16 members of the Supervisory Board of Krones AG meet the permissible number of Supervisory Board memberships in accordance with the recommendations of the German Corporate Governance Code.

Further information on the members of the Supervisory Board can be found on *pages 30 to 31 and 293*. This includes information on their professions and membership of other statutory supervisory boards and comparable supervisory bodies of commercial enterprises.

With the two qualification matrices below, presented separately for the shareholder and employees sides, we comply with Recommendation C.1 of the German Corporate Governance Code.

Status of implementation of the profile of skills and expertise: shareholder representatives[1)]

	Volker Kronseder	Norbert Broger	Nora Diepold	Robert Friedmann	Susanne Nonnast	Stephan Seifert	Petra Schadeberg-Herrmann	Matthias Winkler
Term of membership								
Member since	15 June 2016	23 May 2023	17 May 2021	13 June 2018	15 June 2016	23 May 2023	15 June 2011	13 June 2018
Personal suitability								
Independence[2)]	–	x	–	x	x	x	x	x
No overboarding[3),4)]	x	x	x	x	x	x	x	x
Professional suitability								
Corporate control[5)]	x	x	x	x	x	x	x	x
Accounting	x	x	x	x	–	x	x	x
Auditing	–	x	–	x	–	x	x	x
Human resources[6)]	x	x	–	x	x	x	x	x
Legal/compliance	x	x	x	x	x	x	x	x
Financing	x	x	x	x	–	x	x	x
Sustainability	x	x	x	x	x	x	x	x
Digitalisation	x	x	–	x	x	x	–	x
Sectoral expertise	x	x	x	x	x	x	x	x
International experience	x	x	–	x	x	x	x	x

[1)] ESRS 2 GOV-1 21c; 22 a; 23; ESRS G1 – GOV-1 5a-b; [2)] As defined by Recommendations C.6 of the German Corporate Governance Code (the Code); [3)] As defined by Recommendations C.4 and C.5 of the Code; [4)] No overboarding: compliance with the permissible number of supervisory board mandates in accordance with Recommendations C.4 and C.5 of the Code; [5)] Covers key areas such as organisation, risk management and strategy; [6)] Covers key areas such as human resources management and development

x: fulfilled; –: not fulfilled

Status of implementation of the profile of skills and expertise: employee representatives[1)]

	Josef Weitzer	Oliver Grober	Thomas Hiltl	Markus Hüttner	Verena Di Pasquale	Beate Eva Maria Pöpperl	Stefan Raith	Olga Redda
Term of membership								
Member since	1 January 2007	13 June 2018	13 June 2018	1 July 2020	25 June 2014	20 June 2017	1 January 2022	23 May 2023
Personal suitability								
No overboarding[2),3)]	x	x	x	x	x	x	x	x
Professional suitability								
Corporate control[4)]	x	x	x	x	x	x	x	x
Accounting	x	x	x	–	x	–	x	x
Auditing	–	–	–	–	–	–	–	–
Human resources[5)]	x	x	x	x	x	x	x	x
Legal/compliance	x	x	x	x	x	x	x	x
Financing	x	–	–	–	–	–	–	–
Sustainability	x	–	–	x	x	x	x	x
Digitalisation	x	x	x	x	x	x	x	x
Sectoral expertise	x	x	x	x	x	x	x	x
International experience	–	–	–	–	–	–	x	–

[1)] ESRS 2 GOV-1 21 b-c; 22 a; 23; ESRS G1 – GOV-1 5a-b; [2)] As defined by Recommendations C.4 and C.5 of the Code; [3)] No overboarding: compliance with the permissible number of supervisory board mandates in accordance with Recommendations C.4 and C.5 of the Code; [4)] Covers key areas such as organisation, risk management and strategy; [5)] Covers key areas such as human resources management and development

x: fulfilled; –: not fulfilled

Information on the length of service of Supervisory Board members

The Supervisory Board has not set a cap on the duration of Supervisory Board membership. We believe that such a cap does not make sense because the expertise of experienced Supervisory Board members should remain available to the company. The Supervisory Board of Krones will continue to examine the suitability of Supervisory Board members on an individual basis, regardless of how long members have already been on the board. The terms of membership of the current shareholder representatives and employee representatives on the Supervisory Board is shown in the qualification matrices *(see pages 225 and 226, "Status of implementation of the profile of skills and expertise").*

Information on corporate governance practices

Corporate governance at Krones is based on fairness and transparency. This principle applies both to cooperation between the Executive Board and the Supervisory Board and to our interaction with employees, customers, suppliers and the general public.

Compliance at Krones is an overarching concept denoting conduct rules-based conduct, where the rules to be observed within the company far exceed statutory requirements. They also include internal guidelines and regulations, and embody the moral values and standards that correspond to Krones' ethical principles. Krones has established a compliance management system over the years, covering the areas of prevention, detection and response. There is also close coordination with other elements of corporate governance, notably sustainability, governance itself, internal audit and the internal control and risk management system.

Krones revises and expands its Compliance Management System on an ongoing basis. The anti-money laundering process was thus further improved in 2025. In connection with the 2025 drinktec trade fair, Krones provided employees with extensive training on dealings with competitors. Also in this connection, the company's membership in industry associations and organisations was brought in line with current requirements. Krones also modified the due-diligence process with regard to know-your-customer screening in 2025.

In order to strengthen compliance, Krones introduced a compliance whistleblower portal as early as 2018. This reporting system on the Krones website allows company employees and outsiders to anonymously bring attention to potential infringements of the law or rules and regulations. The whistleblower portal can be accessed from *www.krones.com/en/company/responsibility/krones-integrity.php*. Krones thus also meets the requirements of the German Whistleblower Protection Act, which entered into force on 2 July 2023. This aims to provide better protection for whistleblowers.

The Krones Code of Conduct is based on our corporate vision with the slogan "Solutions beyond tomorrow". Its aim is to ensure compliance with laws, standards and policies throughout the company. This fosters a working environment characterised by integrity, respect and fair and responsible conduct. At the same time, the Code of Conduct instils a strong culture of compliance, reinforces our values and encourages employee reporting of irregularities. The Code of Conduct is applicable and binding for all employees and every corporate body in the company. Through the Supplier Code, Krones would also like its business partners to commit to these principles and to share its values. The requirements laid down in the Code of Conduct should not only be formally observed by all employees and bodies of the Krones Group, but should also be internalised in their true sense and purpose, and practised in everyday working life. Violations of the Code of Conduct will be followed up and dealt with accordingly in the interests of all employees. In this way, it provides the foundation for an open and law-abiding corporate and compliance culture.

The Code of Conduct can be accessed at *https://www.krones.com/en/company/responsibility/compliance.php*.

Krones has developed a Compliance Basics e-learning programme to establish a culture of compliance throughout the entire company. This contains key information on the rationale, scope and content of Krones' compliance culture. The programme was completely revised in 2024 and was completed by all Krones AG employees in the same year. The new training programme was rolled out to Group subsidiaries in 2025. Around 96% of employees at Krones subsidiaries had completed the revised programme by the end of the reporting period.

The up-to-date e-learning programme on anti-corruption is to be rolled out in early 2026.

Sustainability is integral to Krones' corporate strategy and corporate governance practices. It is also in the strategic focus of our corporate vision, "Solutions beyond tomorrow". We review our activities for sustainability and for whether they meet the sustainability goals defined by Krones, including not only our social and economic responsibilities but also the environmental impact of the manufacture and use of our products. Krones maintains eco-friendly production operations and not only complies with statutory regulations, but makes every effort to remain as far as possible below prescribed limits.

In order to obtain objective confirmation both for itself and for stakeholders, Krones had the climate strategy that it adopted in 2020 reviewed by the independent Science Based Targets initiative (SBTi). The findings confirm that the group is on the right track from a science-based perspective. According to SBTi, Krones' climate targets contribute to limiting greenhouse effect-driven global warming to 1.5 degrees Celsius. They were thus rated as ambitious and effective – and officially declared to be science-based targets. In addition to the medium-term reduction targets described in the climate strategy, in 2023 Krones developed a plan for achieving net zero emissions by 2040. The Group thus plans a 90% reduction in its greenhouse gas emissions along the entire value chain by 2040 and to neutralise the remaining 10%. This reduction target was adopted by the Executive Board of Krones AG and validated by SBTi in 2024.

Krones' corporate vision, "Solutions beyond tomorrow", guides the company's employees in contributing to a liveable, sustainable and successful future. Reducing carbon emissions plays an important role in combating climate change. On 26 July 2023, for the first time, the company published a comprehensive Carbon Transition Plan, in which Krones discloses measures, interim results and further plans for achieving its climate targets. In 2024, Krones renamed this report as the Climate Transition Plan. The current edition of the plan (as of July 2025) is available at *https://www.krones.com/media/downloads/Krones_ClimateTransitionPlan_de.pdf*.

To communicate its commitment to ethical business issues to the outside world, Krones has been a member of the United Nation (UN) Global Compact ever since 2012. The UN Global Compact lays down globally applicable principles relating to human rights, labour, the environment and anti-corruption and requires companies to comply with them. The text of the UN Global Compact and related information are available at *www.unglobalcompact.org*.

Our governance principles ensure that the welfare of the very people who contribute to our success is not subordinated to economic interests. In order to prevent accidents at the workplace and work-related illness, Krones creates a safe environment that is conducive to the good health of our employees. All of our workflows are designed with employee safety and health in mind, and we ensure that the workplace is ergonomic.

When choosing our suppliers, we look at their performance with respect to sustainable, socially responsible business practices. We expect our business partners to comply with applicable laws and internationally recognised environmental, social and governance standards (ESG standards), such as the OECD Guidelines, the UN Guiding Principles on Business and Human Rights and the UN Global Compact Ten Principles. Krones has developed and revised a Supplier Code for this purpose. It now covers the subjects of acting in accordance with the law and ethical principles, handling knowledge and information, social responsibility, and commitment and monitoring. In addition, selected suppliers are subject to regular quality and social audits to verify that they meet the standards required by Krones. This applies not only to the suppliers themselves, but also increasingly with regard to their supply chain. Krones further improved its processes in collaboration with suppliers in 2025.

The Supplier Code is available at *www.krones.com/en/company/responsibility/compliance.php*.

The German Act on Corporate Due Diligence Obligations in Supply Chains entered into force on 1 January 2023. This governs, among other things, companies' responsibility for the respect of human rights and the avoidance of environmental risks in their global supply chains. Krones embraces its responsibility. Irrespective of this act, respecting human rights has always been central to our Code of Conduct.

The obligation to publish a report on the fulfilment of the due diligence requirements under the act via the German Federal Office for Economic Affairs and Export Control (BAFA) was abolished both retrospectively and for the future in September 2025. However, the act remains substantially unaltered. Krones continues to meet all due diligence and documentation obligations.

Information on corporate governance practices is also contained in Krones' Non-financial Statement (*see page 117 to 193*), which can be also accessed at *https://www.krones.com/en/company/responsibility/downloads.php*.

Diversity policy and succession planning for the Executive Board

Responsibility for succession planning and for monitoring diversity lies with the Executive Board, the Supervisory Board and the Standing Committee. For the appointment of members of the Executive Board, preference is given to candidates who are best qualified in terms of their accomplishments and knowledge to safeguard the interests of the company and its stakeholders for the long term. The company's diversity policy is also taken into account in the appointment process. When filling a position on the Executive Board, the Supervisory Board considers diversity with respect to candidates' professional and educational background, age, gender and international management qualifications. The policy consists of the following aspects in detail:

- The Supervisory Board has set a standard age limit for members of the Executive Board. The standard age limit is 62 years. The Supervisory Board also gives due consideration to ensuring a balanced age structure.
- At least two members of the Executive Board are required to have a technical/engineering background. At least two members are required to have international management experience. The Executive Board as a whole is required to represent the best possible composition for the Krones Group, its core business and all stakeholders.
- With effect from January 1, 2023, the Supervisory Board appointed Uta Anders to succeed Norbert Broger as CFO of Krones AG. The company thus complies with the requirements of Section 76 (subsection 3a) of the German Stock Corporation Act. Under the company's diversity policy, women with comparable qualifications are given priority consideration for any openings on the Executive Board.
- The Supervisory Board has set the contract term for first-time appointees to Executive Board positions at three years.

Duties and activities of the Executive Board and the Supervisory Board

The Executive Board of Krones AG consisted of five members in the 2025 financial year. These are responsible for their respective Executive Board portfolios (*see pages 23 and 293*). The Executive Board manages the company and its affairs. The members of the Executive Board hold regular Executive Board meetings. At these meetings, the Executive Board discusses current and strategic topics and makes decisions. For strategically important decisions, the Executive Board involves the Supervisory Board in the decision-making process in a timely manner. The work of the Executive Board, in matters such as the majority required for resolutions and transactions that require Supervisory Board approval, is governed by rules of procedure for the Executive Board that are issued by the Supervisory Board.

The Supervisory Board oversees the Executive Board. In accordance with the articles of association, the Supervisory Board has 16 members. The Executive Board and the Supervisory Board communicate on a regular basis. The Executive Board informs the Supervisory Board in a timely manner about business development, the company's financial situation, risk management, business forecasts and strategy. In addition to regular oral reports, the members of the Supervisory Board receive written reports on the company's earnings and financial situation from the Executive Board each month.

The Chairman of the Supervisory Board coordinates the work of the Supervisory Board (*see pages 30, 31 and 293 for a listing of the members*). The Chairman or Deputy Chairman presides over Supervisory Board meetings.

The Supervisory Board adopts resolutions either in meetings or in exceptional cases by circulation. Members of the Executive Board participate in meetings of the Supervisory Board at the invitation of the Chairman or Deputy Chairman of the Supervisory Board. The Executive Board members give oral or written reports on agenda items and respond to questions from Supervisory Board members.

Each year, the Chairman of the Supervisory Board describes the Board's activities in his report to shareholders in the annual report and at the annual general meeting.

The Supervisory Board has adopted rules of procedure of its own, governing matters such as responsibilities and rules for the adoption of resolutions.

In order to perform its work in the most efficient manner possible, the Supervisory Board has formed an Audit and Risk Management Committee and a Standing Committee.[1]

Composition, duties and activities of the Audit and Risk Management Committee

The Audit and Risk Management Committee consists of Supervisory Board Chairman Volker Kronseder, his deputy Josef Weitzer and Supervisory Board members Norbert Broger, Markus Hüttner, Olga Redda and Matthias Winkler. Matthias Winkler chairs the committee.

The Audit and Risk Management Committee meets regularly, oversees the accounting and financial reporting process and the audit of the financial statements and prepares corresponding proposals for resolutions for the Supervisory Board. The Committee also prepares the Supervisory Board's review of the annual financial statements, the management report and the auditor's report for the separate and consolidated financial statements and makes recommendations. In addition, the Audit and Risk Management Committee monitors the effectiveness of the internal control system, the risk management system and the compliance system.

In accordance with Recommendation D.3 of the German Corporate Governance Code, we provide the following information:

Matthias Winkler (Chairman of the Audit and Risk Management Committee), as tax adviser and partner in a tax consulting firm, and committee member Norbert Broger (former CFO of Krones AG) have the required necessary expertise in accounting and auditing.

[1] ESRS G1 – GOV-1 5a

Composition, duties and activities of the Standing Committee

The Standing Committee consists of Chairman of the Supervisory Board Volker Kronseder, his deputy Josef Weitzer, Markus Hüttner and Prof. Dr. Susanne Nonnast. Volker Kronseder chairs the committee. The Standing Committee meets regularly and deals with all topics that do not fall within the scope of the Audit and Risk Management Committee. These include corporate strategy, human resources strategy, Supervisory Board remuneration and Executive Board remuneration.

Self-assessment of the work of the Supervisory Board

The Supervisory Board provides the following information pursuant to Recommendation D.12 of the German Corporate Governance Code: Once every two years, the Krones Supervisory Board conducts an assessment of the effectiveness of the work of the Supervisory Board as a whole and of its committees. The assessment criteria include organisation, information, and communication within the Supervisory Board and the committees. Questionnaires are also used as part of the self-assessment. The questionnaires for the most recent self-assessment were provided to the members of the Supervisory Board at the end of 2024. These were evaluated and presented to the Supervisory Board Chairman at the beginning of 2025. The two-yearly self-assessment was carried out at the Supervisory Board meeting on 19 March 2025.

Determinations pursuant to Sections 76 (4) and 111 (5) of the German Stock Corporation Act

Percentage of women in management positions

Under Section 76 (4) of the German Stock Corporation Act, the Executive Board is required to determine targets for the participation of women in the two levels of management below the Executive Board. It must also set a deadline for compliance with the targets. The Executive Board of Krones AG has set the target for the percentage of women in the two levels of management below the Executive Board at 16%. This target is to be achieved by 31 December 2027. At Krones AG as of 31 December 2025, the percentage of women in each of the two levels of management below the Executive Board stood at 17.1% (previous year: 14.1%).

Percentage of women on the Executive Board

Since January 1, 2023, the Executive Board of Krones AG has consisted of one woman and four men. The percentage of women on the Executive Board is thus 20%. In accordance with Section 111 (5) in conjunction with Section 76 (3a) of the German Stock Corporation Act, the Supervisory Board has not set a target for the percentage of women on the Executive Board and thus follows the statutory requirements.

Disclosures pursuant to Section 289f (2) 1a of the German Commercial Code

The applicable remuneration system for members of the Executive Board in accordance with section 87a (1) and (2) sentence 1 AktG, which was approved by the Annual General Meeting of 27 May 2025, and the resolution on remuneration for the members of the Supervisory Board adopted by the Annual General Meeting of 27 May 2025 in accordance with Section 113 (3) AktG are publicly available at *https://www.krones.com/en/company/investor-relations/annual-general-meeting.php*, under “2025”. The 2025 remuneration report and the auditor’s report in accordance with Section 162 AktG are made publicly available at the same address, under 2026.[1]

[1] ESRS 2 GOV-5 29a; ESRS E1 GOV-3 13

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Consolidated statement of **profit and loss**

€ thousand	Notes	2025		2024	
Revenue	19		5,663,769		5,293,557
Increase in inventories of finished goods and work in progress	5		11,959		22,717
Other own work capitalised	20		60,790		59,176
Other operating income	21		187,983		178,821
Goods and services purchased	22		–2,713,353		–2,602,765
Expenses for materials and supplies and for goods purchased		–2,075,391		–2,015,562	
Expenses for services purchased		–637,962		–587,203	
Personnel expenses	23		–1,705,851		–1,580,861
Wages and salaries		–1,409,639		–1,302,124	
Social security contributions and expenses for pension plans and for benefits	14	–296,212		–278,737	
Depreciation and amortisation of intangible assets and property, plant and equipment	1/2		–185,276		–168,430
Other operating expenses	24		–902,968		–833,594
EBITDA			**602,329**		**537,051**
EBIT			**417,053**		**368,621**
Investment income	25	3,231		4,797	
Profit or loss shares attributable to associates that are accounted for using the equity method	4	768		514	
Interest and similar income	25	13,559		22,430	
Interest and similar expenses	25	–10,477		–14,739	
Financial income/expense	25		**7,081**		**13,002**
Earnings before taxes			**424,134**		**381,623**
Income tax	8/26		–124,968		–104,411
Consolidated net income			**299,166**		**277,212**
Profit share of non-controlling interests			478		293
Profit share of KRONES Group shareholders			298,688		276,919
Earnings per share (diluted/basic) in €	27		9.45		8.77

Consolidated statement of **comprehensive income**

€ thousand	Notes	2025	2024
Consolidated net income		**299,166**	**277,212**
Items that will not be reclassified subsequently to profit or loss			
Remeasurement of defined benefit plans	12	7,294	3,972
		7,294	3,972
Items that may be reclassified subsequently to profit or loss			
Exchange differences on translation		–45,512	15,195
Cash flow hedges	12	18,197	–20,260
		–27,315	–5,065
Other comprehensive expenses and income after income taxes	9	**–20,021**	**–1,093**
Total comprehensive income	9	**279,145**	**276,119**
of which attributable to non-controlling interests		478	293
of which attributable to Krones Group shareholders		278,667	275,826

Consolidated statement of financial position – **Assets**

€ thousand	Notes	31 Dec 2025		31 Dec 2024	
Intangible assets	1	600,564		587,017	
Property, plant and equipment and right-of-use assets	2	921,576		852,210	
Non-current financial assets	3	15,489		16,747	
Investments accounted for using the equity method	4	6,545		5,777	
Fixed assets		**1,544,174**		**1,461,751**	
Deferred tax assets	8	63,154		67,831	
Trade receivables	6	18,409		12,757	
Tax receivables		2,780		1,192	
Other assets	6	8,475		7,440	
Non-current assets			**1,636,992**		**1,550,971**
Inventories	5	677,375		664,752	
Trade receivables	6	899,553		808,862	
Contract assets	6/19	1,075,975		1,094,433	
Tax receivables		11,232		7,663	
Other assets	6	191,509		180,305	
Cash and cash equivalents	7	549,488		442,483	
Current assets			**3,405,132**		**3,198,498**
Total			**5,042,124**		**4,749,469**

Consolidated statement of financial position – **Equity and liabilities**

€ thousand	Notes	31 Dec 2025		31 Dec 2024	
Subscribed capital	9	40,000		40,000	
Capital reserves	10	141,724		141,724	
Profit reserves	11	377,185		366,360	
Other reserves	12	–165,394		–145,373	
Consolidated retained earnings		1,734,871		1,518,995	
Consolidated equity of the parent company			**2,128,386**		**1,921,706**
Non-controlling interests	13	309		–169	
Equity			**2,128,695**		**1,921,537**
Provisions for pensions	14	159,520		172,636	
Deferred tax liabilities	8	57,300		28,388	
Other provisions	15	97,580		95,952	
Tax liabilities		1,585		2,197	
Liabilities to banks	16	0		1,339	
Trade payables	16	1,397		0	
Other financial liabilities and lease liabilities	16	134,111		132,703	
Other liabilities	16	1,537		1,790	
Non-current liabilities			**453,030**		**435,005**
Other provisions	15	223,617		191,493	
Liabilities to banks	16	1,266		1,280	
Contract liabilities	16/19	884,129		926,840	
Trade payables	16	868,256		802,194	
Tax liabilities		37,185		35,977	
Other financial ilabilities and lease liabilities	16	52,982		44,115	
Other liabilities and accruals	16	392,964		391,028	
Current liabilities			**2,460,399**		**2,392,927**
Total			**5,042,124**		**4,749,469**

Consolidated statement of **cash flows**

€ thousand	Notes	2025	2024
Earnings before taxes		424,134	381,623
Depreciation and amortisation	1/2	185,276	168,430
Increase in provisions and accruals	15/16	60,437	46,357
Interest and similar expenses and income	25	–3,082	–7,691
Gains and losses from the disposal of non-current assets	21/24	–1,394	–258
Other non-cash expenses and income		16,046	912
Increase (previous year: decrease) in trade receivables, contract assets and other assets not attributable to investing or financing activities		–182,233	20,697
Increase (previous year: decrease) in inventories	5	–31,581	18,471
Increase (previous year: decrease) in trade payables, contract liabilities and other liabilities not attributable to investing or financing activities		97,838	–77,168
Cash generated from operating activities		**565,441**	**551,373**
Interest paid		–7,267	–6,531
Income tax paid and refunds received		–111,845	–92,672
Cash flow from operating activities		**446,329**	**452,170**
Cash payments to acquire intangible assets	1	–54,888	–60,411
Proceeds from the disposal of intangible assets	1	1,236	752
Cash payments to acquire property, plant and equipment	2	–130,238	–120,727
Proceeds from the disposal of property, plant and equipment	2	6,536	4,762
Proceeds from the disposal of non-current financial assets and time deposits		1,153	2,290
Acquisition of a subsidiary, less acquired cash and cash equivalents		–32,059	–161,314
Deferred purchase price payment for business acquisitions from previous periods		–3,154	–12,778
Proceeds from the disposal of investments accounted for using the equity method		0	–5,263
Interest received		9,578	8,899
Dividends received		3,231	4,797
Cash flow from investing activities		**–198,605**	**–338,993**
Cash payments to owners		–82,142	–69,505
Cash payments to service debt		–3,478	–1,247
Cash payments for the repayment of lease liabilities		–42,493	–44,243
Cash flow from financing activities		**–128,113**	**–114,995**
Net change in cash and cash equivalents		**119,611**	**–1,818**
Changes in cash and cash equivalents arising from changes in exchange rates		–15,395	–4,063
Changes in cash and cash equivalents due to changes in the scope of consolidation		2,789	0
Cash and cash equivalents at the beginning of the period		442,483	448,364
Cash and cash equivalents at the end of the period	7	**549,488**	**442,483**

Consolidated statement of **changes in equity**

	Parent company							Non-controlling interests	Consolidated equity
€ thousand	Share capital	Capital reserves	Profit reserves	Other reserves		Group retained earnings	Equity	Equity	
				Currency differences in equity	Other remaining reserves				
Notes	9	10	11	11	12			13	
At 1 January 2024	**40,000**	**141,724**	**365,783**	**–93,685**	**–50,595**	**1,312,158**	**1,715,385**	**–462**	**1,714,923**
Dividend payment						–69,505	**–69,505**		**–69,505**
Consolidated net income 2024						276,919	**276,919**	293	**277,212**
Allocation to profit reserves			577			–577	**0**		**0**
Changes in the consolidated group							**0**	0	**0**
Other comprehensive expenses and income				15,195	–16,288		**–1,093**		**–1,093**
At 31 December 2024	**40,000**	**141,724**	**366,360**	**–78,490**	**–66,883**	**1,518,995**	**1,921,706**	**–169**	**1,921,537**
Dividend payment						–82,142	**–82,142**		**–82,142**
Consolidated net income 2025						298,688	**298,688**	478	**299,166**
Allocation to profit reserves			670			–670	**0**		**0**
Changes in the consolidated group			10,155				**10,155**	0	**10,155**
Other comprehensive expenses and income				–45,512	25,491		**–20,021**		**–20,021**
At 31 December 2025	**40,000**	**141,724**	**377,185**	**–124,002**	**–41,392**	**1,734,871**	**2,128,386**	**309**	**2,128,695**

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Consolidated **segment reporting**

€ thousand	Filling and Packaging Technology		Process Technology		Intralogistics		Krones Group	
	2025	2024	2025	2024	2025	2024	2025	2024
Revenue	**4,774,150**	4,453,850	**513,741**	507,538	**375,878**	332,169	**5,663,769**	5,293,557
Depreciation and amortisation	163,485	148,493	12,964	12,942	8,827	6,995	185,276	168,430
of which impairments	0	0	0	0	0	0	0	0
Interest income	12,950	16,035	380	6,007	229	388	13,559	22,430
Interest expense	7,361	7,760	2,478	6,191	638	788	10,477	14,739
EBT	**363,094**	331,595	**38,923**	36,839	**22,117**	13,189	**424,134**	381,623
Share of profit or loss of associates accounted for using the equity method	0	0	768	514	0	0	768	514
EBIT	**354,282**	315,877	**39,974**	36,509	**22,797**	16,235	**417,053**	368,621
EBT margin (EBT to revenue)	**7.6%**	7.4%	**7.6%**	7.3%	**5.9%**	4.0%	**7.5%**	7.2%
EBITDA	**517,767**	464,370	**52,938**	49,451	**31,624**	23,230	**602,329**	537,051
EBITDA margin (EBITDA to revenue)	**10.8%**	10.4%	**10.3%**	9.7%	**8.4%**	7.0%	**10.6%**	10.1%

General **disclosures**

Legal basis

Krones provides machinery and systems for filling and packaging technology and for beverage production. Innovative digitalisation solutions, intralogistics solutions and services round out the portfolio. Krones AG is registered in the Commercial Register of Regensburg Local Court (HRB 2344) and is headquartered in Neutraubling, Germany.

The consolidated financial statements of Krones AG, Neutraubling (the "Krones Group") for the period ended 31 December 2025 have been prepared in accordance with the International Financial Reporting Standards (IFRS) of the International Accounting Standards Board (IASB), London, applicable at the reporting date, including the interpretations issued by the International Financial Reporting Interpretation Committee (IFRIC), as adopted by the European Union.

The group has not undertaken early application of IFRS standards and interpretations that have not yet entered into force.

A list of such standards and interpretations and of standards applied for the first time is provided on *page 287*. The commercial law stipulations under Section 315e (1) of the German Commercial Code (HGB) have been complied with in addition.

The Executive Board authorised the publication of the consolidated financial statements on 11 March 2026.

Non-controlling interests in consolidated equity are presented on the statement of financial position as a separate item within equity. On the statement of profit and loss, the share of profit or loss attributable to non-controlling interests is presented as a component of consolidated net income.

The shares of consolidated net income attributable to the owners of the parent and to non-controlling interests are presented separately.

Non-controlling interests are additionally shown on the statement of changes in equity.

The explanatory notes provided in the following comprise disclosures and commentary that, in accordance with IFRS, must be included as notes to the consolidated financial statements in addition to the statement of financial position, statement of profit and loss, statement of comprehensive income, statement of changes in equity and statement of cash flows.

The statement of profit and loss was prepared using the nature of expense method.

The group currency is the euro.

Unless otherwise stated, all financial information presented in euros is rounded to the nearest thousand.

Consolidated group

Besides Krones AG, the consolidated financial statements of Krones AG for the period ended 31 December 2025 include all material domestic and foreign subsidiaries over which Krones AG has direct or indirect control on account of a majority of voting rights.

During the 2025 financial year, a 60% ownership interest was acquired in GHS Separationstechnik GmbH, Landshut, Germany. With the acquisition of this company in early July 2025, Krones expanded its Process Technology portfolio and secured access to decanter centrifuges and the associated solid-liquid separation technology. The centrifuges are used in processing vegetable oils, juices and alternative foods and in PET recycling.

Furthermore, on September 16, 2025, Krones acquired 100% of the shares in CAN SYSTEMS WORLDWIDE HOLDING B.V. (CSW), a Dutch manufacturer and supplier of specialised machinery and equipment for handling can ends. From its headquarters in Deventer, the Netherlands, CSW supplies international customers from the beer, beverage and food industries. This adds to Krones' portfolio in Filling and Packaging Technology.

Initial accounting was completed as of the acquisition date.

Nanjing System Logistics Equipment CO, LTD, Nanjing, PR China, Krones Machinery India Private Limited, Bangalore, India, and Netstal Maquinas, S. DE R.L. DE C.V. Santiago de Querétaro, Mexico, were established in the reporting year and included in the scope of consolidation together with Krones Netherlands, B.V., Deventer, Netherlands, and Krones Andina S.A.S., Bogotá, Colombia.

The table below presents the consideration transferred for the acquisitions and the fair values of the assets identified and liabilities assumed at the acquisition date. Further information on the put/call option is presented under Note 18, "Other disclosures relating to financial instruments" *(page 278)*.

Fair value (€ thousand)	GHS	CSW	Total
Goodwill	3,472	17,246	20,718
Non-current assets	5,066	10,352	15,418
Current assets	9,471	8,905	12,376
(of which trade receivables)	150	2,105	2,255
(of which cash and cash equivalents)	10	1,506	1,516
Total assets acquired	**12,009**	**36,503**	**48,512**
Liabilities	5,807	5,248	11,055
Total liabilities acquired	**5,807**	**5,248**	**11,055**
Net assets acquired	**6,202**	**31,255**	**37,457**
Non-controlling interests	**0**	**0**	**0**
Purchase prices	6,202	31,255	37,757
of which paid in cash	2,320	31,255	33,575
of which put/call option	3,882	0	3,882

The total amount of goodwill that is expected to be deductible for tax purposes is €– thousand.

The fair value of the trade receivables equals the gross amount. None of the trade receivables are impaired and the contractually agreed amounts are expected to be collectible in their entirety.

The revenue generated since the acquisition date amounted to €9,906 thousand and net income amounted to €2,308 thousand. Had the above acquisitions already been made as of 1 January 2025, Krones would have reported revenue of €5,679,112 thousand. Net income would amount to €301,652 thousand. This includes effects from purchase price allocations for 2025. A notable negative factor was the amortisation of the intangible assets.

The costs directly attributable to the acquisitions amount to €373 thousand and were recognised as expense.

Consolidation principles

The annual financial statements of Krones AG and of the domestic and foreign subsidiaries included in the consolidated financial statements have been prepared using uniform accounting policies, in accordance with IFRS 10 (Consolidated Financial Statements).

They are all prepared as of the reporting date of the consolidated financial statements.

Acquisition accounting is performed in accordance with IFRS 3 (Business Combinations), under which all business combinations must be accounted for using the acquisition method. The acquired assets and liabilities are therefore recognised at fair value.

Goodwill that arose before 1 January 2004 continues to be accounted for as a deduction from reserves.

Shares in the equity of a subsidiary that are not attributable to the parent are presented as non-controlling interests. If an acquisition includes put options granted to non-controlling interests for their interests in group companies and Krones has identical call options, the options are accounted for as if already exercised and each is recognised as a liability at fair value instead of recognising non-controlling interests (anticipated acquisition method).

Liabilities are measured through profit or loss at fair value as of the reporting date.

Inter-company receivables, liabilities, provisions, income and expenses between consolidated companies are eliminated in consolidation. This also applies for inter-company profits or losses from trade between group companies provided the inventories from these transactions are still held by the group at the reporting date.

Companies for which Krones has the ability to exercise significant influence over their business and financial policies (generally by indirectly or directly holding between 20% and 50% of voting rights), are accounted for in the consolidated financial statements using the equity method and initially recognised at cost. Any excess of the cost of the investment over Krones' share of the net fair value of an associate's identifiable assets and liabilities is adjusted on a fair-value basis and the remaining amount is recognised as goodwill. Goodwill relating to the acquisition of an associate is included in the carrying amount of the investment and is not amortised. Instead, it is tested for impairment as part of the entire carrying amount of the investment in the associate. Krones' share in an associate's profit or loss subsequent to the acquisition date is recognised in the consolidated statement of profit and loss.

The carrying amount of associates is increased or decreased to recognise cumulative changes in fair value subsequent to the acquisition date. Krones' share in associates' gains or losses resulting from transactions between Krones and its associates is eliminated.

Currency translation

The consolidated financial statements are presented in euros, the functional currency of Krones AG.

The financial statements of consolidated companies that are prepared in a foreign currency are translated on the basis of the functional currency approach. Because the subsidiaries primarily operate independently in the economic environment of their respective countries, the functional currency is normally the local currency for each subsidiary. In the consolidated financial statements, assets and liabilities are therefore translated at the closing rate at the reporting date, while income and expenses from the financial statements of subsidiaries are translated at average annual rates.

Any exchange differences resulting from translation using these different rates in the statement of financial position and the statement of profit and loss are recognised directly in other comprehensive income. Exchange differences resulting from the translation of equity using historical exchange rates are also recognised in other comprehensive income.

In the separate financial statements of Krones AG and its subsidiaries, receivables and liabilities in foreign currencies are translated using the exchange rate at the time of the transaction and exchange differences are recognised in profit or loss at the closing rate at the reporting date. Non-monetary items in foreign currencies are carried at historical cost.

Exchange rates of subsidiaries' functional currencies against the euro:

		Closing rate		Average rate	
		31 Dec 2025	31 Dec 2024	2025	2024
US dollar	USD	1.175	1.041	1.130	1.082
British pound	GBP	0.873	0.830	0.857	0.847
Swiss franc	CHF	0.931	0.942	0.937	0.952
Danish krone	DKK	7.469	7.458	7.463	7.459
Canadian dollar	CAD	1.610	1.497	1.579	1.482
Japanese yen	JPY	183.970	163.250	169.057	163.797
Brazilian real	BRL	6.437	6.432	6.305	5.824
Chinese renminbi (yuan)	CNY	8.251	7.501	8.069	7.706
Mexican peso	MXN	21.105	21.595	21.676	19.830
Ukrainian hryvnia	UAH	49.700	43.785	47.115	43.485
South African rand	ZAR	19.446	19.635	20.186	19.837
Kenyan shilling	KES	151.540	134.660	146.071	145.943
Nigerian naira	NGN	1,698.300	1,607.400	1,715.942	1,610.248
Russian rouble	RUB	95.600	113.150	94.332	100.404
Thai baht	THB	37.149	35.751	37.125	38.194
Indonesian rupiah	IDR	19,631.000	16,853.000	18,622.871	17,159.294
Angolan kwanza	AOA	1,085.400	960.500	1,039.624	955.734
Turkish lira	TRY	50.463	36.809	44.807	35.562
Kazakhstan tenge	KZT	595.620	546.440	589.339	508.170
Australian dollar	AUD	1.757	1.676	1.752	1.640
New Zealand dollar	NZD	2.036	1.853	1.943	1.788
Swedish krona	SEK	10.801	11.449	11.066	11.431
Vietnamese dong	VND	30,896.000	26,531.000	29,401.847	27,114.301
Philippine peso	PHP	69.290	60.300	64.975	62.003
Bangladeshi taka	BDT	143.660	124.400	137.665	124.963
Singapore dollar	SGD	1.510	1.419	1.476	1.446
Myanmar kyat	MMK	2,471.665	2,186.285	2,383.350	2,313.896
United Arab Emirates dirham	AED	4.315	3.824	4.150	3.976
Hungarian forint	HUF	384.750	411.050	397.800	395.312
Malaysian ringgit	MYR	4.772	4.659	4.834	4.953
Pakistani rupee	PKR	328.956	289.929	318.560	301.365
Polish zloty	PLN	4.220	4.271	4.240	4.307
Norwegian krone	NOK	11.814	11.785	11.720	11.626
Indian rupee	INR	105.737	89.124	98.484	90.551
Guatemalan quetzal	GTQ	9.010	8.026	8.683	8.405
Cambodian riel	KHR	4,707.000	4,190.000	4,531.157	4,407.915
Bulgarian lev	BGN	1.956	1.956	1.956	1.956
South Korean won	KRW	1,695.290	1,531.950	1,605.793	1,474.516
Moroccan dirham	MAD	10.712	10.517	10.546	10.756
Saudi riyal	SAR	4.406	3.913	4.239	4.062
Romanian leu	RON	5.097	4.974	5.042	4.975

Estimates and judgements

In preparing the consolidated financial statements, management makes judgements, estimates and assumptions that affect the reported amounts of assets and liabilities as of the reporting date, the disclosure of contingent liabilities and the reported amounts of expenses and income. The uncertainty inherent in such assumptions and estimates can, however, lead to events that result in material adjustments to the carrying amounts of affected assets and liabilities in future periods. Krones does not currently expect that the consequences of climate change will have any significant impact on its business model.

Major assumptions made about the future, and other sources of estimation uncertainty at the end of the reporting period that have a significant risk of resulting in material adjustments to the carrying amounts of assets and liabilities within the next financial year, are explained in the following. Due to a persistently complex and uncertain macroeconomic and geopolitical environment, particularly as a result of the volatile trade policy of various economic powers and of geopolitical tensions in Europe, the Middle East and other world regions, and due to the related risks of a slowdown in economic growth, estimates and judgements are subject to increased uncertainty. Available information on expected economic developments and on country-specific government measures was taken into account in adopting the estimates and judgements.

Development costs are capitalised if they are associated with a future economic benefit and the remaining requirements in IAS 38.57 are met. If no observable market values are available, the fair values of assets acquired in a business combination are determined using recognised valuation methods such as the relief-from-royalty method or the multi-period excess earnings method.

Intangible assets are tested for impairment if there are indications that they may be impaired or if annual impairment testing is required (this is the case for intangible assets with an indefinite useful life, intangible assets in the development phase and goodwill).

Impairment testing is performed by comparing the carrying amount of an asset (or cash-generating unit) with its recoverable amount. The first step of this comparison consists of determining value in use. If value in use is less than the carrying amount, fair value less costs of disposal is determined and compared with the carrying amount. If fair value less costs of disposal is less than the carrying amount, an impairment loss is recognised by reducing the carrying amount to the higher of value in use and fair value less costs of disposal.

Impairment testing involves making estimates and assumptions, in particular with regard to future cash inflows and outflows, that may differ from the actual amounts. The actual amounts may differ from the assumptions and estimates made if the conditions referred to change contrary to expectations.

Krones determines value in use using a present value (discounted cash flow) method. The cash flows used in the calculation are based on long-term corporate planning prepared by management. The cash flows are discounted at market discount rates.

The cash flows used in testing goodwill are taken as a rule from the detailed planning for the next three financial years. Revenue growth at the end of the forecast period is the long-term growth rate of the respective industrial sectors and countries in which the cash-generating units do business. The cash flows are discounted at market discount rates. Cash-generating units are tested for impairment using the pre-tax weighted average cost of capital (WACC). For the main assumptions made in impairment testing of cash-generating units, sensitivity analyses are carried out in order to rule out the possibility that reasonably possible changes in the assumptions used to determine the recoverable amount would lead to an impairment.

Some purchase agreements for acquisitions include options for Krones to acquire the remaining minority interests. If the seller holds identical put options, the group assumes that the option will be exercised and therefore does not present the minority interests in the consolidated financial statements (anticipated acquisition method). Instead, a liability from the acquisition is recognised at fair value. The fair value is measured using the discounted cash flow method; the main input factors are mid-term planning and the discount rate. With regard to the exercise date, it is assumed as a rule that the probability of exercise is evenly distributed unless otherwise indicated. Impairment testing involves making estimates and assumptions about the timing. The actual amounts may differ from the assumptions and estimates made if the conditions referred to change contrary to expectations. Further details are provided in Note 18.

Accounting for deferred tax assets, which are mainly recognised for unused tax loss carryforwards, requires management to make estimates and judgements regarding the size of the future taxable profits that will be available against which the unused tax losses can be utilised. Tax planning strategies and the expected timing of events under such strategies are taken into account if they are sufficiently probable. Deferred tax assets are recognised as a rule to the extent that deductible deferred tax liabilities exist in the same amount and with the same timing. Otherwise, deferred tax assets are only recognised if it is highly likely that sufficient future taxable profits will be available against which the deferred tax assets recognised for loss carryforwards and temporary differences can be utilised. For the purpose of this assessment, expected taxable income is taken from corporate planning prepared according to the principles described above. As uncertainty increases further into the future, the analysis period is generally three years. In the case of loss-making entities, deferred tax assets are not recognised until turnaround is imminent or future profits are highly probable. When measuring loss allowances for deferred tax assets recognised for loss carryforwards, due account is taken of rules restricting loss utilisation (minimum taxation). Further details are provided in Note 8.

The post-employment pension expense from defined benefit plans is determined on the basis of actuarial calculations. Those calculations are based on assumptions and judgements regarding discount rates on the net obligation, mortality and future pension increases. Such estimates are subject to significant uncertainties due to the long-term nature of such plans. Details of those uncertainties, together with sensitivities, are presented in Note 14.

Provisions for warranties are accounted for on the basis of expected costs from customer orders. The estimates for the warranty obligations are based on experience in recent financial years and generally relate to a warranty term of between one and two years from the acceptance date. It is therefore expected that the majority of provisions for warranties will be settled within the next two years. Further details are provided on *page 272*.

For the purpose of accounting in accordance with IFRS 15, judgements are made regarding whether revenue is realised over time. Krones has come to the conclusion that revenue for highly customer-specific projects is to be recognised over time rather than at a point in time, as the resulting assets have no alternative use as a rule and Krones has a legal right to payment, including a profit margin, for performance already completed. Krones has determined that an input method is the most suitable for determining progress as there is a direct relationship between production cost being incurred and transfer of the product or service to the customer. The percentage of completion is the ratio of contract costs incurred up to the reporting date to the total estimated cost of the projects. Changes in estimates and differences between actual costs and estimated costs affect the profit on such projects.

Intangible assets

Acquired and internally generated intangible assets, excluding goodwill, are recognised in accordance with IAS 38 if it is sufficiently probable that the use of an asset will result in a future economic benefit and the cost of the asset can be reliably determined. The assets are recognised at cost and amortised systematically on a straight-line basis over their estimated useful lives. Amortisation of intangible assets is normally applied over a useful life of between three and five years (customer bases between seven and 15 years) and is presented in “Depreciation and amortisation of intangible assets and property, plant and equipment”. Intangible assets that are not yet available for use are tested annually for impairment.

Research and development expenditure

Development costs in the Krones Group are capitalised at cost if all recognition criteria in IAS 38.57 are met. In accordance with IAS 38, research expenditure cannot be capitalised and is therefore immediately recognised as an expense in profit or loss.

Goodwill

Goodwill is not amortised. Instead, it is tested annually for impairment. It is also tested for impairment if an event occurs or circumstances arise that suggest that the recoverable amount may be less than the carrying amount. Goodwill is recognised at cost less cumulative impairment losses.

Goodwill is tested for impairment at the level of the cash-generating unit or group of cash-generating units represented by a division (or corresponding unit).

The cash-generating unit or group of cash-generating units represents the lowest level at which the goodwill is monitored for internal management purposes.

For the purposes of impairment testing, goodwill acquired in a business combination is allocated to the cash-generating unit or group of cash-generating units that is expected to benefit from the synergies of the business combination. If the carrying amount of the cash-generating unit or group of cash-generating units to which the goodwill is allocated exceeds the recoverable amount, an impairment loss is recognised for the goodwill allocated to the cash-generating unit or group of cash-generating units. The recoverable amount is the fair value less costs of disposal or the value in use, whichever is higher, of the cash-generating unit or group of cash-generating units. If either of these exceeds the carrying amount, it is not always necessary to determine both values. The values are normally measured on the basis of discounted cash flows. Even if the recoverable amount of the cash-generating unit or group of cash-generating units to which goodwill is allocated exceeds the carrying amount in subsequent periods, impairment losses on that goodwill are not reversed.

Property, plant and equipment

The Krones Group's property, plant and equipment are accounted for at cost less systematic depreciation on a straight-line basis over their estimated useful lives. The cost of self-constructed assets comprises all directly attributable costs and an allocation of overheads.

No revaluation of property, plant and equipment has been undertaken in accordance with IAS 16.

Systematic depreciation is based on the following useful lives, which are applied uniformly throughout the group:

Useful life	Years
Buildings	14 – 50
Technical equipment and machinery	5 – 18
Furniture and fixtures and office equipment	3 – 15

The useful lives take into account the different components of assets with significant differences in cost.

Government grants are only recognised if there is reasonable assurance that the conditions attaching to them will be complied with and the grants will be received.

Government grants related to assets are deducted from the cost of the assets and reversed in future periods to profit or loss in depreciation and amortisation of intangible assets and property, plant and equipment.

Leases

A lease is a contract that conveys the right to use an asset for a period of time in exchange for consideration.

In accordance with IFRS 16, Krones normally recognises all leases and related contractual rights and obligations in the statement of financial position. Krones recognises a right-of-use asset and a corresponding lease liability at the time the leased item is available for use by the group.

Lease liabilities include the present value of the following lease payments:

- Fixed payments less any lease incentives payable by the lessor;
- Variable lease payments that depend on an index or a rate;
- Amounts expected to be payable under residual value guarantees;
- The exercise price of a purchase option, if the option is reasonably certain to be exercised;
- Payments of penalties for terminating the lease, if the lease term reflects the exercising of an option to terminate the lease.

The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If not, they are discounted using the incremental borrowing rate. The finance costs are recognised in profit or loss over the lease term. The carrying amount of lease liabilities is remeasured if there is a change in the lease or in the assessment of an option to purchase the underlying asset.

Right-of-use assets are measured at cost, which comprises:

- The amount of the initial measurement of the lease liability;
- Lease payments made at or before the commencement date, less any lease incentives received;
- Initial direct costs incurred;
- Dismantling obligations.

Subsequent measurement is at cost less any accumulated depreciation and any accumulated impairment losses. Right-of-use assets are depreciated on a straight-line basis over the shorter of the useful life and the lease term. Right-of-use assets are likewise tested for impairment.

With regard to the practical expedients provided for in the standard, Krones makes use of the practical expedients for low-value assets and for short-term leases (less than 12 months). The payments for short-term leases and leases of low-value assets are recognised as an expense on a straight-line basis.

Furthermore, the rules are not applied to leases of intangible assets. In the case of contracts that contain non-lease components as well as lease components, use is made of the option not to separate non-lease components from lease components.

Financial instruments

In accordance with IFRS 9, Krones classifies financial assets into three categories: financial instruments at amortised cost (AC), financial instruments at fair value through profit or loss (FVTPL) and financial instruments at fair value through other comprehensive income (FVOCI).

The classification of financial assets is made on the basis of Krones' business model for managing the financial assets and their contractual cash flow characteristics.

In accordance with IFRS 9, Krones classifies financial liabilities into three categories: financial instruments at amortised cost (AC), financial instruments at fair value through profit or loss (FVTPL) and financial instruments at fair value through other comprehensive income (FVOCI).

For the various classes of financial assets and liabilities, the carrying amounts are generally a reasonable approximation of fair value.

The fair value of financial assets and liabilities is determined on the basis of financial accounting models using inputs observable in the market at the reporting date (Level 2 within the meaning of IFRS 13.72). Level 2 assets and liabilities are primarily hedging and non-hedging derivatives.

The fair value of Level 1 financial assets and liabilities is based on unadjusted quoted prices in active markets for financial instruments. For Level 3 inputs within the meaning of IFRS 13.72, the fair values are the same as the carrying amounts. Measurement is based on estimates from forecasts of future developments.

Transactions against cash settlement are accounted for at the settlement date. Derivative financial instruments are accounted for at the trade date.

Net gains and losses include impairments and measurement changes for derivative financial instruments and are set out in the explanatory notes on the various measurement categories.

Loss allowances are therefore measured on the basis of one of the following:

- 12-month expected credit losses: Expected credit losses that result from default events that are possible within twelve months after the reporting date.
- Lifetime expected credit losses: Expected credit losses that result from all possible default events over the expected life of a financial instrument.

Loss allowances are measured on the basis of lifetime expected credit losses if the credit risk on a financial asset at the reporting date has increased significantly since initial recognition; otherwise, loss allowances are measured on the basis of 12-month expected credit losses. An entity may assume that the credit risk on a financial asset has not increased significantly if the financial asset is determined to have low credit risk at the reporting date. However, loss allowances must always be measured on the basis of lifetime expected credit losses for trade receivables and contract assets without a significant financing component; Krones also measures loss allowances on this basis for trade receivables and contract assets with a significant financing component.

The expected credit losses on trade receivables and on contract assets are estimated on the basis of external ratings and historical credit loss experience over the last 36 months. Within each group of financial instruments, credit risks are segmented on the basis of shared credit risk characteristics.

Trade receivables and contract assets are grouped on the basis of shared credit risk characteristics for the purpose of measuring expected credit losses. The contract assets generally have the same risk characteristics as trade receivables.

Information on risk reporting in accordance with IFRS 7 is provided in the risk report in the group management report.

Derivative financial instruments and hedge accounting

The derivative financial instruments used in the Krones Group are used to hedge against currency risks from operating activities. The election has been made to apply the hedge accounting requirements of IAS 39 instead of the requirements in IFRS 9.

The main categories of currency risk at Krones comprise transaction risk arising from exchange rates and cash flows in foreign currencies. The main such currencies are the US dollar, the Canadian dollar, the pound sterling and the Chinese renminbi yuan.

Within the hedging strategy, 100% of items denominated in foreign currencies are generally hedged. The instruments used for this purpose are mostly forward exchange contracts and, in isolated cases, swaps, including currency swaps.

The strategy objective is to minimise currency risk by using hedging instruments that are judged to be highly effective, thus providing planning certainty by hedging the exchange rate.

The derivative financial instruments are measured on initial recognition and in subsequent measurement at fair value as of the reporting date. Fair value is determined using Level 2 inputs within the meaning of IFRS 13.72. Gains and losses on measurement are recognised in profit or loss unless the criteria for hedge accounting are met.

The derivative financial instruments for which hedge accounting is applied comprise forward currency contracts and currency swaps whose changes in fair value are presented in profit or loss or as a component of equity. In the case of cash flow hedges of currency risks on hedged items, changes in fair value are initially recognised directly in equity and subsequently reclassified to profit or loss when the hedged item affects profit or loss. These derivative financial instruments are measured on the basis of the forward rates provided by the commercial bank concerned. They are derecognised/reclassified when the corresponding hedged items are recognised in the statement of financial position.

Receivables and other assets

Receivables and other assets, with the exception of derivative financial instruments, are accounted for at amortised cost. Non-interest-bearing and low-interest receivables with maturities of more than one year are discounted.

The group generally makes use of the possibility of selling export receivables that are covered by credit insurance and/or documentary letters of credit. Receivables sold as of the reporting date are derecognised in full if substantially all risks and rewards have been transferred to the buyer. In the case of receivables covered by credit insurance, the risk relating to the exporter's deductible is generally retained. The group assumes in such cases that substantially all the risks and rewards of the receivables transfer to the purchaser of the receivables if the deductible does not exceed 10% of the value of each individual receivable. The fair value of the expected recourse obligation under the retained deductibles was recognised as an expense.

The sale of receivables from the spare parts business as of the reporting date was carried out under an established master factoring agreement. Assuming the legal validity of the receivables, the factor bears the credit risk on the receivables it has purchased.

Inventories

Inventories are carried at the lower of cost and net realisable value. Cost includes costs that are directly related to the units of production and an allocation of fixed and variable production overheads.

The allocation of overheads is based on normal capacity.

Selling costs and general and administrative costs are not capitalised. Inventory risks arising from increased storage periods or reduced usability are accounted for with write-downs.

The FIFO and weighted-average cost methods are applied as simplified measurement methods for raw materials, consumables and supplies.

Income tax

The tax expense comprises current and deferred taxes. Current taxes and deferred taxes are recognised in profit or loss except to the extent that they relate to a business combination or to an item recognised directly in equity or in other comprehensive income.

Current taxes are the amounts of taxes expected to be paid or recovered in respect of the taxable profit or tax loss for the financial year on the basis of the tax rates that apply at the reporting date or will apply in the near future together with all adjustments recognised for current tax of prior periods.

Deferred tax assets and deferred tax liabilities are accounted for using the liability method and are recognised for all temporary differences between the tax base and the carrying amounts in accordance with IFRS, for unused tax losses and for consolidation adjustments recognised in profit or loss. Deferred tax assets are only recognised to the extent that it is probable that the related tax benefits can be realised.

Deferred taxes are measured on the basis of the income tax rates that apply in the various countries at the time of realisation. Changes in the tax rates are taken into account if it is sufficiently certain that they will occur. Where legally permissible, deferred tax assets and liabilities have been offset.

Tax liabilities are recognised in the event that amounts in tax returns will probably not be realised (uncertain tax items). The amount is the best estimate of the expected tax payment (the expected amount or most likely amount of the uncertain tax item). Tax receivables from uncertain tax items are recognised if it is probable that they can be realised.

Only if there is a tax loss carryforward or unused tax credit is no tax liability or tax receivable recognised for an uncertain tax item; the deferred tax asset for the unused tax loss carryforwards and tax credits is then adjusted instead.

Provisions for pensions

Provisions for pensions are measured using the projected unit credit method in accordance with IAS 19. This method takes into account known vested benefits at the reporting date together with expected future increases in state pensions and salaries based on a prudent assessment of relevant variables. The provisions are calculated on the basis of actuarial appraisals that take into account biometric factors.

Actuarial gains and losses have a direct impact on the consolidated statement of financial position, resulting in an increase or decrease in provisions for pensions and similar obligations and a reduction or increase in other reserves in equity. The consolidated statement of profit and loss is not affected by actuarial gains and losses as they are required to be recognised in other comprehensive income. Net interest on the net defined benefit obligation is determined by multiplying the net defined benefit obligation by the discount rate used to measure the defined benefit obligation.

Because the net defined benefit obligation is reduced by any plan assets, the same discount rate is used to calculate return on plan assets. Current and past service costs and net interest are recognised in profit or loss.

Partial retirement benefit obligations

According to the definition of post-employment benefits in IAS 19, top-up payments under partial retirement agreements come under other long-term employee benefits. Such top-up payments are therefore not recognised in full as liabilities at their net present value. Instead, they are accrued on a pro-rated basis across the relevant years of active service of the employees taking partial retirement.

Other provisions

Other provisions are recognised when the group has an obligation to a third party as a result of a past event, an outflow is probable, and the amount of the obligation can be reliably estimated. The provisions are measured at fully attributable costs or on the basis of the most probable settlement amount.

Restructuring provisions are recognised in connection with measures that materially change the scope of the business undertaken by a segment or business unit or the manner in which that business is conducted. Most such measures involve the termination of employment relationships. Restructuring provisions are recognised when implementation of a detailed formal plan has started or such a plan has been announced.

Non-current provisions with a residual term of more than one year are recognised at the settlement amount discounted to the reporting date. The discount rate reflects the risks specific to the liability. The increase in the provision due to the passage of time is recognised as an interest expense.

Revenue

The basic criterion for revenue recognition under IFRS 15 is transfer of control. A distinction is made between transfer of control at a point in time and transfer of control over time:

Krones provides machinery and systems for filling and packaging and for beverage production. Krones recognises revenue for highly customer-specific projects over time rather than at a point in time, as the resulting assets have no alternative use as a rule and Krones has a legal right to payment, including a profit margin, for performance already completed. Progress is measured using an input method. The percentage of completion is the ratio of contract costs incurred up to the reporting date to the total estimated cost of the project.

A further important part of Krones' business model consists of services. The company maintains service centres and offices around the world. Krones provides a comprehensive range of products and services for customers under the heading of lifecycle service (LCS). Krones recognises revenue from sales of spare parts at a point in time, on delivery of the goods (transfer of control). Revenue for services that come under LCS is mostly recognised over time as the customer simultaneously receives and consumes the benefits provided by the group's performance as the group performs. Accordingly, revenue is mostly recognised over time using an input method on the basis of the costs incurred. Revenue is only recognised on a straight-line basis in the case of longer-term maintenance services.

A provision is recognised in accordance with IAS 37 for anticipated losses relating to customer orders.

Costs to obtain contracts where the amortisation period of the costs would be one year or less are immediately recognised as expense.

Krones receives payments from customers on the basis of a payment plan that is part of the contracts. The payment terms vary among business units and countries. Contract assets relate to our conditional right to consideration for contractual performance obligations satisfied to date. Trade receivables are recognised when the right to receive the consideration becomes unconditional.

Contract liabilities relate to payments received in advance, meaning before contractual performance obligations have been satisfied. Contract liabilities are recognised as revenue when we satisfy the contractual performance obligations. If performance exceeds advance payments, the resulting positive balance is presented in contract assets and receivables.

Financing components are not included in the amount of revenue to be recognised if it is expected at the inception of the contract that the period between the transfer of the promised good or promised service and payment for that good or service will be one year or less.

Revenue is presented net of reductions.

Segment reporting

Krones reports on three operating segments, which are the strategic business units. These are organised by product divisions and services and managed separately due to the different technologies they cover. The Executive Board, as the chief operating decision maker, manages the company as a whole on the basis of monthly reports from the segments. Segment 1 comprises Filling and Packaging Technology, Segment 2 Process Technology and Segment 3 Intralogistics. The accounting policies used are the same as those described under "General disclosures" above.

Segment performance is measured on the basis of internal reporting to the Executive Board, primarily segment revenue and segment EBITDA.

The table below shows revenue generated through business with third parties in each country (based on the location of customer headquarters).

€ thousand	2025	2024
Germany	526,091	465,168
North America	1,200,533	1,220,738
Rest of the world	3,937,145	3,607,651
	5,663,769	5,293,557

The table below shows non-current assets in each country:

€ thousand	2025	2024
Germany	863,109	803,279
North America	190,759	198,045
Rest of the world	497,936	459,290
	1,551,804	1,460,615

Notes to the **consolidated statement of financial position**

1 Intangible assets

The carrying amount of intangible assets changed as follows:

€ thousand	Industrial property rights and similar rights and assets as well as licenses	Goodwill	Capitalised development expenditure	Advance payments made	Total
31 Dec 2023					
Cost	375,628	235,533	532,311	190	1,143,662
Accumulated amortisation	218,559	52,480	411,933	0	682,972
Net carrying amount	**157,069**	**183,053**	**120,378**	**190**	**460,690**
Changes in 2024					
Cost					
Additions from changes in the consolidated group	46,259	36,314	24,869	0	107,442
Additions	26,056	0	32,268	767	59,091
Disposals	5,132	0	0	0	5,132
Transfers	110	0	0	–110	0
Exchange differences	5,835	11,423	2,044	0	19,302
Amortisation					
Additions	23,223	0	30,465	0	53,688
Disposals	4,380	0	0	0	4,380
Transfers	0	0	0	0	0
Exchange differences	1,629	2,311	1,128	0	5,068
Net carrying amount at 31 Dec 2024	**209,725**	**228,479**	**147,966**	**847**	**587,017**
31 Dec 2024					
Cost	448,756	283,270	591,492	847	1,324,365
Accumulated amortisation	239,031	54,791	443,526	0	737,348
Net carrying amount	**209,725**	**228,479**	**147,966**	**847**	**587,017**

Table continued on next page

€ thousand	Industrial property rights and similar rights and assets as well as licenses	Goodwill	Capitalised development expenditure	Advance payments made	Total
Changes in 2025					
Cost					
Additions from changes in the consolidated group	11,651	20,718	0	0	32,369
Additions	25,291	0	36,972	819	63,082
Disposals	3,550	0	938	0	4,488
Transfers	100	0	0	–100	0
Exchange differences	–9,893	–18,660	740	0	–27,813
Amortisation					
Additions	30,045	0	30,200	0	60,245
Disposals	3,116	0	136	0	3,252
Transfers	0	0	0	0	0
Exchange differences	–3,398	–4,373	381	0	–7,390
Net carrying amount at 31 Dec 2025	**209,793**	**234,910**	**154,295**	**1,566**	**600,564**
31 Dec 2025					
Cost	472,355	285,328	628,266	1,566	1,387,515
Accumulated amortisation	262,562	50,418	473,971	0	786,951
Net carrying amount	**209,793**	**234,910**	**154,295**	**1,566**	**600,564**

Adjusted for rounding

The additions to industrial property rights, similar rights/assets and licenses mainly relate to licenses for IT software. Customer bases amounting to €67,116 thousand (previous year: €74,578 thousand) are included in the carrying amount as of the reporting date.

All goodwill underwent a regular impairment test in accordance with IAS 36, as in the previous year. Impairment testing is performed on the basis of value in use at the level of the smallest cash-generating unit (CGU) or group of cash-generating units.

The cash flow projections underlying impairment tests are based on the approved financial forecasts within the forecast period. These forecasts are based in part on external sources of information. They also take into account price agreements based on past experience and expected efficiency gains as well as assumptions about revenue growth based on strategy.

The table below provides an overview of the tested goodwill and the assumptions used for the respective impairment tests, each of which was performed at the level of the smallest cash-generating unit (CGU):

CGU		Carrying amount of goodwill € thousand	Forecast period in years	Annual revenue growth at end of forecast period	Discount rate before taxes
IPS	2025	32,814 [2]	3	1.0%	10.3%
	2024	37,024 [2]	4	1.0%	10.8%
CSW	2025	17,246	3	1.0%	10.2%
R+D Custom	2025	8,327 [2]	3	2.0%	10.4%
	2024	9,396 [2]	4	2.0%	12.6%
Advanced Molding Technologies (AMT)	2025	57,207 [2]	3	1.0%	11.0%
	2024	56,771 [2]	4	1.0%	10.9%
Javlyn	2025	4,385 [2]	3	1.5%	10.2%
	2024	4,949 [2]	4	1.5%	10.1%
Pump and valve technology	2025	63,919 [2]	3	2.0%	9.2%
	2024	72,128 [2]	4	2.0%	10.2%
System Logistics	2025	30,906	3	1.0%	10.1%
	2024	30,906	4	1.0%	10.8%
HST	2025	4,258	3	1.0%	10.3%
	2024	4,258	4	1.0%	10.9%
Other [1]	2025	15,848 [2]	3	1.0% – 2.0%	9.8% – 17.1%
	2024	13,047 [2]	4	1.0% – 2.0%	10.1% – 15.1%

[1] Goodwill with a carrying amount of less than €4 million in each case
[2] Change due to currency translation

The pre-tax discount rates are based on risk-free interest rates, which are determined on the basis of long-term government bond yields. The discount rate is adjusted for a risk premium that reflects the general risk associated with equity investments and the specific risk of the CGU. Revenue growth at the end of the forecast period is the long-term average growth rate of the respective industrial sectors and countries in which the CGUs do business.

The impairment test did not result in the recognition of goodwill impairments (previous year: goodwill impairments of €– thousand).

The capitalised development expenditure relates to new machinery projects at Krones AG. Development expenditure capitalised in the reporting period amounts to €36,972 thousand (previous year: €32,268 thousand).

As in the previous year, this includes borrowing costs in a non-material amount. Including capitalised development expenditure, a total of €239,076 thousand was spent on research and development in 2025 (previous year: €221,342 thousand). Impairment losses on capitalised development expenditure were recognised in amortisation in the reporting year in the amount of €819 thousand (previous year: €291 thousand). As in the previous year, the charges were incurred in the Filling and Packaging Technology segment only and related to technologies that will not be further pursued.

In the reporting period, business combinations resulted in €32,369 thousand in additions to net carrying amounts for intangible assets (previous year: €71,128 thousand), including €20,718 thousand in additions to goodwill (previous year: €36,314 thousand).

2 Property, plant and equipment

In 2025, as in the previous year, it was not necessary to recognise any impairments of property, plant and equipment in accordance with IAS 36. Additions to land and buildings and to construction in progress primarily related to expansion at the Neutraubling site in Germany (extension of office and production buildings). The €87,498 thousand in capital expenditure on technical equipment and machinery and on other equipment, furniture and fixtures and office equipment primarily relates to capacity expansion and modernisation at existing production locations.

In 2025, the carrying amounts for property, plant and equipment included government grants of €12,928 thousand (previous year: €13,732 thousand). Government grants in the amount of €866 thousand (previous year: €1,121 thousand) were reversed to profit or loss in 2025. As in the previous year, the depreciation figure in 2025 does not include any impairment reversals.

The reported property, plant and equipment is not subject to any restrictions of title or disposal.

In the reporting period, business combinations resulted in €4,896 thousand in additions to net carrying amounts for property, plant and equipment (previous year: €44,073 thousand).

Property, plant and equipment, including right-of-use assets, changed as follows:

€ thousand	Land and buildings	Technical equipment and machinery	Other equipment, furniture and fixtures and office equipment	Construction in progress	Advance payments made	Total
31 Dec 2023						
Cost	828,512	425,494	363,128	26,467	17,144	1,660,745
Accumulated depreciation	363,052	300,491	234,520	105	0	898,168
Net carrying amount	**465,460**	**125,003**	**128,608**	**26,362**	**17,144**	**762,577**
Changes in 2024						
Cost						
Additions from changes in the consolidated group	33,191	8,741	2,141	0	0	44,073
Additions	31,772	30,101	59,057	24,419	17,518	162,867
Disposals	17,571	12,726	37,048	612	178	68,135
Transfers	15,576	14,210	–529	–14,770	–14,487	0
Exchange differences	1,944	2,848	1,874	–54	2	6,614
Depreciation						
Additions	44,058	23,001	47,683	0	0	114,742
Disposals	16,788	11,245	35,598	0	0	63,631
Reversals	0	0	0	0	0	0
Transfers	0	–168	168	0	0	0
Exchange differences	1,172	2,492	1,005	0	0	4,675
Net carrying amount at 31 Dec 2024	**501,930**	**154,097**	**140,845**	**35,339**	**19,999**	**852,210**

Table continued on next page

€ thousand	Land and buildings	Technical equipment and machinery	Other equipment, furniture and fixtures and office equipment	Construction in progress	Advance payments made	Total
Changes in 2025						
Cost						
Additions from changes in the consolidated group	2,880	1,017	737	0	262	4,896
Additions	42,070	33,336	54,162	63,296	10,737	203,601
Disposals	14,546	13,885	26,255	1,388	2,436	58,510
Transfers	14,771	5,026	5,561	–11,622	–13,736	0
Exchange differences	–9,185	–6,157	–6,283	–483	–511	–22,619
Depreciation						
Additions	45,689	26,351	52,991	0	0	125,031
Disposals	13,577	13,768	26,023	0	0	53,368
Reversals	0	0	0	0	0	0
Transfers	0	0	0	0	0	0
Exchange differences	–4,209	–5,071	–4,377	0	0	–13,661
Net carrying amount at 31 Dec 2025	**510,017**	**165,922**	**146,176**	**85,146**	**14,315**	**921,576**
31 Dec 2025						
Cost	929,414	488,005	416,545	85,253	14,315	1,933,532
Accumulated depreciation	419,397	322,083	270,369	107	0	1,011,956
Net carrying amount	**510,017**	**165,922**	**146,176**	**85,146**	**14,315**	**921,576**

The table below shows the recognised right-of-use assets for leased assets accounted for in property, plant and equipment:

€ thousand	Land and buildings	Technical equipment and machinery	Other equipment, furniture and fixtures and office equipment	Total
31 Dec 2025				
Net carrying amount	106,466	3,480	34,966	144,912
Additions	37,419	2,131	17,419	56,969
Depreciation	25,138	1,192	17,510	43,840

€ thousand	Land and buildings	Technical equipment and machinery	Other equipment, furniture and fixtures and office equipment	Total
31 Dec 2024				
Net carrying amount	95,910	2,583	35,043	133,536
Additions	24,038	107	21,117	45,262
Depreciation	23,668	1,220	15,910	40,798

Information on the corresponding lease liabilities is provided on page 273.

Interest expenses include €3,992 thousand (previous year: €3,162 thousand) in interest expense on leases. Other operating expenses include €4,122 thousand (previous year: €4,460 thousand) in expenses from short-term leases, €808 thousand (previous year: €691 thousand) in expenses from leases of low-value assets and €2,442 thousand (previous year: €1,520 thousand) in expenses for variable lease payments. Total cash outflows for recognised leases amount to €46,144 thousand (previous year: €44,002 thousand).

3 Non-current financial assets

The non-current financial assets consist primarily of lendings to and investments in non-consolidated companies.

4 Investments accounted for using the equity method

One associated company was accounted for using the equity method as of the reporting date (previous year: one company).

Name	Place of business	Ownership interest (%)	
		31 Dec 2025	31 Dec 2024
Associate			
Perfinox Industria Metalurgica S.A.	Vale de Cambra, Portugal	45	45

45% of the shares in Perfinox Industria Metalurgica S.A., Arouca, Portugal (Perfinox) were acquired directly and indirectly in the 2024 financial year.

The table below shows summary financial information for the main companies included in the consolidated financial statements using the equity method:

Perfinox

€ thousand	2025	2024
Profit or loss for the period	1,706	1,142
Other comprehensive income	0	0
Total comprehensive income	1,706	1,142
Share of profit or loss	**768**	514
Carrying amount at 31 Dec	**6,545**	5,777

5 Inventories

The inventories of the Krones Group are composed as follows:

€ thousand	31 Dec 2025	31 Dec 2024
Raw materials, consumables and supplies	405,562	398,859
Work in progress	112,230	119,076
Finished goods	107,444	95,347
Goods purchased for sale	47,807	44,813
Other	4,332	6,657
Total	**677,375**	**664,752**

Inventories are carried at cost or net realisable value.

Write-downs of €4,724 thousand on inventories were recognised as expense in 2025 (previous year: €2,475 thousand) and are substantially based on customary net realisable values and obsolescence allowances.

6 Receivables and other assets

€ thousand	31 Dec 2025	31 Dec 2024
Trade receivables	917,962	821,619
Contract assets	1,075,975	1,094,433
Other assets	199,984	187,745

The group measures expected credit losses using the simplified approach under IFRS 9; accordingly, all trade receivables and contract assets are accounted for with lifetime expected credit losses.

Non-recourse factoring reduced trade receivables by €78,559 thousand as of the reporting date (previous year: €90,594 thousand). Factored export receivables in the amount of €2,315 thousand (previous year: €3,222 thousand) continue to be recognised in full as substantially all the risks and rewards are retained. The purchase price received is presented in other liabilities.

The loss allowance for expected credit losses on trade receivables and contract assets changed as follows:

€ thousand	2025	2024
At 1 Jan	80,326	69,776
Change due to currency effects	–1,073	–211
Additions	12,060	16,571
Reversals	–11,762	–5,810
At 31 Dec	**79,551**	**80,326**

The loss allowances include €10,897 thousand (previous year: €11,521 thousand) in impairments of contract assets.

Other assets mainly comprise advance payments made (€29,734 thousand; previous year: €16,953 thousand), current tax assets (€59,029 thousand; previous year: €50,882 thousand), prepaid expenses (€33,183 thousand; previous year: €30,482 thousand) and other financial assets (€49,781 thousand; previous year: €52,282 thousand).

The derivative financial instruments measured at fair value that were entered into for future payment receipts and meet the conditions for hedge accounting or that were entered into as stand-alone hedge transactions totalled €9,653 thousand at the reporting date (previous year: €10,500 thousand).

7 Cash and cash equivalents

Apart from cash on hand totalling €323 thousand (previous year: €348 thousand), the cash and cash equivalents of €549,488 thousand (previous year: €442,483 thousand) consist primarily of demand deposits.

Changes in cash and cash equivalents in accordance with IAS 7 Statement of Cash Flows are presented in the statement of cash flows on page 237.

8 Income tax

Income tax receivables and liabilities relate exclusively to income tax in accordance with IAS 12.

The income tax breaks down as follows:

€ thousand	31 Dec 2025	31 Dec 2024
Deferred tax expense	17,127	1,552
Current tax	107,841	102,859
Total	**124,968**	104,411

Deferred taxes are measured on the basis of the tax rates that, based on the current legal situation, apply or are expected to apply in the various countries at the time of realisation. In Germany, the tax rates that apply in 2025 are a corporate income tax rate of 15.0% plus a solidarity surcharge of 5.5% and a local trade tax multiplier (Gewerbesteuerhebesatz) for Krones AG averaging 336%. The total income tax rate for the companies in Germany is consequently 27.6%. The measurement of deferred taxes took into account the phased reduction in the corporate income tax rate in Germany from 15% to 10% between 2028 and 2032, which was already enacted by the end of the reporting period. Tax rates abroad range between 9% and 35%.

The deferred tax assets and liabilities break down by items on the statement of financial position as follows:

€ thousand	Deferred tax assets		Deferred tax liabilities	
	31 Dec 2025	31 Dec 2024	31 Dec 2025	31 Dec 2024
Intangible assets	2,024	3,583	50,993	51,706
Property, plant and equipment and other non-current assets	6,498	3,204	32,165	26,696
Current assets	17,184	17,309	67,858	45,917
Tax loss carryforwards	50,935	57,188	0	0
Non-current liabilities	30,060	28,631	8,185	4,985
Current liabilities	49,771	36,302	4,060	1,925
Deferred tax items recognised in other comprehensive income	15,081	25,271	2,438	816
Subtotal	**171,553**	171,488	**165,699**	132,045
Offsetting (–)	**–108,339**	–103,657	**–108,339**	–103,657
Total	**63,154**	67,831	**57,300**	28,388

The deferred tax assets and liabilities recognised in other comprehensive income amounted, respectively, to €15,081 thousand (previous year: €25,271 thousand) and €2.438 thousand (previous year: €816 thousand). The deferred tax assets include €15,077 thousand (previous year: €20,852 thousand) for actuarial losses recognised in other comprehensive income in accordance with IAS 19 and €4 thousand (previous year: €4.419 thousand) in hedging losses. The deferred tax liabilities comprise €984 thousand (previous year: €816 thousand) for actuarial gains recognised in other comprehensive income in accordance with IAS 19 and €1,454 thousand (previous year: €0 thousand) in hedging gains.

Deferred taxes on tax loss carryforwards in the amount of €67,586 thousand (previous year: €62,340 thousand) were not recognised because it is not sufficiently certain that the tax assets will be realised in the foreseeable future. These loss carryforwards can essentially be carried forward indefinitely.

Entities that made losses in the reporting year or the previous year and whose deferred tax assets are not covered by deferred tax liabilities have recognised deferred tax assets in the amount of €5,124 thousand (previous year: €4,383 thousand). There is convincing evidence that these tax assets will be realised on the basis of management assumptions and judgements about the development of the business deriving from past experience and taking into account one-off effects in the financial year under review.

The temporary differences relating to equity interests in subsidiaries (outside basis differences) for which no deferred tax liabilities were recognised at the reporting date totalled €718,744 thousand (previous year: €639,520 thousand).

The tax expense of €124,968 thousand reported in 2025 is €7,907 thousand less than the expected tax expense that would theoretically result from application of the domestic tax rate of 27.6% at the group level.

The difference can be attributed to the following:

€ thousand	2025	2024
Earnings before taxes	424,134	381,622
Tax rate for the parent company Krones AG	27.60%	27,60%
(Theoretical) tax income (–)/tax expense (+)	117,061	105,328
Adjustment due to difference between local tax rate and tax rate of Krones AG	–12,967	–13,629
Effect of tax rate reductions	–825	0
Reductions in tax due to tax-exempt income	–1,759	–3,965
Current tax losses for which no deferred taxes recognised	304	804
Increases in tax expense due to non-deductible expenses	18,637	20,720
Tax effect of impairment of deferred taxes from loss carryforwards (+)/tax effect of as-yet unrealised deferred taxes on loss carryforwards (–)	4,185	–3,355
Tax income (–)/tax expense (+) for previous years	599	343
Tax effect of as-yet unrealised deductible temporary differences	–197	–1,848
Other	–70	13
Taxes on income	**124,968**	**104,411**

The Krones Group falls within the scope of the OECD model rules to ensure a global minimum tax rate of 15%. The German legislation enacting the rules on global minimum taxation – the Mindeststeuergesetz (Minimum Tax Act) – entered into force on 1 January 2024. The Qualified Domestic Minimum Top-up Tax (QDMTT) mechanisms in other jurisdictions are applied from their respective first-time application dates; the resulting top-up tax is levied in the countries concerned. The analysis shows that the top-up tax levied locally via QDMTT mechanisms for 2025 is immaterial to the Krones Group.

The Krones Group applies the exception in IAS 12, according to which no deferred tax assets and liabilities are recognised, and no disclosures made, in relation to OECD Pillar Two income taxes.

9 Equity

Krones AG's share capital amounted to €40,000,000.00 at 31 December 2025, as in the previous year. It is divided into 31,593,072 ordinary bearer shares, each with a theoretical par value of €1.27 per share. 31,593,072 shares were in circulation at the reporting date (previous year: 31,593,072). At 31 December 2025, as in the previous year, the company held no treasury shares.

The company is authorised in accordance with Section 71 (1) No. 8 of the German Stock Corporation Act (AktG) to buy treasury shares totalling up to 10% of the current share capital in compliance with the provisions of the law and of the authorising resolution.

The authorisation can be exercised by the company, by its consolidated companies or by a third party acting on its or their behalf, either in whole or in part, once or multiple times, in pursuit of one or multiple purposes.

The authorisation became effective upon resolution by the annual general meeting on 23 May 2023 and applies until midnight on 22 May 2028.

By resolution of the annual general meeting on 17 May 2021, the Executive Board is authorised to increase the company's share capital, with the approval of the Supervisory Board, by up to €10 million (authorised capital) through the issuance on one or more occasions of new ordinary bearer shares against cash contributions up to and including 16 May 2026. Shareholders must be granted subscription rights to these shares. The Executive Board is authorised to exclude the subscription rights of shareholders, with the approval of the Supervisory Board, for any fractional amounts that may arise. Moreover, the Executive Board is authorised to determine the further details of the capital increase and its implementation, in both cases with the approval of the Supervisory Board. The Supervisory Board is authorised to amend the articles of association in accordance with any utilisation of the authorised capital and upon expiration of the term of the authorisation.

The changes in equity that are recognised in other comprehensive income (excluding dividends) totalled –€20.021 thousand in the reporting period (previous year: –€1.093 thousand) and consist of changes in currency differences and cash flow hedges as well as the recognition of actuarial gains and losses on pensions under other reserves. In addition, the allocation of profit or loss to non-controlling interests resulted in a change in equity of €478 thousand (previous year: €293 thousand). The sum of changes in equity that are recognised in other comprehensive income and those that are recognised in profit or loss was €279,145 thousand (previous year: €276,119 thousand).

A dividend of €2.60 per share was approved for the 2024 financial year and paid out by Krones AG in 2025 (previous year: €2.20 per share). The total dividend payout came to €82,142 thousand (previous year: €69,505 thousand).

Disclosures about capital management

A strong equity position is an important prerequisite for ensuring Krones' long-term survival. To achieve this, Krones regularly monitors and manages its capital on the basis of the equity ratio. In order to share the company's success with shareholders, Krones' policy is to pay out 25% to 30% of consolidated profit in the form of dividends.

10 Capital reserves

The capital reserves total €141,724 thousand (previous year: €141,724 thousand). The capital reserves include amounts transferred under Section 272 (2) No. 4 of the German Commercial Code (HGB) and amounts transferred under Section 272 (2) No. 1 HGB totalling €37,848 thousand.

11 Profit reserves

The legal reserve remains unchanged from the previous year at €51 thousand.

The other profit reserves include deductions for negative goodwill from acquisition accounting for subsidiaries consolidated before 1 January 2004 and adjustments made directly in equity at 1 January 2004 on the first-time application of IFRS 1. They also include the adjustments made directly in equity on the first-time application of IFRS 9 and IFRS 15 as of 1 January 2018.

12 Other reserves

The exchange differences accounted for in other reserves relate to the amounts accounted for in other comprehensive income for the currency translation of foreign subsidiary financial statements. Changes in other reserves are shown in the consolidated statement of changes in equity.

Other reserves changed as follows in financial year 2025:

€ thousand	Reserve for post-employment benefits	Reserve for cash flow hedges	Reserve for exchange differences	Other	Total
At 31 Dec 2023	**–56,227**	**6,436**	**–93,685**	**–804**	**–144,280**
Changes in the consolidated group	0	0	0	0	0
Measurement change	5,486	–26,605	15,195	0	–5,924
Tax on items taken directly to or transferred from equity	–1,514	6,345	0	0	4,833
At 31 Dec 2024	**–52,253**	**–13,824**	**–78,490**	**–804**	**–145,373**
Changes in the consolidated group	0	0	0	0	0
Measurement change	13,115	23,773	–45,512	0	–8,624
Tax on items taken directly to or transferred from equity	–5,803	–5,594	0	0	–11,397
At 31 Dec 2025	**–44,943**	**4,355**	**–124,002**	**–804**	**–165,394**

The measurement changes for cash flow hedges include additions of €4,355 thousand (previous year: –€13,824 thousand) and amounts reclassified to profit or loss totalling –€13,824 thousand (previous year: €6,436 thousand) after taxes.

13 Non-controlling interests

Non-controlling interests totalled –€309 thousand in 2025 (previous year: –€169 thousand).

A detailed overview of the composition of and changes to the individual equity components for the Krones Group in 2025 and the previous year is presented in the statement of changes in equity on page 238.

14 Provisions for pensions

Provisions for pensions are recognised for obligations relating to vested benefits and current benefit payments for eligible active and former employees of Krones Group companies and their surviving dependants. Various forms of retirement provision exist depending on the legal, economic and tax circumstances of the relevant country and are generally based on employees' remuneration and years of service.

Company pension plans are generally either defined contribution plans or defined benefit plans.

In defined contribution plans, the company does not assume any obligations beyond paying contributions to special-purpose funds. Contributions are recognised as personnel expense in the year in which they are paid.

In defined benefit plans, the company undertakes an obligation to render the benefits promised to active and former employees, where a distinction is made between pension schemes financed by provisions and pension schemes financed through pension funds. The amount of the pension obligations (the defined benefit obligation) was computed in accordance with actuarial methods.

The basis for calculating provisions for pensions in Germany is the company's pension scheme from 31 December 1982, which is closed to new entrants. The scheme entitles all covered employees to post-employment, permanent disability and widow(er)'s pensions. The age limits are 63 for men and 60 for women. The post-employment pension amounts to 1% (0.5% beginning 1 January 1983) of the eligible earned income for each eligible year of employment, not to exceed 25%. The basis for measurement of the permanent disability and widow(er)'s pensions (50% of post-employment pension) is the post-employment pension that can be earned by the time the employee reaches the age limit, although for the permanent disability benefit only that portion is granted which corresponds to the years of service actually reached. The measurement date for eligible years of service is 31 December 1982. A fixed table applies to new entries after this date. The individual provisions are based on individual contractual agreements.

The current pension arrangements for employees in Switzerland are based on plans governed by the Swiss Federal Act on Occupational Old Age, Survivors' and Invalidity Pension Provision (BVG). The group's pension plans are managed by legally independent foundations funded by regular employee and employer contributions. The final pension benefit is contribution-based with certain minimum guarantees. Because of these minimum guarantees, the Swiss pension plans are classified as defined benefit plans for the purpose of the IFRS financial statements, even though they have many of the characteristics of defined contribution plans. Any shortfall can be remedied in various ways, including increasing employee and employer contributions, reducing the rate of return on plan assets, reducing future benefit entitlements or suspending early withdrawals.

There are further non-material pension plans in Germany and other countries. These therefore do not need to be described in detail.

Both the defined benefit obligations and plan assets are subject to fluctuations over time. This can have a positive or negative effect on funding status. Fluctuations in the defined benefit obligation within the Krones Group result primarily from changes in financial assumptions such as discount rates and increases in the cost of living as well as changes in demographic assumptions such as changed life expectancy.

The group applied the Heubeck 2018 G tables for the mortality assumptions used for pension plans in Germany. The mortality assumptions used for the pension plans in Switzerland are based on the BVG 2020.

The actuarial calculations were based on the following assumptions alongside the assumptions on mortality:

%	2025	2024
	Average for the group	Average for the group
Discount rate	2.9	2.5
Projected increases in wages and salaries	0.7	0.7
Projected increases in state pensions	1.2	1.2

The rates recommended for measuring pension liabilities at the end of the financial year as published by Heubeck AG, Mercer Deutschland GmbH, TowersWatson and AON Hewitt are used to determine the relevant discount rates for the pension provision in Germany. These values, which in turn are determined on the basis of market yields on senior fixed-coupon corporate bonds, are used to obtain an interest rate that reflects the anticipated benefit payments.

The discount rate for pension plans in Switzerland is based on that recommended by Mercer Switzerland Inc.

The following amounts are expected to be contributed to the defined benefit obligation in the coming years.

€ thousand	2025
Within the next 12 months	15,702
Between 2 and 5 years	66,225
Between 5 and 10 years	85,260

The average weighted residual term of post-employment benefit obligations is 14 years (previous year: 14 years).

The projected increases in wages and salaries comprise expected future pay increases, which are estimated each year on the basis, among other things, of inflation and employees' years of service with the company. Since the pension commitments at our companies in Germany are independent of future pay increases, the projected increase in wages and salaries was not taken into account when determining the corresponding pension provisions.

Increases or decreases in either the net present value of defined benefit obligations or the fair value of plan assets can result in actuarial gains or losses due to factors such as changes in parameters, changes in estimates relating to the risks associated with the pension commitments and differences between the actual and expected return on plan assets. The net value of the pension provisions breaks down as follows:

€ thousand	31 Dec 2025	31 Dec 2024	31 Dec 2023
Present value of benefit commitments financed by provisions	163,615	165,347	168,705
Present value of benefit commitments financed through pension funds	172,939	173,627	37,733
Present value of benefit commitments (gross)	336,554	338,974	206,438
Fair value of plan assets	–190,038	–178,090	–27,994
Total funding status	146,515	160,884	178,444
Asset recognition limit	10,588	9,444	0
Carrying amount at 31 December (net defined benefit obligation)	157,103	170,328	178,444
Balance sheet presentation			
Defined benefit plan assets	**2,417**	**2,308**	**0**
Defined benefit plan liabilities	**159,520**	**172,636**	**178,444**

The recognition of plan assets is limited to the present value of any economic benefits available from refunds from the plans or reductions in future contributions to the plans. On the basis of current market assumptions, the surplus of certain Swiss pension plans exceeds the asset ceiling recognisable under IFRS; this led to the introduction of a recognition limit.

€ thousand	31 Dec 2025	31 Dec 2024
Asset recognition limit		
At 1 January	9,444	0
Consolidated additions	0	20,785
Exchange differences	333	411
Adjustment to asset recognition limit	811	–11,752
At 31 December	10,588	9,444
Fair value of plan assets at 31 December		
Excluding asset recognition limit	190,038	178,090
Asset recognition limit	10,588	–9,444
Including asset recognition limit	179,451	168,646

€ thousand	31 Dec 2025	31 Dec 2024
Composition of plan assets		
Equity instruments	75,573	69,994
Debt securities	62,031	60,860
Property	32,109	30,984
Cash assets and money market instruments	4,150	4,076
Other investments	18,174	12,176
At 31 December	190,038	178,090

The pension provisions, which amounted to €147,960 thousand at the reporting date (previous year: €163,999 thousand), are primarily attributable to the German pension plans. The actuarial gains or losses resulting from changes in financial assumptions totalled €13,595 thousand (previous year: €6,507 thousand). Experience adjustments total –€949 thousand (previous year: €431 thousand); adjustments due to changes in demographic assumptions total €0 thousand (previous year: €0 thousand).

The financial income of €9,247 thousand (previous year: €8,511 thousand) breaks down as follows:

€ thousand	31 Dec 2025	31 Dec 2024	31 Dec 2023
Current service cost	3,914	3,038	829
Interest expense	8,079	8,466	7,313
Expected return on plan assets	–2,448	–2,953	–1,028
Past service cost and plan curtailments	–299	–40	–32
Costs arising from pension obligations	9,247	**8,511**	**7,082**

The table below shows the reconciliation of the present value of defined benefit obligations, which amounted to €336,554 thousand (previous year: €338,974 thousand) and mostly related to the German pension plans in the amount of €171,337 thousand and the Swiss pension plans in the amount of €153,688 thousand, the fair value of the plan assets, which amounted to €190,038 thousand (previous year: €178,090 thousand), and the net amount of the two items:

€ thousand	Present value of benefit commitments	Fair value of plan assets	Total
At 1 January 2024	**206,438**	**–27,994**	**178,444**
Consolidated additions	125,034	–145,819	–20,785
Current service cost	3,038	0	3,038
Interest expense (+)/interest income (–)	8,466	–2,953	5,513
Actuarial gains (+)/losses (–)	5,236	137	5,373
Employer contributions	0	–4,027	–4,027
Benefits paid	–14,696	7,759	–6,937
Recognised past service cost	1,051	0	1,051
Exchange differences	4,407	–5,193	786
At 31 December 2024	**338,974**	**–178,090**	**160,884**

€ thousand	Present value of benefit commitments	Fair value of plan assets	Total
At 1 January 2025	**338,974**	**–178,090**	**160,884**
Consolidated additions	0	0	0
Current service cost	3,914	0	3,914
Interest expense (+)/interest income (–)	8,079	–2,448	5,632
Actuarial gains (+)/losses (–)	–4,311	–8,673	–12,984
Employer contributions	0	–4,970	–4,970
Benefits paid	–12,675	5,847	–6,828
Recognised past service cost	1,057	0	1,057
Exchange differences	**1,515**	**–1,704**	**190**
At 31 December 2025	**336,554**	**–190,038**	**145,270**

The actuarial gains or losses mainly relate to changes in financial assumptions.

The fair value of plan assets was €190.0 million as of 31 December 2025 (previous year: €178.1 million) and mostly relates to the Swiss pension plans in the amount of €153,718 thousand.

The expected contributions to plan assets in 2026 are €4,662 thousand.

The expected pension benefit payments to be paid out of plan assets in 2026 amount to €9,223 thousand.

In 2025, a total of €70,194 thousand (previous year: €71,545 thousand) was spent on the employer contribution to defined contribution plans (contributions to pension insurance).

The sensitivity of the present value of the pension commitments (gross commitments) to changes in the weighted assumptions is as follows:

		Effect on the obligation	
	Change in assumption	Assumption increases	Assumption decreases
Discount rate	0.50%	5.2% decrease	6.3% increase
Projected	0.50%	3.6% increase	3.1% decrease
Life expectancy	1 year	2.4% increase	2.2% decrease

The above sensitivity analysis is based on a change in one assumption, with all other factors held constant. It is unlikely that this would be the case in reality and changes in several assumptions may be correlated. The same method was used to calculate the sensitivity of the defined benefit obligation to actuarial assumptions as was used to calculate the provisions for pensions in the statement of financial position.

15 Other provisions

€ thousand	1 Jan 2025	Consolidated additions	Utilisation	Reversal	Unwinding of discount/ change in discount rate	Additions	Exchange differences	31 Dec 2025	Due within 1 year
Personnel obligations	78,191	356	11,565	417	1,146	7,769	–1,441	74,039	8,492
Provisions for anticipated losses	65,314	0	41,307	7,421	0	50,660	–1,932	65,314	65,309
Provisions for warranties	90,257	0	6,041	2,535	143	30,775	–2,070	110,529	84,585
Other remaining provisions	53,683	743	12,157	8,581	3	40,970	–3,345	71,316	65,231
Total	**287,445**	**1,099**	**71,070**	**18,954**	**1,292**	**130,174**	**–8,788**	**321,198**	**223,617**

The provisions for personnel obligations are primarily for non-current obligations relating to partial retirement. The personnel obligations include €1,146 thousand for the effects of the time value of money (previous year: €1,866 thousand).

Provisions for anticipated losses relate to anticipate losses arising from customer contracts. As soon as an anticipated loss is identified, a provision is immediately recognised for it at the expected amount.

The provisions for warranties relate to project business and represent the expected costs from customer orders. The estimates for the warranty obligations are based on experience in recent financial years and generally relate to a contract term of between one and two years from the acceptance date. Krones therefore expects that the majority of provisions for warranties will be settled within the next two years.

The other remaining provisions primarily include provisions for damages and legal fees. The non-current provisions have been discounted using rates between 1.8% and 3.8%.

16 Liabilities

€ thousand	Residual term of up to 1 year	Residual term of 1 to 5 years	Residual term of over 5 years	Total at 31 Dec 2025
Liabilities to banks	1,266	–		1,266
Contract liabilities	884,129			884,129
Trade payables	868,256	1,397		869,653
Other financial obligations	9,086	30,428		39,514
Liabilities from leases	43,896	75,893	27,789	147,578
Other liabilities*	392,964	1,537		394,501
Total	**2,199,597**	**109,255**	**27,789**	**2,336,641**

* The other liabilities include €105,247 thousand in financial liabilities.

€ thousand	Residual term of up to 1 year	Residual term of 1 to 5 years	Residual term of over 5 years	Total at 31 Dec 2024
Liabilities to banks	1,280	1,339	0	2,619
Contract liabilities	926,840	0	0	926,840
Trade payables	802,194	0	0	802,194
Other financial obligations	3,322	39,492	0	42,814
Liabilities from leases	40,793	70,946	22,265	134,004
Other liabilities*	391,028	1,790	0	392,818
Total	**2,165,457**	**113,567**	**22,265**	**2,301,289**

* The other liabilities include €116,557 thousand in financial liabilities.

Krones makes use of a supplier finance programme. The group does not derecognise the original trade payables as it is not legally discharged from the liability and the liability is not materially modified. From the group's perspective, the arrangement does not materially change the payment terms. The group does not incur any additional interest or costs for the trade payables.

The amounts therefore continue to be presented in trade payables as they correspond to trade payables in nature and purpose. The arrangements enable our suppliers to receive payments early, while we benefit from extended payment terms. No securities or guarantees have been provided under these arrangements. The concentration of liquidity risk with financing providers is monitored on a regular basis to ensure that excessive risk does not arise.

As of 31 December 2025, trade payables include supplier finance liabilities in the amount of €136,023 thousand (previous year: €145,919 thousand), as follows:

€ thousand	31 Dec 2025	31 Dec 2024
Carrying amount of supplier finance liabilities	136,023	145,919
Carrying amount of supplier finance liabilities for which suppliers have already received payment	111,911	120,628

These outstanding trade payables are settled with suppliers by a bank before they are due. Within the programme, the original supplier liabilities are unaffected in substance because the acknowledgement of the liability is unaltered and they are presented as trade payables.

The payment terms for liabilities under the supplier finance program were between 45 and 180 days. The payment terms for liabilities to suppliers not participating in the supplier finance program were between one and 180 days.

Liabilities to banks (drawings on current credit lines, unsecured) carried interest at an average rate of 2.3% in the financial year (previous year: 4.0%).

Reconciliation of movements in liabilities to cash flow from financing activities

The table below shows changes in liabilities to banks and lease liabilities as a result of cash and non-cash changes.

€ thousand	31 Dec 2024	Other changes	Cash changes	Non-cash change due to acquisitions	31 Dec 2025
Liabilities to banks	2,619		–3,478	2,125	1,266
Liabilities from leases	134,004	56,067	–43,394	901	147,578
Total	**136,623**	**56,067**	**–46,872**	**3,026**	**148,844**

€ thousand	31 Dec 2023	Other changes	Cash changes	Non-cash change due to acquisitions	31 Dec 2024
Liabilities to banks	3,765		–1,146		2,619
Liabilities from leases	135,975	39,324	–44,243	2,948	134,004
Total	**139,740**	**39,324**	**–45,389**	**2,948**	**136,623**

The other changes mainly comprise additions from new leases.

The other financial liabilities are receivables not derecognised under IFRS 9, put/call options and earn-out obligations. Receivables not derecognised under IFRS 9 are also included in the amount of €2,315 thousand (previous year: €3,222 thousand) in trade receivables.

The other liabilities break down as follows:

€ thousand	Residual term of up to 1 year	Residual term of 1 to 5 years	Residual term of over 5 years	Total at 31 Dec 2025
Tax liabilities	47,893	230	–	48,123
Social security liabilities	12,684	19	–	12,703
Payroll liabilities	41,288	528	–	41,816
Accruals	263,270	–	–	263,270
Other	27,829	760	–	28,589
Total	**392,964**	**1,537**	**–**	**394,501**

€ thousand	Residual term of up to 1 year	Residual term of 1 to 5 years	Residual term of over 5 years	Total at 31 Dec 2024
Tax liabilities	40,549	784	0	41,333
Social security liabilities	11,970	15	0	11,985
Payroll liabilities	37,556	725	0	38,281
Accruals	249,483	0	0	249,483
Other	51,470	266	0	51,736
Total	**391,028**	**1,790**	**0**	**392,818**

Accruals, which amounted to €263,270 thousand (previous year: €249,483 thousand), have significantly less uncertainty with respect to their amount and timing than is the case with provisions. The primary items they include are outstanding supplier invoices, obligations relating to flexible working hours, accrued vacation, and performance bonuses.

17 Contingent liabilities

There were no contingent liabilities in the reporting period or in the previous year.

18 Other disclosures relating to financial instruments

The derivative financial instruments of the Krones Group substantially cover the currency risks relating to the US dollar, the Canadian dollar, the Chinese remnimbi yuan and the pound sterling. The nominal and fair values of the derivative financial instruments are as follows at the reporting date:

€ thousand	31 Dec 2025	31 Dec 2024	31 Dec 2025	31 Dec 2024
	Nominal value	Nominal value	Fair value	Fair value
Financial assets				
Currency hedging				
Forward exchange contracts	306,027	295,721	9,653	10,500
of which hedge accounting	134,964	5,454	7,856	137
Financial liabilities				
Currency hedging				
Forward exchange contracts	252,895	415,335	2,243	21,531
of which hedge accounting	95,677	356,701	951	21,192

The fair value includes the difference between the forward rate received from the relevant commercial bank and the rate at the reporting date together with appropriate premiums or discounts under accepted appraisal methodologies. These financial instruments are generally accounted for at the trade date.

Default risk relating to derivative financial instruments in the event of counterparty default is limited to the balance of the positive fair values. The cash flow hedges presented are judged to be effective.

The net loss from derivatives was €8,787 thousand in the reporting period (previous year: net gain of €5,553 thousand). The German master agreements and ISDA agreements do not meet the criteria to require offsetting in the consolidated statement of financial position. That is because the company currently does not have a legally enforceable right to offset the recognised amounts. The right to offset these amounts is only enforceable if future events occur such as insolvency of a party to the contract. Hedging transactions entered into directly by subsidiaries of the Krones Group also cannot be offset.

The table below presents the carrying amounts of the financial assets and liabilities underlying these agreements:

€ thousand	31 Dec 2025	31 Dec 2024
Financial assets		
Gross amounts of recognised financial assets	2,594,038	2,412,912
Amounts that are netted in accordance with IAS 32,42	0	0
Net amounts of recognised financial assets	2,594,038	2,412,912
Amounts subject to master netting agreement		
Derivatives	–2,187	–557
Net amount of financial assets	2,591,851	2,412,355
Financial liabilities		
Gross amounts of recognised financial liabilities	1,163,259	1,093,188
Amounts that are netted in accordance with IAS 32,42	0	0
Net amounts of recognised financial liabilities	1,163,259	1,098,188
Amounts subject to master netting agreement		
Derivatives	–2,187	–557
Net amount of financial liabilities	1,161,072	1,097,631

The following table presents the financial instruments by their measurement categories and classes and also shows how the financial instruments that are measured at fair value fit within the fair value hierarchy.

31 Dec 2025			Measurement under IFRS 9				Measurement hierarchy		
€ thousand	Carrying amount at 31 Dec 2025	Of which subject to IFRS 7	At amortised cost (AC)	At fair value through profit or loss (FVTPL)	At fair value through other comprehensive income (FVOCI)	Measurement under IFRS 16	Level 1	Level 2	Level 3
Assets									
Non-current financial assets	15,489	832	832						
Trade receivables	917,962	917,962	917,962						
Contract assets	1,075,975	1,075,975	1,075,975						
Other assets	199,984	49,781	40,127	1,797	7,856			9,653	
of which derivatives	9,653	9,653		1,797	7,856			9,653	
Cash and cash equivalents	549,488	549,488	549,488						
Liabilities									
Liabilities to banks	1,266	1,266	1,266						
Trade payables	869,653	869,653	869,653						
Other financial liabilities and lease liabilities	187,093	187,093	2,315	37,199		147,578			37,199
Other liabilities and accruals	394,501	105,247	103,004	1,292	951			2,243	
of which derivatives	2,243	2,243		1,292	951			2,243	

31 Dec 2024			Measurement under IFRS 9				Measurement hierarchy		
€ thousand	Carrying amount at 31 Dec 2024	Of which subject to IFRS 7	At amortised cost (AC)	At fair value through profit or loss (FVTPL)	At fair value through other comprehensive income (FVOCI)	Measurement under IFRS 16	Level 1	Level 2	Level 3
Assets									
Non-current financial assets	16,747	2,095	2,095						
Trade receivables	821,619	821,619	821,619						
Contract assets	1,094,433	1,094,433	1,094,433						
Other assets	187,745	52,282	41,782	10,363	137			10,500	
of which derivatives	10,500	10,500		10,363	137			10,500	
Cash and cash equivalents	442,483	442,483	442,483						
Liabilities									
Liabilities to banks	2,619	2,619	2,619						
Trade payables	802,194	802,194	802,194						
Other financial liabilities and lease liabilities	176,818	176,818	3,236	39,578		134,004			39,578
Other liabilities and accruals	392,818	116,557	95,026	339	21,192			21,531	
of which derivatives	21,531	21,531		339	21,192			21,531	

Financial instruments categorised as Level 3 inputs and measured at fair value developed as follows:

€ thousand	2025	2024
Net carrying amount at 1 January	39,578	57,237
Additions resulting from acquisitions	3,882	200
Changes	–6,261	–17,858
(of which currency effects)	–3,633	1,776
(of which payouts)	–3,154	–12,778
Net carrying amount at 31 December	**37,199**	39,578

There were no other changes. The financial liabilities, which are based on individual measurement parameters and recognised at fair value, comprise contingent consideration and combined put/call options relating to acquisitions. These items are recognised under other financial liabilities and have been measured on the basis of recognised accounting models, taking into account contractual agreements as well as market and company data available at the reporting date.

The fair value of the put/call option for System Logistics was measured using the discounted cash flow method. The main input factors are mid-term planning and the discount rate. The potential range of the undiscounted exercise prices is between €11,000 thousand and €13,000 thousand at the reporting date. On this basis, the fair value at the reporting date was €10,644 thousand.

The fair value of the put/call option for R+D Custom Automation was measured using the discounted cash flow method. The main input factors are mid-term planning and the discount rate. The possible range of the undiscounted exercise prices is between €0 thousand and €34,048 thousand at the reporting date. On this basis, the fair value at the reporting date was €1,440 thousand.

The fair value of the contingent purchase price payments totalling €6,670 thousand for Ampco Pumps was measured using the discounted cash flow method; the potential range of the undiscounted payments to be made is between €0 thousand and €6,810 thousand. The main input factors are mid-term planning and the discount rate. The fair value of the put/call option for Ampco Pumps was measured using the discounted cash flow method. The main input factors are mid-term planning and the discount rate. The potential range of the undiscounted exercise prices is between €11,917 thousand and €20,429 thousand at the reporting date. On this basis, the fair value at the reporting date was €15,967 thousand.

The fair value of the put/call option for GHS Separationstechnik was measured using the discounted cash flow method. The main input factors are mid-term planning and the discount rate. The potential range of the undiscounted exercise prices is between €0 thousand and €7,000 thousand at the reporting date. On this basis, the fair value at the reporting date was €2,378 thousand.

There were no transfers between levels of the hierarchy.

The default risk to which the group is exposed in trade receivables and contract assets primarily depends on customer creditworthiness.

Krones' management has implemented a process in which the creditworthiness of each customer is assessed on the basis of external data such as ratings or internal data such as payment history and past-due status of receivables.

The final assessment is made on the basis of customer groups and a classification of customers into one of five risk categories, A to E, according to past-due status.

An expected credit loss rate is computed for each risk category on the basis of meaningful data.

The table below shows the gross carrying amounts and expected credit losses on trade receivables and contract assets:

Rating-based at 31 Dec 2025	Gross carrying amount in € thousand	Average loss rate	Loss allowance in € thousand
Key accounts	663,484	0.16%	894
Major customers	891,973	1.91%	11,676
Total	**1,525,457**		**12,570**

Rating-based at 31 Dec 2024	Gross carrying amount in € thousand	Average loss rate	Loss allowance in € thousand
Key accounts	632,013	0.16%	917
Major customers	893,111	1.50%	10,961
Total	**1,525,124**		**11,878**

Indicators that trade receivables and contract assets may be impaired include significant financial difficulties on the part of the customer.

	Category					
31 Dec 2025	A	B	C	D	E	**Total**
Average loss rate (%)	0.83%	0.87%	6.93%	18.11%	5.01%	
Gross carrying amount in € thousand	418,019	73,587	15,777	14,946	25,703	**548,032**
Loss allowance in € thousand	3,461	638	1,093	2,707	1,324	**9,223**

	Category					
31 Dec 2024	A	B	C	D	E	**Total**
Average loss rate (%)	0.87%	0.86%	7.58%	12.69%	20.79%	
Gross carrying amount in € thousand	353,640	72,787	15,647	7,433	21,748	**471,255**
Loss allowance in € thousand	3,087	627	1,186	943	4,523	**10,366**

In addition, there are specific valuation allowances in the amount of 57,308 thousand (previous year: €58,038 thousand) for uncollectible receivables.

The following overview of maturities shows how the undiscounted cash flows relating to liabilities as of 31 December 2025 influence the company's liquidity situation.

€ thousand	Carrying amount at 31 Dec 2025	Cashflow 2026		Cashflow 2027–2030		Cashflow beyond 2030	
		Interest	Repayment	Interest	Repayment	Interest	Repayment
Derivative financial instruments	2,243	0	2,243	0	0	0	0
Liabilities to banks	1,266	7	1,266	0	0	0	0
Trade payables	869,653	0	868,256	0	1,397	0	0
Liabilities from leases	147,578	1,972	43,896	6,364	75,893	1,169	27,789
Other financial liabilities	142,518	0	111,791	0	30,727	0	0
	1,163,258	**1,979**	**1,027,452**	**6,364**	**108,017**	**1,169**	**27,789**

€ thousand	Carrying amount at 31 Dec 2024	Cashflow 2025		Cashflow 2026–2029		Cashflow beyond 2029	
		Interest	Repayment	Interest	Repayment	Interest	Repayment
Derivative financial instruments	21,531	0	21,531	0	0	0	0
Liabilities to banks	2,619	18	1,280	7	1,339	0	0
Trade payables	802,194	0	802,194	0	0	0	0
Liabilities from leases	134,004	2,200	40,793	5,721	70,946	1,340	22,265
Other financial liabilities	137,840	0	98,348	0	39,492	0	0
	1,098,188	**2,218**	**964,146**	**5,728**	**111,777**	**1,340**	**22,265**

Currency sensitivity analysis

A change in the reporting date closing rate by +10% in relation to the foreign currency against the euro (indirect quotation) would have the following effect on consolidated net income and other equity components:

31 Dec 2025 € thousand	Currency USD	Currency CAD	Currency CNY	Currency GBP
Consolidated statement of profit and loss	13,639	691	293	790
Consolidated equity	18,709	369	1,544	0

31 Dec 2024 € thousand	Currency USD	Currency CAD	Currency CNY	Currency GBP
Consolidated statement of profit and loss	6,059	334	–457	475
Consolidated equity	20,484	0	2,330	157

Notes to the **consolidated statement of profit and loss**

19 Revenue

The Krones Group's revenue of €5,663,769 thousand (previous year: €5,293,557 thousand) is recognised revenue from contracts with customers. Revenue from contracts with customers breaks down by segment and by customers invoiced in geographical regions as follows.

€ thousand	2025			2024		
	Filling and Packaging Technology	Process Technology	Intralogistics	Filling and Packaging Technology	Process Technology	Intralogistics
Germany	435,986	73,630	16,475	401,364	56,072	7,732
Central Europe (excluding Germany)	296,723	17,981	6,534	270,566	33,553	6,907
Western Europe	695,683	79,546	77,658	527,672	100,705	91,013
Middle East/Africa	660,682	58,255	87	548,469	38,825	37
Eastern Europe	245,423	10,189	55,086	208,194	19,831	136,190
Central Asia (CIS)	94,318	9,160	28	111,483	6,190	206
Asia-Pacific	562,381	58,569	36,994	555,166	69,168	25,492
China	591,143	21,071	1,522	389,704	19,661	198
North and Central America	911,042	132,655	156,836	954,928	120,998	144,812
South America/Mexico	280,768	52,685	24,658	486,304	42,535	19,582
Total	**4,774,150**	**513,741**	**375,878**	**4,453,850**	**507,538**	**332,169**

The group's contract assets and contract liabilities changed as follows in the financial year:

€ thousand	31 Dec 2025	31 Dec 2024
Contract assets	1,075,975	1,094,433
Contract liabilities	884,129	926,840

The amount of revenue recognised in 2025 that was included in the contract liability balance at the beginning of the reporting period was €926,840 thousand (previous year: €1,040,990 thousand).

The reduction in contract assets is mainly due to a lower volume of work in progress. The reduction in contract liabilities is mainly due to lower prepayments from customers.

The amount of the transaction price allocated to performance obligations unsatisfied (or partially unsatisfied) at the end of the reporting period was €38,377 thousand (previous year: €47,641 thousand). Krones will recognise most of this as revenue in the next 36 months. No disclosures under IFRS 15.120 are made for performance obligations with an original expected duration of one year or less.

Most revenue in the Filling and Packaging Technology segment and almost all revenue in the Process Technology and Intralogistics segments is recognised over time.

20 Other own work capitalised

Other own work capitalised consists primarily of capitalised development expenditure and capitalised cost of self-constructed property, plant and equipment at the Neutraubling production site.

With respect to development expenditure capitalised in accordance with IAS 38, please refer to the notes on intangible assets.

21 Other operating income

The other operating income in the amount of €187,983 thousand (previous year: €178,821 thousand) includes prior-period income from reversal of provisions and accruals (€11,163 thousand; previous year: €7,420 thousand), gains from disposals of non-current assets (€1,787 thousand; previous year: €458 thousand) and from the reversal of loss allowances on receivables and contract assets (€11,762 thousand; previous year: €5,810 thousand) and – as the main item – currency translation gains of €129,094 thousand (previous year: €125,432 thousand). This compares with additions to loss allowances of €12,060 thousand (previous year: €16,571 thousand) and currency translation losses of €92,979 thousand (previous year: €132,108 thousand) under other operating expenses.

22 Goods and services purchased

The expenses for goods and services purchased comprises expenses for materials and supplies and for goods purchased amounting to €2,075,391 thousand (previous year: €2,015,562 thousand) and expenses for services purchased amounting to €637,962 thousand (previous year: €587,203 thousand).

23 Personnel expenses

Within the Krones Group, 20,278 people (previous year: 19,002) including trainees (644; previous year: 595) were employed on average over the year. The workforce of the Krones Group is composed as follows (average for the year):

	2025	2024
White-collar employees exempt from collective agreements	3,092	2,920
Employees covered by collective agreements	16,542	15,487
Total	**20,278**	**19,002**

24 Other operating expenses

The other operating expenses include €393 thousand in prior-period losses from disposals of non-current assets (previous year: €200 thousand), additions to loss allowances on receivables and contract assets (€12,060 thousand; previous year: €16,571 thousand), other taxes (€12,812 thousand; previous year: €8,374 thousand) and – as the main items – freight costs (€167,470 thousand; previous year: €151,440 thousand), travel costs (€173,573 thousand; previous year: €153,116 thousand), currency translation losses (€92,979 thousand; previous year: €132,108 thousand), rent and cleaning costs (€22,567 thousand; previous year: €18,721 thousand), and maintenance costs (€62,286 thousand; previous year: €55,566 thousand).

25 Financial income/expense

The financial income of €7,081 thousand (previous year: €13,002 thousand) breaks down as follows:

€ thousand	2025	2024
Income from other securities and long-term loans	0	0
Interest and similar income	13,559	22,430
Interest and similar expenses	–10,477	–14,739
Interest income/expense	3,081	7,691
Investment income	3,231	4,797
Profit or loss shares attributable to associates that are accounted for using the equity method	768	514
Net financial income/expense	**7,081**	13,002

Financial income/expense includes interest and similar income of €13,559 thousand (previous year: €22,430 thousand) and interest and similar expenses of €10,477 thousand (previous year: €14,739 thousand). Also included for the reporting period is income from investments in non-consolidated entities in the amount of €3,231 thousand (previous year: €4,797 thousand). The interest and similar income includes €2,188 thousand (previous year: €10,975 thousand) for reductions in put options and earn-out obligations. Interest and similar expenses include €3,992 thousand (previous year: €3,162 thousand) for interest on lease liabilities and €2,349 thousand (previous year: €4,318 thousand) for an increase in earn-out obligations and obligation relating to put options. Further information on investments accounted for using the equity method is provided in Note 4 (*page 262*).

26 Income tax

Income tax amounted to –€124,968 thousand in 2025 (previous year: –€104,411 thousand). *Further information is presented under Note 8, "Income tax" (pages 264 to 266).*

27 Earnings per share

Under IAS 33 "Earnings per share", basic earnings per share are calculated by dividing consolidated net income – less profit or loss shares of non-controlling interests – by the weighted average number of ordinary shares in circulation, as follows:

	2025	2024
Consolidated net income less profit or loss shares of non-controlling interests (€ thousand)	298,687	276,919
Weighted average number of ordinary shares in circulation (shares)	31,593,072	31,593,072
Earnings per share (€)	**9.45**	8.77

As in the previous year, diluted earnings per share are equal to basic earnings per share.

Other disclosures

Audit and consulting fees

The total fee invoiced for the financial year by the auditor of the financial statements was as follows:

€ thousand	2025	2024
Audit services	1,875	1,677
Other assurance services	307	325
Tax advisory services	0	0
Other advisory services	0	0
Total	**2,182**	2,002

Disclosures in accordance with the EU Audit Regulation

Other assurance services mainly comprise the voluntary limited assurance review of the consolidated sustainability reporting of Krones AG and statutory assurance services in relation to the remuneration report.

Events after the reporting period

On 28 February 2026, a military conflict with Iran was triggered with Operation “Epic Fury”. Due to the complex geopolitical situation, parts of the surrounding Middle East region are also affected. It is impossible to predict the impact that the conflict will have on the regional and global economic situation. Krones is also unable to assess this and it is not possible to determine any financial impact at the time of preparing this annual report.

Related party disclosures

Within the meaning of IAS 24 Related Party Disclosures, the members of the Supervisory Board and of the Executive Board of Krones AG and the companies of the Krones Group, including unconsolidated subsidiaries, are deemed related parties.

The ultimate controlling party of Krones AG is Familie Kronseder Konsortium GbR. Transactions with the related parties and with the ultimate controlling party are conducted at arm’s length.

Sales and revenues with members of key management personnel and companies affiliated with them amounted to €30,825 thousand in 2025 (previous year: €19,635 thousand). The amount of the outstanding balance is €3,238 thousand (previous year: €6,853 thousand). Services received from members of key management personnel amounted to €478 thousand in 2025 (previous year: €376 thousand). As in the previous year, there are no outstanding balances in this regard.

Revenues with shareholders of the ultimate controlling party of Krones AG and companies affiliated with them amounted to €139 thousand in 2025 (previous year: €139 thousand). Services received from shareholders of the ultimate controlling party of Krones AG and companies affiliated with them amounted to €1,329 thousand in 2025 (previous year: €1,281 thousand). As in the previous year, there are no outstanding balances in this regard.

Sales to subsidiaries that are not consolidated amounted to €2,894 thousand in 2025 (previous year: €9,437 thousand). Commissions received from such subsidiaries amounted to €2,374 thousand in 2025 (previous year: €5,265 thousand). Trade and other payment transactions resulted in assets of €895 thousand (previous year: liabilities of €1,021 thousand). Repayment is normally within twelve months. Loss allowances were recognised in 2025 on receivables in the amount of €0 thousand (previous year: €0 thousand). As of 31 December 2025, there are loss allowances on receivables in the amount of €514 thousand (previous year: €512 thousand). Income from investments in non-consolidated entities is included in the amount of €3,230 thousand (previous year: €4,797 thousand).

As in the previous year, there are no contingent liabilities relating to guarantees. Trade and other payment transactions with associates totalled €– thousand in 2025 (previous year: €– thousand). As in the previous year, this did not result in any outstanding balance.

Disclosures pursuant to Section 314 (1) No. 6 HGB relating to members of the Executive Board and former members of the Executive Board

Executive Board remuneration granted and owed for the 2025 financial year amounted to €6,288 thousand (previous year: €6,272 thousand).

Total remuneration granted to former members of the Executive Board and their surviving dependants amounted to €1,579 thousand (previous year: €1,532 thousand). IFRS pension provisions have been recognised in the amount of €3,666 thousand (previous year: €5,409 thousand).

Remuneration recognised as expense within the meaning of IAS 24 for members of the Executive Board

Executive Board remuneration recognised as expense, including expenses for the long-term incentive provision, amounted to €8,518 thousand for the 2025 financial year (previous year: €9,166 thousand).

This includes short-term benefits in the amount of €6,210 thousand (previous year: €6,224 thousand) and other long-term benefits in the amount of €969 thousand (previous year: €1,674 thousand). The benefits mainly comprise fixed remuneration, fringe benefits and variable remuneration components. In addition, €1,340 thousand (previous year: €1,268 thousand) was paid into the contribution-based post-employment benefits plan in 2025. Provisions of €3,726 thousand (previous year: €5,260 thousand) are recognised for the remuneration entitlements of members of the Executive Board. In the previous year, there was a provision of €191 thousand for former members of the Executive Board for the LTI tranches attributable to Mr. Broger's active period of service. The corresponding pro-rata-temporis payment was made, in application of the regular process, at the end of the respective LTI term (the last tranche affected being LTI 2022–2024, which was paid out in 2025).

IFRS pension provisions of €361 thousand (previous year: €105 thousand), in the amount of the plan asset surplus, were recognised for active members of the Executive Board. At the end of the financial year, following changes in the actuarial discount rate, the corresponding defined benefit obligation (DBO) amounted in total to €3,147 thousand (previous year: €3,515 thousand).

Supervisory Board remuneration

The total remuneration paid to members of the Supervisory Board for the 2025 financial year amounted to €848 thousand (previous year: €850 thousand).

Corporate governance

Shareholders can view the declaration of the Executive Board and the Supervisory Board from January 2026 pursuant to Section 161 of the German Stock Corporation Act [AktG] concerning the Corporate Governance Code as amended on 28 April 2022 at Krones AG's website. The exceptions are also listed there.

Risk report

The risk report is part of the management report and is on pages 194 to 206.

Standards and interpretations

The accounting policies used in these consolidated financial statements are the standards and interpretations whose application is mandatory as of 31 December 2025. The following new or amended standards and interpretations applied for the 2025 financial year.

Standard or interpretation		EU endorsement	Application mandatory for annual periods beginning
IAS 21	Amendments: Lack of Exchangeability	open	1 Jan 2025

Various new or amended standards in the above table entered into force in the reporting period. These new or amended standards have no material relevance for Krones AG.

The following standards and interpretations have been issued by the IASB but their application is not mandatory until after 31 December 2025.

Standard or interpretation		EU endorsement	Application mandatory for annual periods beginning
IFRS 9	Amendments: Classification and Measurement of Financial Instruments	completed	1 Jan 2026
IFRS 9	Amendments: Contracts Referencing Nature-dependent Electricity	completed	1 Jan 2026
IFRS 7	Amendments: Contracts Referencing Nature-dependent Electricity	completed	1 Jan 2026
IFRS 7	Amendments: Classification and Measurement of Financial Instruments	completed	1 Jan 2026
	Annual improvements to IFRS – Volume 11	open	1 Jan 2026
IFRS 18	Presentation and Disclosure in Financial Statements	completed	1 Jan 2027
IFRS 19	Subsidiaries without Public Accountability: Disclosures	open	1 Jan 2027
IFRS 19	Subsidiaries without Public Accountability: Disclosures	open	1 Jan 2027

IFRS 18 replaces the previous standard IAS 1 Presentation of Financial Statements. As the qualitative analysis has not yet been completed, it is not yet possible for Krones to make a quantitative statement about the potential impact on the consolidated financial statements.

The remaining standards and interpretations are not expected to have a material impact on the consolidated financial statements of Krones AG in the reporting period to which they are applied for the first time.

Shareholdings

Name and location of the company	Share in Capital held by Krones AG (%*)
Ampco Pumps GmbH, Herxheim, Germany	90.00
ecomac Gebrauchtmaschinen GmbH, Neutraubling, Germany	100.00
Evoguard GmbH, Nittenau	100.00
Gernep GmbH Etikettiertechnik, Barbing, Germany	100.00
GHS Separationstechnik GmbH, Landshut, Germany	60.00
HST Maschinenbau GmbH, Dassow, Germany	100.00
KIC Krones Internationale Cooperations-Gesellschaft mbH, Neutraubling, Germany	100.00
Krones Holding International GmbH, Neutraubling, Germany (formerly Dekron GmbH, Kelkheim, Germany)	100.00
Krones Recycling GmbH, Flensburg, Germany	100.00
Krones Service Europe GmbH, Neutraubling, Germany	100.00
MHT Mold & Hotrunner Technology AG, Hochheim am Main, Germany	100.00
Milkron GmbH, Laatzen, Germany	100.00
Schupan Industrieservice GmbH, Rieneck, Germany	100.00
Netstal Deutschland GmbH, Stuttgart, Germany	100.00
Steinecker GmbH, Freising, Germany	100.00
Syskron GmbH, Wackersdorf, Germany	100.00
System Logistics GmbH, Wackersdorf, Germany	100.00
Kosme FBA SA, Charleroi, Belgium	100.00
Netstal Benelux BV, Kruibeke, Belgium	100.00
S.A. Krones N.V., Louvain-la-Neuve, Belgium	100.00
Krones Service Europe Eood, Sofia, Bulgaria	100.00
Krones Nordic APS, Holte, Denmark	100.00
Kosme FBA SAS, Lyon, France	100.00
Krones S.A.R.L., Viviers-du-Lac, France	100.00
Netstal France SAS, Oyonnax, France	100.00
Krones UK Ltd., Bolton, United Kingdom	100.00
Netstal UK Ltd., Telford, United Kingdom	100.00
SYSTEM LTD., London, United Kingdom	80.00

*Direct and indirect shareholdings

Name and location of the company	Share in Capital held by Krones AG (%*)
Kosme S.R.L., Roverbella (MN), Italy	100.00
Krones Italia S.R.L., Garda (VR), Italy	100.00
Netstal Italia S.R.L., Gerenzano, Italy	100.00
System Logistics S.P.A., Fiorano Modenese (MD), Italy	80.00
Krones Kazakhstan TOO, Almaty, Kazakhstan	100.00
Can Systems Worldwide Holding B.V., Deventer, Netherlands	100.00
C.S.W. Machinery B.V., Deventer, Netherlands	100.00
Krones Nederland B.V., Bodegraven, Netherlands	100.00
Krones Processing Netherlands B.V., Hattem, Netherlands	100.00
Kosme Gesellschaft mbH, Sollenau, Austria	100.00
Krones Spólka z.o.o., Warsaw, Poland	100.00
Perfinox Indústria Metalúrgica, S.A., Vale de Cambra, Portugal	45.00
Krones Romania Prod. S.R.L., Bucharest, Romania	100.00
Krones Service Europe SRL, Bucharest, Romania	100.00
Krones o.o.o., Moscow, Russian Federation	100.00
System Northern Europe AB, Malmö, Sweden	80.00
Integrated Plastics Systems AG, Baar, Switzerland	100.00
Krones AG, Buttwil, Switzerland	100.00
Netstal Maschinen AG, Näfels, Switzerland	100.00
Krones Iberica, S.A.U., Barcelona, Spain	100.00
Netstal Ibérica, S.A., Barcelona, Spain	100.00
System Logistics Spain SL, Castellon, Spain	80.00
Konplan s.r.o., Plzeň, Czech Republic	100.00
Krones s.r.o., Prague, Czech Republic	100.00
Krones Makina Sanayi Ve Ticaret Ltd. Şirketi, Istanbul, Turkey	100.00
Krones Ukraine LLC, Kyiv, Ukraine	100.00
Krones Hungary KFT., Debrecen, Hungary	100.00
Krones Angola – Representacoes, Comercio E Industria, LDA., Luanda, Angola	100.00
Krones Surlatina S.A., Buenos Aires, Argentina	100.00

*Direct and indirect shareholdings

Name and location of the company	Share in Capital held by Krones AG (%*)
Krones Pacific Pty Limited, Sydney, Australia	100.00
Krones Bangladesh Limited, Dhaka, Bangladesh	100.00
Krones Do Brazil Ltda., São Paulo, Brazil	100.00
Krones S.A., São Paulo, Brazil	100.00
Netstal do Brasil Ltda., Cotia, Brazil	100.00
Krones Chile Spa., Santiago de Chile, Chile	100.00
Krones Machinery (Taicang) Co. Ltd., Taicang, People's Republic of China	100.00
Krones Processing (Shanghai) Co. Ltd., Shanghai, People's Republic of China	100.00
Krones Sales (Beijing) Co. Ltd., Beijing, People's Republic of China	100.00
Netstal Shanghai Machinery LLC, Shanghai, People's Republic of China	100.00
Nanjing System Logistics Equipment Co., Ltd., Nanjing, People's Republic of China	80.00
Automata S.A., Guatemala City, Guatemala	100.00
Krones Digital Solutions India Private Limited, Bangalore, India	100.00
Krones India PVT. Ltd., Bangalore, India	100.00
Krones Machinery India Private Limited, Bangalore, India	100.00
System Logistics India Private Limited, Mumbai, India	80.00
Krones Processing India Private Limited, Secunderabad, India	100.00
Pt. Krones Machinery Indonesia, Jakarta, Indonesia	100.00
Systorelog Israel Ltd., Tel Aviv, Israel	80.00
Krones Japan Co. Ltd., Tokio, Japan	100.00
Krones (Cambodia) Co. Ltd., Phnom Penh, Cambodia	100.00
System Logistics Canada Corp., Calgary, Alberta, Canada	100.00
Krones Machinery Co. Ltd., Mississauga, Ontario, Canada	100.00
Krones LCS Center East Africa Limited, Nairobi, Kenya	100.00
Krones Andina S.A.S., Bogotá, Colombia	100.00
Krones Korea Ltd., Seoul, Korea	100.00
Krones Machinery Malaysia Sdn. Bhd., Kuala Lumpur, Malaysia	100.00
Krones North West Africa (SARL), Casablanca, Morocco	100.00
Krones Mex S.A. DE C.V., Mexico City, Mexico	100.00

*Direct and indirect shareholdings

Name and location of the company	Share in Capital held by Krones AG (%*)
Netstal Máquinas, S. DE R.L. DE C.V., Santiago de Querétaro, Mexico	100.00
Systemlog De Mexico S.A. DE C.V., Santa Caterina, Nuevo Leon, Mexico	80.00
Krones Myanmar Ltd., Sanchaung Township, Republic of the Union of Myanmar	100.00
Krones New Zealand Limited, Auckland, New Zealand	100.00
Krones LCS Center West Africa Limited, Lagos, Nigeria	100.00
Krones Pakistan (Private) Limited, Lahore, Pakistan	100.00
Krones Filipinas Inc., Taguig City, Philippines	100.00
Krones-Izumi Processing Pte Ltd., Singapore, Republic of Singapore	73.00
Netstal Singapore Pte., Ltd., Singapore, Republic of Singapore	100.00
Krones Middle East Maintenance llc, Riyadh, Saudi Arabia	100.00
Krones Southern Africa (Prop.) Ltd., Johannesburg, South Africa	100.00
Krones (Thailand) Co. Ltd., Bangkok, Thailand	100.00
Netstal (Thailand) Co., Ltd., Bangkok, Thailand	100.00
System Logistics Asia Co. Ltd., Bangkok, Thailand	80.00
Ampco Pumps Company LLC, Glendale, Wisconsin, USA	90.00
Ampco Pumps Real Estate LLC, Glendale, Wisconsin, USA	90.00
Javlyn Process Systems LLC, Rochester, New York, USA	100.00
Krones Inc., Franklin, Wisconsin, USA	100.00
Krones Process Group North America LLC, Franklin, Wisconsin, USA	100.00
MHT USA LLC, Peachtree City, Georgia, USA	100.00
NETSTAL, INC., HEBRON, KENTUCKY, USA	100.00
Process and Data Automation LLC, Erie, Pennsylvania, USA	100.00
R+D Custom Automation LLC, Trevor, Wisconsin, USA	80.50
System Logistics Corporation, Arden, North Carolina, USA	80.00
Maquinarias Krones De Venezuela S.A., Caracas, Venezuela	100.00
Integrated Packaging Systems (IPS) FZCO, Dubai, United Arab Emirates	100.00
Krones Meatech FZCO, Dubai, United Arab Emirates (UAE)	100.00
Krones Middle East Africa Fzco, Dubai, United Arab Emirates	100.00
Krones Vietnam Co. Ltd., Ho Chi Minh City, Vietnam	100.00

Krones AG, Neutraubling, the parent company, is registered in Commercial Register B of Regensburg Local Court under HRB 2344.

Use of exemptions

The following fully consolidated German group companies made use of the exemptions in Section 264 (3) HGB in the 2025 financial year.

Name and location of the company
Krones Holding International GmbH, Neutraubling, Germany
Evoguard GmbH, Nittenau
Gernep GmbH Etikettiertechnik, Barbing, Germany
HST Maschinenbau GmbH, Dassow, Germany
KIC Krones Internationale Cooperations-Gesellschaft mbH, Neutraubling, Germany
Krones Service Europe GmbH, Neutraubling, Germany
MHT Mold & Hotrunner Technology AG, Hochheim am Main, Germany
Milkron GmbH, Laatzen, Germany
Syskron GmbH, Wackersdorf, Germany
System Logistics GmbH, Wackersdorf, Germany
Steinecker GmbH, Freising, Germany
Krones Recycling GmbH, Flensburg, Germany
Schupan Industrieservice GmbH, Rieneck, Germany

Members of the **Supervisory Board** and the **Executive Board**

Pursuant to Section 8 (1) of the articles of association, eight members of the Supervisory Board are elected by the shareholders in accordance with the German Stock Corporation Act (Sections 96 (1) and 101). Eight members are elected by the employees pursuant to Section 1 (1) and Section 7 (1) Sentence 1 Number 1 of the Codetermination Act.

Supervisory Board

Volker Kronseder
Chairman of the Supervisory Board
* University Hospital Regensburg
* Economic Advisory Board, Bayerische Landesbank

Josef Weitzer**
Deputy Chairman of the Supervisory Board
Chairman of Group Works Council
Chairman of the Central Works Council
Chairman of the Works Council Neutraubling

Norbert Broger
Diplom-Kaufmann

Nora Diepold
Chief Executive Officer of NK Immobilienverwaltungs GmbH, Regensburg

Robert Friedmann
Chairman of the central managing board of the Würth Group
* ZF Friedrichshafen AG

Oliver Grober**
Chairman of the Works Council, Rosenheim

Thomas Hiltl**
Chairman of the Works Council, Nittenau

Markus Hüttner**
Deputy Chairman of the Group Works Council
Deputy Chairman of the Central Works Council
Deputy Chairman of the Works Council Neutraubling

Professor Dr. jur. Susanne Nonnast
Professor at Ostbayerische Technische Hochschule (OTH) Regensburg

Dr. Verena Di Pasquale**
Head of Department, DGB Bayern (the German Trade Union Confederation in Bavaria)

Beate Eva Maria Pöpperl**
Works Council representative (released from all other responsibilities)

Stefan Raith**
Head of Business Line, Line Solutions
*re-sult AG

Olga Redda**
Second authorised representative and managing director, IG Metall Regensburg
* OSRAM Licht AG
* OSRAM GmbH
* ams OSRAM International GmbH
* Maschinenfabrik Reinhausen GmbH

Petra Schadeberg-Herrmann
Managing partner
Krombacher Brauerei Bernhard Schadeberg GmbH & Co. KG,
Krombacher Finance GmbH,
Schawei GmbH,
Diversum Holding GmbH & Co. KG

Stephan Seifert
Chairman of the Executive Board of Körber AG, Hamburg
* Board of trustees of the Körber Foundation

Matthias Winkler
Partner at Baker Tilly Germany
* SPIN AG

Executive Board

Christoph Klenk
CEO
* Mahr GmbH
* Phoenix Contact GmbH & Co. KG

Uta Anders
CFO
* Heidelberger Druckmaschinen AG

Thomas Ricker
CSO
* Döhler Group SE

Markus Tischer
International Operations and Services

Ralf Goldbrunner
Operations

* Other Supervisory Board seats held, pursuant to Section 125 (1) Sentence 5 of the German Stock Corporation Act ** Elected by the employees
In addition, each of the group companies is the responsibility of two members of the Executive Board.

Proposal for the appropriation of Krones AG's **earnings available for distribution**

Krones AG had earnings available for distribution of €470,075,771.89 at 31 December 2025.

We propose to the annual general meeting on 27 May 2025 that this amount be used as follows:

Proposal for the appropriation of earnings available for distribution	€470,075,771.89
Dividend of €2.80 per share (for 31,593,072 shares)	€88,460,601.60
Amount brought forward to new account	€381,615,170.29

Neutraubling, 11 March 2026
Krones AG

The Executive Board

Christoph Klenk
CEO

Uta Anders
CFO

Thomas Ricker
CSO

Markus Tischer

Ralf Goldbrunner

6 OTHER INFORMATION

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Responsibility statement

"To the best of our knowledge, and in accordance with the applicable reporting principles, the consolidated financial statements give a true and fair view of the assets, liabilities, financial position, and profit or loss of the group, and the consolidated management report includes a fair review of the development and performance of the business and the position of the group, together with a description of the principal opportunities and risks associated with the expected development of the group."

Neutraubling, 11 March 2026
Krones AG
The Executive Board



Christoph Klenk
CEO



Uta Anders
CFO



Thomas Ricker
CSO



Markus Tischer



Ralf Goldbrunner

Translation of the German independent auditor's report concerning the audit of the consolidated financial statements and group management report prepared in German

Independent auditor's report

To KRONES Aktiengesellschaft

Report on the audit of the consolidated financial statements and of the group management report

Opinions

We have audited the consolidated financial statements of KRONES Aktiengesellschaft, Neutraubling, and its subsidiaries (the Group), which comprise the consolidated statement of profit and loss and the consolidated statement of comprehensive income for the fiscal year from 1 January 2025 to 31 December 2025, the consolidated statement of financial position as of 31 December 2025, the consolidated statement of cash flows and the consolidated statement of changes in equity for the fiscal year from 1 January 2025 to 31 December 2025, and notes to the consolidated financial statements, including material accounting policy information. In addition, we have audited the group management report of KRONES Aktiengesellschaft, which was combined with the management report of the Company, for the fiscal year from 1 January 2025 to 31 December 2025. The Group declaration on corporate governance pursuant to § 315d HGB, which is published on the website specified in the Group management report and forms part of the Group management report, as well as the non-financial Group statement pursuant to § 315b HGB included in the section "Non-financial Statement" of the Group management report, which has been combined with the company's non-financial statement (combined non-financial statement), have not been subjected to a substantive audit by us in accordance with German legal requirements. Furthermore, we have not audited the content of the following sections of the group management report, which relate to disclosures extraneously to management reports.

- Section "Fundamental Information," subsection "Krones' Strategy" excerpts under the heading "Krones sets net zero emissions target by 2040," in particular Scope 1, Scope 2 and Scope 3 developments. These figures are subject to a limited assurance engagement in connection with the combined non-financial statement.
- Section "Fundamental Information," subsection "Krones' Strategy" table "Group strategic targets at a glance," rows on reduction of Scope 1, Scope 2 and Scope 3 emissions and increase in the share of women in management positions. These figures are subject to a limited assurance engagement in connection with the combined non-financial statement.
- Section "Fundamental Information," subsection "Research and development (R&D)" excerpts of several innovations of the financial year 2025 under the heading "Innovative new and improved solutions – the products of successful R&D."
- Section "Risk and opportunity report," subsection "Appropriateness of the internal control and risk management system," statement by the Executive Board on the appropriateness and effectiveness of the entire internal control and risk management system based on Recommendation A.5 of the German Corporate Governance Code.

Moreover, all pictures in the group management report are extraneous disclosures that we have not audited.

Disclosures extraneous to management reports are such disclosures that are not required pursuant to Secs. 315, 315a HGB ["Handelsgesetzbuch": German Commercial Code] or Secs. 315b to 315d HGB, nor mandated by DRS 20.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with the IFRS Accounting Standards as issued by the International Accounting Standards Board (IASB) (IFRS Accounting Standards) and adopted by the EU, and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB and, in compliance with these requirements, give a true and fair view of the assets, liabilities and financial position of the Group as at 31 December 2025 and of its financial performance for the fiscal year from 1 January to 31 December 2025, and
- the accompanying group management report as a whole provides an appropriate view of the Group's position. In all material respects, this group management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development. We do not express an opinion on the above-mentioned group declaration on corporate governance, on the above-mentioned combined non-financial statement, or on the information in the above-mentioned sections of the disclosures extraneous to Group management report.

Pursuant to Sec. 322 (3) Sentence 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the group management report.

Basis for the opinions

We conducted our audit of the consolidated financial statements and of the group management report in accordance with Sec. 317 HGB and the EU Audit Regulation (No. 537/2014, referred to subsequently as "EU Audit Regulation") and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's responsibilities for the audit of the consolidated financial statements and of the group management report" section of our auditor's report. We are independent of the group entities in accordance with the requirements of European law, German commercial and professional law and with the International Code of Ethics for Professional Accountants (including the International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code), as applicable to audits of public interest entities. We have fulfilled our other German professional responsibilities in accordance with these requirements and those of the IESBA code. In addition, in accordance with Art. 10 (2) f) of the EU Audit Regulation, we declare that we have not provided non-audit services prohibited under Art. 5 (1) of the EU Audit Regulation. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinions on the consolidated financial statements and on the group management report.

Key audit matters in the audit of the consolidated financial statements

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the fiscal year from 1 January 2025 to 31 December 2025. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon; we do not provide a separate opinion on these matters.

Below, we describe what we consider to be the key audit matters:

1. Revenue recognition for customer-specific construction contracts

Reasons why the matter was determined to be a key audit matter

The major part of group revenue is generated from customer projects involving machinery and lines for product filling and beverage production. The performance comprising the design and manufacture together with the installation and commissioning on site is considered a single performance obligation. As contracts for these machines and lines are customer-specific, the Group's performance creates an asset that does not have an alternative use to the Group. The group has a legal right to payment for the performance completed to date, including an appropriate margin. In accordance with IFRS 15, revenue is therefore recognized over time on the basis of the percentage of completion method. The percentage of completion is calculated on the basis of the costs incurred as of the reporting date in relation to the expected total costs of the respective project. There is a particular risk of error when estimating total costs and the percentage of completion (including the potential risk of management override of controls). The significance of revenue for the consolidated financial statements, the judgment involved in estimating total costs and the fact that revenue is one of the key financial performance indicators for the Group in terms of corporate management and forecasts meant that the recognition of revenue for customer-specific construction contracts on an accrual basis as of the reporting date was a key audit matter.

Auditor's response

As part of the audit, we obtained an understanding of the Group's internally established methods, processes and controls for accounting for customer specific construction contracts. We also assessed the design and operating effectiveness of the audit-relevant internal controls over accounting implemented by the executive directors for recording costs incurred and estimating total contract costs and contract values during the reporting period. In this context, we tested both transaction-level controls and higher-level controls, such as regular review meetings. With regard to transaction-level controls, we assessed, among other things, the design and operating effectiveness of automated application controls.

Applying substantive audit procedures, we obtained an overview of the content of the contracts and the status of the respective fulfillment of contracts and analyzed the actual costs incurred and the total costs over the period of the projects' progress. In doing so, we mainly selected projects subject to significant future uncertainties and risks due to their size and complexity. We also audited the mathematical accuracy of the Executive Board's analysis of the variances between planned and actual total project costs over time and obtained and assessed explanations for variances on a sample basis. Furthermore, we compared the transaction prices used with their applicable contractual bases on a sample basis.

Our audit procedures did not lead to any reservations relating to the recognition of revenue for customer-specific construction contracts on an accrual basis.

Reference to related disclosures

The disclosures on revenue recognition are included in the notes to the consolidated financial statements in the chapter "General Disclosures," section "Revenue," as well as in the chapter "Notes to the Consolidated Statement of Profit or Loss," note 19 "Revenue."

2. Impairment testing of goodwill

Reasons why the matter was determined to be a key audit matter

The executive directors perform an impairment test to test impairment of goodwill at least once each year. A complex calculation model is used for the test, which particularly involves a number of assumptions subject to judgment and values derived therefrom. These include the expected development of business and earnings, the assumed long-term growth rates and the discount rates applied.

Against the background of the underlying complexity of the impairment tests as well as the judgment exercised during valuation and the associated high risk of accounting misstatement, impairment testing of goodwill, which is a significant item of the statement of financial position in the consolidated financial statements, was a key audit matter. In addition, goodwill is significant for the presentation of assets and liabilities due to its materiality.

Auditor's response

We examined the underlying processes to assess the recoverable amounts for goodwill determined by the executive directors. During the audit of the impairment testing of goodwill, we used a substantive audit approach.

We involved internal valuation specialists to assess the arithmetical accuracy and methodology of the discounted cash flow models used for the determination of recoverable amounts and checked whether they were determined considering the relevant financial reporting standard IAS 36. We assessed the determination of the weighted average cost of capital (WACC) by assessing the beta factor based on the composition of the peer companies and comparing the cost of equity and debt with available market data. In addition, we assessed whether the cash-generating units identified by the executive directors are appropriate and meet the criteria of IAS 36.

We also analyzed the corporate planning approved by the Supervisory Board and applied for impairment testing of goodwill by comparing the actual earnings recorded in the past with current developments in the business figures. For the underlying corporate planning, we also assessed the estimates and assumptions on growth and business development. Moreover, we carried out our own sensitivity analyses to assess the impairment risk in the event of changes in significant assumptions.

Our audit procedures did not lead to any reservations regarding the impairment of goodwill.

Reference to related disclosures

For more information on the impairment tests performed and underlying assumptions, please refer to the disclosures in chapter "General disclosures," section "Estimates and judgments," section "Goodwill" as well as chapter "Notes to the consolidated statement of financial position," note 1 "Intangible assets" of the notes to the consolidated financial statements.

Other information

The Supervisory Board is responsible for the Report of the Supervisory Board. The executive directors and the Supervisory Board are responsible for the declaration pursuant to Sec. 161 AktG ["Aktiengesetz": German Stock Corporation Act] on the German Corporate Governance Code, which is part of the group declaration on corporate governance. In all other respects, the executive directors are responsible for the other information.

The other information comprises the above-mentioned group declaration on corporate governance, the above-mentioned combined non-financial statement, as well as the above-mentioned extraneous disclosures in the group management report. In addition, the other information includes further components intended for the annual report, for which we obtained a version prior to the issuance of this auditor's report, in particular

- Section "2025 highlights"
- Chapter 1 "To our shareholders"
- Chapter 3 "Corporate Governance Statement"
- Chapter 6 "Other information"

but not the consolidated financial statements, not the disclosures in the group management report included in the audit of content and not our auditor's report thereon.

Our opinions on the consolidated financial statements and on the group management report do not cover the other information, and consequently we do not express an opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information and, in so doing, to consider whether the other information

- is materially inconsistent with the consolidated financial statements, with the group
- management report or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the executive directors and the Supervisory Board for the consolidated financial statements and the group management report

The executive directors are responsible for the preparation of the consolidated financial statements that comply, in all material respects, with the IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB, and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud (i.e., fraudulent financial reporting and misappropriation of assets) or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

Furthermore, the executive directors are responsible for the preparation of the group management report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a group management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the group management report.

The Supervisory Board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the group management report.

Auditor's responsibilities for the audit of the consolidated financial statements and of the group management report

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the group management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our opinions on the consolidated financial statements and on the group management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Sec. 317 HGB and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will

always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this group management report.

We exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the group management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinions. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting a material misstatement resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures relevant to the audit of the group management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control and of such arrangements and measures.
- Evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.
- Conclude on the appropriateness of the executive directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the consolidated financial statements and in the group management report or, if such disclosures are inadequate, to modify our respective opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with the IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB.
- Plan and perform the audit of the consolidated financial statements to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the consolidated financial statements and on the group management report. We are responsible for the direction, supervision and review of the work performed for the group audit. We remain solely responsible for our audit opinions.

- Evaluate the consistency of the group management report with the consolidated financial statements, its conformity with [German] law, and the view of the Group's position it provides.
- Perform audit procedures on the prospective information presented by the executive directors in the group management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence and where applicable, the related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

Other legal and regulatory requirements

Report on the assurance on the electronic rendering of the consolidated financial statements and the group management report prepared for publication purposes in accordance with Sec. 317 (3a) HGB

Opinion

We have performed assurance work in accordance with Sec. 317 (3a) HGB to obtain reasonable assurance about whether the rendering of the consolidated financial statements and the group management report (hereinafter the "ESEF documents") contained in the file "Krones_AG_KA+KLB_ESEF-2025-12-31.xbri" and prepared for publication purposes complies in all material respects with the requirements of Sec. 328 (1) HGB for the electronic reporting format ("ESEF format"). In accordance with German legal requirements, this assurance work extends only to the conversion of the information contained in the consolidated financial statements and the group management report into the ESEF format and therefore relates neither to the information contained within these renderings nor to any other information contained in the file identified above.

In our opinion, the rendering of the consolidated financial statements and the group management report contained in the file identified above and prepared for publication purposes complies in all material respects with the requirements of Sec. 328 (1) HGB for the electronic reporting format. Beyond this assurance opinion and our audit opinions on the accompanying consolidated financial statements and the accompanying group management report for the fiscal year from 1 January 2025 to 31 December 2025 contained in the "Report on the audit of the consolidated financial statements and of the group management report" above, we do not express any assurance opinion on the information contained within these renderings or on the other information contained in the file identified above.

Basis for the opinion

We conducted our assurance work on the rendering of the consolidated financial statements and the group management report contained in the file identified above in accordance with Sec. 317 (3a) HGB and the IDW Assurance Standard: Assurance on the Electronic Rendering of Financial Statements and Management Reports Prepared for Publication Purposes in Accordance with Sec. 317 (3a) HGB (IDW AsS 410 (06.2022)). Our responsibility in accordance therewith is further described in the "Group auditor's responsibilities for the assurance work on the ESEF documents" section. Our audit firm applies the IDW Standard on Quality Management 1: Requirements for Quality Management in the Audit Firm (IDW QMS 1 (09.2022)).

Responsibilities of the executive directors and the Supervisory Board for the ESEF documents

The executive directors of the Company are responsible for the preparation of the ESEF documents including the electronic rendering of the consolidated financial statements and the group management report in accordance with Sec. 328 (1) Sentence 4 No. 1 HGB and for the tagging of the consolidated financial statements in accordance with Sec. 328 (1) Sentence 4 No. 2 HGB.

In addition, the executive directors of the Company are responsible for such internal control as they have determined necessary to enable the preparation of ESEF documents that are free from material intentional or unintentional non-compliance with the requirements of Sec. 328 (1) HGB for the electronic reporting format.

The Supervisory Board is responsible for overseeing the process for preparing the ESEF documents as part of the financial reporting process.

Group auditor's responsibilities for the assurance work on the ESEF documents

Our objective is to obtain reasonable assurance about whether the ESEF documents are free from material intentional or unintentional non-compliance with the requirements of Sec. 328 (1) HGB. We exercise professional judgment and maintain professional skepticism throughout the assurance work. We also:

- Identify and assess the risks of material intentional or unintentional non-compliance with the requirements of Sec. 328 (1) HGB, design and perform assurance procedures responsive to those risks, and obtain assurance evidence that is sufficient and appropriate to provide a basis for our assurance opinion.
- Obtain an understanding of internal control relevant to the assurance on the ESEF documents in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an assurance opinion on the effectiveness of these controls.
- Evaluate the technical validity of the ESEF documents, i.e., whether the file containing the ESEF documents meets the requirements of Commission Delegated Regulation (EU) 2019/815, in the version in force at the date of the financial statements, on the technical specification for this file.

- Evaluate whether the ESEF documents enable an XHTML rendering with content equivalent to the audited consolidated financial statements and to the audited group management report.
- Evaluate whether the tagging of the ESEF documents with Inline XBRL technology (iXBRL) in accordance with the requirements of Arts. 4 and 6 of Commission Delegated Regulation (EU) 2019/815, in the version in force at the date of the financial statements, enables an appropriate and complete machine-readable XBRL copy of the XHTML rendering.

Further information pursuant to Art. 10 of the EU Audit Regulation

We were elected as group auditor by the annual general meeting on 27 May 2025. We were engaged by the Supervisory Board on 22 September 2025. We have been the group auditor of KRONES Aktiengesellschaft without interruption since fiscal year 2019.

We declare that the opinions expressed in this auditor's report are consistent with the additional report to the Audit Committee pursuant to Art. 11 of the EU Audit Regulation (long-form audit report).

Other matter – use of the auditor's report

Our auditor's report must always be read together with the audited consolidated financial statements and the audited group management report as well as the assured ESEF documents. The consolidated financial statements and the group management report converted to the ESEF format – including the versions to be published in the *Unternehmensregister* [German Company Register] – are merely electronic renderings of the audited consolidated financial statements and the audited group management report and do not take their place. In particular, the ESEF report and our assurance opinion contained therein are to be used solely together with the assured ESEF documents made available in electronic form.

German Public Auditor responsible for the engagement

The German Public Auditor responsible for the engagement is Julia Meindl.

Munich, 11 March 2026

EY GmbH & Co. KG
Wirtschaftsprüfungsgesellschaft

Meindl
(German Public Auditor)

Ritzinger
(German Public Auditor)

Assurance report of the independent German public auditor on a limited assurance engagement in relation to the group sustainability statement

To Krones AG, Neutraubling

Assurance conclusion

We have conducted a limited assurance engagement on the group sustainability statement, included in section "Non-financial statement 2025" of the group management report, of Krones AG for the fiscal year from 1 January 2025 to 31 December 2025. The group sustainability statement was prepared to fulfill the requirements of Directive (EU) 2022/2464 of the European Parliament and of the Council of 14 December 2022 (Corporate Sustainability Reporting Directive, CSRD) and Art. 8 of Regulation (EU) 2020/852 as well as Secs. 289b to 289e and Secs. 315b and 315c HGB ["Handelsgesetzbuch": German Commercial Code] for a group non-financial statement which is combined with the parent company's non-financial statement.

Based on the procedures performed and the evidence obtained, nothing has come to our attention that causes us to believe that the accompanying group sustainability statement is not prepared, in all material respects, in accordance with the requirements of the CSRD and Art. 8 of Regulation (EU) 2020/852 as well as Secs. 289b to 289e and Secs. 315b and 315c HGB for a group non-financial statement which is combined with the parent company's non-financial statement and the supplementary criteria presented by the executive directors of the Company. This assurance conclusion includes that nothing has come to our attention that causes us to believe that:

- The accompanying group sustainability statement does not comply, in all material respects, with the European Sustainability Reporting Standards (ESRS), including that the process carried out by the Company to identify information to be included in the group sustainability statement (the materiality assessment) is not, in all material respects, in accordance with the description set out in section "Non-financial statement 2025" of the group sustainability statement, or
- The disclosures in the group sustainability statement do not comply, in all material respects, with Art. 8 of Regulation (EU) 2020/852.

Basis for the assurance conclusion

We conducted our assurance engagement in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised): Assurance Engagements Other Than Audits or Reviews of Historical Financial Information issued by the International Auditing and Assurance Standards Board (IAASB).

The procedures in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Our responsibilities under ISAE 3000 (Revised) are further described in the section "German public auditor's responsibilities for the assurance engagement on the group sustainability statement."

We are independent of the Company in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. Our audit firm has applied the requirements for a system of quality control as set forth in the IDW Quality Management Standard issued by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW): Requirements for Quality Management in the Audit Firm (IDW QMS 1 (09.2022)). We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our assurance conclusion.

Responsibilities of the executive directors and the supervisory board for the group sustainability statement

The executive directors are responsible for the preparation of the group sustainability statement in accordance with the requirements of the CSRD and the applicable German legal and other European requirements as well as with the supplementary criteria presented by the executive directors of the Company and for designing, implementing and maintaining such internal control that they have considered necessary to enable the preparation of a group sustainability statement in accordance with these requirements that is free from material misstatement, whether due to fraud (i.e., fraudulent sustainability reporting in the group sustainability statement) or error.

This responsibility of the executive directors includes establishing and maintaining the materiality assessment process, selecting and applying appropriate reporting policies for preparing the group sustainability statement, as well as making assumptions and estimates and ascertaining forward-looking information for individual sustainability-related disclosures.

The supervisory board is responsible for overseeing the process for the preparation of the group sustainability statement.

Inherent limitations in preparing the group sustainability statement

The CSRD and the applicable German legal and other European requirements contain wording and terms that are subject to considerable interpretation uncertainties and for which no authoritative, comprehensive interpretations have yet been published. As such wording and terms may be interpreted differently by regulators or courts, the legality of measurements or evaluations of sustainability matters based on these interpretations is uncertain.

These inherent limitations also affect the assurance engagement on the group sustainability statement.

German public auditor's responsibilities for the assurance engagement on the group sustainability statement

Our objective is to express a limited assurance conclusion, based on the assurance engagement we have conducted, on whether any matters have come to our attention that cause us to believe that the group sustainability statement has not been prepared, in all material respects, in accordance with the CSRD, the applicable German legal and other European requirements and the supplementary criteria presented by the Company's executive directors, and to issue an assurance report that includes our assurance conclusion on the group sustainability statement.

As part of a limited assurance engagement in accordance with ISAE 3000 (Revised), we exercise professional judgment and maintain professional skepticism. We also:

- Obtain an understanding of the process used to prepare the group sustainability statement, including the materiality assessment process carried out by the Company to identify the disclosures to be reported in the group sustainability statement.

- Identify disclosures where a material misstatement due to fraud or error is likely to arise, design and perform procedures to address these disclosures and obtain limited assurance to support the assurance conclusion. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting a material misstatement resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control. In addition, the risk of not detecting a material misstatement in information obtained from sources not within the Company's control (value chain information) is ordinarily higher than the risk of not detecting a material misstatement in information obtained from sources within the Company's control, as both the Company's executive directors and we as practitioners are ordinarily subject to restrictions on direct access to the sources of the value chain information.
- Consider the forward-looking information, including the appropriateness of the underlying assumptions. There is a substantial unavoidable risk that future events will differ materially from the forward-looking information.

Summary of the procedures performed by the German public auditor

A limited assurance engagement involves the performance of procedures to obtain evidence about the sustainability information. The nature, timing and extent of the selected procedures are subject to our professional judgment.

In performing our limited assurance engagement, we:

- Gained an understanding of the structure of the sustainability organization and of stakeholder involvement.
- Evaluated the suitability of the criteria as a whole presented by the executive directors in the group sustainability statement.
- Inquired of the executive directors and relevant employees involved in the preparation of the group sustainability statement about the preparation process, including the materiality assessment process carried out by the Company to identify the disclosures to be reported in the group sustainability statement, and about the internal controls relating to this process.
- Evaluated the reporting policies used by the executive directors to prepare the group sustainability statement.
- Evaluated the reasonableness of the estimates and related information provided by the executive directors. If, in accordance with the ESRS, the executive directors estimate the value chain information to be reported for a case in which the executive directors are unable to obtain the information from the value chain despite making reasonable efforts, our assurance engagement is limited to evaluating whether the executive directors have undertaken these estimates in accordance with the ESRS and assessing the reasonableness of these estimates, but does not include identifying information in the value chain that the executive directors were unable to obtain.
- Performed analytical procedures and made inquiries in relation to selected information in the group sustainability statement.
- Considered the presentation of the information in the group sustainability statement.
- Considered the process for identifying taxonomy-eligible and taxonomy-aligned economic activities and the corresponding disclosures in the group sustainability statement.

Restriction of use

We draw attention to the fact that the assurance engagement was conducted for the Company's purposes and that the assurance report is intended solely to inform the Company about the result of the assurance engagement. As a result, it may not be suitable for another purpose than the aforementioned. Accordingly, the assurance report is not intended to be used by third parties for making (financial) decisions based on it. Our responsibility is to the Company alone. We do not accept any responsibility to third parties. Our assurance conclusion is not modified in this respect.

General Engagement Terms and Liability

The "General Engagement Terms for Wirtschaftsprüferinnen, Wirtschaftsprüfer and Wirtschaftsprüfungsgesellschaften [German Public Auditors and Public Audit Firms]" dated 1 January 2024, which are attached to this report, are applicable to this engagement and also govern our relations with third parties in the context of this engagement (ey-idw-aab-en-2024.pdf).

In addition, please refer to the liability provisions contained there in no. 9 and to the exclusion of liability towards third parties. We accept no responsibility, liability or other obligations towards third parties unless we have concluded a written agreement to the contrary with the respective third party or liability cannot effectively be precluded.

We make express reference to the fact that we will not update the assurance report to reflect events or circumstances arising after it was issued, unless required to do so by law. It is the sole responsibility of anyone taking note of the summarized result of our work contained in this report to decide whether and in what way this result is useful or suitable for their purposes and to supplement, verify or update it by means of their own review procedures.

Munich, 11 March 2026

EY GmbH & Co. KG
Wirtschaftsprüfungsgesellschaft

Meindl	Hintze
Wirtschaftsprüferin	Wirtschaftsprüfer
[German Public Auditor]	[German Public Auditor]

Financial glossary

Cash flow	All inflows and outflows of cash and cash equivalents during a period.
Consolidated net income	Earnings after taxes generated in a group.
Corporate governance	A framework for responsible corporate management and supervision that is oriented towards sustainability.
Depreciation and amortisation	Non-cash expenses that represent the cost of current and non-current assets being used over time.
Earnings per share	Consolidated net income divided by the number of shares issued by the company
EBIT	Earnings before interest (financial income/expense) and taxes.
EBITDA	Earnings before interest (financial income/expense), taxes, depreciation and amortisation.
EBITDA margin	Ratio of earnings before interest (financial income/expense), taxes, depreciation and amortisation to revenue.
EBT	Earnings before taxes.
EBT margin	Ratio of earnings before taxes to revenue.
Equity	Funds made available to the company by the owners by way of contribution and/or investment, plus retained earnings.
Free cash flow	Measure of financial performance calculated as the cash flow from operating activities minus cash flow from investing activities. It is the cash available to pay dividends, reduce debt, or be retained.
IFRS	International Financial Reporting Standards. Accounting standards issued by the International Accounting Standards Board (IASB) that are harmonised and applied internationally.
Net cash	Cash and highly liquid securities under current assets less liabilities to banks.
ROCE	Return on capital employed, calculated as the ratio of EBIT to average capital employed. Net capital employed is defined as non-current assets (excluding goodwill and financial assets) plus working capital.
TCO	Total cost of ownership, including the purchase price and all direct and indirect costs over the entire product lifecycle (such as costs of energy, repairs, maintenance and disposal).
Total debt	Combined term for the provisions, liabilities and deferred income stated on the liabilities side of the balance sheet.
Total operating performance	Revenue plus changes in inventories of finished goods and work in progress
Working capital	Working capital is calculated as follows: (inventories + trade receivables + contract assets) – (trade payables + contract liabilities).
Working capital to revenue	Ratio of working capital to sales (working capital intensity). The ratio indicates how much capital (as a percentage of revenue) is needed to finance revenue generation.

Technical glossary

Alternative proteins	Plant proteins that are increasingly being consumed as an alternative to animal protein (meat and dairy products). Plant (alternative) proteins are more climate-friendly than animal protein.
Artificial intelligence (AI)	Artificial intelligence (AI) is a branch of computer science that deals with the automation of intelligent behaviour and machine learning. It involves programming machines to emulate human decision-making structures.
Aseptic beverage filling	Germ-free filling of beverages at ambient temperature.
Bottle-to-bottle recycling	Process to produce new PET bottles from used PET bottles. Used PET bottles are reduced to clean PET flakes, which are processed into preforms (see right) and then into new PET bottles.
Circularity	The circular economy aims to maximize the use of products and materials by repairing, reusing and recycling them.
Digitalisation	Digitalisation in general is the conversion of analogue information into digital data. This can be processed and exchanged faster and more easily than analogue information. Many new technologies, such as cloud computing, artificial intelligence and the Internet of Things (IoT), are based on digital data.
Energy drink	A beverage that acts as a stimulant. The main ingredients are taurine and caffeine.
enviro	Krones' sustainability programme enviro was launched in 2008 and certified by TÜV SÜD in 2009. This independent certification enables Krones to award the enviro seal for efficient use of energy and media and the environmental performance of its machines and lines. The program is continuously expanded and all new product developments are based on the enviro criteria.
Injection moulding	A process mainly used in plastics processing. In injection moulding, plastic is heated and liquefied before being injected into a mould. After cooling, the finished, hardened part is removed from the mould.
Intralogistics	The internal flow of materials and goods within a company, including warehouse, order picking and conveyance systems.
LCS	Lifecycle Service
Line expertise	Filling and packaging lines are made up of many individual machines and systems. Krones has the expertise to ensure perfect interoperation between components. This is referred to as line expertise.
Order picking	Combining specified items from a product range on the basis of orders.
PET	Polyethylene terephthalate, a thermoplastic material from the polyester family used, among other things, for producing beverage bottles.
Preform	PET blank from which PET bottles are produced (blown).
Recycling	Process by which a product or material is reclaimed for further use. This can take the form of reuse (as with returnable bottles) or material recycling (as with recycling PET).
rPET	Recycled PET. Although rPET is chemically identical to virgin PET, there are differences in processing.
Secondary packaging	Secondary packaging is packaging around already packaged products. It serves as a storage and transport aid and does not come into direct contact with the product.
Soft drinks	Non-alcoholic, still or carbonated soft drinks
Stretch blow molding	Process for the production of hollow plastic containers such as PET bottles.
Sustainability	Sustainability or sustainable development is generally defined as meeting the needs of the present without compromising the ability of future generations to meet their own needs.

Key figures for the Krones group **2021–2025**

		2025	2024	2023	2022	2021
Revenue						
Revenue	€ million	5,664	5,294	4,721	4,209	3,635
Germany	€ million	526	465	452	424	376
Outside Germany	€ million	5,138	4,829	4,268	3,785	3,259
Export share	%	91	91	90	90	90
Earnings						
Earnings before interest, taxes, depreciation and amortization (EBITDA)	€ million	602	537	457	373	313
Earnings before taxes (EBT)	€ million	424	382	311	242	177
Consolidated net income	€ million	299	277	225	187	141
Earnings per share	€	9.45	8.77	7.11	5.92	4.47
Assets and capital structure						
Non-current assets	€ million	1,637	1,551	1,327	1,164	1,133
of which fixed assets	€ million	1,544	1,462	1,241	1,064	1,001
Current assets	€ million	3,405	3,198	3,150	3,007	2,362
of which cash and equivalents	€ million	549	442	448	675	383
Equity	€ million	2,129	1,922	1,715	1,598	1,392
Total debt	€ million	2,913	2,828	2,762	2,573	2,103
Non-current liabilities	€ million	453	435	410	375	434
Current liabilities	€ million	2,460	2,393	2,352	2,198	1,669
Total assets	€ million	5,042	4,750	4,477	4,171	3,495
Cash flow/capital expenditure						
Free cash flow	€ million	248	113	–101	371	203
Capital expenditure for PP&E and intangible assets	€ million	185	181	163	118	105
Depreciation, amortisation and impairments	€ million	185	168	166	143	142
Net cash position (cash and cash equivalents less debt)	€ million	548	440	445	670	378
Financial figures/profitability ratios						
EBITDA margin	%	10.6	10.1	9.7	8.9	8.6
EBT margin	%	7.5	7.2	6.6	5.8	4.9
Working capital to revenue*	%	17.3	17.0	17.8	19.0	24.8
ROCE	%	19.1	18.2	16.3	14.1	10.0
Employees (at 31 December)		21,339	20,379	18,513	17,164	16,303
Germany		11,735	11,312	10,654	10,130	9,821
Outside Germany		9,604	9,067	7,859	7,034	6,482
Dividend						
Dividend per share	€	2.80**	2.60	2.20	1.75	1.40

* Average over 4 quarters ** As per proposal for appropriation of earnings available for distribution

Publishing information

Published by	Krones AG Böhmerwaldstrasse 5 93073 Neutraubling Germany
Project lead	Olaf Scholz, Head of Investor Relations
Design	Büro Benseler
Text	Krones AG InvestorPress GmbH
Photography	Krones AG

This English language report is a translation of the original German Krones Konzern Geschäftsbericht 2025. In case of discrepancies the German text shall prevail.

You can also find the original German version of this Annual Report in the Investor Relations section at krones.com.

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Financial calendar

8 May 2026	Quarterly statement for the period ended 31 March 2026
9 June 2026	Annual general meeting 2026
29 July 2026	Interim report for the period ended 30 June 2026
6 November 2026	Quarterly statement for the period ended 30 September 2026

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